IIMB

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IIMB Casebook and Industry Reports

2024-25

Volume 14 (b)

ICON – Consulting Club
IIM Bangalore

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Foreword

This casebook documents the interview experiences of the students of IIM Bangalore. The aim of sharing these experiences is to inform students about the case interview experiences of past batch and to help them prepare for their placements accordingly. The experiences listed below are not necessarily the best or the only way to handle case interviews. They only serve to give students an idea of what to expect when they walk into a case interview. Every individual could have his/her unique way of tackling consulting interviews, each of which could be correct.

This document has contributions from students who appeared for campus interviews conducted by consulting firms during the final placement process of the Batch of 2022-24 and summer placement process of the Batch of 2024-26. The interview experiences have been sorted based on the type of case, consulting firm and difficulty.

In this edition, to provide holistic preparation for the case interviews, we have included 18 industry reports as well. The aim of these reports is to provide a basic understanding of the industry's value chain, key performance metrics, current market trends and major drivers for cost, revenue and growth. Even though having industry-specific knowledge is not mandatory for case solving, having a basic industry understanding helps tackle case interviews better.

Team ICON wishes you the very best for your final placements!

How to use this case book?

This edition of the case book presents a few additional nuances that can be used as follows:

- We have created a new section **'Best of the season'**. This section includes what we consider to be some of the best or most interesting cases. We recommend tackling this section once you've reached a solid level of preparation with the case method. The cases here may not be inherently challenging or unconventional, but they can be difficult to structure from the outset.
- We have also highlighted cases N (in the index page) which involve higher than usual level of **numerical analysis**. This is to specifically train for handling numbers while you proceed with your case analysis during the interview.
- The classic **easy-moderate-challenging** tagging to the cases is done in the index page. For candidates starting with, or at a decent level of preparation, you can read through the easy cases (on your own) and solve the remaining ones. For candidates new to the case method, we recommend focusing on the basics, starting with the simpler cases as you begin your preparation. We've found that outlining or structuring the case on paper while reading it on your own can be particularly helpful.
- All **industry reports** are compiled at the end of the casebook. Gaining a solid understanding of value chains and key industry terminologies proves useful more often than one might expect.
- We recognize that the casebook is quite comprehensive. We recommend focusing on building a strong foundation in profitability, market entry, and unconventional cases. However, since case interviews are becoming more dynamic, it may be beneficial to practice or at least review other sections concurrently as well.

All the best!

Contents (1/4)

N=Numerical

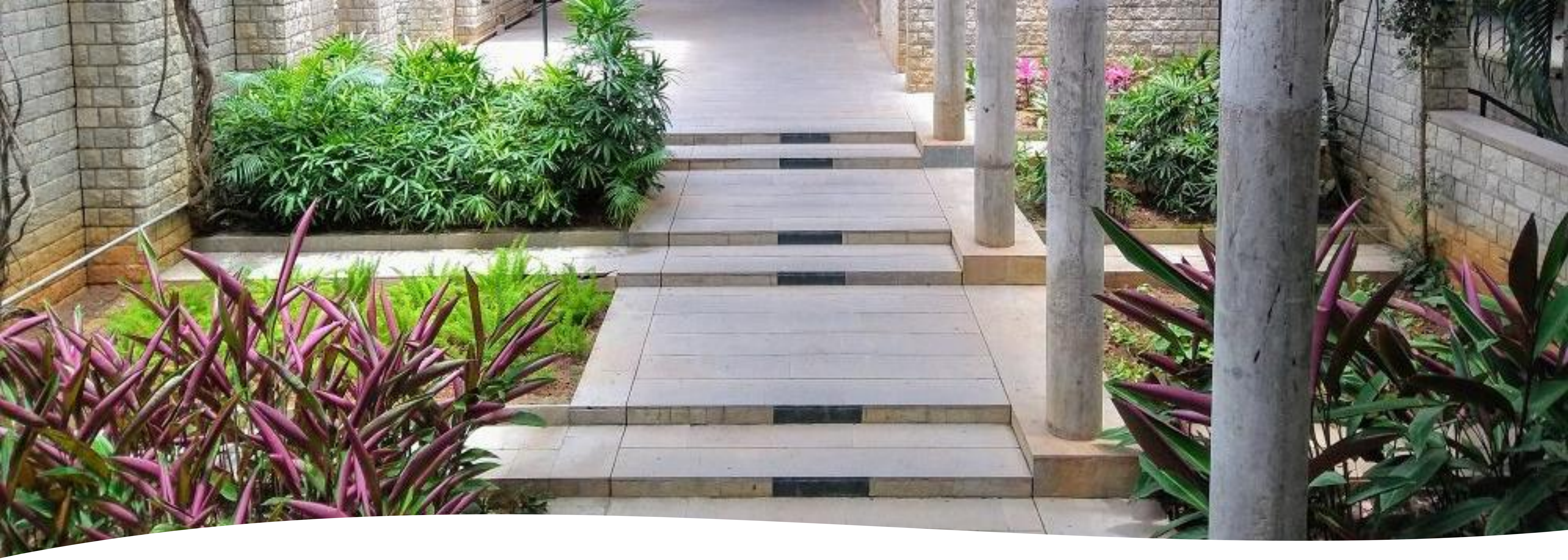
Contents (2/4)

N=Numerical

Contents (3/4)

N=Numerical

Contents (4/4)



Approach to Cracking Case Interviews

Introduction – Case Interviews

Case Interviews

- **Personality** based ques. (5 min); **Case** discussion (20-30 min); **Closing ques.** for interviewer (2 min)
- Know your CV well→ personality ques. are based on CV to break ice and getting to know you
- Case discussions don't have a predetermined answer. Evaluation is based on approach, exercising judgements and steering through the problem statement

Business Case

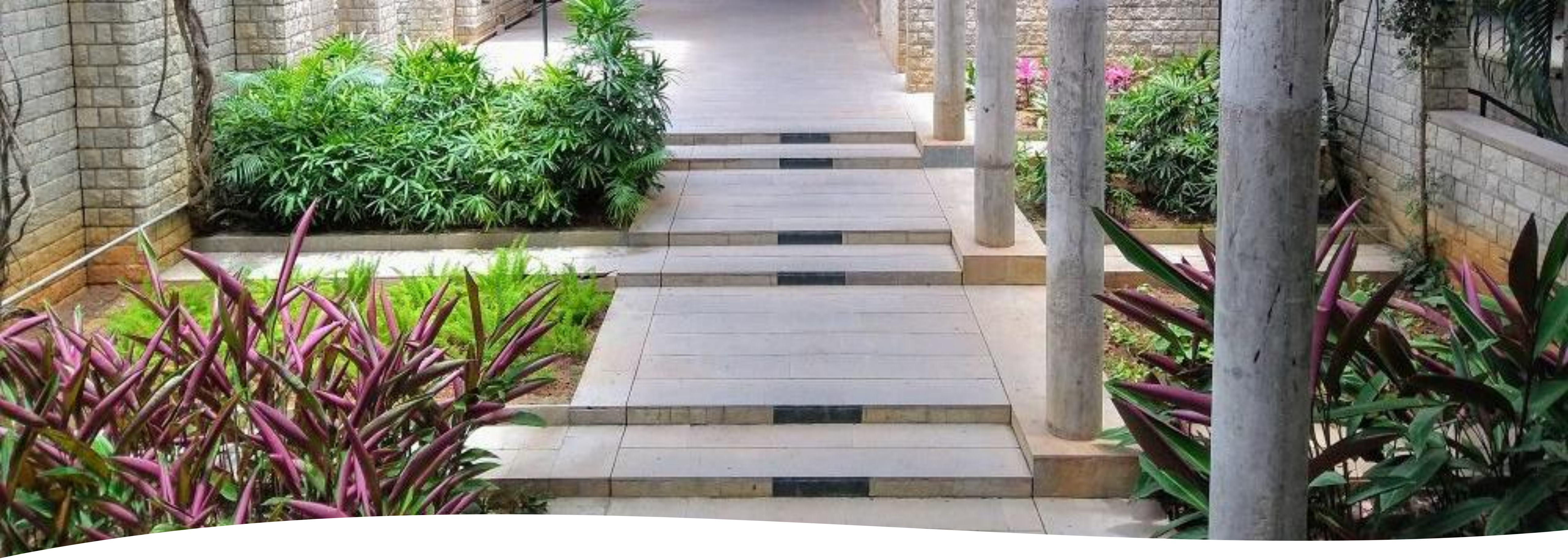
- **Real life consulting project**, that the interviewer was involved in → basis of case discussion
- Consult projects can vary from 2-3 months to even a year → condensed into minutes for interviews
- Provided as a 3-5 statement caselet introducing the client and problem faced by them
- Can be number based or strategy driven; guesstimates can be a part as well

Why Case Interview?

- Test the **ability to perform on the job** in a similar setup as the case-interview (consult-fit)
- Understand **thought process** of the candidate and capability to make decisions/ prioritize
- Put you **under same pressure**, like any consult project, to assess your poise, self confidence and communication skills (interpersonal skills)
- Drawing on personal experiences, if any, can come very handy – appreciated by interviewer

Introduction – Case Interview Process

Interview Stage	What to expect?	Skills Tested
Case Interview Question	❖ Interviewer tells about the **business problem** and objective ❖ Ask clarifying questions; ensure you heard the question correctly	❖ Ability to listen and synthesize
Developing the structure	❖ Ask for time to **structure** the problem at hand ❖ Come-up with a structured **MECE** approach quickly	❖ Structured thinking ❖ Communication
Case Analysis	❖ Use a **hypothesis** driven approach for case solving ❖ Ask relevant questions, use **80-20 rule** appropriately ❖ Case can get number intensive	❖ Problem solving ❖ Analytical skills ❖ Communication
Summary/ Recommendation	❖ **Summarize** the case with recommendations backed up by insights discovered in the case	❖ Creativity ❖ Concision ❖ Communication
Questions for Interviewer	❖ Opportunity to show **enthusiasm** towards consulting ❖ Ask relevant, non-generic question	❖ Consulting fit



Commonly Used Frameworks
2024-25

Common Frameworks

SWOT Framework

Internal

STRENGTHS

- Positive tangible and intangible attributes providing competitive edge to an organization over its competitors
- Answers questions:
  - What aspects of people, products, processes sets you apart?
  - What is your USP and value proposition?
- Example: Proprietary systems, employees, brand image

WEAKNESSES

- Factors that detract and organization from achieving its desired goals, that need further improvement
- Answers questions:
  - What are the vulnerabilities & what changes are needed?
  - What is obstructing progress and needs to be eliminated?
- Example: Weak brand, inadequate supply chain, lack of Cap.

External

OPPORTUNITIES

- Factors representing why an organization exists, which can provide it a competitive advantage
- These factors need to be identified w.r.t. a given Time Frame
- Answers questions:
  - What trends, changes could strengthen the brand, markets
- Example: Reduced Tariffs, Tech Advancements

THREATS

- Factors that have the potential to harm the organization, and put its goals and mission at a risk
- Use of PESTEL analysis can enable organizations to identify these factors and prepare pre-emptive plans
- Example: Rising cost of production, increasing competition, tight labor supply

PESTEL Analysis

Political
Government interventions, including Policies, tax policies, trade restrictions, Govt. stability, etc.

Economic
Economic growth, interest rates, exchange rates, disposable income, micro and macro economic factors

Social
Population growth, demographics, age distribution, health standards, career attitudes, employment, etc.

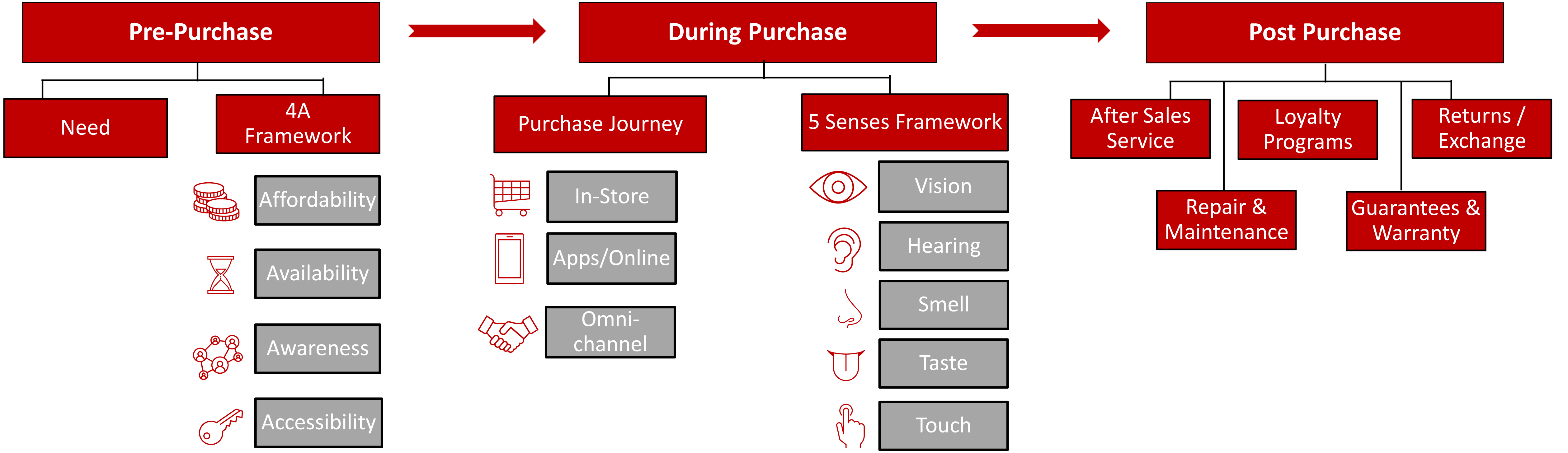
Technological
Automation, Tech R&D, adoption rates, trends and advancements, new ways of production & distribution

Environmental
Carbon footprint, sustainable business practices, availability of natural sources of raw material, govt. policies, ethics, etc.

Legal
Laws pertaining to health, safety, advertising standards, product labelling, IP, Licenses, permits, industrial regulations

Common Frameworks

Customer Journey Map



5C's of Marketing

Company	Company specific competitive advantage, value chain, brand equity, technological advancements, VRIO, etc
Customer	TAM, SAM, SOM, demographics, psychographics, geography
Competitor	Companies in the same industry, direct/indirect competitors, concentration ratio
Collaborator	Elements that enhance the ability to provide goods & services
Context	PESTEL Analysis, areas that affect a business

4P's of Marketing

Product	Bundle of utilities providing perceived value Includes packaging, after sale services, qulaities, features, etc.
Price	Impacts sales volume and profits. Impacted by demand, competition, govt. Regulation. Includes discounts, credit term
Place	Where the product is to be made available. Includes channels of distribution, transportation, logistics, etc.
Promotion	Spread awareness about product/service. Includes advertising, sales promotion, direct marketing, PR, etc.

Common Frameworks

Porter's 5 Forces

BPOB increases with,
- Few large size buyers
- Low switching cost
- Higher # of substitutes
- Standardized products
- High price elasticity
- High buyer awareness

BPOS increases with,
- Low number of supplier
- High buyer switching cost
- Lower # of substitutes
- Differentiated product
- Forward integration is possible

Rivalry increases with,
- High # of competitors
- Low barriers to entry
- Easily substitutable prod.
- Low bargaining power of suppliers
- Low focus on brand value

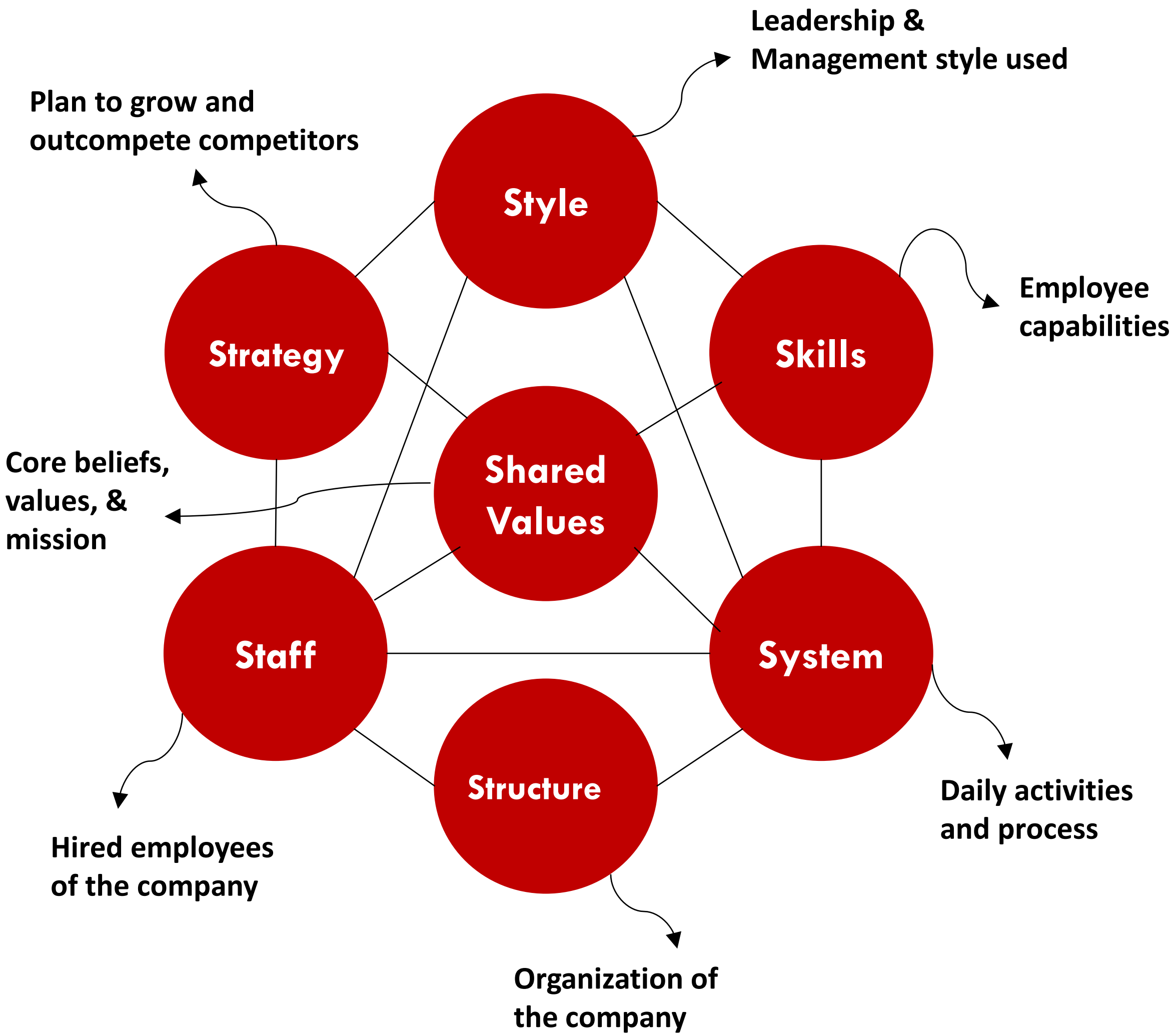
TOS increases with,
- Low switching cost for customers
  High performance of substitutes
- Price-performance trade off is acceptable

TONE increases with,
- High capital requirements
- Differentiated products
- Strict govt. regulations
- High switching cost
- Supply side EOS
- High brand value of firms

Common Frameworks

7S Framework

Used to analyze and improve organizational effectiveness



AMO Framework

Used to assess employee productivity as a result of HR practices

Ability	Motivation	Opportunity
Selective recruitment, hire able & qualified employees, training and development	Compensation, work life balance, performance-based incentives, clarity of goals, conflict management	Career planning, high performing work culture, recognition, fair appraisal

6M Framework

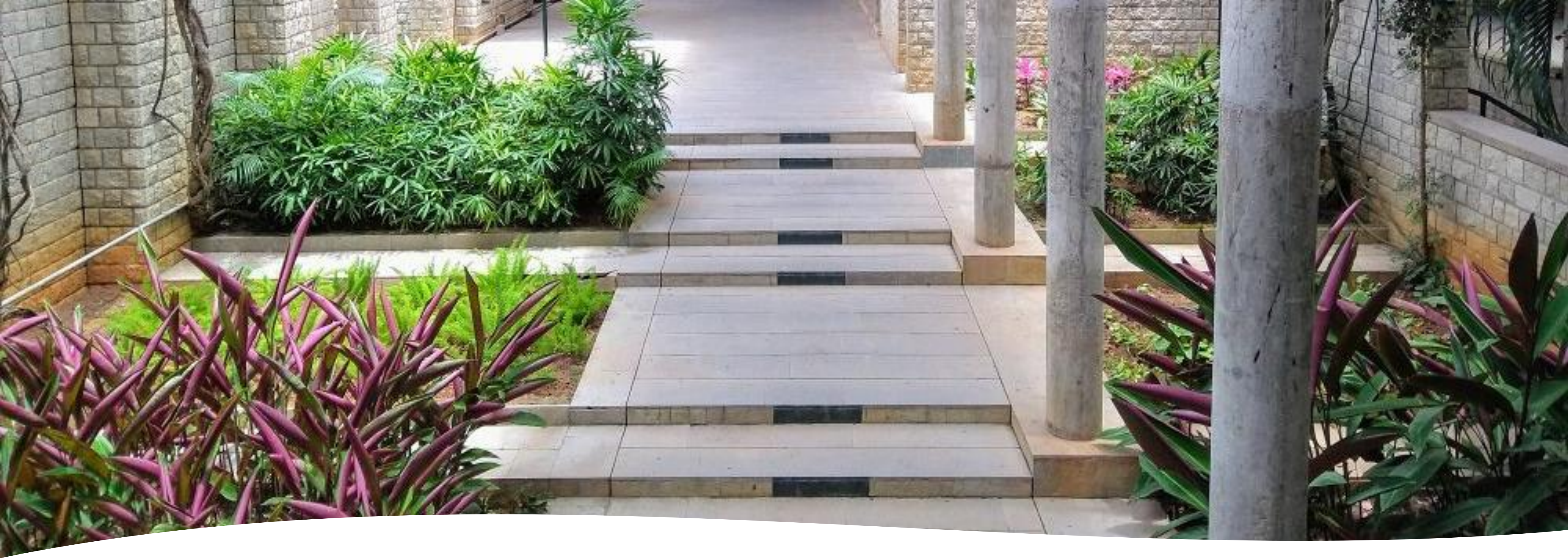
Establish cause-effect relationship and find root cause of process variation

Man	Machine	Method
Material	Measurement	Mother Nature

BCG Growth Share Matrix

BCG matrix can be used as a portfolio management tool to decide among different business opportunities, depending on their profitability

	High Market Share	Low Market Share
High Growth Rate	**STAR** • Growth stage of product lifecycle, significant market share • High future potential, make significant investment • High profits, high costs, high competition • These can be turned into Cash Cows	**QUESTION MARK** • New business venture, low market share, high growth rate • Continued growth can help them become Star, and reduced growth can lead to Dog • Invest/discard based on their chances of becoming a Star
Low Growth Rate	**CASH COW** • Mature state of product lifecycle, low growth rate • Huge market share, businesses should take maximum profit by delivering the product, to reinvest • Included under Dog category, once product in decline phase	**DOG** • Low market share, and are growing at a very low rate • Products in declining phase, generating little to no profits • These must be liquidated, repositioned, or divested, the resources used for these products must be reallocated



IIMB Best of the Season
2024-25

South African FMCG Company

Your client is a South African FMCG company, their bakery division has seen a profit decline in the past 6–8 months.

Before I start, I would like to know more about the client's bakery business. What products do they offer, where do they lie in the value chain, and what are their target customers? Also, do they cater to specific geographies?

The Bakery division produces bread, cakes, cookies and some regional snacks. Bread accounts for 85% of the revenue. The client has manufacturing facilities in South Africa, where they produce, package and deliver their products to the retail stores. There are two distribution channels: Mega marts – Large, high-volume retail chains; the client handles direct delivery. Mini marts – Small retail outlets; the delivery is serviced by third-party distributors. Geographically, the business is divided into coastal and non-coastal regions.

That's helpful. Since bread is the major revenue driver for the bakery segment, does the client have multiple SKUs in this segment?

Yes, the client offers brown and white bread with a few weight-based SKUs. For this discussion, you can focus on the bread business only.

Got it. Who are our competitors? Are other players facing similar challenges in the bread segment?

The market is highly competitive, with three major players including our client, all three holds around 30% market share each. However, competitors have not reported any profit decline recently.

It seems like a client specific issue. Before I start, I would like to narrow down the problem. Considering there are two geographies, multiple bread SKUs, and two different distribution channels, do we have data for the split of profits in these segments? Is any segment underperforming in recent 6-8 months?

Yes, after analyzing the data, we've found that revenue in the coastal region has taken a significant hit.

Thanks for the information. I will proceed with the analysis keeping this in mind. Since we know profits have declined, the drop can be due to a decrease in revenue, an increase in costs, or a combination of both. Do we have any data for this?

The decline is primarily due to a drop in revenue.

Understood. Revenue can be broken down as: No. of retailers × Avg. orders per retailers × Avg. order value (price) × Product mix. Could you share details on these components? *(Note: Here the company has no visibility of customer purchase data, only sale data is available)*

Sure. Recently, we haven't onboarded any new distributors, and there hasn't been any change in the average order value, price, or product mix; in fact, the volume of orders from retailers and mega marts has slightly increased. Can you think of reasons?

That's interesting. If the order volume is stable, and demand is steady, yet revenue is still declining, this suggests that retailers are ordering bread at the same price, but we aren't realizing the revenue fully. Could you explain how payments are structured? Do we account for returns of unsold inventory?

Yes, you are spot on. Retailers return any unsold inventory to us, and the net payment is settled at the end of the month.

I see. So, the end customers are not buying enough bread, resulting in more unsold inventory. This decline in sales to end customers could be from internal factors (issues within our value chain) or external factors (macroeconomic conditions, industry trends).

Let's first explore the internal factors

The customer journey for purchasing our product can be broadly divided into three stages: discovery, during purchase, and post-purchase. In the discovery stage, factors such as need, awareness, affordability, and accessibility play a critical role. Since the need for the product remains constant, and with no changes in pricing, affordability is unlikely to be an issue.

Your assumption is fair, what about other factors?

Accessibility depends on how well our product is positioned in stores compared to competitors—if it's hard to find, sales could be affected. Awareness is tied to how effectively we communicate with customers A decline in marketing efforts or ineffective messaging could impact awareness.

Great, we are good. Let's move forward to the during purchase part.

During purchase, customers focus on brand value, quality, and any extra benefits. Freshness, shelf life, and how the bread looks, feels, and smells all play a big role in their decision-making. Post-purchase, Whether the product meets the customer's expectations in terms of quality and usability in various dishes, it can impact their satisfaction and willingness to buy again.

That's a very comprehensive. We collected bread samples from the coastal region and noticed spots of mold forming on them. This is likely impacting customer perception of freshness. We would like you to analyze the root cause of this issue.

That's interesting. We can start by looking at the client's value chain. This includes raw material procurement, manufacturing, packaging, storage, transport, and retailer handling. Would you like me to proceed with this approach?

Yes, let's discuss each aspect one by one

Starting with raw materials, we can examine whether the quality from our suppliers is consistent with expectations. Any deviation here, such as substandard ingredients, could be a contributing factors. Next, in the manufacturing process, we could audit the machinery to ensure there are no miscalculations in ingredient proportions, baking durations, or missing steps in the production process that might make the bread more prone to spoilage.

Sounds good, What about the other aspects?

Since the issue is prominent in the coastal region, It could be also tied to packaging or storage. For packaging, we could investigate if there have been any recent changes to materials or sealing methods that might affect how well the bread is protected from the humid conditions of coastal areas.

For storage, we should examine whether temperature, humidity control and storage methods that are used in warehouses is maintained as required. In the transport aspect, we could analyze if the stacking of product, vehicles used, or transportation routes have changed.

Very well. We can proceed ahead

Lastly, we should look at how retailers are storing the bread at their end. Are they maintaining proper conditions or is improper handling contributing to this issue. Would you like me to focus on any specific part of this value chain for a deeper analysis?

That's a good analysis. The root cause lies in one of the raw materials. Specifically, the premix added to the bread doe had quality issues due to changes made at the supplier's end. The quality issues could not get detected by the current quality check methods. Now, I'd like you to synthesize the case and provide recommendations for the client.

Sure. The client, a South African FMCG company is facing a profit decline in the bread segment in the costal region. the issue is mold formation in the bread due to poor quality of one of the ingredient.

Recommendations: in the Short term: The client must highlight the quality issue to the supplier and demand corrective action. If possible, the client can explore legal actions to recover the loss due to poor quality of raw materials. Client needs to invest in better equipment and quality testing procedures to prevent similar issues happening in future. In longer-term client need to change suppliers to reduce dependency and lower risks associated with a single vendor. Also, client needs to launch marketing campaigns in coastal regions to rebuild trust by emphasizing the bread's quality and freshness.

This is a very sound solution. Great job, we can wrap up the case here. Thank you.

South African FMCG Company

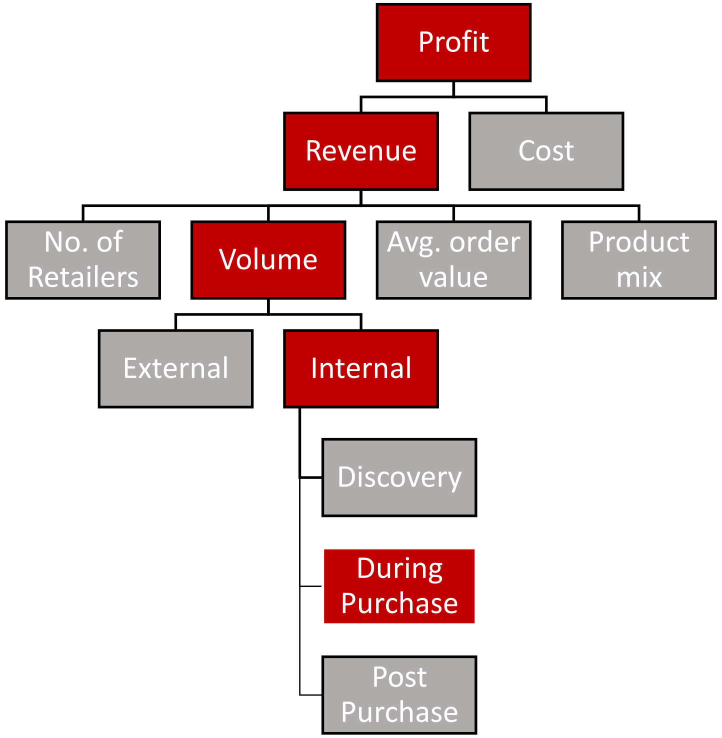
Case Statement

- Your client is a South African FMCG company, and their bakery division has seen a profit decline over the past 6–8 months
- Analyze reasons for the decline and understand what is going on and what has changed over the last 6-8 months

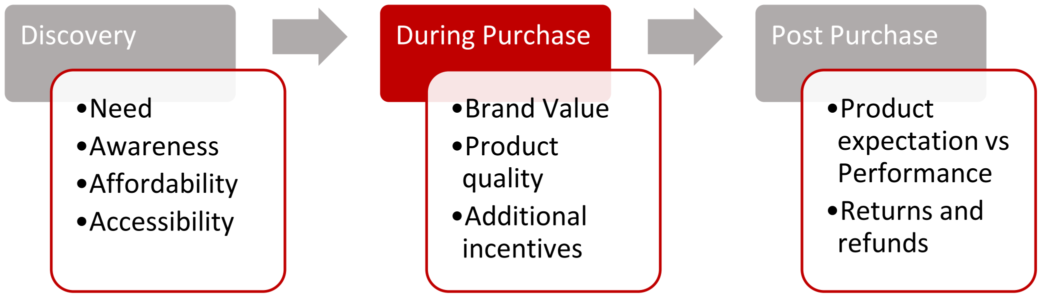
Interviewee Notes

- Bread accounts for 85% of the revenue in bakery division.
- Two product segments - brown and white bread with a few weight-based SKUs
- Two retail channels - Mega-mart and Mini-mart
- The business is spread across two regions – coastal and non-coastal, issue is specific to costal regions
- Three major players with ~30% market share each - competitors are not facing the issue

Structure/ Framework



Customer Journey



Value Chain

Key Takeaways

- Additional data given by interviews is not essential for the cases solution, but a good follow-up will fetch you some brownie points.
- Keep an eye on reverse logistics (returning unsold stock) in your cases
- Use Value chain where-ever standard MECE is not possible. Try to get into customer’s shoes to create a comprehensive value chain for any issue

Konark Temple

Your client is a Konark temple/monument management body facing a decline in profitability. Analyze the reasons and provide recommendations.

This seems to be an interesting case. Before diving deep into the case, can I ask a few clarifying questions.

Yes please go ahead

Is it safe to assume that we are talking about the Konark temple of Odisha ? Since when are they facing this decline and any quantum of decline?

Yes correct, its a very famous temple or monument of Odisha. They are facing this decline since 3 months and profit has declined by 10%.

Interesting. Are other monuments in Odisha facing the same decline? Can I know what are the various revenue streams?

No others are doing fine. What do you think are the various revenue streams?

Entry fees, food & entertainment, merchandising, utilities. Some monuments of Odisha have light & sound shows, so if that facility exists, then it can be an additional source of revenue.

Correct. There is a provision of light and sound show which happens in the evening, focus on this aspect of the revenue. Can you find why are revenue from this source is declining.

The decline in revenue can be attributed to reduction in price per ticket or reduction in total number of tickets sold. Do we have any data indicating a decline in any or both?

The total number of tickets sold have declined.

Thanks for the information. Do we have data suggesting if the number of tickets supplied from the management's side has declined ? Or the demand for the ticket has dropped?

Demand has dropped.

While analyzing the demand side, the people visiting the monument can be tourist as well as natives, so do we have data suggesting decline in any particular category or is it across both segments?

It is across both segments.

To further deep dive into the problem, I would like to think from a visitor's point of view and divide my journey to 3 parts – before arriving at the show, during the show , post the show.

You can focus on the during show issues. What do you think can be various issues which are making the visitors unhappy with their experience during the show?

Several factors can influence visitor dissatisfaction during the show :
Operational Issues: Long waiting lines and unhelpful or rude staff behaviour.
Ambience: Poor decoration, uncomfortable seating, and inadequate utilities such as washrooms or drinking water.
Content of the Show: This includes how engaging, relevant, and well-presented the show content is.
Do we have any data indicating dissatisfaction with these factors ?

Great analysis, there has been some issue with the content, what do you think can be the various issues with the content ?

In my opinion, the following issues could be contributing to dissatisfaction:
Relevance: Visitors may not feel connected to the content or find it engaging.
Clarity: The audience may struggle to understand the content due to how it is presented.
Attractiveness: Elements such as the light and sound effects may not be impactful enough to hold the audience's attention.

The audience is unable to fully understand the content, as the narrator struggles to set the context and explain the history. What could be the reasons behind this ?

So the problem with the narrator can be attributed to language of narration, speed of narrating and accent of the speaker.

Correctly analyzed. The problem lies with the speed of narration and the accent of the narrator. Over the last three months, there has been a change in narration staff, and the new narrator is inexperienced. What solutions would you recommend to address these issues?

To address the issues, the client can train narrators to enhance their articulation, narration speed, and storytelling techniques, or hire experienced professionals with neutral accents for better audience engagement. Leveraging technology, such as pre-recorded multilingual narrations, can ensure consistency and cater to diverse visitors. Enhancing the show’s light, sound, and visual aids can make the content more engaging. Additionally, implementing a feedback mechanism will help monitor visitor satisfaction and address issues promptly.

Excellent suggestions. Your analysis and recommendations are spot-on. Let’s close the case here.

Konark Temple

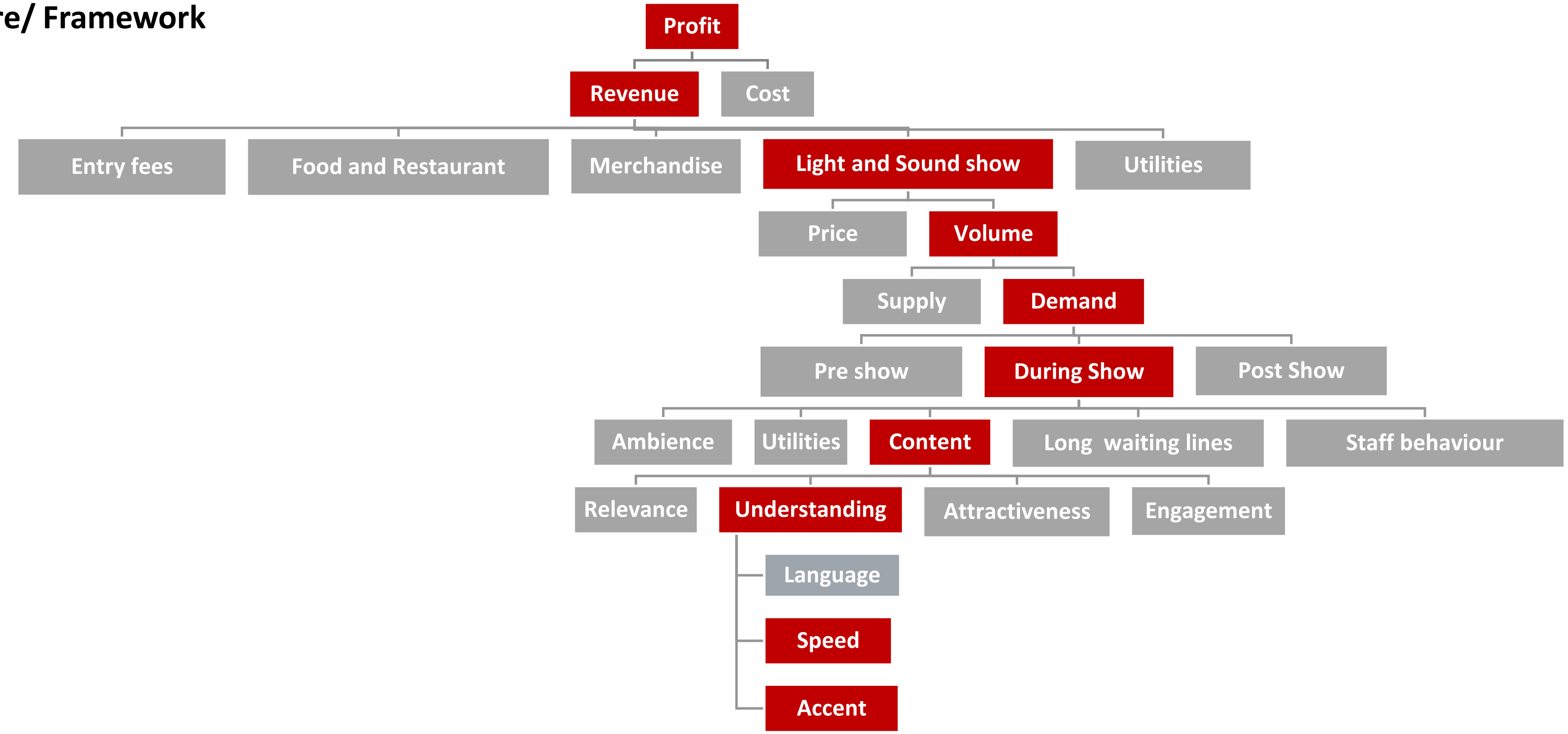
Case Statement

- Client is Konark temple management, and they are facing decline in profit for the last 3 months
- Find out issues and suggest recommendations

Interviewee Notes

- Client is Konark temple management
- Decline is observed for the last 3 months
- No others are facing decline
- Profits down by 10%
- Issues are with the revenue and can be attributed to the light and sound show.

Structure/ Framework



Key Takeaways

- More efforts in identifying the various possible revenue streams and any possible stream should not be skipped
- Its important to understand and drill down the problem from the point of view of a visitor
- Breakdown each part using MECE and don’t jump directly to conclusions, engage the interviewer whenever possible.

Our client is a leading commuter two-wheeler company in India. They are considering entering the superbike segment and seek advice on how to proceed with this.

Before we dive into the analysis, I would like to ask a few clarifying questions: Could you share more about the company's current operations and where does it lie in the value chain? What does the superbike segment encompass? Is it defined by engine capacity, such as 350cc, 500cc, or 600cc? And lastly what are the client's objectives—building a premium brand, growing market share, or focusing on profitability?

The company operates pan-India and is a leader in the 100cc–125cc commuter segment. It is fully integrated including procurement, manufacturing, R&D, dealerships, and after-sales services. The superbike segment is defined as 600cc and above in the ICE (Internal Combustion Engine) two-wheeler market. The primary customers that the client is targeting are urban commuters and individuals who rely on two-wheelers for daily travel. The goal is to position the product as a high-quality option in the budget-friendly commuter market.

Thank you for clarifying. Based on this information, I propose to evaluate the case on following five dimensions: Market Attractiveness: Analyze market size, demand trends, and competition in the superbike segment, Operational Feasibility: Assess whether the company's existing value chain can support the production of high-performance superbikes, Financial Feasibility, Risks and Benefits: Highlight potential challenges and opportunities in entering this market and finally Mode of Entry: Explore rebranding needs and assess whether an organic or inorganic entry is more suitable.

This looks comprehensive enough. Let's start with market attractiveness.

To assess market attractiveness, I would begin by estimating the market size for superbikes, I can do that using both demand-side and supply-side approaches

Proceed with the supply side approach that looks interesting.

Key competitors in 600cc segment include Harley-Davidson, KTM, Triumph, Honda, Royal Enfield & BMW. As per my knowledge sales in this segment should be somewhere around 7.5 lakhs units, assuming 5% of total annual motorcycle sale in India i.e. 15 million. We can assume the segment to grow at ~10% annually backed by rising disposable incomes, urbanization, and increased interest in adventure tourism. If the client is able to capture 10% -15% of the market we can expect ~75,000 -1,12,500 units annually within 3 years of entry, assuming strategic positioning and competitive pricing.

Doesn't this estimates looks high to you?

I agree, that in a first glance this estimates does look high but given the rising disposable incomes, urbanization, and increased interest in adventure tourism the number seems justified, however I would still like to back track the figure using demand side approach.

Starting with India's urban population is ~35% of 1.4 billion (~490 million). Assuming 10% of this (~49 million) falls into the income and age bracket suitable for premium bike products. Age group targeting: 25-40 years: ~60% of the target group (29.4 million).41-55 years: ~30% of the target group (14.7 million). Above 55 years: ~10% (4.9 million). Finally, assuming that 10% of the 25-40 age group, 5% of the 41-55 group, and 1% of the 55+ group are interested in purchasing superbikes. This gives us total potential market = (29.4 × 10%) + (14.7 × 5%) + (4.9 × 1%) ≈ ~4.16 million potential customers.

For annual demand we can assume that superbikes have an average replacement cycle of 5 years, so ~20% of this market (~8.32 lakhs unit) may consider purchasing each year.

That sounds reasonable. Now, let's move on to Feasibility aspects. What do you think about the company's ability to handle this transition?

The client has an established value chain, which includes procurement, manufacturing, R&D, dealerships, and after-sales services. Some of the key challenges that the company might face across these functions could be high R&D Requirements, new engine designs and twin-engine transmission systems are essential for 600cc+ bikes which require advanced expertise and longer development timelines, new manufacturing lines will be requirement for advanced engine components, After-Sales Service would also need to be updated to train technicians to handle premium bike servicing. Finally, the company might also have to look at dealership reorientation as current dealerships target budget-friendly commuters. Premium showrooms with enhanced customer experiences will be necessary Shall I proceed with financial feasibility?

In the interest of time, summarize the case for us.

A leading commuter two-wheeler company wants to enter the superbike market. The approach was to assess market attractiveness, operational feasibility (manageable procurement, but R&D challenges), financial feasibility, and brand perception and the recommended entry strategy. The market size supports entry, but challenges lie in design expertise and day to day operations with limited synergies from existing operations. After exploring brand perception (rebranding need) and evaluating risk and benefits we can suggest appropriate strategy.

Superbikes

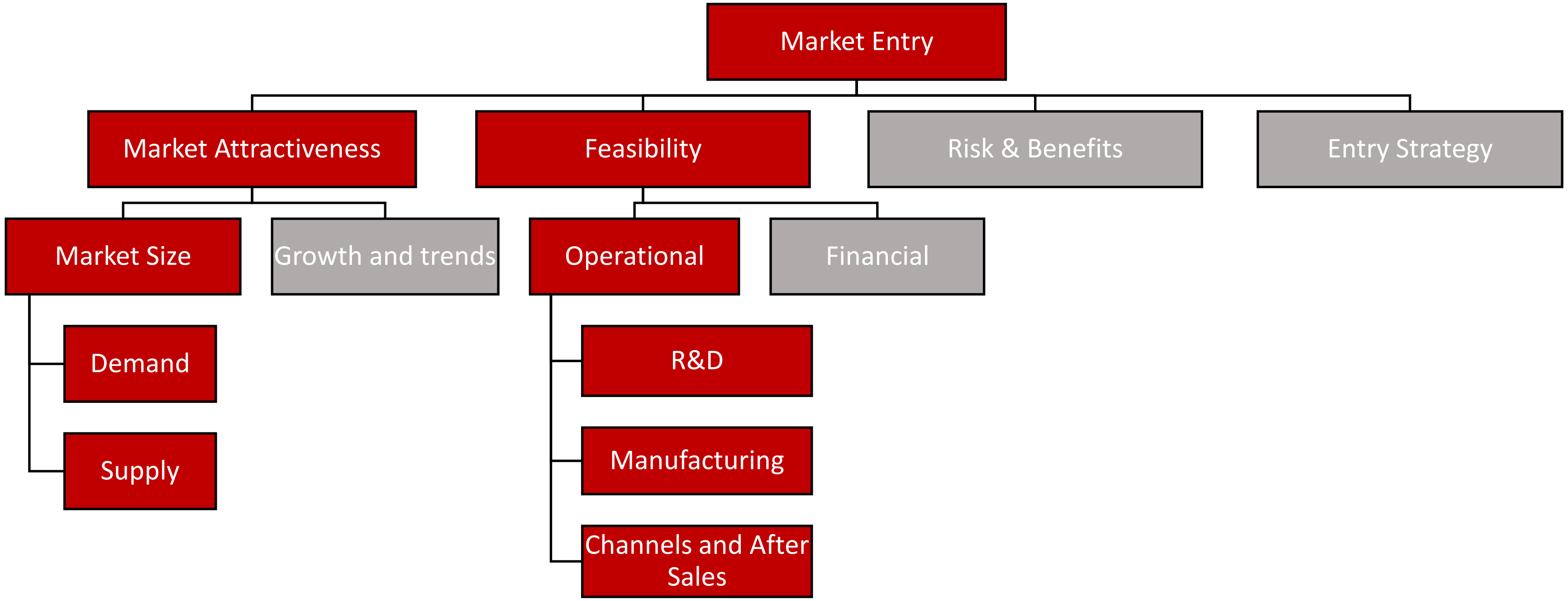
Case Statement

- Client is market leader in Indian commuter 2-wheeler segment and is considering entering superbike segment positioning itself as high quality but budget friendly option in the space

Interviewee Notes

- Client is a market leader in the 100cc–125cc commuter segment
- Client is end to end integrated
- Target customer: urban commuters and individuals who rely on two-wheelers for daily travel
- Assumption: Annual motorcycle sales is ~ 15 million

Structure/ Framework



Key Takeaways

- It is imperative to take in the interview's buy in at all stages. Especially during guesstimates
- Validate market size using both demand- and supply-side approaches to ensure accuracy
- If given an opportunity to summarize the case in a time strapped interview, try to cover your entire approach

Global School Operator

Your client is a school operator, operating multiple schools globally. What all must they consider to enter a new market, and how should they do it?

Thank you for the problem statement. To address this, I would begin by understanding the client's current business model. Could you clarify whether they follow a build-and-operate model or if they are open to a joint venture? Additionally, what are their primary objectives—revenue, brand-building, or something else?

The client manages and oversees a network of schools across multiple markets. They oversee both the set-up and operation processes themselves. The objective is to evaluate a market's attractiveness, break even on their investment, and achieve a high utilization rate of 90-100% within 5 years.

How many schools does the client currently operate, and where are they located? What is their pricing strategy? What differentiates the client's schools from competitors? What is the client's experience with entering new markets? Are there specific geographies they are already considering for expansion?

The client operates 80-90 schools globally, catering to students aged 4-17 in the premium and super-premium segments. They exclusively use the British curriculum and have schools in the US, Latin America, Europe, the Middle East, China, and Hong Kong. The client is open to discussing potential geographies.

Got it. Here is how I would structure my approach: first, I would consider different geographies the client can enter. Next, I would assess the market attractiveness of those geographies. Finally, I would like to discuss the various regulatory and operational risks and considerations involved in setting up the school in that geography.

Sounds like a good way to go about it! What factors would you consider when deciding on the geography the client should enter?

I would look at 4 main factors: demographics, economic environment, ease of operations and competitive landscape. Under demographics, I would analyze the size of school-going population, the proportion of high and upper-middle-income households, and willingness to pay for premium education, especially British curriculum. Next, I would see the GDP growth, per capita income, and the long-term stability and growth potential of each market. Then, I would consider the ease of operations, including regulatory barriers, taxation policies, openness to foreign investment, and the availability of high-quality real estate for schools. Finally, I would analyze the competitive landscape, to check for entry and subsequent survival into the geography. Would you like me to suggest some geographies?

No, that's fine. Let's say you arrive at 4 potential locations- Singapore, Ho Chi Minh, Hanoi, Bangkok. How would you proceed next?

Now, we can finalize the location based on estimated profitability, ability to break-even in 5 years and the potential to achieve high utilization rate.
Estimated profit = Market share * Market size * (Price-Variable Cost) – Fixed Cost
Market size in each location can be estimated based on the school-going population and target households with high income. To ensure that the client can achieve 90-100% utilization, the chosen market must have a growing younger demographic, and a growing economy to ensure demand for premium education services.

Sounds good. Would you take into account anything else?

Yes, actually. Given the client runs the British curriculum across all its schools, we can expect a high affinity for its offerings among expat families. Given favorable economic feasibility, Singapore seems like an attractive market, given its positioning as a cosmopolitan hub, growing prevalence of expat families and high level of per-capita income.

That's a great insight! What other factors would you check for?

Assuming we have finalized Singapore as our market, I would next confirm operational feasibility by assessing the practical aspects of setting up and running the school. I would look at 3 main phases: pre-set-up, set-up and post-set-up. In the pre-set-up phase, we need to focus on securing real estate, partnering with construction firms, and ensuring regulatory compliance. The set-up phase would involve building infrastructure, hiring staff, and localizing the curriculum, if needed. And in post-set-up, I would look at marketing, driving enrollments, brand-building and long-term scaling and expansion.

Global School Operator

That sounds comprehensive. Can you list down possible risks the client might face when setting up a school?

Certainly! The client might face internal and external risks:

- **Internal:** These include the different risks that originate from within business operations, from setup to running the school. It would include financial challenges, such as underestimating costs or delayed breakeven, operational issues like construction delays, hiring difficulties, or failing to meet education standards, and reputational risks, such as difficulty in establishing credibility or justifying premium fees.
- **External:** These include risks associated with factors outside the client's direct control. This would include regulatory hurdles, including unfavorable policies or restrictions on foreign schools, market risks like economic downturns that reduce demand for premium education, and competition from established players offering similar services.

That's comprehensive. Can you think of potential recommendations to mitigate these risks?

Sure. To mitigate these risks, the client should conduct detailed market research, build local partnerships, diversify revenue streams through extracurricular programs, facility rentals and summer programs and differentiate through brand-building and state-of-the-art facilities to stay competitive.

This sounds good! We can close the case here.

Global School Operator

Case Statement

- Global school operator looking to set up a school in a new market
- Objectives include breaking even on investment and achieving high utilization rate
- Assess potential geographies and suggest a structured approach for market entry.

Interviewee Notes

- Global school operator with a network of 80-90 schools across US, Latin America, Europe, Middle-east, China & Hong Kong
- Premium or super-premium pricing
- Build-and-operate model
- Offers British curriculum

Structure/ Framework

Key Takeaways

- Here, factors generally considered in a market entry case are customized to meet specific client objectives.
- Ensure that you gather enough information about the client and their offerings. You can use a need-gap analysis for assessing market attractiveness
- When assessing the various risks involved, it is helpful to evaluate the various steps in the set-up and operation process to cover risks comprehensively

North-South Bombay Route

Imagine you are a billionaire, and you own a full-fledged yacht. You wish to generate some revenues using the yacht and want to start a ferry service. The client has come to seek your help for deciding the pricing of the ferry service.

Before I delve into the diversification options, I would like to ask a few clarifying questions on the client's current business. What is the objective of the client? Is there a specific region or route the client wants to serve?

The objective is to maximize profits. The client sees the route between North and South Bombay as a potential for setting up the service.

What kind of ferry service is the client looking to enter – daily commute or experiential? Also, does the client have a profit margin in mind?

The focus on daily commute. The client simply wants to maximize profits.

Are there existing ferry services or alternative premium travel options available?

It will be the first ferry service on this route in India. Currently, people rely on local trains and taxis.

Based on the provided inputs, I'd suggest exploring three pricing strategies:
Cost-Based Pricing, under this we could Perform a cost-benefit analysis to determine the minimum price that covers costs while achieving the desired profit margin.
Value-Based Pricing, here we can analyze alternative modes of travel between North and South Bombay and use time saved per journey as a measure to set the upper cap of pricing.
Competitor-Based Pricing, while there are no direct competitors on this route, we could analyze pricing from ferry services on similar routes in India, including both private and government-operated services, to establish a benchmark.

Let's focus on cost-based pricing as this will be the first ferry service in India. What information will you require?

We can look at the fixed cost and the variable cost for the yacht to understand what the cash expense is incurred on a yearly basis.

Could you elaborate on fixed costs, given that the yacht is inherited?

Even though the yacht is inherited, it carries an implicit valuation based on current market conditions. This valuation represents the opportunity cost. Under variable costs we can look at operational costs which includes both maintenance and labor costs, any regulatory costs to be paid to the government and other minor utility costs.

Okay, so you can assume that the current valuation of the yacht is at Rs. 50 crores. To make it easier you can assume there is a 70 million fixed cost incurred per year and the cost to run one trip on the yacht is Rs. 20,000. Now, how will you proceed?

To calculate the ticket price, we need to first estimate potential revenue:
Revenue = Total no. of trips * Total no. of seats * Price per ticket
To ensure profitability, the ticket price must at least cover the total costs (fixed + variable). Once costs are accounted for, we can explore potential profit margins.
Should I start by calculating the total number of annual trips for the ferry?

Yes, go ahead

Let's first calculate the maximum number of trips the ferry can complete in a week. Considering the target audience in Mumbai will use this ferry for daily office commutes, I'll assume the ferry operates only on weekdays, excluding weekends. Is this a fair assumption?

Yes, please proceed. You can assume the service will operate on 250 days annually.

Great. Mumbai, weather conditions such as monsoons might impact the service. However, to simplify, I'll assume uniform demand throughout the year. To calculate the number of ferry trips per day, I'll need the travel time for one trip (North to South Bombay) and information about peak and non-peak hours during which the ferry operates.

You can assume that one side journey of the ferry takes around 20 minutes.

A round trip will take 40 minutes. Accounting for docking and boarding, the ferry can complete 1 round trip per hour. Assuming the ferry operates from 8 AM to 8 PM, that's 12 hours daily. Is this assumption fair.

Yes, please go ahead.

Let's break the day into peak and non-peak hours. Peak hours for office-goers are from 8 AM to 12 PM and 4 PM to 8 PM for return trips. During these hours, the ferry operates at full capacity, completing one round trip per hour, totaling 8 round trips in 8 hours.

North-South Bombay Route

For non-peak hours between 12 PM and 4 PM, we assume 50% capacity, so there are 2 round trips in 4 hours. This gives us a total of 10 round trips a day. Over 250 operational days a year, that results in 2,500 round trips annually. Do we have information on the number of seats on the yacht?

Yes, there are 200 seats in the yacht.

On an annual basis, no of passengers,

200 seats * 2,500 trips * 2 = 1 million passengers

Variable Cost of a round trip (cost of running the yacht once if Rs. 20k)

20k * 2500 * 2 = 100 million.

Fixed cost per year is 70 million. So total annual cost is 170 million. To cover the cost, the price of one ticket should be at least Rs. 170 (170 million / 1 million passengers). We can look at alternate sources of transport to set the actual price of a ticket.

So, as you know, the target customer for the ferry either uses the local train or taxi for their daily commute. We know that, travelling on the local train takes 40 minutes and travelling in a taxi takes 1 hour. Could you tell me on an average, what could be the price of a local train ticket for a typical commuter? and, what is the average fare for a taxi ride between North and South Bombay?

The typical fare for a local train ride in Mumbai between North and South Bombay is Rs. 60 for a standard class commuter. The average fare for a taxi ride between North and South Bombay, considering the distance and time taken (around 1 hour), would be approximately Rs. 300.

The ferry takes 20 minutes, and the client wants to price it at Rs. 350. What will you suggest to the client?

At Rs. 350, the ferry is positioned as a premium service, faster than both trains and taxis. However, train commuters might not switch due to affordability concerns.

Taxi users could switch if they value time saved.

I'd recommend pricing closer to Rs. 250-300, offering a balance between premium pricing and attracting a larger customer base.

That's a reasonable approach. How would you factor in seasonality and future growth of the ferry service?

For seasonality, I'd recommend dynamic pricing during peak seasons (festivals, holidays, weekends) and offering promotions during off-peak periods.
For future growth, the client could expand routes or increase ferry frequency based on demand. Technology integration like mobile apps for booking could also enhance customer experience and boost demand.

Thank you. These are great recommendations.

North-South Bombay Route

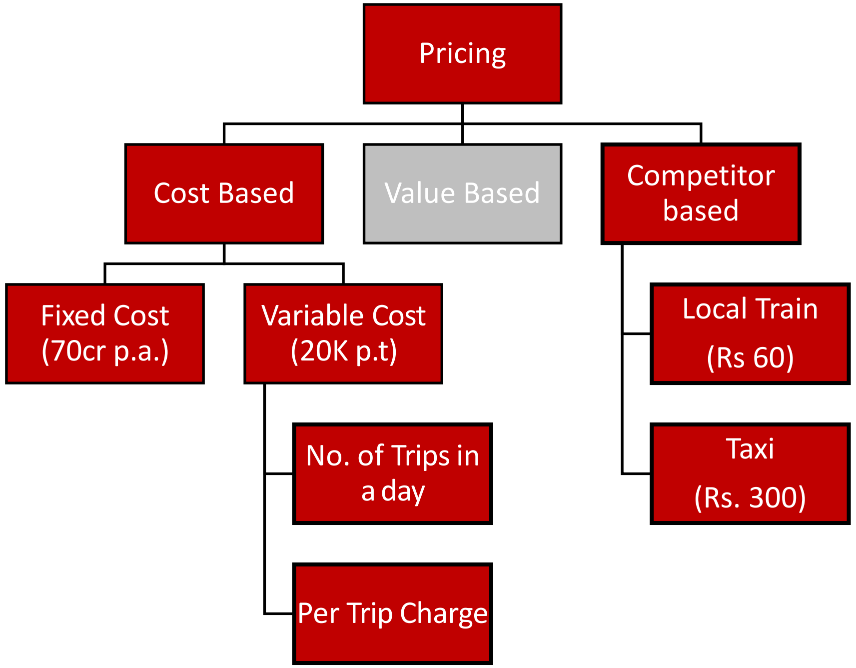
Case Statement

- This case revolves around a billionaire yacht owner who seeks to generate revenue by starting a ferry service on the North-South Bombay route. The objective is to maximize profits through daily commute ferry services. The client is in need of assistance to determine the pricing strategy for the ferry service

Interviewee Notes

- The interviewee suggests three pricing approaches: cost-based, value-based, and competitor-based.
- However, the focus is primarily on cost- based pricing due to it being the first ferry service in India.

Structure/ Framework



Annual Passengers = 1,000,000 passengers annually.
(Seats per trip ×T rips per day × 2 × Operational days)
Variable Costs = 100 million (Cost per trip × Total trips annually)
Total Costs = 170 million (Fixed Costs + Variable Costs)
Break-Even Price = Rs. 170 (Total Annual Costs / Annual Passengers)

Alternative Ticket Pricing Strategy
Competitor Based Pricing:
Position the price between the train fare (Rs. 60) and taxi fare (Rs. 300) while reflecting the ferry’s time-saving advantage.
Recommended Price: Rs. 250-300 per ticket.

Key Takeaways

- Align pricing not only to cover costs but also to highlight the ferry's unique value proposition—saving time compared to alternative travel modes
- Account for seasonal disruptions and weather conditions by creating flexible service schedules and customer retention strategies during monsoon or low-demand periods.

Consumer Packaged Goods

You client is in the Consumer-Packaged Goods (CPG) business and wants to boost their revenues. They have approached you for suggestions on how to achieve this growth.

Before delving deeper into the case, I would like to understand more about our client. Where is the client operating and what is the product portfolio? Also, do we have any targets when it comes to the growth plan?

The client is based in US. They have three main product lines, 1. Latex based Paper products 2. Cleaning Products – toilet, floor, glass cleaning 3. Washing Products – Soap, Detergent, Fabric Softener. The client wants to double its revenue from 1B USD to 2B USD in 5 years.

That's interesting. What is the current growth rate? What part of value chain do they function, and can you describe the competitive landscape in the 3 product categories?

Current CAGR is 7%. Our client manufactures the products and sell them through third party distributors both online and offline. They are the leading player in all 3 product categories and enjoy a significant market share.

Okay, I think I have enough information on the issue. I would like to consider 2 approaches : Organic i.e., expanding through their own business and inorganic i.e., expanding by using JVs, mergers, and acquisitions. Do you want me to consider any strategy specifically?

Let's focus on organic strategy first.

Sure, we can consider total revenues as the product of total number of customers and the average revenue per customer. Should I focus on either of the two?

We will focus on increasing the total number of customers.

Sure, I would like to breakdown the total number of customers as Market Size multiplied by Market Share. As we already have significant market share, let's consider increasing the market size i.e., the total consumer base. We can increase it by either of the two ways: moving into new markets or focusing on existing markets. Does it seem fair?

Yes, you are right. But the client has already covered most of the market segments and does not have plans to geographically expand out of US.

Okay, then in the existing market we can either increase the reach for existing products by tapping new channels and new marketing strategies or introduce new products to create additional revenue streams. Does our client have any plan?

The client is satisfied with the current marketing activities. They have developed a new product in toiletries and plans to sell 40M units in 5^{th} year at an average of 5 dollars/unit.

This new product would give additional revenue of 200M dollars. Do we have any data regarding the distributor margin as they sell through 3^{rd} party distributors?

Yes, that's a good question. The client gives 1 dollar/unit to the distributors.

Okay, that means the client would get a revenue of 160M dollars in 5^{th} year because of the new product. And client's intrinsic growth rate would expand the revenues to 1.4B[1] dollars. This leaves us 440M[2] USD short of target. Shall we look at inorganic forms of growth?

Sure, please go ahead.

Inorganically, the client can choose out of 3 options - joint venture with other big players, acquire smaller players or expand within industry by forward or backward integration. Does our client have any specific route in mind?

Yes, the client is looking to acquire either of the following two companies. Company A is a bamboo-based paper products manufacturer with 190M USD current revenue, 20% CAGR and acquisition cost of 1.5 times their current revenue. Company B is a bug-repellant manufacturer with 210M USD current revenue, 15 % CAGR and acquisition cost of 1.7 times their current revenue. Please suggest how to proceed.

I would look at financial fit and non-financial fit of these companies. In financial fit, I will look at valuation and synergies involved. In non-Financial fit, I will look at culture fit, organizational fit, and risks involved. Is this approach good?

Yeah, Client is comfortable with the non-financial fit for both the companies. You can focus on the financial part.

First, we should look at NPV for both the projects. Assuming a cost of capital of 10%, company A has a NPV of 750M[3] USD and company B has 690M[5] USD. Also, in the 5th year, Company A will give a revenue of 470M[4] USD and company B 420M[6] USD. So, company A matches our target deficit of 440M USD. Next, our client would have a better synergy in operations with company A as they are also into paper-based products. Its better to proceed with Company A.

Nice analysis, Please summarize the case.

The client, consumer packaged goods manufacturer, wants to double its revenue from 1B USD to 2B USD in 5 years. First, we looked at organic forms of growth. Introducing a new product into the existing market gave us a revenue of 160M USD. Next, in inorganic route we looked at the acquisition of either of the two companies A & B based on NPV, target and synergies. Acquiring Company A gave us additional 470M USD and overall helped achieve our target revenue of 2B USD at the end of 5 years.

Thank you, we can end the case here.

Consumer Packaged Goods

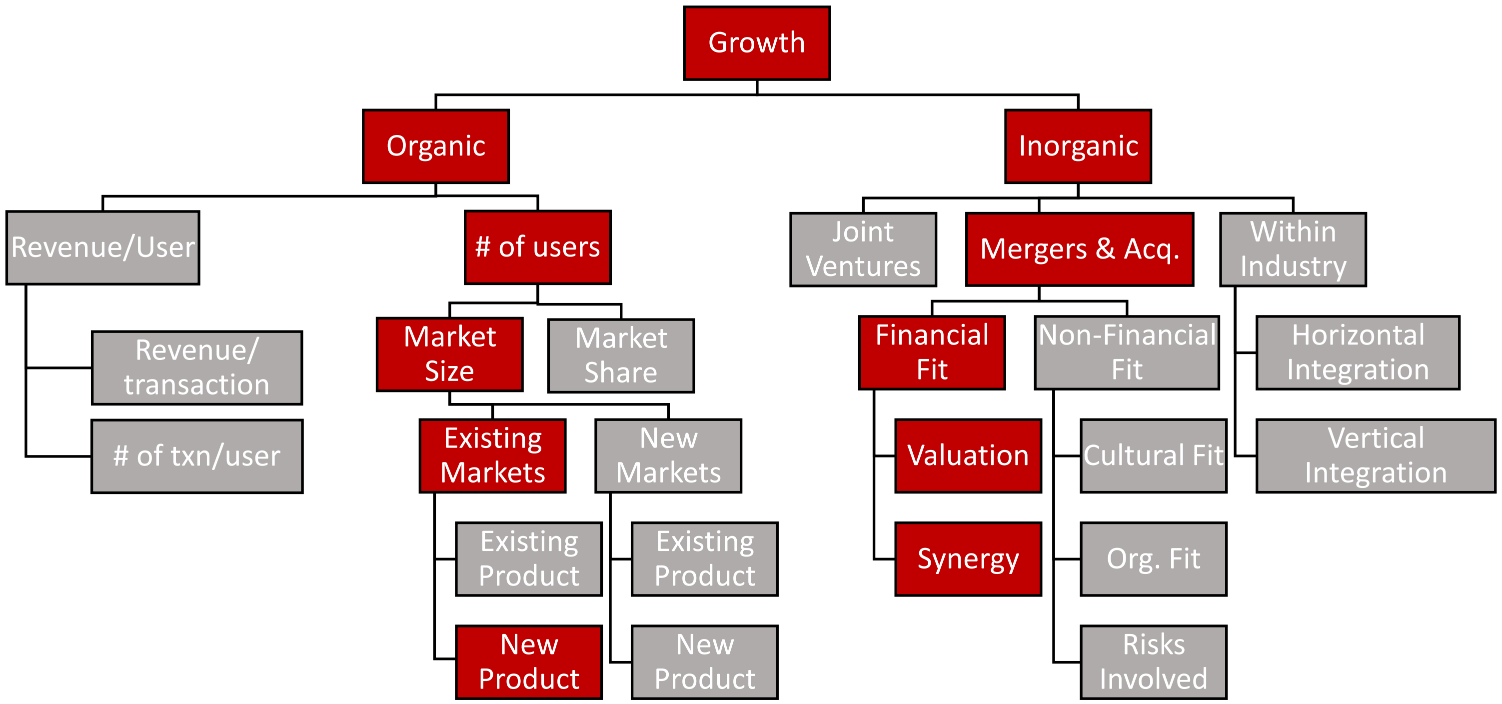
Case Statement

- Client is into consumer-packaged good business
- Company wants to boost its revenue and has specific targets

Interviewee Notes

- US based client, into 3 product categories – Paper based, Cleaning products, washing products
- Target of increasing revenue from 1B USD to 2B USD in 5 years
- Growth rate – 7 %
- Client manufactures products and sells through 3rd party distributors
- Leader in all the categories

Structure/ Framework



1. 1.4B= 1B*(1+0.07)^5
2. Target= 2000M
   Revenues= 1400M (from 1)+ 160M (from new product)
   Shortage= 2000-(1400+160)= 440M
3. Cost of Capital = 10%
   NPV for Company A:
   Cost of Acquisition= 190Mn*1.5 = 285M
   PV of Cash Flows= $\frac{C}{r-g}\left[1-\left(\frac{1+g}{1+r}\right)^t\right]$
   1035M
   NPV =1035M-285M=750M
4. A's Rev. for 5th yr. = 190*1.20^5
5. NPV for Company B:
   Cost of Acquisition= 210M*1.7= 357M
   PV of Cash Flows= 1045M
   NPV= 1045M-357M=688M
6. B's Rev. for 5th yr. = 210*1.15^5

Key Takeaways

- We should have a clear understanding about which part of value chain does our client operate in. It helped in thinking about the distributor margins
- Always remember about the intrinsic growth rate of the company/industry
- The interviewee just stated the formula for NPV calculation and the interviewer provided the values. Therefore, be thorough with PV/FV formulae.

A company X, a manufacturer of Wi-Fi and electronic chips with a net worth of $1 billion, is considering acquiring company Y, another electronic chip manufacturer with a net worth of $2 billion. Should company X acquire company Y?

Thank you for the case statement. To clarify, we are discussing an acquisition where the target company is significantly larger than the acquirer. This creates unique challenges and opportunities. To approach this systematically, I'd like to understand the advantages of this acquisition. Could I get information on the manufacturing sites of both companies, their served markets, and any relevant data on the electronics industry to assess the strategic fit?

Here's some information: Company X has its manufacturing plant in the U.S., while company Y operates plants in Europe. Both companies serve global markets. The industry has some notable trends - Short product lifecycles requiring constant R&D investment, steady market growth, company Y holds some technical advantages over company X.

Thank you for this data. Based on this, it appears possible that company X is looking to expand its geographical footprint into Europe through this acquisition. Additionally, leveraging company Y's technical capabilities could enhance company X's competitive position in the industry. However, to evaluate whether company Y is a good acquisition target, we'll need to analyze both financial and strategic dimensions. Could I ask if we have access to sales data or other proxies to compare acquisition costs with potential revenue gains from company Y?

Unfortunately, we don't have sales data. How would you assess this investment decision?

Since this is a capital-intensive industry driven by innovation and R&D, I suggest evaluating the acquisition based on two scenarios. Company X can either invest further in its R&D to improve its competitive position organically and evaluates the return on this investment. Alternatively, the company can invest in acquiring company Y and calculate the ROI from this acquisition. Would you like me to proceed with these scenarios, or should I consider other options?

Let's discuss these two scenarios in detail and do the financial analysis of both the scenarios.

DATA SHEET

Scenario 1: R&D Investment
- Incremental ROI: Additional $200M R&D investment Revenue causes revenue growth by 5%-8% due to R&D-driven innovation and product improvements.
- Profit Margin: Net profit margin remains steady at 10%, as no major cost disruptions are assumed.

Scenario 2: Acquisition
- Acquisition of Company Y Deal Value: Acquisition cost is calculated using a 1.2x multiplier, resulting in a deal value of $2.4B.
- Revenue Synergies: Incremental revenue is 15% of combined revenue.
- Cost Synergies: Operating costs are reduced by 10%, saving approximately $200M.Profit Margin: Post-acquisition profit margin improves to 15% due to synergies. (excluding operating cost savings)

Based on the data provided, let's first analyze Scenario 1 - Company X's ROI from R&D investment can be calculated by using the formula incremental profit / Investment. According to the given data, R&D investment of $200 million, this could potentially increase ROI by nearly 2.5 - 8 %. However, this approach would take time, as R&D breakthroughs typically require long gestation periods. While this is a safer and more controlled investment, the ROI remains modest and incremental.

Now, let's analyze Scenario 2 - If company X acquires company Y at a deal value of $2.4 billion (applying a 1.2x multiplier based on past deals in the industry), the combined entity could achieve significant synergies. For instance, company Y's technical edge could help expand product offerings, and its European manufacturing footprint could reduce logistical costs for serving that market. The synergies could increase combined revenue by 15% and reduce operating costs by 10%. With these factors, the estimated ROI for the acquisition could be estimated to be around 10.667%, which is higher than Scenario 1.

Wi-fi and Electronic Chip

That’s a fair analysis. What are the risks involved with Scenario 2, and how should they be mitigated?

The primary risks with Scenario 2 include the merging of two organizations from different geographies could lead to cultural clashes. To mitigate this, a detailed integration plan focusing on communication and aligning organizational values would be necessary.
At a 1.2x multiplier, the deal cost is significant. This risk can be addressed by negotiating for deferred payments or earn-outs linked to performance. While company Y has technical advantages, these must align with company X’s existing capabilities. Conducting thorough technical due diligence is crucial. The electronics industry’s short product lifecycles require continuous innovation. A detailed R&D roadmap post-acquisition is essential to maintain competitiveness.

We are good to close the case. Thank you.

Wi-fi and Electronic Chip

Case Statement

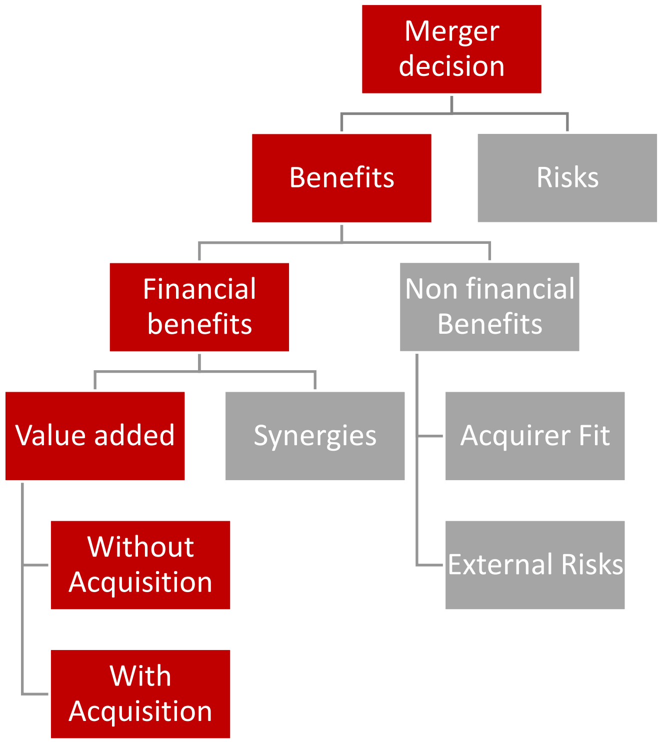
- Company X, a $1 billion Wi-Fi and electronic chip manufacturer, is evaluating the acquisition of Company Y, a $2 billion competitor with a strong European presence and advanced technical capabilities, to expand market reach and enhance competitive positioning.

Interviewee Notes

- The client needs to know whether the merger actually can reap financial benefits
- Data was given in the datasheet and few had to be assumed.

Structure/ Framework

Metric	Scenario 1: Organic R&D	Scenario 2: Acquire Company Y
Investment	$200M	$2.4B
Revenue Before Investment	$1B	$2.5B
Incremental Revenue After Investment	$50M-$80M	$375M
Total Revenue After Investment	$1.05B-$1.08B	$2.875B
Profit Margin (Net)	10%	15% (After Synergies)
Incremental Profit	$5M-$8M	$56.25M
Total Profit After Investment	$105M-$108M	$431.25M
ROI (Year 1)	2.5%-4%	10.667%
Synergies (Revenue)	N/A	15% of Combined Revenue
Synergies (Cost Savings)	N/A	10% of Operating Costs (~$200M)
Deal Value	N/A	$2.4B



Data from datasheet + assumption

Scenario 1:
- Incremental ROI: Additional $200M R&D investment Revenue causes revenue growth by 5%-8% due to R&D-driven innovation and product improvements.
- Profit Margin: Net profit margin remains steady at 10%, as no major cost disruptions are assumed.

Scenario 2:
- Acquisition of Company Y Deal Value: Acquisition cost is calculated using a 1.2x multiplier, resulting in a deal value of $2.4B.
- Revenue Synergies: Incremental revenue is 15% of combined revenue.
- Cost Synergies: Operating costs are reduced by 10%, saving approximately $200M.Profit Margin: Post-acquisition profit margin improves to 15% due to synergies.

Key Takeaways

- In a M&A case, it is important to understand the various benefits through the operational synergies of the client
- This was a number and calculation heavy case, and the assumptions too were a necessity which needs to be bought in through the help of the interviewer.

Partner Running Late

It's a regular monday morning, you are a consultant at a big consulting firm. You observe a senior partner running late into the meeting room for a client meeting however usually he is always on time. One hour later, another consultant comes up to you and says that did you observe that partner running late into a client meeting. Assuming I am that other consultant, let's take the conversation further as a part of this case.

Hey, yes, I did observe that partner came late in the meeting. However, it is unusual of him. I wonder what could have been some of the possible reasons for the same.

Yes, I have known some of his team members and everyone were equally shocked about this incident. Something unusual must have happened that had led to partner being late.

Some of the possible reasons for his delay could be an incident over the weekend, an issue at home this morning, a problem during his commute to the office, or something that occurred between entering the office compound and reaching the office floor.

Oh yeah, this feels comprehensive. However, I wonder how do we get some of this information without partner getting to know about this.

Yes, this seems to be a challenge. Do you know how does he usually comes to the office?

One of his team member told me that he comes to office in a chauffer driven car.

To extract the information, we can either enquire with one of his team members or we can go to the driver and enquire from him. However, I feel talking with one of his team members might make partner feel uncomfortable.

Yes, I agree. Although while we have this conversation with the driver, we need to be cautious so that he in no way feels that we are enquiring about the partner directly. I know he usually sits at the tea shop around the corner, why don't you have a conversation with him *(Assume me as the driver for the conversation)*

Hello sir, how are you? How is your day coming along?

Driver: Hello sir, I am not doing good. I am having a rough day today.

What happened sir? Everything fine?

Driver: Today we reached office late and sir was very angry. However, we left the home at time. Sir, I need to leave now, talk to you later.

Okay sir, don't worry everything will be fine. Have a good day.

(Post the conversation with the driver)
Hey, so how was your conversation with the driver? Did you get any leads?

Hey, I went to have a conversation with the driver and got some good insights. He told me that they left home at time, and they reached office late so something might have during their commute to the office.

Yes, that makes sense. I wonder what could be possible reasons for the delay occurred during his commute to the office.

We can broadly divide reasons into two categories – Internal and External. Internal reasons can be attributed to the factors within his control like issues with the driver, something happened to his car, issues related to the route and stoppages they took. External reasons can be attributed to factors like road accidents, heavy traffic, conditioning of the roads etc.

During the time when you were having conversation with the driver, I went through all the news and no incident has been report that could lead to delay in their route to office.

Okay, this is helpful. So, the reasons for his delay could be attributed to internal factors – some issues related to car or driver or routes / stoppages. Do you know anything about this?

I know that he recently bought a new car post his promotion and he has the same driver for the last 7-8 years. So, I don't think there is any issue related to car or driver. Why don't we do this – lets go to the driver again but this time I will go, and this is the last time we can go to him. Why don't you let me know the questions that we should ask him.

Given there are no issues related to car or driver, I feel there might be some issues related to routes and stoppages. So, we can ask him the following questions

Partner Running Late

- Did you guys take the same route today?
- Did you guys take the same stoppages and was there any increase in stoppage time at any of the stops?

Hey, so I had a great conversation with the driver. He told me that they followed their usual route that is Home -> Starbucks -> School (Dropping her daughter) -> Office. However, they usual take 10 mins at Starbucks but today it took them 35 mins. Can you think of some of the reasons for increase in time at Starbucks?

To understand the possible reasons for delay at Starbucks we can breakdown his time at Starbucks in Pre, During and Post ordering phase. In the Pre ordering it can be queue time, time to decide the order, for the during ordering it can delay in time taken by staff, issue in payment and post ordering can be increase in eating time, meet an acquaintance, got into some argument with staff or other people etc.

This seems to be comprehensive. With all this information, let me go to the partner and try to pull his leg and get to know the actual reason for his delay.

Sure, I will complete some of my work till the time you are back.

Hey, it turned out to be an anti-climax. He told me that his daughter accompanied her inside Starbucks today and spilled a coffee over a customer which led to a fight which eventually led to the delay. But it was great chatting with you. Have a good day.

Partner Running Late

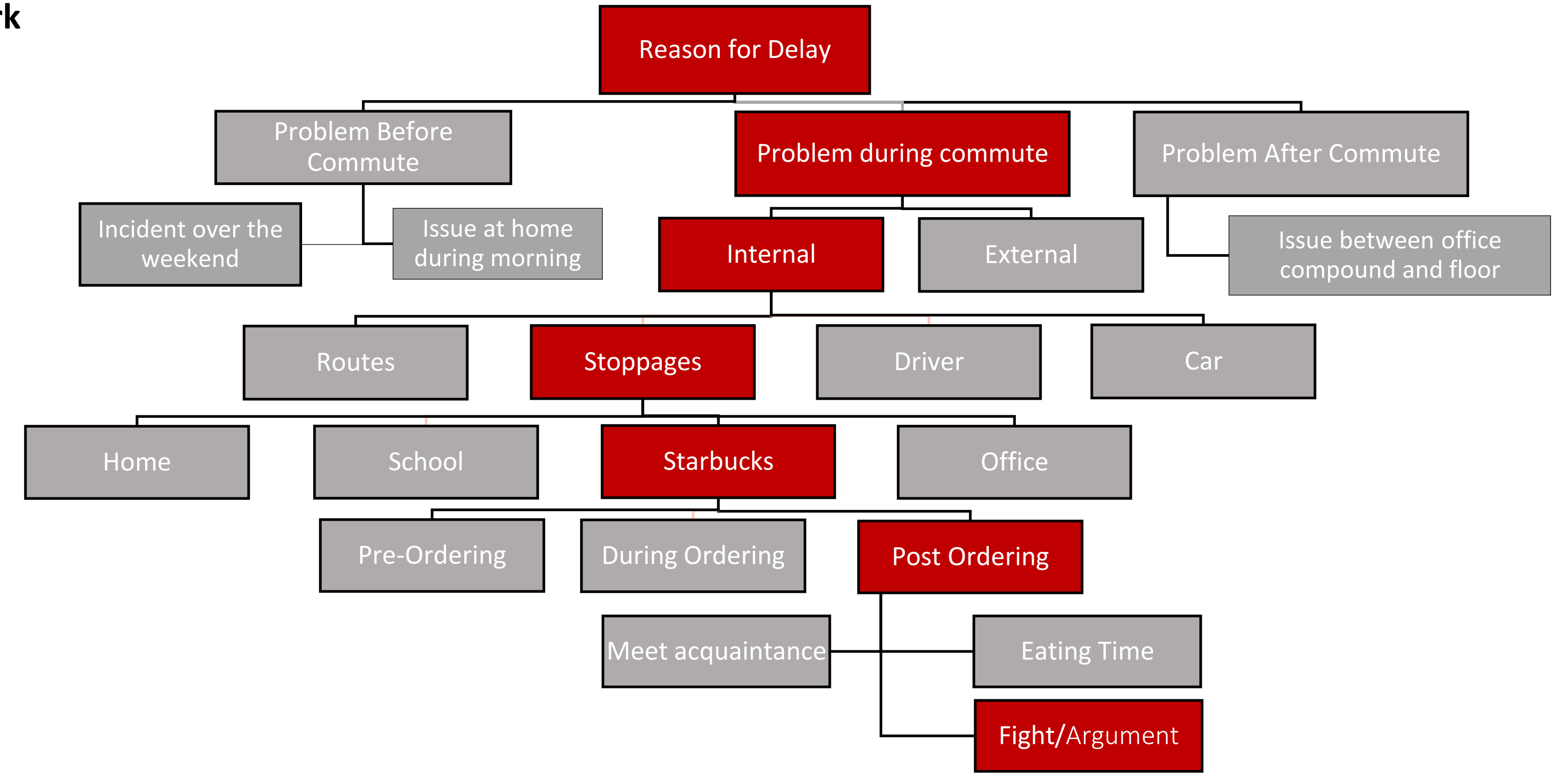
Case Statement

- You are a consultant at a firm. You observe a senior partner running late into the meeting room for a client meeting however usually he is always on time.
- One hour later, another consultant comes up to you and says that did you observe that partner running late into a client meeting.
- Assuming the interviewee is the other consultant, had to take the conversation further as a part of this case.

Interviewee Notes

- Senior partner late for a client meeting, usually on time.
- Comes to office in a chauffeur driven car.
- Recently bought a new car and same driver for the last 6-7 years
- No reports of any external incidents like accident, traffic, road conditioning etc
- Accompanied by daughter in his car, took the same route
- Issue is present in Starbucks as the stopped time increased from 10 mins to 35 mins

Structure/ Framework



Key Takeaways

- The case is unstructured. Given the case had to move forward in a conversational manner, it's important to keep the interviewer engaged and not solve as a typical case where we usually take time to think about things.
- Preliminary question could've included questions such as what the partner does, what is his tenure, who all our present in the family, where does he live, how much distance does he have to cover everyday. But it did not seem particularly important here to the problem.
- Its important to maintain the calm after hearing the problem statement and take hints from the interviewer about the case during the conversation.

Area Sales Manager for a Whiskey Manufacturer

You are the Area Sales Manager for a Whiskey Manufacturer in the Bannerghatta region, managing sales through 200 outlets. Two cartels, A and B, each supply to 100 outlets. Every month, both cartels pitch deals to you. They charge a flat fee upfront and pass all revenue back to the company. Your budget constraint is INR 10 lakhs. Evaluate the two deals and decide which cartel to work with this month.

Thank you for the case. Let me confirm the problem statement: I need to recommend the optimal cartel to partner with, based on the proposed deals, while adhering to the INR 10 lakh budget constraint. Does that sound correct?

Yes, that's right.

Okay. Before diving into the analysis, I have a few preliminary questions. Do we have any data on the past revenue generated by the cartels? Are these cartels exclusively supplying our whiskey, or do they also deal with competitor brands? Should we consider the types of outlets each cartel serves? Additionally, who are our primary customers, and what whiskey brands does our company offer?

Good questions. Unfortunately, we don't have any information about past deals. Details regarding the types of outlets, primary customers, and whether the cartels carry competitor brands are not relevant to this case. The manufacturer offers four whiskey brands, which we'll refer to as B1, B2, B3, and B4

Thank you for the insights. To move ahead, do we have information regarding the prices of each brand and the deals offered by the two cartels?

Yes. Here's the data you'll need for your analysis:

Volume per outlet (in 100s)		
Brands	Cartel A	Cartel B
B1	100	0
B2	20	0
B3	10	10
B4	0	5

Flat Fee per Unit Sale		
Brands	Cartel A	Cartel B
B1	300	300
B2	500	500
B3	600	300
B4	2000	1500

Price	
Brands	Amt.
B1	1000
B2	2000
B3	2500
B4	7500

One last question before I proceed with laying out my approach. What is the margin on each brand?

Why do you think that profit margin on each brand should be considered in choosing the cartel?

As we can see, both cartels procure different volumes of each brand, and there's a good difference in the prices of the brands as well. One of the most important decision parameters would be the net profit (after deducting the flat fee) obtained through the cartels. If the margin on a higher-end brand is significantly higher than on a lower-end brand, we may be better off choosing the cartel with smaller volumes of high-margin brands over large volumes of low-margin brands.

That's correct. Although for this case you can assume the profit on each brand to be equal.

Understood. That means I can now proceed to analyze the total revenue generated through each cartel. I'll use the data provided and walk you through my calculations.

Sure.

Thanks. Here's how I plan to approach this: (a) Calculate the total flat fee charged by each cartel (b) Evaluate the revenue generated per outlet for each cartel (c) Recommend the cartel that maximizes revenue within the budget constraint.

Sounds good, go ahead.

First, I'll calculate the flat fee charged per outlet for each cartel:
Cartel A: (100×300) + (20×500) + (10×600) = INR 46L per outlet
Cartel B: (10×300) + (5×1,500) = INR 10.5L per outlet
Clearly, both are beyond the budget constraint if we consider all 100 outlets. Is there any possibility of negotiating the fees or limiting the number of outlets?

Since Cartel B is only INR 50,000 above your budget, maybe we can negotiate the fee to fit under INR 10 lakhs. For Cartel A, how many outlets could you roughly supply?

If I round off the flat fee per outlet for Cartel A to INR 50L, we would be able to supply to approximately 20 outlets. Let me calculate the total revenue in both scenarios.

Sure.

We get INR 1,65,000 and INR 62,5000 revenue per outlet through Cartels A and B respectively. Given, we are supplying to only 20 outlets through cartel A and 100 outlets through cartel B, the total revenue figure comes out to be INR 33 lakhs from Cartel A and INR 62.50 lakhs from cartel B. Based on the quantitative analysis, Cartel B is the optimal choice. It allows us to serve all 100 outlets, fully utilize the INR 10 lakh budget, and maximize revenue at INR 62.5 lakhs.

Great! Is there anything else that you would like to consider?

Yes. Beyond the numbers, I'd like to evaluate the following: (a) Relationship with Cartels: Trust regarding timely payments and how well they promote and push our brand in the outlets (b) Business Health of Cartels: Their reliability in terms of supply and distribution (c) Future Prospects: Potential for expansion and coverage of additional outlets in the long term.

That's very comprehensive. Would you like to summarize the case for me?

As the Area Sales Manager, I evaluated the deals offered by Cartels A and B for distributing whiskey. Based on the INR 10 lakh budget, I calculated the flat fees, adjusted outlet coverage, and assessed revenue potential. While Cartel A generates INR 33 lakhs from 20 outlets, Cartel B generates INR 62.5 lakhs from 100 outlets. Hence, I recommend partnering with Cartel B, considering both quantitative benefits and qualitative factors like reliability and long-term growth prospects.

Awesome. That wraps up the case. Thank you!

Thank you for the opportunity!

Area Sales Manager for a Whiskey Manufacturer

Unconventional | Challenging | BCG

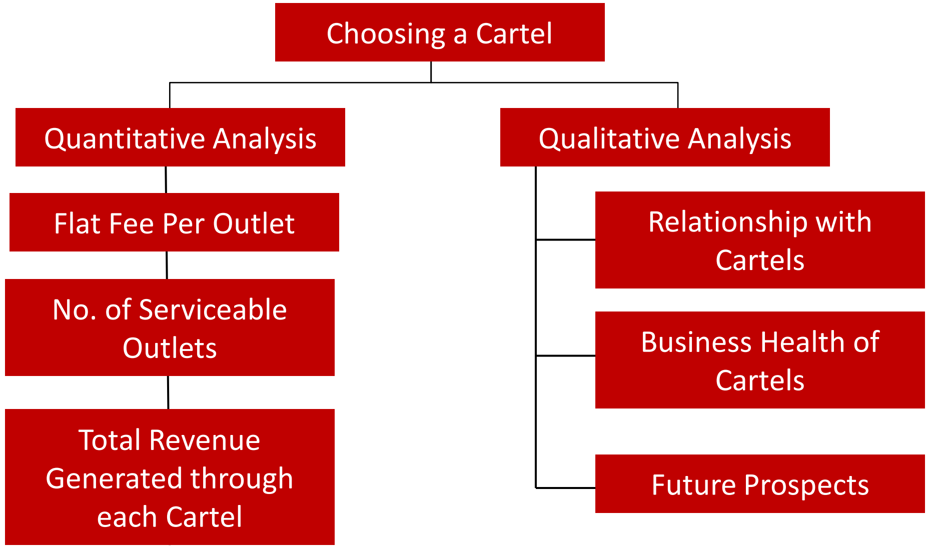
Case Statement

- The Area Sales Manager of a whiskey manufacturer for Bannerghatta.
- To select the most suitable cartel to distribute the whiskey brands effectively.
- To maximize revenue while staying within the budget constraints for flat fees or commissions.

Interviewee Notes

- The client is the Area Sales Manager for Bannerghatta.
- The task is to choose between two cartels for whiskey distribution.
- The objective is to maximize revenue while staying within the budget of ₹10 lakh for flat fees or commissions.
- The manufacturer sells four whiskey brands: B1, B2, B3, and B4.No details are available about past deals, outlet types, or competitor brands carried by the cartels.
- Primary customers and outlet specifics are irrelevant to the case.

Structure/ Framework

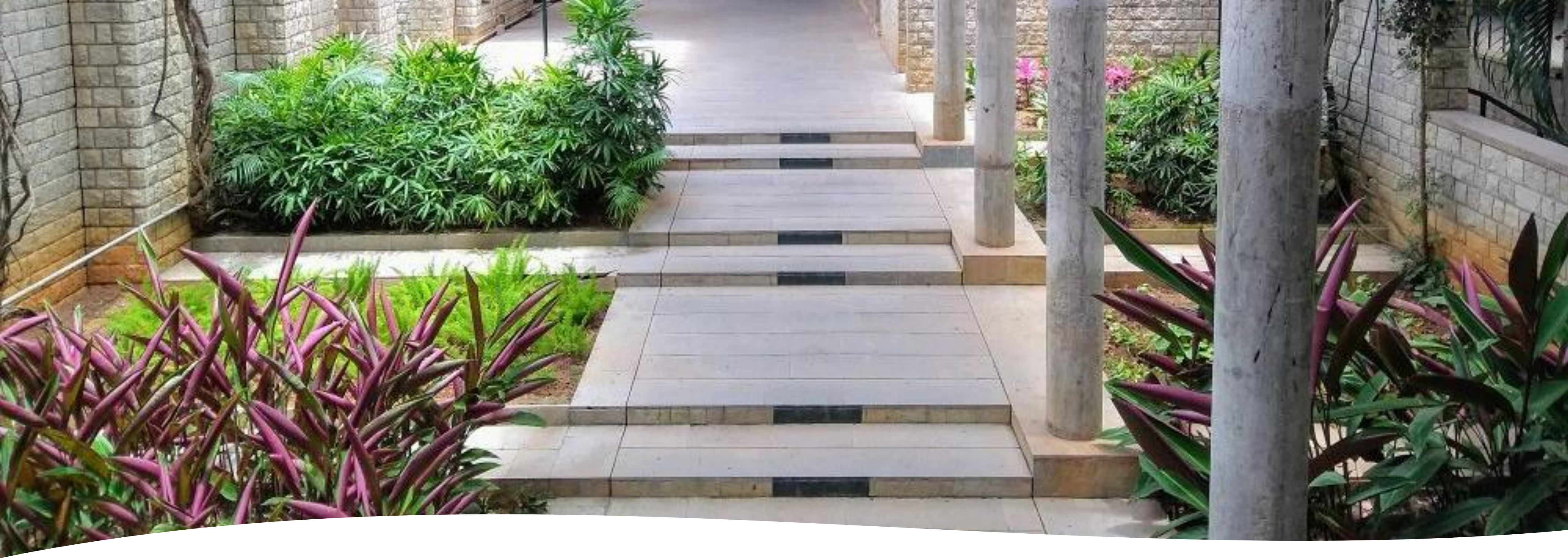


Flat Fee Charged		
Brands	**Cartel A**	**Cartel B**
B1	100*300= 30000	0*300=0
B2	20*500= 10000	0*500=0
B3	10*600= 6000	10*300=3000
B4	0*2000=0	5*1500=7500
Total	46000*100= 46,00,000	10500*100= 10,50,000

Revenue Generated		
Brands	**Cartel A**	**Cartel B**
B1	100*1000= 100000	0*1000=0
B2	20*2000= 40000	0*2000=0
B3	10*2500= 25000	10*2500=25000
B4	0*2000=0	5*7500=37500
Total	165000*20= 33,00,000	62500*100= 62,50,000

Key Takeaways

- The interviewer wouldn't have given the data without the question about the brands.
- Decision-making could have been structured from the beginning by splitting the analysis into quantitative (revenue potential, fees) and qualitative (relationships, stability, and growth prospects) aspects.
- The ability to integrate both types of analysis effectively is key to arriving at the best decision.



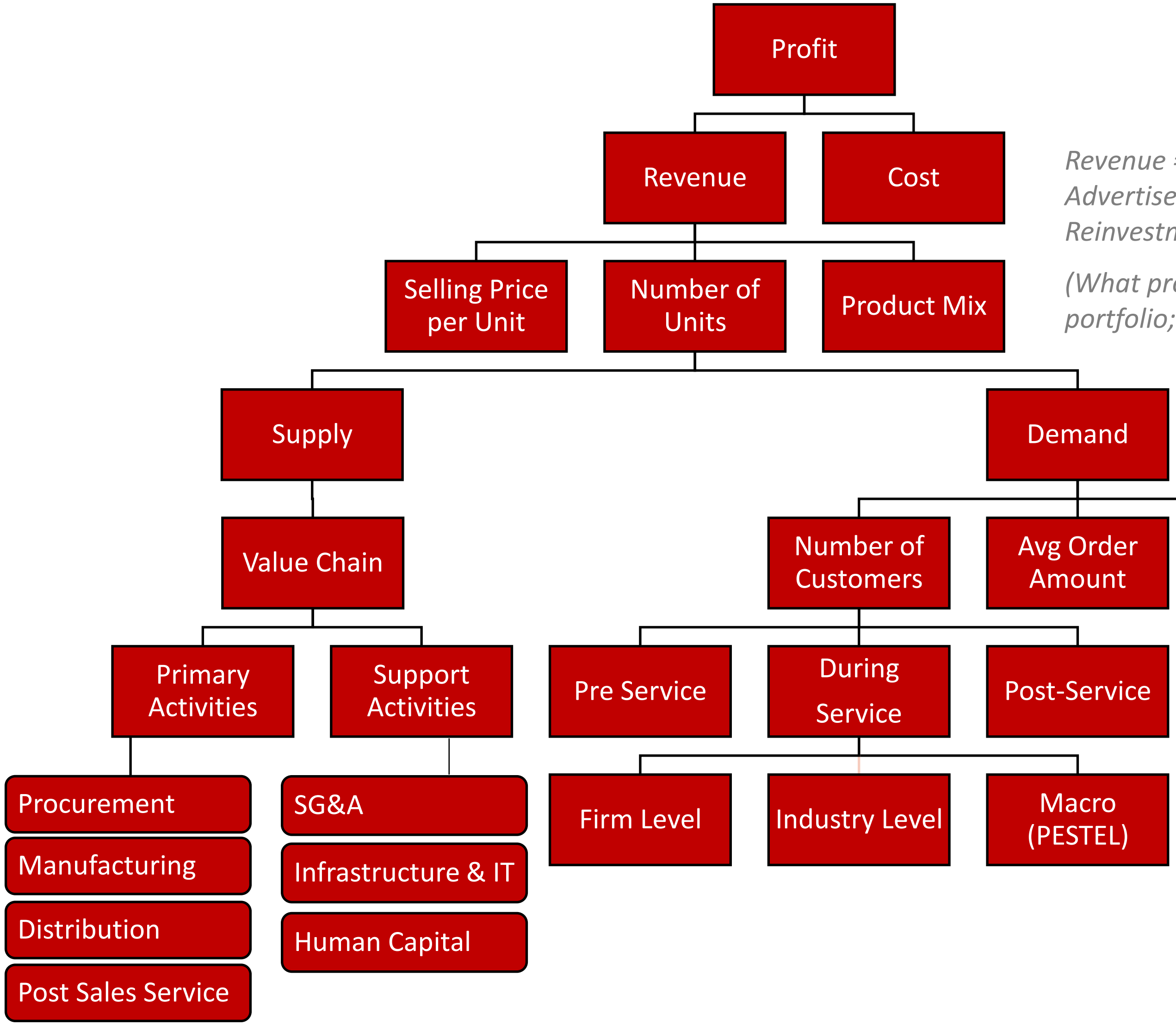
IIMB Profitability Cases 2024-25

Profitability Framework-Revenue

Content Page

Preliminary Questions

- Clarify objective, quantum of change in profit and timeline
- Geography - Location of the firm, its branches
- Business Model – Where does the firm lie in the value chain? What are its revenue streams and distribution channels?
- Understand customer segments
- What is the product mix? Any new differentiation/ change in products?
- What is the competitive landscape?



Revenue = Core & Non-core sources like Advertisement, Parking, VAS, Reinvestment

(What product in the portfolio; apply 80/20)

If relevant, use industry value chain

For a manufacturing firm, use Need, Awareness, Accessibility, Affordability, Customer Experience

Profitability Framework-Cost

Content Page

Cost

Support Activities

- Research and Development
- Financing costs
- Branding and Advertising
- Human Capital (Capacity x Efficiency x Utilization)
- Selling, General & Administrative

Primary Activities

Procuring Raw Materials

- Cost of raw materials
- Transportation & Packaging costs
- # Suppliers x Contract amount; Duration

Manufacturing

- Plant maintenance
- Idle capacity opportunity costs
- Wastage, wear and tear
- Setup time, cost

Distribution and Storage

- Number of distributors x avg order amount x frequency of orders
- Transport & Packaging
- Intermediate Storage
- Distributors x Avg Distance from hub x Cost per km

Post Sales Service

- Number of customers x Frequency of service x cost incurred
- Spare parts, returns, replacements, waste

Biscuit and Bakery Manufacturer

Your client is a biscuit and bakery manufacturer in India. They are facing high product replacements costs in the bakery division. How would you approach this problem?

Got it. Let me start by clarifying the problem and understanding the context better.
- What specific products fall under the bakery division? (e.g., bread, pavs, kulchas, etc.)
- Is the issue of replacements caused by low demand, product quality issues, or supply chain inefficiencies?
- What is the scale of the problem in terms of geography and SKUs affected?

The bakery division includes bread, pavs, and kulchas. The replacements are largely due to expiration before sale. The client operates out of Greater Noida and supplies through distributors and depots across cities like Delhi, Meerut, and Agra.

Thanks for clarifying. Let me outline my approach using a structured framework. I would analyze this problem across the following areas:
- Demand-side analysis: Understanding customer preferences and demand forecasting
- Supply-side analysis: Assessing distribution, storage, and packaging practices
- Product portfolio: Reviewing product range and potential differentiation opportunities
- Competitor benchmarking: Evaluating industry practices to identify improvement areas

Does this approach sound reasonable?

Yes, please proceed.

To start with demand:
- Customer preferences: What does the target customer prioritize in bakery products (e.g., freshness, price, quality)? Are there any customer complaints or feedback highlighting dissatisfaction?
- Demand forecasting: How accurate is the client's current demand estimation process? Are there patterns of overproduction or underproduction for certain SKUs?

Customers value freshness and affordability. The client's demand forecasting needs improvement, as they often overproduce certain SKUs. What are the possible supply issues?

Got it. Improving demand estimation will be a priority. Now, let me shift to the supply side.
- Distribution network: How do products reach the market—through distributors, depots, or direct retail? Are there inefficiencies in transportation or delivery times?
- Storage and packaging: Are there adequate storage facilities to preserve product freshness? Could improved packaging extend the shelf life of products?
- Inventory management: Are there any bottlenecks in inventory management at depots or retail outlets?

The client uses distributors and depots. Transportation times are high, and storage conditions could be improved. Packaging is basic and doesn't help extend shelf life. What are some important product-side factors you would analyze?

Understood. It seems optimizing transportation times and upgrading packaging will significantly reduce replacements. On the product side:
- Current product range: How many SKUs are there, and which ones are most prone to replacements? Are there underperforming products that could be discontinued?
- Product innovation: Is there scope to introduce new baked goods (e.g., patties, puffs) to diversify the portfolio? Has the client explored health-focused products like whole wheat or gluten-free options?

The client focuses on pavs, kulchas, and basic breads. Pavs and kulchas have the highest replacement rates. They haven't explored product innovation yet. What about competitors?

That makes sense. Diversifying the portfolio and focusing on customer-centric innovations could open new revenue streams. Lastly, I'd look at competitor benchmarking.
- Industry standards: Do other players in the industry face similar challenges with replacements? What strategies are they using to reduce replaceability?
- Differentiation: How do competitors differentiate their products? Is it through quality, branding, or distribution efficiency?

Competitors also face similar issues, but some have reduced replacements by improving demand forecasting and introducing better packaging. We can move to the recommendations now.

Short Term:
- Minimize transportation times and improve storage at depots

Biscuit and Bakery Manufacturer

- Enhance demand forecasting to prevent overproduction

Medium term:

- Upgrade packaging to extend product shelf life
- Introduce new SKUs like patties and buns to attract broader customer segments

Long term:

- Invest in R&D to innovate products and extend shelf life
- Explore health-focused or premium baked goods for differentiation.

This is a structured and logical approach. Well done!

Biscuit and Bakery Manufacturer

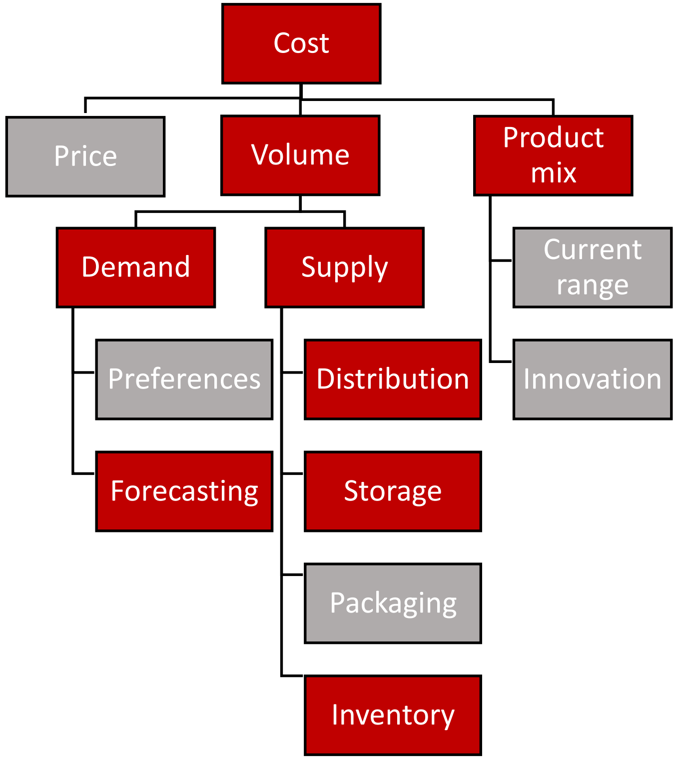
Case Statement

- Your client is a biscuit and bakery manufacturer in India
- They are facing issues in the bakery division. They are having high replacements
- Make a strategy to decrease replaceability in the division

Interviewee Notes

- Client is a biscuit and bakery manufacturing company
- 2 distribution channels: through distributors and depots
- Geography based out of Greater Noida
- Pricing and quality: at par
- Issue in the Indian bakery segment (pavs and kulchas)
- Competition also faces these issues

Structure/ Framework



Key Takeaways

- Focusing on the product journey rather than the customer journey provided clarity in addressing root causes
- Competitors also face similar issues, but better demand forecasting and advanced packaging have helped some reduce replacements. These strategies are replicable

Toffee Manufacturer

Your client is a toffee manufacturer facing a decline in profits. You have been asked to help identify the root cause and provide solutions.

Thank you for the case. Before I dive into the analysis, I'd like to ask a few clarifying questions to understand the context better. Can I know more about the product range and the client's role in the value chain? Where does the client primarily operate? When did the decline begin, and is it an industry-wide issue or specific to the client?

The client manufactures Rs. 1 toffees, similar to Alpenliebe, and operates across India. They handle manufacturing and branding. The decline started six months ago and is observed across the industry.

Understood. I would first like to determine whether the decline in profits is due to reduced revenues, increased costs, or both.

The issue lies in a decline in revenue.

Understood. Since revenue is the product of price and volume, has the price per toffee changed, or has the number of toffees sold decreased?

The price is unchanged, but the number of toffees sold has decreased.

A decrease in the number of toffees sold could be due to either a decrease in demand or a supply-side issue. Do we have any data suggesting which of these is the problem?

The issue is on the demand side

Understood. I'd like to segment demand by sales channels—local kirana stores, supermarkets, e-commerce, and quick commerce. Is this segmentation appropriate.

Yes, good approach. The demand drop is concentrated in local kirana stores.

Interesting. I'd now analyze the problem from two perspectives. First, the seller side, focusing on what might be reducing kirana stores' willingness to stock or sell toffees. Second, the buyer side, looking at what factors could be reducing customer purchases at these stores.

Start with the seller side.

A potential reason for the seller's reduced willingness could be a decline in margins, increased input cost, lack of demand. Could this be the case here?

Yes, due to inflation, manufacturing costs have increased. Because of intense competition in the market, the client is unable to increase the price of the product, which has led to a further decline in margins. Now, let's move on to the buyer side of the issue.

Understood. Now, moving to the buyer side, Since this is an industry-wide phenomenon, could it be that the overall need for the product has decreased ? For example, have consumer preferences shifted away from toffees in favour of other substitutes ?

No, there is no data suggesting a decline in the overall need for the product.

Thank you for clarifying. I'd like to analyze the issue using the customer journey framework. I'd start by examining **visibility**—whether the toffees are prominently displayed and catching the customer's attention at Kirana stores. Next, I'd consider the **ease of access**, ensuring that customers can readily obtain the product without any inconvenience. Lastly, I'd assess **payment convenience**, exploring if there are any barriers in the payment process that might discourage purchases. Are there any specific challenges in these areas?

The issue is with payment convenience.

I see. Post-COVID, there has been a significant shift towards digital payments like UPI, which has reduced the reliance on cash transactions. Earlier, toffees were often used as a substitute for small change in cash payments, but with the rise in UPI, this use case might have diminished. Could this be the underlying reason for the demand drop?

Good. That's exactly the issue. Let's now discuss potential solutions.

The client can incentivize kirana stores by offering higher margins or volume-based bonuses to encourage stocking. Product visibility can be enhanced through creative POS displays, such as small dispensers near cash counters. Toffees can be repositioned as on-the-go snacks or low-cost energy boosters, supported by targeted advertising campaigns.

Launching ₹5 or ₹10 premium variants can help tap into different price segments, while family packs can diversify revenue by targeting larger consumption occasions. Collaborations with UPI providers can include bundled offers or gamified rewards like cashback on toffee purchases. Partnerships with schools or local events can be explored to distribute toffees as giveaways, increasing brand recall. Additionally, introducing eco-friendly or innovative packaging can align the product with sustainability trends, attracting environmentally-conscious consumers.

These are good ideas. We can close the case now.

Toffee Manufacturer

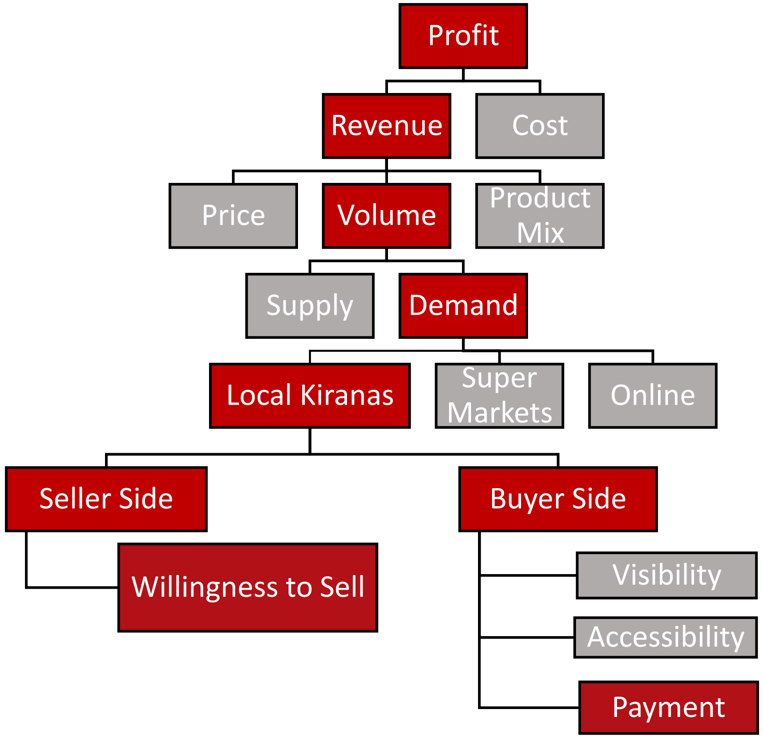
Case Statement

- Your client is a toffee manufacturer facing a decline in profits. The company operates in the Rs. 1 toffee segment, competing with two other players of similar size in the Indian market.
- The client seeks your help to identify the root causes and suggest ways to improve profits.

Interviewee Notes

- Profit decline is driven by decreased sales, not pricing changes, and is an industry-wide problem rather than client-specific.
- Sales decline is concentrated in Kirana stores, as reduced margins discourage stocking, while supermarkets and e-commerce remain less affected.
- Inflation has raised manufacturing costs, but competitive pressures prevent price hikes. Additionally, UPI payments reduce the demand for toffees as small-change substitutes, impacting sales.

Structure/ Framework



Key Takeaways

- Demand issue can be structured in terms of final sources of distribution or as seller side and buyer not just in terms of value chain.
- MECE at all possible steps and get confirmation from the interviewer on the approach, for example the approach on buyer side (visibility, accessibility, payments).

Electronics Manufacturer

Profitability | Moderate | Kearney

Your client is a electronics manufacturer who is facing a decline in profit since few years

Thank you for the case, before we begin the discussion, I would like to ask few preliminary questions. Could you give me a bit more understanding on what the client does, where does it lie in the value chain? Also what are the SKUs and where is the factory located?

They manufacturers devices such as headphones. The factory is located in a village near Maharashtra. They manufacturer electronics devices and supply them to distributors and retailers. They source their majority of their raw materials from suppliers abroad

How does the competitive landscape looks like? What are the market share of all major players? Is the trend of declining profitability only specific to a client?

There are 3 major players in the market with ~30% market share each. Although the decrease in profitability has been specific to a client and is not a industry wide trend

Thanks for the information. I will proceed with the analysis keeping all of this in mind. Since we know profits have declined, the drop can be due to a decrease in revenue, an increase in costs, or a combination of both. Do we have any data for this?

The revenue has dropped, and some of the costs have also increased significantly. Let's begin with the revenue aspect first

Understood. Revenue can be broken down as: *No. of units × Price × Product mix*. Do we know that there has any changes in the any of the components?

Based on the discussion with the client, the number of units sold has declined

I would like to divide it into 2 buckets - supply side problem and demand side problem. Do we know what might be the issue with the client?

Demand has been steady, but we are struggling to produce enough to meet it

To analyze the supply side issues, we can break down the problem into 4 broad factors – man issues like skills of the workforce, efficiency, machine issues like down time, maintenance and efficiency, method issues like technology deployed, inefficiencies in the process of production and material issues like quality of raw material, availability etc.

Yes, the down time of the machines has been the bottleneck as they only running for about 6 hours a day due to frequent power outages

Power outages can significantly affect production. Do they have any power backup sources?

No, we don't. We rely entirely on the electricity grid. Let's turn to the cost side now.

Sounds good. We can start by looking at the client's value chain. This includes raw material procurement, manufacturing, packaging, storage, transport, and distributor and retailer handling. Do we have any data that suggest changes in any of these components?

Raw material costs have increased significantly with all other factors has been constant

Increase in the raw material can be attributed to internal and external factors. Internal factors such as change in current prices and quantity of material of existing suppliers, switching to new suppliers etc. External factors include changes in the macro level factors

There has been no changes in the internal factors, could you expand on the macro factors

Macro factors can be broken into political like changes in government policies, global crisis, environmental like changes in raw material procurement due to the potential environment impact, social like shifts in public sentiment towards ethical sourcing can push manufacturers to adopt sustainable practices, technological like advancements in materials, economic like global economic slowdown and legal like changes in laws, compliances etc.

Due to the red sea crisis, client is unable to ship materials by sea and must airlift them instead, which is far more expensive. Other competing players are sourcing completely local. Could you now provide recommendations for both the identified issue?

For improving the running time of machine, in the short term, we can install a diesel generator to restore production capacity. In the long term, we can liaison with the government to improve the electricity supply in the area. For reducing the raw material cost, in the short term we should negotiate bulk discounts with air freight. In the long term, we should explore local sourcing avenues to reduce the dependency on red sea routes

Sounds good. Great job, we can wrap up the case here. Thank you.

Electronics Manufacturer

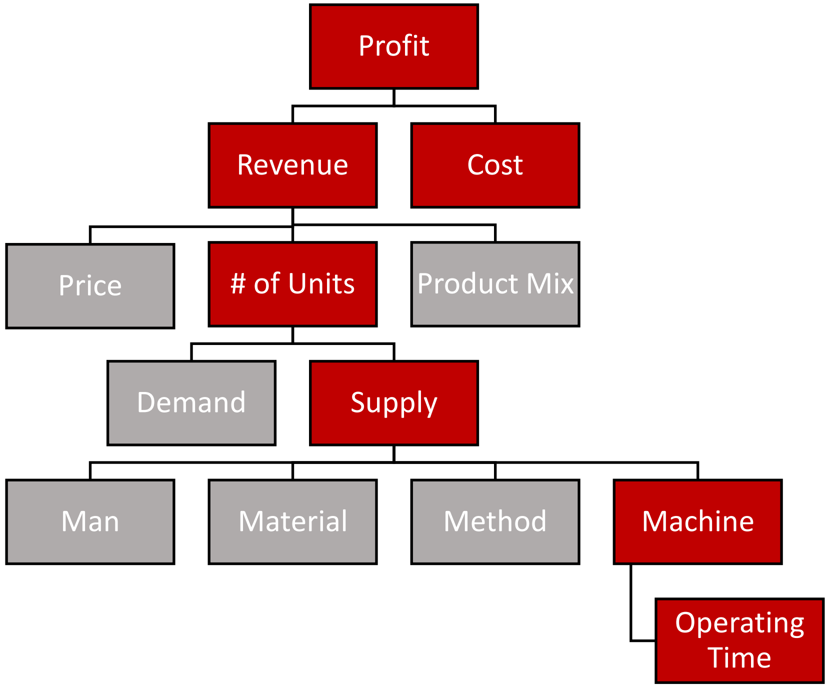
Case Statement

- The client is a Electronics manufacturer who is facing a decline in profit since few years
- They have approached us to analyze reasons for the decline and understand what is going on and provide recommendations for the same

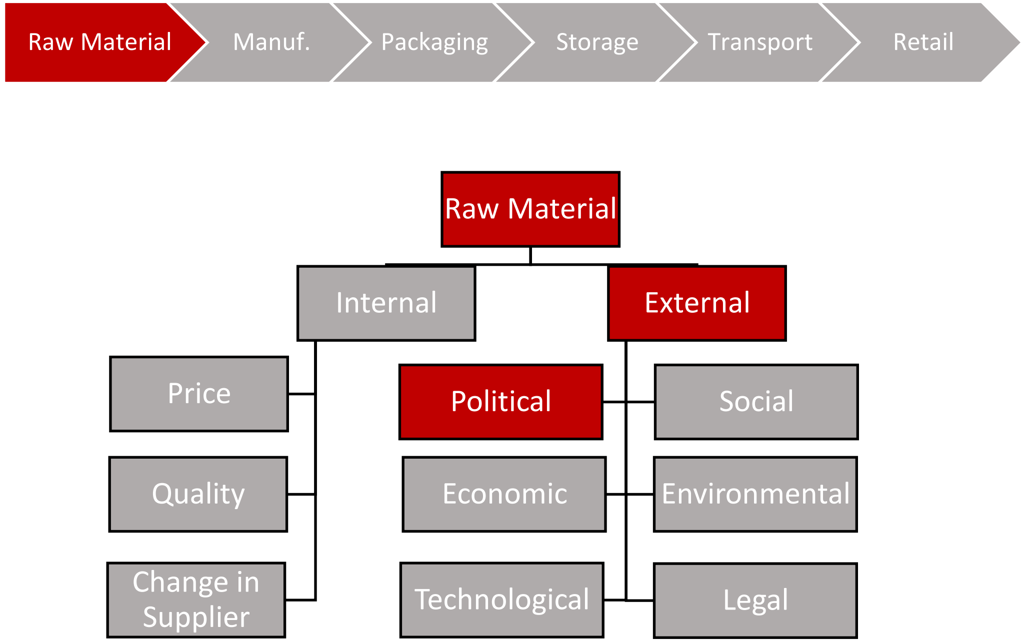
Interviewee Notes

- Electronics manufacturer, manufacturers product like headphones etc.
- Factory is located in a village near Maharashtra
- Manufacturers electronics devices and supply them to distributors and retailers
- Sources majority of their raw materials from suppliers abroad
- 3 major players with ~30% market share, although it's a client specific issue

Structure/ Framework



Value Chain



Key Takeaways

- In the cases of profitability where revenue as well costs are affected, it is important to keep the pace in the interview to cover both aspects
- For supply side problem, we can also look at the operational supply chain to identify the reasons, although 4M framework is also pretty effective
- Internal reasons (which are within control) and external reasons (which are not within control) can be utilized to provide structure till the last step

Your client is a brush manufacturer based out of Korea and it is facing decline in profitability since 12 months. They have hired you to identify the reason and provide recommendations.

Thank you for the case. Before we start the discussion, I wanted to ask a few preliminary questions. What type of brush does our client manufacture? What are the different sales channels? Who are the primary customers for our client? Also, where is it present in the value chain and what is the competitive positioning of the client?

Our client manufactures a single type of paint brush in Korea, which is used in creating a special Japanese art. The brush is sold offline and the entire value chain from manufacturing to the distribution is handled by our client. As it is a niche market, our client is the only player and the brush is only bought by artists in Japan.

Understood, I think I have all the required information. I will break down profit into revenue and cost. Since we know profits have declined, the drop can be due to a decrease in revenue, an increase in costs, or a combination of both. Do we have any data for this?

The client has seen a decrease in revenue as well as an increase in cost. But let's start with the revenue aspect first then we can deep dive into the cost aspect

Okay sure, revenue can be represented as *# of brushes sold/customer * # of customers * avg price of brush*. Does the client have some data which suggest that there has been a change in any of these factors?

# of brushes sold/customer have seen a decline.

The decline in # of brushes sold/customer can be contributed to either a decline in demand or an issue with the supply of the brushes. The decline in demand can be further due to internal reasons which can be controlled like customer journey or external reasons. The issues with the supply can be attributed to some disruption in the operational chain. Does our client have some data which can suggest as to which of these factors should we look at?

As you have correctly identified, the issue is with the demand of the brushes. Since 1 year the demand has been decreasing and it is not because of internal reasons.

Okay, The external reasons can be bucketed into four broad reasons - macro factors, influence of substitutes like other types of equipment used for painting, complements like paints and competition like increased marketing spend etc. Macro factors can be broken into political like changes in government policies or ideology , environmental like decline in practice of the artform due to the potential environment impact of the waste generated in the process, social decline in interest of people toward the art, technological like changes in the artform is conducted, economic like decrease in income of artists and legal like changes in laws. Do we have any data to support, if any of these is a reason.

As you correctly identified, there has been an increase in the price of paint used in the art which coupled with decrease in income of artists has led to a low demand for the brushes. Can you identify what can be the reasons for the decrease in income of the artists?

So. artist in general earn their income by selling the art to the tourists or rich/government personnel depending on the rarity of the art. Aside from this, if an artist has become famous, they can earn money through showcasing or auctioning their art pieces. Do we have any information on what is the source of income for the artists buying our brushes?

There are only 80 artists in the Japan who practice the mentioned art form, and thus majorly sell their paintings to government for a preset price through tender. From past 2 years the government has not increased the price of the art pieces thus the revenue generated by the artists have remained same, but the cost keep on increasing.

Understood, that sounds interesting. Would you like me to look at the cost now?

In the interest of time let's leave the cost part. Please come up with recommendations

I would like to split my recommendations on short term and long term. In short term, we can write a plea to government on behalf of artists, if not already done by artists to revise the prices for the art. Additionally, we can try to reduce the prices of our brush to maximize *volume * price*. In long term, we can increase our product mix based on our capabilities. We can explore newer geographies as well for the new brushes.

Thank You. Let's close the case now.

Brush Manufacturer

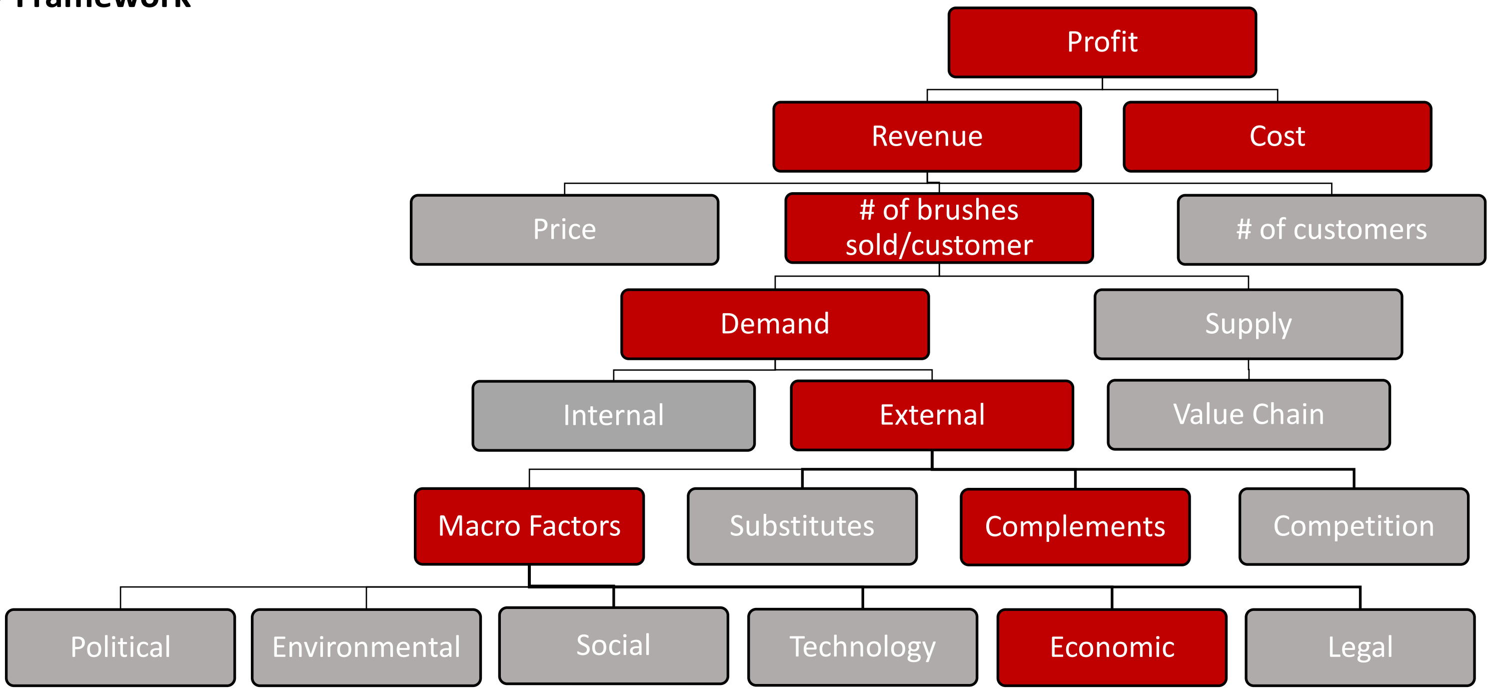
Case Statement

- Your client is a brush manufacturer based out of Korea, and it is facing decline in profitability for the last 1 year
- They have approached us to analyze reasons for the decline and provide recommendations to address the identified reasons

Interviewee Notes

- Client is based out of Korea, manufactures only single type of brush
- Decline in profitability is observed since the last 12 months
- Niche market, the client is the only player, and the brush is only bought by artists in Japan
- The brush is sold offline and the entire value chain from manufacturing to distribution is handled by the client
- No competitor

Structure/ Framework



Key Takeaways

- When looking at demand try looking from perspective of factors which can be controlled (internal) and which can't be controlled (external).
- External reasons are not specific to the company but industry in general. These can resolved by liaising with other players in the industry
- Change in the price of complementary product can also impact the revenue of your product. Paint is a necessary complementary product for the brush and the increase in it's price can impact the revenue of the brush.

Your client is the owner of a Shopping Mall and is observing a surge in revenue for the last 2 months. They want to know the reasons and if they can sustain this in the long term.

Thank you for the case I would like to learn more about the client before jumping into my analysis How many malls does the client own, and what is their location? Is the problem specific to a particular branch or any specific region?

It is only one mall in Bengaluru and that is facing the issue.

Do we know anything about the competitive landscape? Are competitors facing anything similar?

Our client is the leading player in that neighborhood and there are about 2-3 malls, but no one else is facing such case.

Okay The major sources of revenue for any shopping mall typically include advertising, rentals, events, profit-sharing with businesses, and leasing common areas Additionally, if they own shops, theaters, or food courts within the mall, those could also be revenue sources Am I missing anything? Are we seeing a specific area of growth?

You are right but I think you’re missing something.

Yes, I think I missed parking which is also a major source of revenue.

That’s right The client is observing an increase in profits for both advertising and parking.

Great, I'll first start by analyzing parking revenues, which can be broadly examined through supply and demand I'll look from both sides Does that sound fair?

Yes, you may proceed.

From a supply perspective, it can be broken down as (Number of Slots Provided) × (Occupancy Rate) × (Vehicle Mix) × (Ticket Price) From a demand perspective, it would be (Number of Customers Visiting the Mall) × (% of Customers Visiting with Vehicles) × (% Who Park in Our Space) × (Vehicle Mix) × (Ticket Price) Are we seeing an increase in any of these areas ?

Our supply remains the same The no of customers who park in our space has gone up Everything else is same.

Interesting, I can think of a few internal and external reasons that might be causing this Internally, it can be improved management, enhanced experience, parking discounts or better accessibility like opening more entry gates Externally, there might be any closure of parking spaces nearby, reducing the alternatives.

Yes, you have correctly identified the issue. There has been a new construction happening in a nearby open space which forced our customers to park in the mall spaces.

Great, let me analyze the advertising revenue now It can be bifurcated into Digital ads and Physical Ads like hoardings, kiosks, etc. Have we observed an increase in any of the above ?

Correct, the client has been increasingly shifting from physical ads to digital ads in the recent months How do we calculate the revenue from digital ads ?

Digital ad revenue can be calculated as (Number of Digital Screens) × (Ads per Screen) × (Occupancy Rate) × (Fee per Ad) × (Ad Mix) This offers higher revenue potential as the client can house multiple advertisers per screen.

You're right. The client wants to know the recommendations to sustain these profits.

The sustainability of these profits depends on leveraging current trends Parking revenue is tied to nearby construction, likely to persist short-term Long-term retention will require enhanced experiences or loyalty programs Sustaining digital ad revenues will require optimizing the ad mix, increasing screen utilization, and attracting diverse advertisers to maintain high occupancy rates.

Well done, we can close the case now.

Shopping Mall

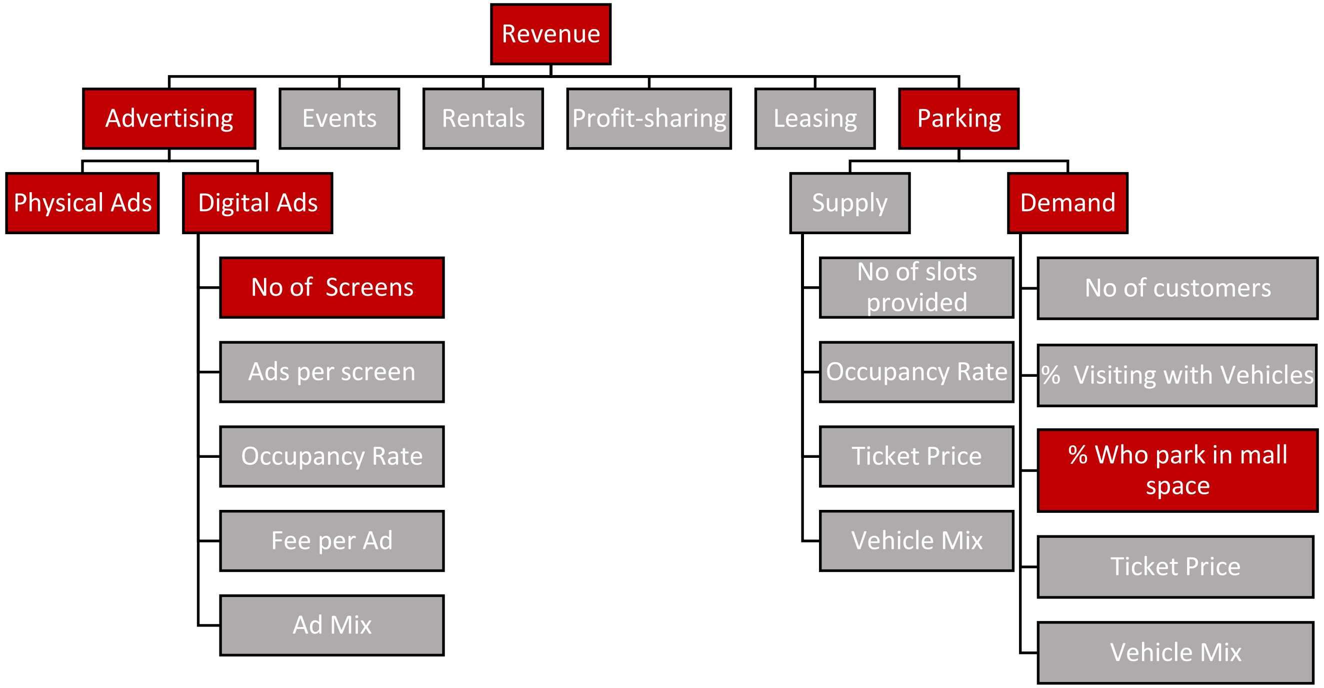
Case Statement

- Your client is the owner of a Shopping Mall and is observing a surge in revenue for the last 2 months.
- They want to know the reasons and if they can sustain this in the long term

Interviewee Notes

- The client owns a single mall in Bengaluru and has seen a profit surge over the last two months.
- Competitors remain unaffected, with profits driven by parking and advertising revenue.
- Parking revenue increased due to constant supply and higher demand from nearby construction reducing alternative parking spaces.
- Advertising revenue rose with the shift to digital ads, enabling multiple advertisers per screen.

Structure/ Framework



Key Takeaways

- This case is slightly different where revenues are increasing. Identify the sources of revenue and breakdown into equations to have an exhaustive view
- Analyze internal and external factors driving revenue growth and assess sustainability with targeted recommendations

Your client is the health ministry of Delhi government, it started the Mohalla clinic initiative seven years back, however, it has not been able to achieve the success it envisioned, you have been hired to determine potential causes and suggest relevant recommendations.

Thank you for sharing the problem statement. Before I delve into the problem, may I ask few preliminary questions about the same?

Sure, please proceed.

I would first like to start by confirming what Mohalla clinics are, as per my understanding these are small primary healthcare clinics located across Delhi, further I would also like to understand how do the authorities define success of this program.

Yes, you are right Mohalla clinics are community-based primary healthcare centers providing free medical services, established with the aim to make basic healthcare affordable to all irrespective of their economic standing. Success of these clinics is defined by the number of patients visiting them which is currently less than what they had targeted.

Thanks, that's helpful, further I would also like to know the number of clinics currently operational across the city and can you also clarify if the private clinics are also facing similar issue.

Currently, there are 400 clinics spread across Delhi and the problem seems to be limited just to the Mohalla clinics rest of the industry is doing fine.

Sure, reduced footfall can either be a supply side issue i.e., number of clinics are relatively less as compared to the actual demand or the average number of patients a clinic is able to serve is less than the number of patient willing to visit the clinic, however, given the current number of clinics that doesn't seem like an issue. So, my guess is the demand for these clinics is lower than what the government had anticipated.

You are right the issue lies on the demand side; can you think of some possible reason for the same.

I would like to start by breaking down an average patient's journey into three categories: pre diagnosis, during diagnosis and post diagnosis, I'll then evaluate key factors under each category which might impact the overall demand. During pre diagnosis we can evaluate change in preferences, lack of awareness regarding the clinics and weak accessibility. For during diagnosis, we'll look at avg. TAT, avg. waiting time, quality of both doctors and the helping staff, infrastructural issues, issues with equipment and diagnosis tests. And, lastly for post diagnosis we can consider availability of medicines prescribed, accuracy of the diagnosis and overall effectiveness of the diagnosis. Is there any bucket that you want me to explore further?

No, this is comprehensive. Our analysis suggests that the issue lies in the during diagnosis stage primarily related to the diagnostic tests prescribed to the patients, Currently, almost 50% of these clinics have tie up with a single Diagnostic lab.

Sure, to have a better understanding about the potential cause, I'll map out the entire patient journey from contacting the diagnostic lab to final report collection. It is possible that either the patient are not able to receive the booking due to higher backlog or their preferred mode of sample collection is not offered (i.e. at home collection), it is also possible that there might be some problem with the accuracy of the results, the patients might have to wait longer than average for the final reports and lastly, there could also be issues with the availability of reports i.e. mode of collection offered offline, online or both

The problem lies with collection of report, currently the lab only offers physical pickup which not only demotivates people from future consultations, given the extra travel involved but also hampers follow up visits as most patients fail to collect their reports on a timely basis. Can you suggest relevant recommendations.

Yes, I'll break down my recommendations into short-term and long-term initiatives. In the short run the government can install a reminder mechanism, they can also hire dedicated employees or tie up with postal services to have these reports delivered at each individual clinic so its relatively easier for patients to collect these reports and ensure follow up diagnosis. In the long-run they can explore partnership with other labs and revamp the current system to make reports available both online and via SMS/messages.

Mohalla Clinic

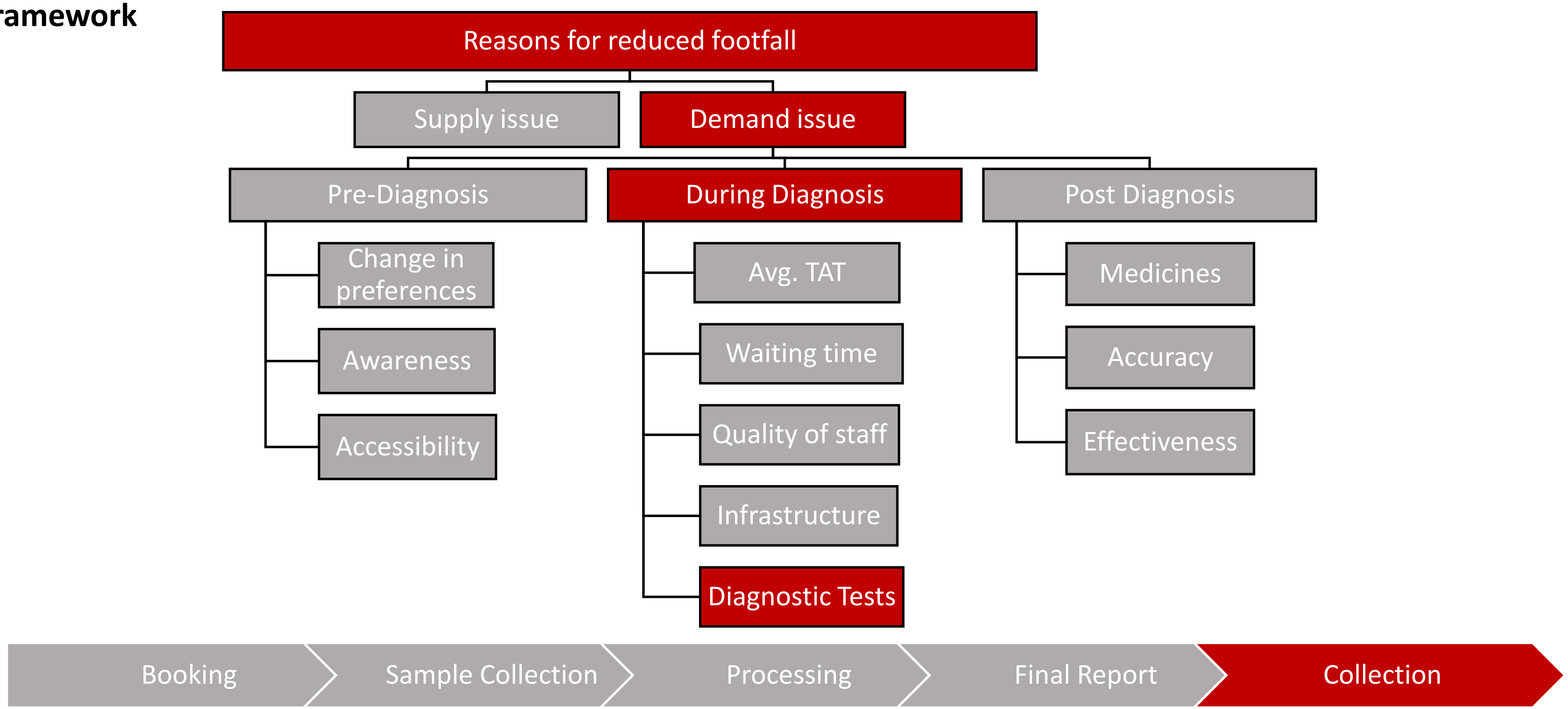
Case Statement

- Client is health ministry of Delhi government, it started the Mohalla clinic initiative seven years back, however, it has not been able to achieve the success it envisioned
- Identify determine potential cause and suggest relevant recommendations.

Interviewee Notes

- No fixed target segment
- Main objective is to make primary healthcare accessible to all
- An average clinic offers consultations, medicines, and diagnostic tests
- Other clinics were not facing this issue
- 400 clinics across Delhi
- 50% patients referred to a single diagnostic lab

Structure/ Framework



Key Takeaways

- The initial clarifying question of how the client defines success of Mohalla clinic helped provide initial direction to the case
- Important to break down customer journey and understand the exact reason where the problem persists
- Give short-term and long-term recommendations, each addressing the core causes

Your client is a vernier caliper manufacturing company. They are facing declining revenues since past 3 months. Help them out!

Thank you for sharing the problem statement. Before delving into the case, I have a few preliminary questions in mind. Can you help me understand what do you mean by vernier caliper?

A Vernier calliper is a precision measuring instrument used to measure the dimensions of objects with high accuracy. It consists of a main scale and a sliding Vernier scale, allowing measurements to be made with great precision—typically to a fraction of a millimetre?

Thank you for sharing that. Now I would like to understand more about the context of our client. What part of value chain are they operating in? What is the competitive scenario in this industry, are other players also facing declining revenues? What is the product mix? What geography do they sell in?

They operate pan-India but most of the revenue comes from western India. They have just one product, which is the vernier caliper. Our client is the market leader and there are three other competitors in this space who are not facing any issues. Our client is just into manufacturing. They sell it to distributors and retailers who forward sell it to customers. They have multiple manufacturing plants, one in each of the 4 parts of India – West, East, North and South.

So, is there any geography where we are facing this issue?

The decline is only in Western India.

Are there any differentiating factors for our products with respect to the competitors? Also has there been any recent changes in the product features?

There are no differentiating factors as well as no change in product features were made.

I have enough information on the case and will structure it now. So, revenue for our client will be a function of *number of calipers sold * price per caliper * frequency of purchase*. Do we understand what might be the issue with our client?

The number of vernier caliper sold have gone down.

I would like to divide it into 2 buckets - supply side problem and demand side problem. Do we know what might be the issue with the client?

So, there is no problem with the supply side. The demand for our calipers have gone down.

The customer journey is divided into three stages: Pre-purchase, Purchase, and Post-purchase. In the Pre-purchase stage, key factors include Need, Affordability, Availability, Accessibility, and Acceptability. The Purchase stage covers the entire process, from the customer visiting the shop and requesting a Vernier caliper to receiving the product and completing payment. The Post-purchase stage focuses on addressing warranty issues, returns and resolving accuracy problems with Vernier calipers which might have impacted revenues over the last three months.

This is extensive, so the problem lies with the post purchase part. We have been facing a lot of returns due to poor accuracy of the instrument, which is giving inaccurate readings to the customers.

We need to analyze the high return rates by investigating several potential root causes. First, we should assess whether any recent product design changes may have introduced quality issues. Second, it's important to examine our supply chain to identify any quality concerns, such as inconsistencies or defects in raw materials. Third, we need to evaluate if any manufacturing inefficiencies have arisen in the past three months that could be contributing to product defects. Finally, we should consider whether the sensitive nature of the equipment, such as the Vernier caliper frame, is leading to damage during transit. Understanding the specific cause of these issues will help us determine where the problem lies with the client.

Can you deep dive into the manufacturing bucket?

In terms of manufacturing problems, I categorize them into three main areas: human issues, process inefficiencies, and raw material concerns. For human issues, there can be decline in the skill quality of the workers manufacturing the Vernier calipers.

Vernier Caliper

Regarding process inefficiencies, we can examine factors that may have emerged in the past three months, which could have affected process capabilities and led to inaccurate readings for the end customer. For raw material concerns, we can investigate whether there has been a reduction in the quality of materials used, as Vernier calipers are made from temperature-sensitive materials. If there has been any issue with raw material quality, we can assess its impact on the manufacturing process and the final product.

You've correctly identified that the problem lies in process inefficiencies. During our factory visit, we found that construction work on the floor above our client's operations is causing heavy vibrations, which are being transmitted to the machines. These vibrations are impacting the overall process capability, leading to the production of defective products. Now that we've pinpointed the root cause, could you suggest some quick recommendations to address this issue?

Given that this construction issue may persist for the next few months, I can think of a few short-term recommendations. First, the client could consider adjusting shift timings to avoid overlapping with the construction activities, thereby minimizing exposure to the vibrations. Second, installing rubber pads or vibration insulators on the machines, if feasible, could help absorb the vibrations, reducing variability in the manufacturing process. Third, to prevent defective products from reaching customers, they could implement a pre-dispatch inspection process, ensuring only products with accurate readings are sent out. Using a master calibrator for this inspection would help maintain quality standards and protect the brand's reputation as a market leader in quality. These are the recommendations I'm considering for now.

Thank you, these are some amazing recommendations! We can close the case here.

Vernier Caliper

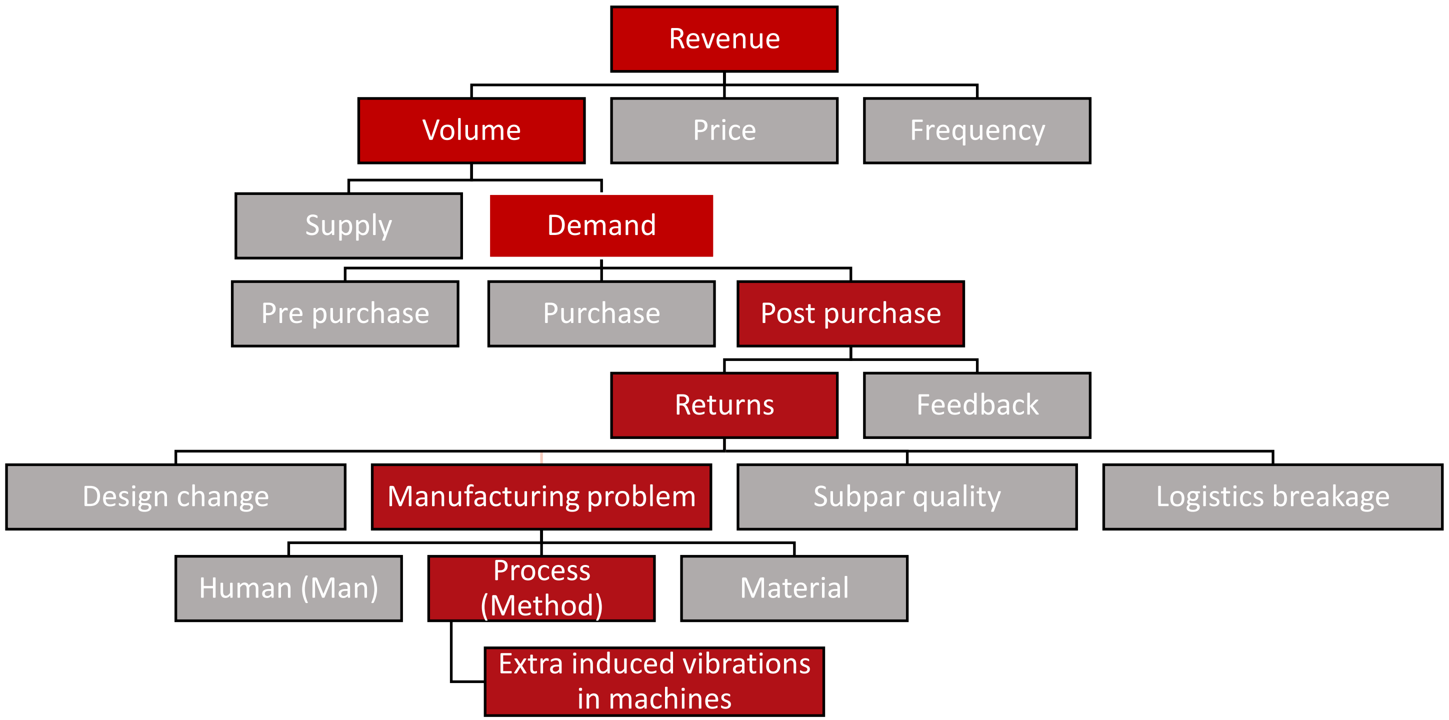
Case Statement

- The client is a vernier caliper manufacturing company. There are facing declining revenues since past 3 months.
- They have approached us to analyze reasons for the decline and understand what is going on and provide recommendations for the same

Interviewee Notes

- Operate Pan India but majority of revenue comes from Western India where the decline is concentrated
- Client is the market leader and there are three other competitors.
- They manufacture and sell it to distributors and retailers who forward sell it to customers.
- They have 4 manufacturing plants in India
- There is no differentiating factor and no recent changes in product features were made

Structure/ Framework



Key Takeaways

- Since it's a different type of product and industry, it is important to ask questions that clarifies the description of the product and the industry
- Customer journey can be used to break down the problem and important to eliminate the options before we deep dive into one of the directions
- Important to apply structuring till the last step, understanding of manufacturing process and within the plant was key to identify the root cause

Your client is a grocery retail chain owner facing declining profits. You have been hired to identify the reason and recommend solution.

This appears to be an interesting case. I have few preliminary questions in mind before I begin the analysis. Can I proceed ahead with the questions?

Sure, Go on.

Is it fair to assume that the client is similar to grocery chains like DMart? Also, I would like to understand the quantum of decline and the time since when we are observing this.

Yes, the client is similar to DMart. We have observed a 5-10% decline in profits in the last 6 months.

I would also like to know whether the client has a pan India presence and the total number of stores it has. Also, is the profit decline witnessed across all the stores or is it limited to specific stores?

Good Question! The client operates across India, and it has 50+ stores. However, the issue is observed in a particular store.

Interesting! I would like to analyze the reason for the decline in profits of this branch by breaking down the profits into two components - Revenue and Cost.

You can focus on the revenue side. We have observed a decline in revenue.

Sure. I would like to analyze the revenue of different product categories. Have we observed a decline across all categories or is it limited to some categories only?

Good Question! Can you come up with a list of product categories first?

Sure. The major product categories are Grocery & Staples, Dairy, Fruits & Vegetables, Home & Personal Care, Home appliances, Apparels.

Okay, we know that the revenue has been declining for Fruits & Vegetables category. Other categories are doing fine.

The revenues could decline due to change in the pricing strategy or a decline in the volume. But given that the pricing strategy is standardized throughout the branches and the issue is only existent in this particular branch, we can rule that out. Is it safe to assume that our volumes have gone down?

Good observation! Our volumes have indeed gone down.

Now, I would like to understand whether there has been supply side issues which has led to low volumes or is it a demand side issue?

You can focus on demand side issues. We are not facing any supply side challenges.

Sure, I would like to analyze the customer journey by breaking down into pre-purchase, during purchase and post purchase. Does that sound good?

That's good. Please proceed.

Pre-purchase includes awareness, availability, accessibility and affordability. Since the pricing and supply have not changed, affordability and availability does not seem to be an issue. Do we have information on the awareness and accessibility?

The accessibility of fruits & vegetables has increased, in fact, due to rearrangement of the store. You can consider there has been no change in awareness.

Interesting! Now I would like to analyze during purchase phase. I will break it down into 4 steps. First the customer checks the price of the product and compares with the price in the market. Second, he checks the quality. If these two are fine, then the customer would be willing to purchase. He then uses the plastic bags to fill the product. Now, it is possible that the size of the plastic bags has been reduced so that the customer is not able to fill the required amount in one bag and as a result he buys a lesser quantity. Finally, the customer will make the payment. Have we observed any issues in any of these steps.

Interesting points! There has been an issue with the price display. It is very cumbersome to change the prices displayed on the fruits & vegetables. So, they are updated very infrequently and as a result there are often significant differences between the price displayed and the market price of the product. Could you come up with recommendations to address this issue.

Sure, I would like to break the recommendations into short-term and long-term. In the short term, we can use white boards and write the prices of fruits & vegetables. In the long run, we can install electronic displays so that the prices can be easily updated daily. Also, I would look at what our other stores are doing as they are not encountering this issue.

Great! We followed a similar approach. We can close the case now. Thank You.

Grocery Retail Chain

Profitability | **Moderate** | **Kearney**

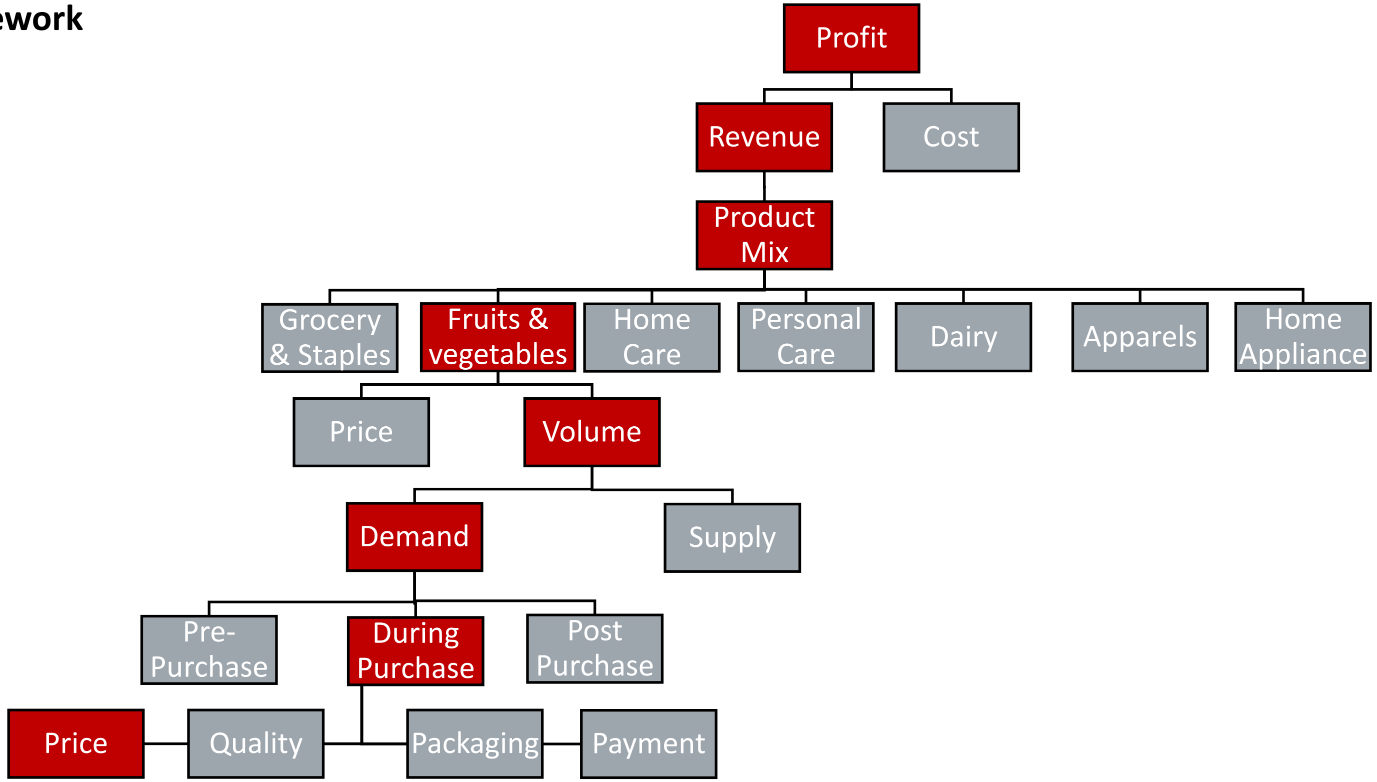
Case Statement

- Client is a grocery retail chain owner and facing declining profits
- They have approached us to analyze reasons for the decline and understand what is going on and provide recommendations for the same

Interviewee Notes

- Grocery chain operational pan India. 50+ stores.
- 5-10% decline in profits observed over past 6 months.
- Problem pertaining to a particular store.
- Revenue has gone down.
- Only Fruits & Vegetables category impacted.
- Volumes have gone down. Demand side issue.
- Customer journey analysis. Issue with price display.

Structure/ Framework



Key Takeaways

- Ask relevant preliminary questions to understand the client and narrow down the scope of the problem.
- Do not forget to consider product mix while breaking down revenue.
- analyze the customer journey for demand side issues.
- Break down recommendations into short term and long term.

Commercial Bank

Our client is a major commercial bank based out of India facing declining profits since last few quarters. You have been approached to find the problem and suggest the solutions.

Sure sir, so the key problem for our client is declining profits and I need to focus on finding out the problem and suggest recommendations. Is there any other objective I need to keep in mind?

No, go ahead.

I'll start with a few clarifying questions. Where is our client located? Is the problem specific to a particular branch or any specific region in India?

Our client is present across India and the problem is being identified in the financials of the company, not specific to any specific branch.

I would also like to know more about the competitive scenario of the commercial banking industry. How many competitors are there and are they also facing the same issue?

Our client is one of the leaders in the business and there are about 3-4 competitors, but they are not facing any such problem.

Regarding the customers, as per my knowledge, the major customers are the retail customers and corporates. Am I missing something and what are the customer split for our client?

No, you have correctly identified the customers. For our client, the split is around 80% retail customers and 20% corporates.

How much have the profits declined by? And for how long has the client been experiencing this decline.

The exact value is not available with us, but the value is significant enough to ring an alarm in the top management. They are facing the issue since last couple of years.

Alright, since the issue is with declining profitability, we can say that revenues might have decreased, or cost might have increased, or it may be a combination of both. So, do we have any data to show in which bracket does our problem lies?

So, there is an interesting trend. The revenue and cost both have increased.

Ok, so the rise of revenue should be less than the rise of cost. So, we will be analysing both the revenue and the cost side to find out the problem.

Yes, go ahead.

First, analysing the revenue side, the major sources of revenues are interest on loans, Investments, and income from other complementary services.

Correctly identified on all revenue sources, for our case we can ignore the income from complementary services and 70% of income is from interest from loans and focus on that only.

So, the income from interest depends on the number of customers, avg. loan size, interest rate, and time. Is there any change in any of these attributes?

The number of customers increased massively. As a result of which the average revenue and cost per customer decreased.

Now I would like to try and find the reason behind increase in the number of customers

Great approach, go ahead.

So, there might be some increase in the demand from customer's side to take loans or there must be an increase in supply from our client's side.

Demand for loan was always there but our client expanded recently and opened more branches especially in rural areas.

So, expanding in rural areas decreases the average loan size per customers so decreasing the average revenue per customers.

Greatly analyzed the revenue side, go ahead.

Now we will investigate the cost side. The major cost heads are interest, provisioning, and operating costs.

Great, you identified all cost heads. The interest rate is at par with industry standards.

Ok, so the problem may be with the bad debts as they have expanded to rural customers massively and the operation costs might have increased due to the expansion.

Currently bad debt is not a problem. You may focus into the operation costs.

The major sub heads under operation expenses are employee cost, rent and utilities, stationery and postages and maintenance costs.

Yes, correctly identified, the newly hired employees are not efficient as expected. Go ahead with the suggestions.

So, I would like to divide my recommendations into short term and long term. In short term, we may provide training to new employees, new employees should be tagged to an old employee for guidance and old employees should be also posted in newly opened branches on rotation basis. Our client should try to diversify their customer mix by focussing on more and more clients from corporates. In long term, focus on digital transformation that will reduce the time required for customer service. Our client may also try to bring wealthy NRI customers by providing them good services. Our client can merge few of their branches if they are closely located.

Thank you. These are great recommendations.

Commercial Bank

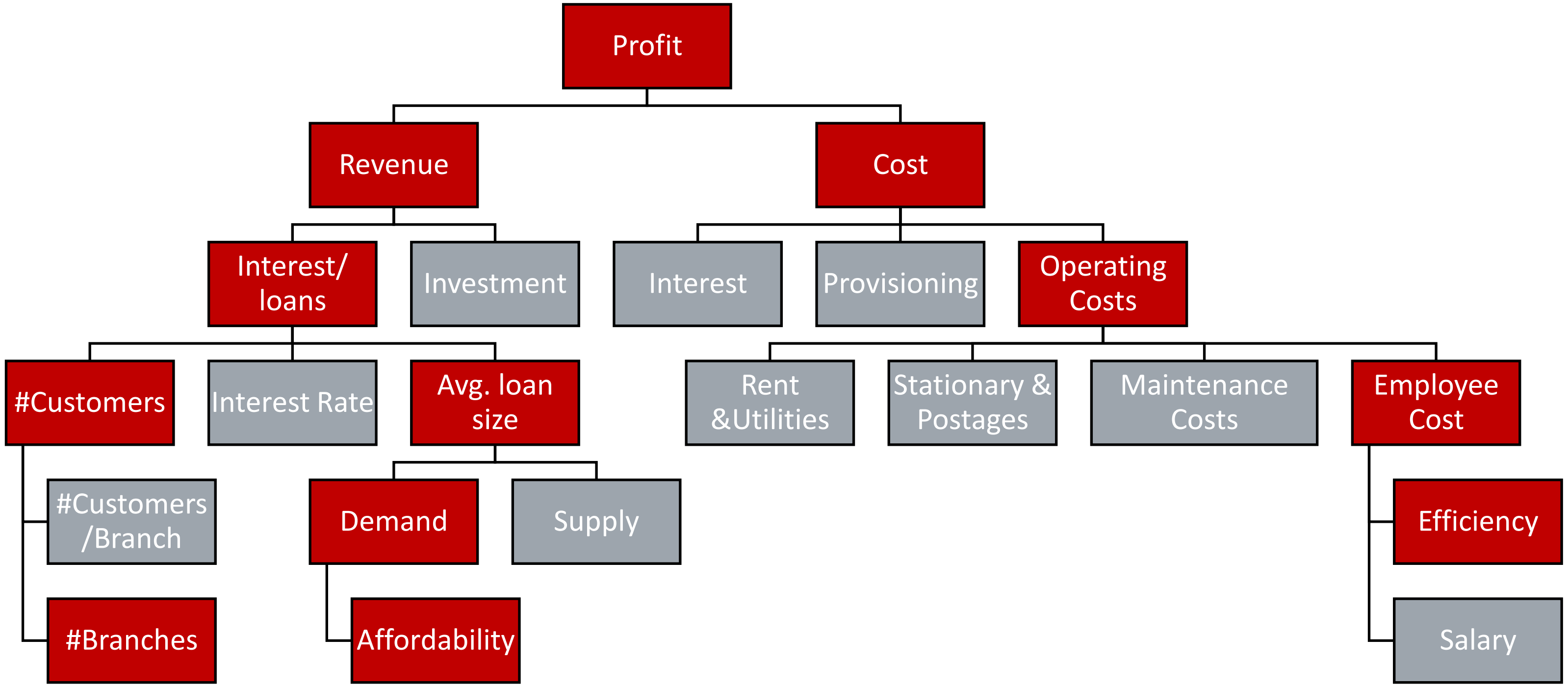
Case Statement

- Our client is a major commercial bank based out of India facing decline profits since last few quarters.
- You have been approached to find the problem and suggest the solutions.

Interviewee Notes

- Pan India based problem since last few quarters
- One of the market leaders in commercial banking, 3-4 other players, but they are not facing the problem
- Both revenue and cost increased
- Average revenue and cost per customer decreased
- Rural area expansions leading to massive increase in low-income segment customers
- Issues Identified:
  - Less efficient employees were hired
  - Cost are growing more than the revenues because of the expansion

Structure/ Framework



Key Takeaways

- Used Profitability framework, cost and revenue both sided problem
- analyze the revenue and cost heads properly and try to include every possible options
- In recommendation, the data given by the interviewer during the initial phase of the case shows the awareness of the interviewee
- Try to give recommendation not limited to the problems identified

ATM Fee Payout

Our client, a large public sector bank, is experiencing a decline in their ATM fee revenue. Please analyze the reasons for this decrease.

This seems like an interesting case. I would like to know a bit more about the bank and what exactly do we mean by fee payout. Can I ask a few questions to understand the context?

Sure, go ahead.

To clarify, are we considering this as a typical public sector bank that operates ATMs across India? By "fee payout," do we mean the revenue generated from ATM fees? Additionally, could you provide information on the extent of the decline and the duration of this issue? Is this problem unique to our bank, or is it affecting the industry as a whole?

The client operates across major metros in India. Fee payout is the revenue earned when customers of other banks come to our bank's ATM. The client has seen a decline of around Rs. 100 Cr. in the last 2 years. How do you think other banks would be performing? What would your opinion be on the transaction fee?

Since, we know fee payout is earned when customers migrate their ATM usage,
Fee payout = (No. of client ATMs * external customer withdrawals * % transaction fee/cut) – (No. of competing ATMs * client customer withdrawals * % transaction fee/cut)
Now, assuming it's a zero-sum game, if the client's fee payout is decreasing, by default the other banks would see an increase in their fee payout.

That's correct. Other banks have been doing quite well.

Since, we know fee payout = f (No. of ATMs, quantum of withdrawals, transaction fee), we might 1) have lesser ATMs, 2) the client's customers might be migrating to other bank ATMs or they might see a decrease in external withdrawals, and 3) lastly there might be disparity in the % cut. Do we have any data to decide which factor to proceed with?

The client has 12,000 ATMs pan India, whereas the industry standard is 21,000 ATMs pan India. I would also like you to look at the quantum of withdrawals now.

Total withdrawal = No. of customers * withdrawal per customer. Either we have seen a drop in number of customers using our ATMs, or a drop in the withdrawal per customer, or both. Do you want me to focus on any one in particular?

You can proceed with number of customers. The client has seen more and more increase in their customers withdrawing from other competing bank ATMs.

Here, I would like to look at the customer journey, while using the client's ATM. It includes 1) Awareness about the ATM including marketing efforts, connection to app, 2) Accessibility to ATM including location, operating hours, number of machines free for use, etc., 3) Affordability, i.e., any disparity in ATM charges, and 4) User experience would include ease of use, processing time, money availability, denomination, paper quality, etc.

Our client has noticed that the operating hours of our machines are lower than those of others due to an increase in hardware downtime. What do you think could be the reasons?

An increase in hardware downtime may result from several factors, including the age of the machines leading to longer outage times, delays in repairs and resets due to the ATMs not being in prime locations, the high complexity of repairs requiring more time, or productivity issues among the repair engineers. Do we have any information on whether the client owns these ATMs or if they are outsourced to a third party?

The client owns the ATM machines, their machines are old leading to more frequent outages and higher complexity problems. Why don't you proceed with recommendations.

I would like to divide my recommendations into short term and long term:
Short term:
1) Replace older machines with newer ones
2) Set up more ATMs, starting with prime locations, and high-density population areas, in a phased manner to reach industry standard

Long term: Word of mouth marketing, and campaigns surrounding safety of use at night, accessibility, etc. to restore their brand image

Sounds great, thank you!

ATM Fee Payout

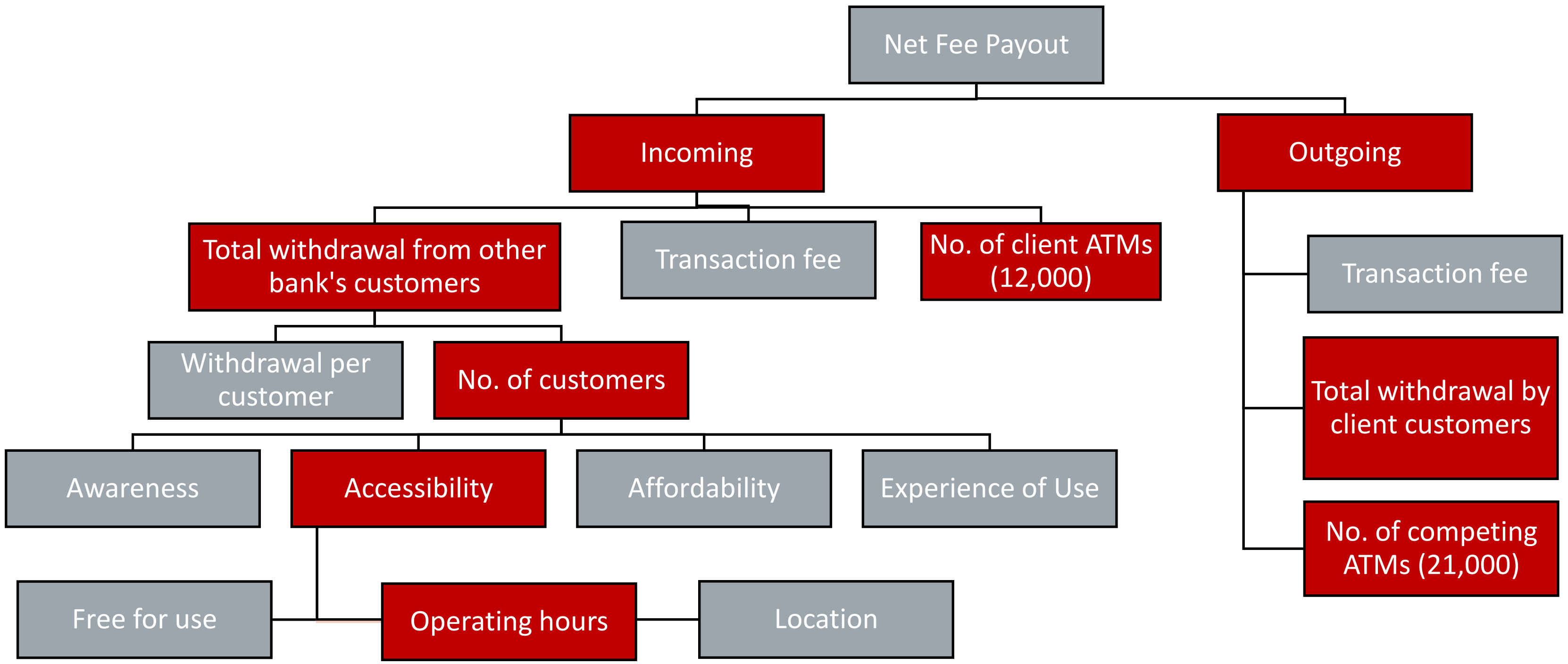
Case Statement

- Your client is a large public sector bank. They are facing a decline in their ATM fee payout
- They have hired you to analyze the reasons and provide recommendations for the same

Interviewee Notes

- Understand fee payout and break it down into an equation
- Look at customer journey to find the root cause
- Don't rule out the possibility of it being a supply side issue, like money denomination availability etc.

Structure/ Framework



Key Takeaways

- Understanding and structuring problem statement as a function or equation of different components, this was appreciated by the interviewer
- MECE at every point , feel free to ask follow up questions to understand more e.g. Ownership of ATMs
- Give short-term and long-term recommendations, each addressing the core causes

Apparel Manufacturing Company

Your client is an apparel manufacturer facing profitability issues. Analyze the problem and recommend solutions.

Thank you for the case. To start, I'd like to ask a few preliminary questions to better understand the situation. Is that alright?

Sure, go ahead.

Could you provide more details about the company's position in the value chain? Does it focus on manufacturing, retailing, or both?

The company operates in both manufacturing and retail. We sell through our own stores and also partner with third-party retailers.

Understood. What's the geographic scope of the business? Is it national or regional?

We primarily operate in North India.

Great, thank you. What product categories does the company offer? I assume apparel, but what specific categories are we focusing on? Is the profitability issue affecting all product categories, or is it more specific to one?

Initially, we focused on jeans, but we've recently expanded into tops, shirts, and other upper wear. The issue is general, affecting the entire product range.

I see. Is the problem internal to the company, or does it reflect a broader industry trend?

It seems to be company-specific, not a widespread industry issue.

How long has this problem been affecting the company?

It has been ongoing for the last 6-8 months

Okay. To summarize, our client is an apparel manufacturer operating in North India with its own and branded stores. The company offers a range of products, including jeans, tops, shirts, and upper wear. The profitability issue is affecting all product categories and has been ongoing for the past 6-8 months. Is that correct?

Yes, that's correct. You may begin now.

Thank you for confirming. Now, since profitability is a function of both revenue and costs, we should first explore where the problem lies. Do we have any information on which side, revenue or cost, we are facing the problem?

Our client is seeing a decline in revenue. Can you analyse the reason?

Revenue is shaped by three main factors: price, units sold, and product mix. Can you pinpoint which of these is causing issues?

The main issue is with the volume of units sold.

Since the key issue is the decline in units sold, let's break this down into demand-side and supply-side factors. On the demand side, if customer demand has decreased, we need to understand why. On the supply side, we should evaluate whether there are internal constraints impacting our ability to produce. Does that approach sound good?

Yes, the problem seems to be primarily demand-side.

Understood. To further diagnose the issue, I'm considering analyzing the customer journey across three stages: pre-purchase, during purchase, and post-purchase. Could you share any insights into where we might be seeing issues in these stages?

Why don't you walk me through each stage and tell me where you think the challenges lie?

Sure, let's start with the pre-purchase stage. This typically involves customer need, awareness, accessibility, and affordability. These factors drive initial customer interest. Should I dive deeper into each of these, or would you like to move on to the next stage?

Let's move on to the next stage

In the during-purchase stage, we focus on product design, quality, customer service, store layout, and the overall shopping experience. Should I list more factors, or do you want to focus on any particular one?

Customers are not liking the design. What do you think could be the underlying cause?

Given the fast-moving fashion industry, it seems that the core issue is the company's inability to quickly identify and respond to current fashion trends. Even when trends are identified, the company struggles to meet demand quickly enough. This delay causes customers to turn to competitors who can adapt faster.

That makes sense. Do you think analytics can help solve this problem?

Yes, I believe analytics can play a key role. To identify early trend patterns, we should analyze historical sales data by product categories (jeans, shirts, tops) to uncover demand cycles and emerging preferences, like a potential surge in shirt sales. This will help forecast future demand and align inventory and marketing strategies. Recognizing inflection points allows for quick adjustments to capitalize on opportunities or mitigate risks. Additionally, monitoring fashion influencers and platforms like Instagram and TikTok will help us stay ahead of trends. Does the company have the resources to consistently track these platforms?

We haven't been leveraging these platforms as much as we could. Would you recommend dedicating resources to monitoring them?

Yes, I think it would be very beneficial. We could set up a team or invest in tools to track social media trends. Real-time insights from platforms like Instagram and TikTok would allow us to spot trends early and align our designs with market demand more quickly.

Any other method?

Another avenue is leveraging cross-platform insights from e-commerce. Online platforms often feature trending products and customer recommendations. By analyzing these trends, we can adapt our designs and align more closely with shifting consumer preferences. Are we currently making use of insights from e-commerce platforms?

Not as much as we could be. That sounds like a promising area to explore. Now how would you measure the success of these efforts?

Success can be measured through KPIs such as increased sales volume, particularly in underperforming categories, a rise in market share from better design and trend alignment, positive customer feedback, faster inventory turnover, and revenue growth driven by accurate demand forecasting and trend responsiveness

Great, I think this covers everything.

Apparel Manufacturing Company

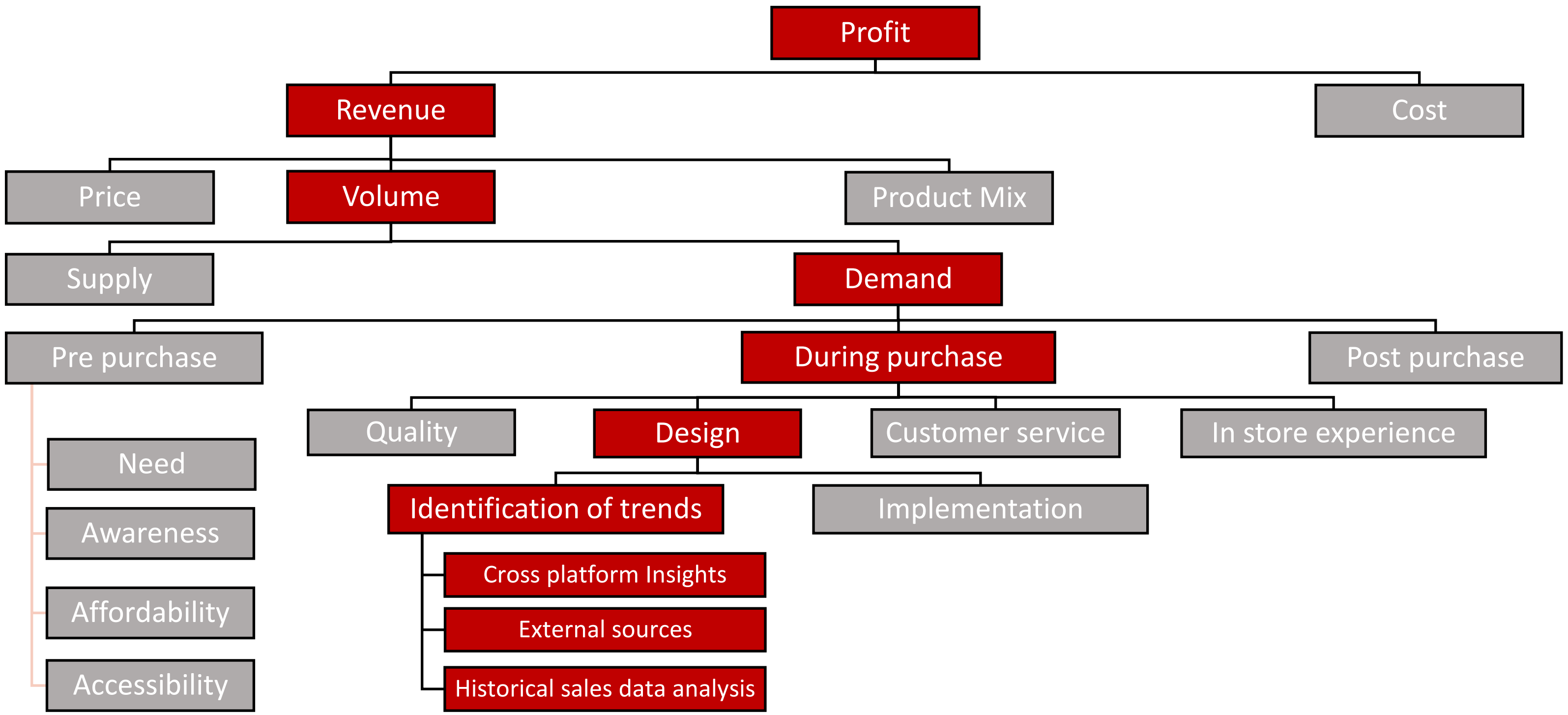
Case Statement

- Client is an apparel manufacturer facing profitability issues
- They have hired you to analyze the reasons and provide recommendations for the same

Interviewee Notes

- Client is involved in both manufacturing and retailing
- The problem is being faced across all the categories
- Competitors are not affected
- Problem is being faced from 6-8 months only
- Focus on fast fashion industry segment
- No of units sold have declined
- Use of analytics knowledge

Structure/ Framework



Key Takeaways

- Used the profitability framework – volume and price breakdown of revenues, then doing a supply and demand side breakdown
- Interviewers may sometimes ask for your thought process and rationale, be prepared for that
- Knowledge of fast fashion industry helped

Restaurant Chain Venture

Your client is the CEO of a Restaurant Chain. There are 3 restaurants and only 1 of them is doing well in terms of Profitability and Revenue as compared to the other two. Identify the possible reasons and provide solutions for the same.

Thank you for the case. I would like to understand more about the client. Where are the restaurants based in?

All the restaurants are based in Mumbai. 2 of them are in BKC and 1 in Colaba High Street.

May I know which restaurants are facing the reduction in profitability?

So, one restaurant in BKC is doing great. Other 2 are facing the issue. For the time being, you may only consider the reduction in profits in other BKC restaurant.

Thank you for the information. Can you please tell the type of restaurants in BKC and what kind of cuisines they offer to them?

So, both the restaurants offer food and alcohol. The profit-making restaurant has Italian cuisine whereas the other restaurant serves Thai cuisine.

This is helpful. Are the other similar restaurants in these areas facing any reduction in revenues? Also, how much has the revenue decreased and for how long?

The other restaurant chains in the area are not facing any challenges in terms of profitability. The Thai restaurant of our client has been seeing the decline in revenue for last 3 years since its inception and around 30% revenue has decreased over the years.

Okay. I think I have all the information to proceed in solving the case. Since revenues have gone down, I would like to break down the revenue into Price, No. of customers and product mix. Is there information on any disparity in any of these?

So, the number of customers have decreased over the years.

What is the percentage of old and new customers coming to the restaurant? Are we facing the reduction in new or old customers?

The new customers comprise of 30% of the customers. Their numbers have slightly decreased but the major decrease is in the old customers.

To understand the reason for the reduction of old customers, I would like to understand the customer journey into 3 segments – Before, during and after using the facilities of restaurant. Any part of the journey where the client is facing an issue?

You can deep dive more into the aspects of the when the customer is in the restaurant.

Okay, so we can break down the restaurant in 3 more buckets – Before placing the order, Placing for the order and Paying the bill after the meal is over.

Sure, go ahead and give points for all these aspects.

Before placing the order, the customer focuses mostly on Ambience, Comfort, occupancy rate of the restaurant, food prices. Next, while placing the order the staff service and the waiting time can be the major reasons. Lastly, while paying the bill the payment issues can be the reason. Is there any information which is the major contributing factor?

The waiting time for food has increased for the customers.

Okay, we can break-down the same into internal and external factors w.r.t to kitchen. The internal factors can be Kitchen staff, cooking time, raw materials, unavailability of food. The external factors can be related to waiter staff and menu issues.

This is very comprehensive. The problem lies in the kitchen staff. So, the 2 restaurants of the client are using the same kitchen. Since the demand of Italian food is more, the Thai restaurant is getting affected. Can you suggest some recommendations for the same?

So, I would like to break-down the suggestions into short-term and long-term. In short-term, we can have clear demarcation of Italian and Thai cuisines and dedicated cooking staff. In long-term, we can increase the size of the kitchen and buy new land if the restaurants expand in the future.

Thank you. Good job!

Restaurant Chain Venture

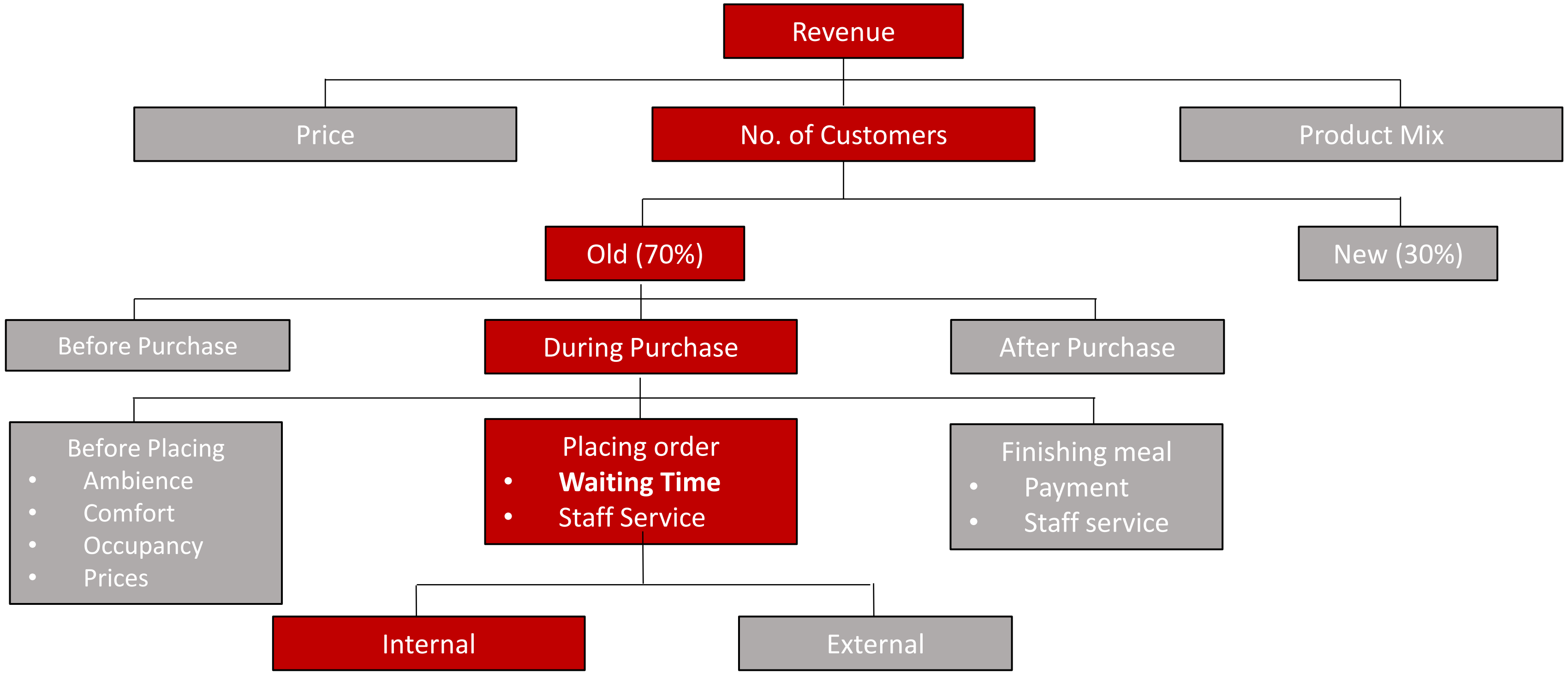
Case Statement

- Your client is the CEO of a Restaurant Chain. There are 3 restaurants and only 1 of them is doing well in terms of profitability and revenue as compared to the other two.
- Identify the possible reasons and provide solutions for the same

Interviewee Notes

- Details about the client and the industry
- Only 1 restaurant to be considered in the case.
- 30% revenue decrease from 3 years since inception
- Restaurants situated in BKC, Mumbai
- One is Italian restaurant and other is Thai restaurant
- Price levels are similar for both
- Customer journey analysis for churn in old customers

Structure/ Framework



Key Takeaways

- Understanding the consumer journey in a restaurant is the key to arriving at solution
- Breaking down the customer experience to understand increase in waiting time is the important step to solve the case
- The problem was the shared kitchen of the 2 restaurants due to which long waiting times in Thai restaurant
- To give a holistic view on recommendations, break it down into short-term and long-term categories

The client is a Natural gas retailer in Ahmedabad; the sales team think that they have reached saturation in terms of sales concerning the acquisition of new customers, while the CEO believes that they still have growth potential. You have been hired to suggest measures to sell more CNG.

Thank you for the problem statement; I would like to ask a few questions to understand the context better. Firstly, I would like to know who are the current and probable customers of CNG.

There are two categories of customers for CNG; Households for cooking purposes and vehicles.

Would you like me to focus on both the customer segments or is the issue for one of the segments?

Please focus on the transportation vehicle part.

Sure, to solve the problem, I would like to understand; the types of vehicles that use CNG, what is the penetration in each segment, and what is the incentive of any owner to shift to CNG. Then I would like to analyze the same factors like need, awareness, accessibility, and affordability.

Sounds good to me; please go ahead

The first vehicle segment I can think of is a car, both personal and commercial use. As per my experience and knowledge, private cars have low CNG penetration, and commercial cars have medium CNG penetration.

What is the reason for low penetration in the personal car segment?

The reason I can think of is that the life of a car deteriorates because you need more acceleration to drive with CNG. Also, driving on highways is not a preferred mode as there are scarce gas stations over there. Also, as per my knowledge, diesel cars can't be transformed into CNG. However, petrol car can. (this got me brownie points)

Although your information is correct, with recent advancements, both types of cars can be transformed into CNG.

Thank you for the information; the other vehicle segments would be auto with medium to high CNG penetration, the bus will have medium penetration, LCV with low, and MCV with low CNG penetration. Overall, it can be concluded that CNG has low penetration.

That is a valid assumption. How do you suggest improving penetration in all these segments?

It's mandated to use CNG, but the customers are not required to shift to CNG. So, it's crucial to make the customers aware of the benefits of CNG, the environmental effect, and the cost they will be saving, especially the commercial vehicle, as they operate on a thin margin.

That is a good analysis. Can you give me an equation to figure out as to what is the amount of natural gas used in a day?

Sure, there are three significant variables we will be looking at; type of vehicle, average transit, and CNG consumption per km. And the equation will be (type of vehicle* avg transit per day by that vehicle * amount of CNG used per km travelled). With this equation, we can figure out the consumption of CNG per day, per month, or in a year.

What do you think about the accessibility part of CNG?

Accessibility for customers is mostly about how easy it is for them to avail of CNG, given that Ahmedabad has a high density of CNG stations; if people know the benefits, they will certainly move to the CNG option.

There is one factor still missing.

Yeah, affordability is yet to be analyzed. However, given the lower cost and benefits, it would also be favourable for customers to adopt CNG.

Overall, daily affordability will increase, but what about the vehicle lifetime or higher cost of CNG-based vehicles? The overall cost will increase. That will be all, it was a good discussion, Thank you

Natural Gas Retail

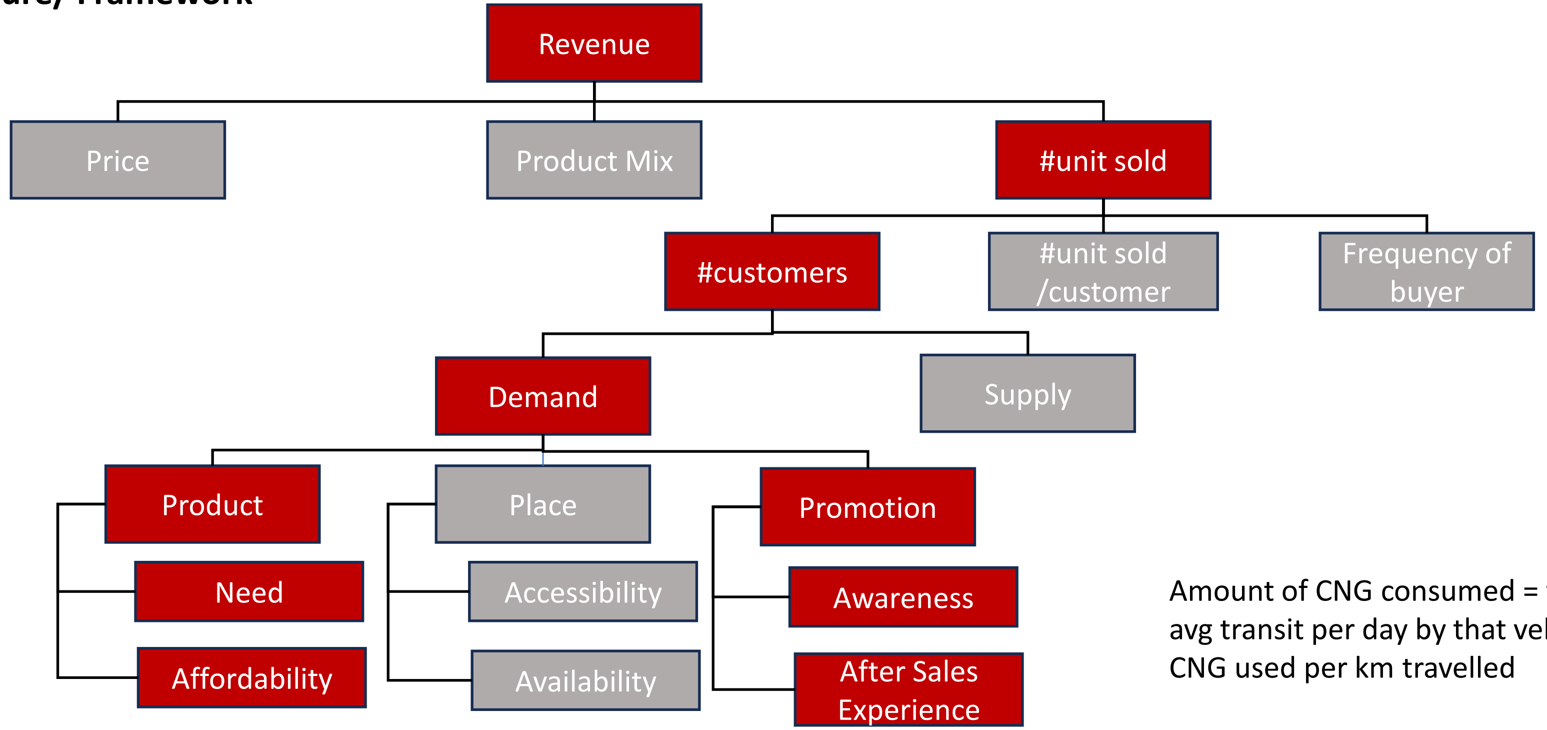
Case Statement

- Your client is Natural Gas Retailer in Ahmedabad. They are facing stagnation in terms of sale specially in acquisition of new customers
- Identify the possible reasons and provide solutions for the same

Interviewee Notes

- Ahmedabad has lesser number of CNG stations
- Usage of CNG – household and transportation
- Penetration of CNG in different vehicle segments Personal Car – low, commercial car – medium, auto- med to high, bus- med, LCV - low, and MCV - low CNG
- Environmental and cost benefits of CNG.
- New customers acquisition as well as latent demand.

Structure/ Framework



Amount of CNG consumed = type of vehicle* avg transit per day by that vehicle * amount of CNG used per km travelled

Key Takeaways

- Always state your approach in brief, be it preliminary questions or structuring. Take a feedback before jumping in any bucket
- Relate your experiences with the case problem and produce facts (in this case the knowledge of conversion of Petrol & Diesel vehicle to CNG).
- Using the need, awareness, affordability, availability & customer experience framework, identifying potential issues under each head and giving recommendations for the issues gave the structure to the case.

A pharmacy present inside a multi-specialty hospital has been facing declining profits since past one year. You have been hired to identify the root cause of the issue.

Interesting. I would like to begin with a few clarifying questions on our client. Is it the only pharmacy store our client is operating? And do they sell only prescription drugs or OTC drugs as well?

Yes, the client just had one pharmacy inside the hospital, and they sell both prescription and OTC drugs.

Since it's a multispecialty hospital, I would like to understand what kind of drugs are being sold by the client. As in do they specialize in some particular drugs or they sell all kinds of drugs?

They sell all kinds of drugs.

Alright, so, profit can be broken down into revenue and cost. I would like to understand if the declining profits is due to declining revenues or increasing costs?

Revenues have declined and costs have also gone up. Let's focus on revenues for now.

So, revenue from the product can be thought of as Price X Ticket Size X Frequency of buying. I will look at each of these components individually to understand the problem area. Has there been a decline in the volume of our product sold or have there been some pricing changes?

There has been a fall in volumes.

Okay, so if there has been a fall in volumes it is a demand issue. It is important to understand if it is due to the falling demand or there are supply related constraints at the store.

The demand is doing okay, but there are supply side constraints which is leading to a fall in volumes sold. But just list down the factors which might affect the demand before moving on to the supply side.

Key factors influencing pharmacy demand include shop awareness, visibility, payment options, staff quality, service time, competition from new pharmacies (nearby or in hospitals), and promotional discounts.

Great, go on to analyze supply side now.

So, coming to the supply side – availability of prescribed medicines, stockout of medicines, salesforce availability and its efficiency are some of the key factors.

Yes. The stocks are enough, although the store doesn't keep the prescribed medicines.

I see. Since you already mentioned that they keep different types of medicines already since it's a multispecialty hospital. So is it because the doctors are not sticking to few brands and are prescribing different brands to different patients ?

Yes indeed. Can you think of a reason why this might be happening?

Sure. So, one reason that I can think of is maybe in the last few months the sales representative visits from different brands have increased and doctors are just switching from one brand to another more fluidly.

Great, you have identified the root cause. Can you identify major cost heads for the store?

Yes. So, we can break costs into the fixed costs and variable costs.
Fixed costs would comprise of rental space, employee wages, marketing costs and other administrative costs. Variable costs will comprise of MDR on payments, inventory holding costs (pilferages and product expiration), and cost of products.

Correct.

I would analyze the rising costs, focusing on whether they stem from increasing fixed or variable costs. My initial hypothesis is that maintaining multiple brands of the same medicines may reduce negotiation power due to lower volumes with each brand. However, I would review each cost head thoroughly to confirm.

That's fine. Your hypothesis seems correct. Let's close the case here.

Pharmacy

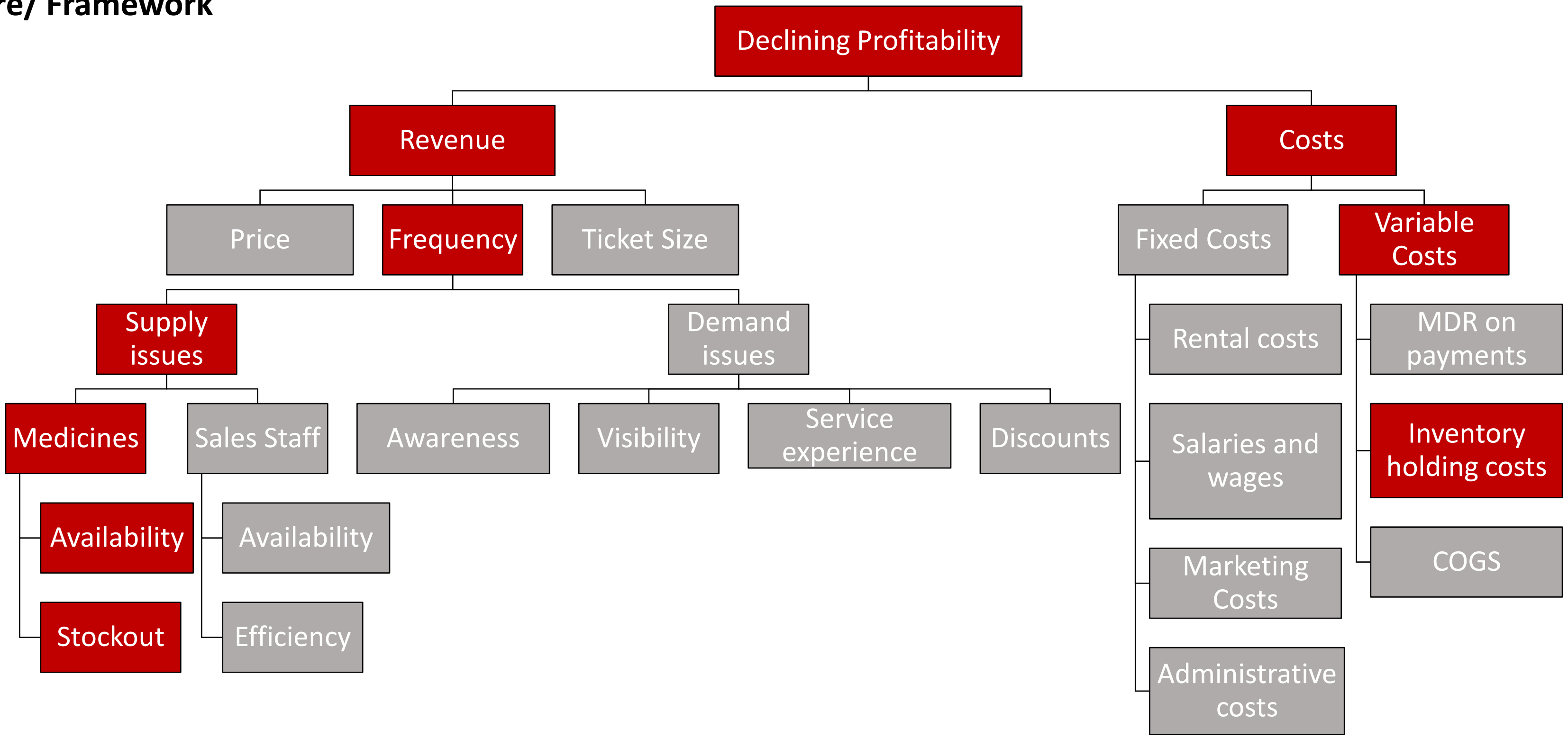
Case Statement

- Declining Profitability of Pharmacy inside a multi-specialty hospital
- Identify the reasons for decline

Interviewee Notes

- Declining profitability is driven by both falling revenues and rising costs.
- Demand remains steady, indicating no major demand-side issues.
- Supply-side inefficiencies, particularly in medicines and staff, are key contributors.

Structure/ Framework



Key Takeaways

- Structuring of the problem by the candidate was strong to identify possible factors impacting the problem
- Utilization of real world understanding to identify practical problems in a case like this

Indian Domestic Airline

Your client is an Indian Airlines company, and they have recently been facing issues with decline in profitability. Identify reasons and make suggestions to turnaround the situation.

I would like to know a little more about the client such as its route coverage, its positioning with customers and about its competitors.

Sure, assume that client just operate flights between Delhi and Bangalore. Its customers value both experience and price and there are multiple competitors in this segment.

Okay, since when is the client facing the issue of decline in profitability and is this issue specific to client or is being faced by competitors also?

Client is facing the issue since last 6 months and this issue is specific to the client only.

Thanks, I believe that I have enough information to start on with this case. Profits could be estimated as difference of revenues and costs. Therefore, I would like to start with understanding how has revenues and costs changed since the issue started.

So revenues have actually increased but costs have increased by even a higher margin leading to a decline in profitability. Please start with analyzing the reasons why revenues might have gone up.

That's interesting to know! Different sources of revenue for an airline would be ticket revenue, F&B sales and other check-in services. Which of these have increased?

Ticket revenues have increased. Why might it be so?

Ticket revenues could increase because of no. of tickets sold or because of average ticket price. Which of these 2 have increased?

No. of passengers travelling have increased.

Okay, it could be because of increase in no. of trips or average occupancy per trip. What has increased?

Average occupancy has increased. What might lead to it?

It could be because of the increase in overall demand or increase in our market share where customers are preferring us more now.

Yes, it is because that customer preference has increased for us.

Customer preference for us can be because of internal and external factors. External factors would include any changes made by competitors in their service quality or ticket price. Internal factors would include any changes made by client to improve their service quality.

Good! Client has improved their service reputation with the customers and hence customers are preferring them more. Let's hold on to the revenue side and look at what might have changed at cost side now.

Sure, cost to airline could be analyzed across the value chain where important milestones could be marked as pre-flight, during flight and post-flight. "Pre-flight" would include major headers as ticket distribution and airport operations from airport entry till passenger onboarding. "During flight" would include flight operating expenses and F&B expenses. "Post-flight" would include flight maintenance and passenger support cost. Other than these, there would be employee salaries and other support costs required across the value chain.

Good, we know that flight operating expenses have increased. Which components do you think can lead to this increase?

Flight operating expenses would primarily include flight ownership cost(flight carrier can be purchased or leased) and fuel expenses. Has anyone of these 2 components increased?

Yes, we know that cost of the fuel component has increased. What could be the possible reasons for it?

Fuel costs can increase because of either increase in fuel consumption or increase in unit price of the fuel. Which of these 2 have increased?

Fuel consumption has increased.

Total fuel consumption depends on number of trips covered and fuel per trip. Further, fuel per trip depends on average distance covered per trip and fuel required per unit of distance. We earlier identified in the revenue analysis that total trips have remained same. Therefore, either avg distance per trip or fuel required per unit of distance has increased. Which of these 2 has increased?

Good! It's the latter which has increased.

Fuel required per unit of distance is a function of average aircraft fuel efficiency and average weight of aircraft. The weight can change either due to number of passengers (including crew) per fight, average passenger weight, average fuel weight, or average weights of the utilities, F&B on bord. Aircraft fuel efficiency could change because of ageing of aircraft or change of aircraft. Do we have any insights on these?

Yes, we have in fact identified that the reason for this is that flight's refueling process has changed. Earlier it used to fill up the tank to 50% of the capacity at both Delhi and Bangalore airports. But now they are refilling to 100% just at Delhi airport to cover for entire round trip which means that the average weight of fuel carried by the flight has increased leading to low fuel efficiency. This explains the entire reason of increase in costs. Now, going back to revenue side, can you think of reason(s) which might have led to increase in overall service quality?

Sure, since carrier is now re-fueling just at 1 airport, it might mean that overall fueling setup time has reduced which could lead to better time management in preparing flight operations and hence better customer experience.

Exactly! What would be your recommendations for the client?

In terms of fueling operations, the only way is to go back to the previous configuration of refueling at both airports but then it would reverse the benefit of improved customer experience which client got from the new configuration. Therefore, I would suggest client to keep up with the current system of refueling just at the Delhi airport and look for other ways to improve in profitability aspect such as additional revenue from tickets by increasing ticket price or additional revenues from other services. Higher ticket price is also justified because of improved quality and customer experience.

Thank you. Good job!

Indian Domestic Airline

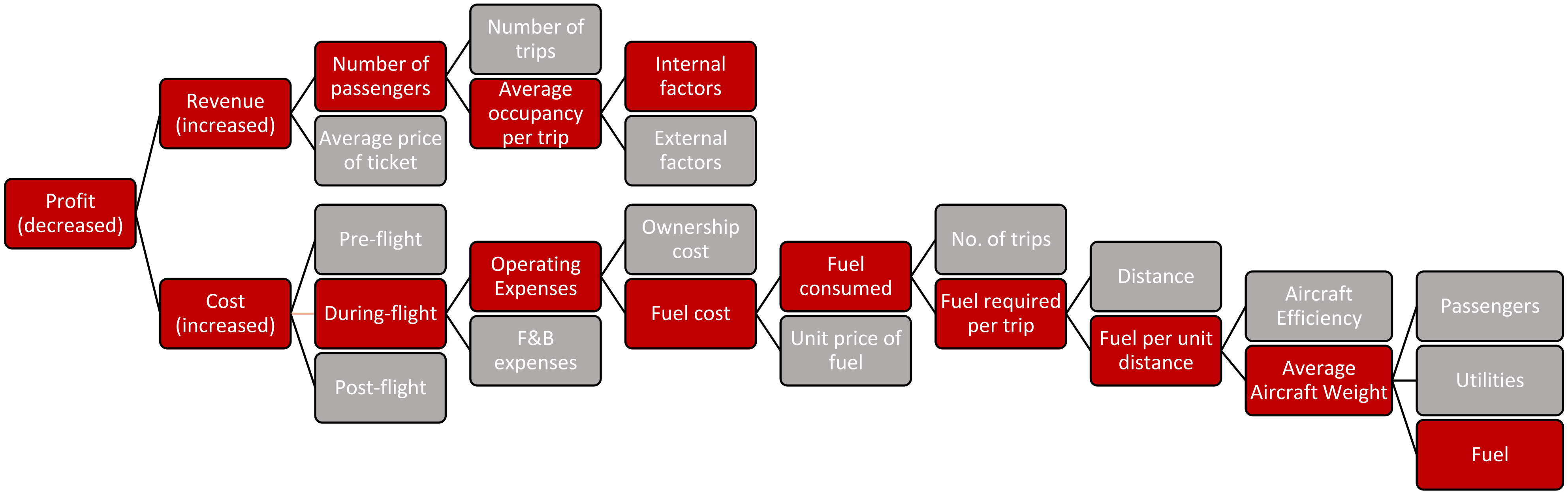
Case Statement

- Your client is an Indian Airlines company, and they have recently been facing issues with decline in profitability.
- Identify reasons and make suggestions to turn around the situation.

Interviewee Notes

- Fight operational only on 1 domestic route between Delhi and Bangalore
- Profitability issue since last 6 months. Issue specific to the client
- Both revenue and costs contributing to change in profitability
- Revenues increased but costs increased by a higher margin
- Revenue factor breakdown leads to internal quality improvement
- Cost breakdown across value-chain leads to higher fuel expenses

Structure/ Framework



Key Takeaways

- This case is slightly different where revenues are increasing. Double check with interviewer the understanding that revenue increase is being offset by cost increase, hence loss in profitability
- Try to break down each component such as ticket revenue or fuel costs into a mathematical equation, which ensures that no factor is being missed

Second-Hand Car Company

Your client is a used car company. They are profitable however, there profit margins are lower than competitors. You are required to identify root cause & improve the margins

Thank you for the case. To start analyzing the case I would like to know more about the client. I would like to know operational geography, since when the client facing issue

The client is operational in Tier I cities. This problem exists since inception of the company.

Okay do we have any information about the business of the company and the product mix that the company offers? Do we know about the competitive landscape?

The company deals with all types of cars. The company buys used cars and then resells. There are 3-4 main players

Can you please provide information about the sources of procurement and reselling?

The client procures cars from 3 sources namely exchange counters, bank auctions, home inspections. Exchange counters are basically car showrooms which exchange the old cars for new cars that customers are buying for a certain discount. Home inspection are direct home visits to potential sellers. The third channel is buying cars from auction of cars confiscated by banks whenever owners default on loans. The company sells through online website as well as offline stores.

Okay so this is a company specific issue. Do we have any information about the percentage breakup of how much do we source from each of the 3 mentioned sources? Also, do we have similar information for the reselling channels?

The contributions of exchange counters, bank auctions and home inspections are 45%,40% and 15% respectively. The company sells 80% of cars through online and remaining through offline mode.

Okay to reiterate the case, our client is a used car company which is facing profitability issue since inception. It is operational in Tier I cities and it is a company specific issue. I have sufficient information for now. I'll ask for additional information if needed. Give me few seconds to restructure my thoughts.

Sure

Profit is function of revenue and costs. I would like to benchmark our revenues and costs with our competitors. Do we know if our revenues are significantly lower, or costs are significantly higher than our competitors

Let's start with cost side, our costs are indeed higher than competitors in industry

I'll analyze the costs by focusing on the value chain. There will be procurement costs, maintenance costs, sales and administrative costs, marketing costs. Is there any other cost that I am missing out on? Do we have any information about how are these costs in comparison to the competitors

No, you are exhaustive with the costs. Client's procurement costs are marginally lesser than competition 's but the maintenance costs are much higher than other players.

Do we have any breakup of the total maintenance costs over the 3 sources of procurement and the profit margin of each source?

The profit margins are 10%, 7% and 20% for exchange counters, Auctions and home inspection respectively. The maintenance costs are much higher auction purchased cars as compared to other procurement channels

Interesting, the high. Maintenance costs of auction purchased cost seem to increase our overall cost as they constitute a large portion of our procured cars. Do we know what fraction of purchased cars for our competitors come from and why the maintenance costs are higher for this channel?

The competitors don't use this channel at all. The maintenance cost of these cars is usually higher because the overall process of auction takes 6-7 month and until then the confiscated car is parked in shed leading to maintenance related issues. Now let's focus on revenue.

Second-Hand Car Company

Revenue is a function of number of units per store, number of stores and price per unit. I am not considering the product mix as the company deals with all types of cars. Do we know which of these two in comparison with competitors?

The issue lies with the number of units sold per store. It is lesser than the competitors.

Understood, the number of units sold per store can be an issue from demand side or supply side. Which side should I focus on?

You can focus on the demand side

I would like to divide the customer journey into phases, pre-purchase, during purchase and post-purchase. Pre-purchase would include factors like awareness, brand value, accessibility of stores etc. During purchase phase will entail in-store service, car quality, added services, experience of salesperson, etc. Post purchase will include after-sales services. Do we know if our client lacks in any of these aspects?

The competitors have stores operating in major shopping malls of the city, which helps them attract more crowd. Can you think how the business model will work in a mall setting? The customers have also complained about the product mix of cars that our client offers

Usually, the stores will need huge parking space to house cars of multiple brands and variants. If the competitors are operating out of mall, they are either only displaying limited variants in their store or renting out the parking space of mall to park the cars. In either cases, the client can choose to replicate and copy the same business model to attract more crowd

That's correct. The competitors are renting out the parking space of malls. What suggestions would you give to improve the product mix?

To improve the product mix, client can look at what competitors are selling, we can also look the data of best-selling cars 3-5 years ago which will be available in second-had market today. We can also reply on customer reviews and preferences to collect right mix.

Sounds great, Lets synthesize the case?

Sure. We learnt that even though our client is profitable, their profit margins are not up-to the mark as compared to the competitors. The major reason being higher costs of maintenance and lower sales per store. Client can focus more on Home inspection channel for procurement as it's the most profitable option. They should either reduce the procurement from bank auctions or stop it all together. The accessibility of stores can be enhanced by opening stores in malls, doing aggressive marketing. Client can also focus on online mode of selling as it will also compliment the home inspection channel. Lastly, client should focus on improving the product mix of the cars available for sale.

Perfect, we can close the case here.

Thank you so much.

Second-Hand Car Company

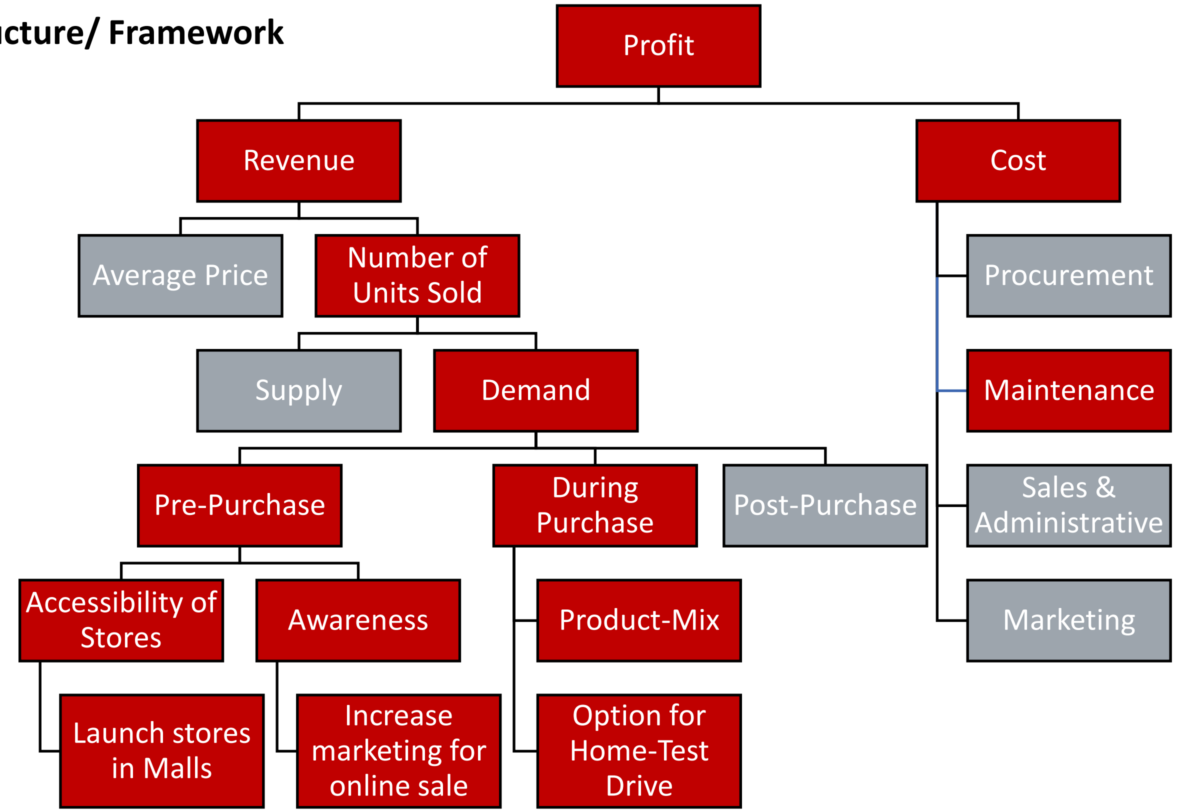
Case Statement

- Your client is a used car company. They are profitable however, there profit margins are lower than competitors
- You are required to identify root cause & improve the margins

Interviewee Notes

- Client has lower profit margins as compared to competitors since inception
- There are three channels for procurement of cars.
- Home inspection is most profitable whereas bank auction is least profitable due to high maintenance costs
- Competitors are not pursuing bank auction channel
- The sales per store is less for client as compared to competitor
- Competitors enjoy high store footfall as they operate in malls
- Customers have complained about product mix that client is offering

Structure/ Framework



	Procurement	Maintenance	Profit Margin
Exchange Counter	High	Medium	Medium
Bank Auctions	Low	High	Low
Home Inspection	Medium	Low	High

Key Takeaways

- The case is completely based on competitor benchmarking at each step. As the client is already profitable and there are no recent trends in profitability of client. The questions asked and profitability framework must be adjusted accordingly for such cases
- Whenever there are multiple procurement/selling channels, the relative costs, profits and margins must be analyzed by using a deaveraging approach and studying each channel separately.

Telecom Operator

Your client is an Indian telecom operator that has been facing declining profitability for the past 7 months, you have been hired to identify the problem and recommend solutions.

Thanks for the case. Before structuring the solution for problem, I want to understand a little more about the company and context. Can I ask a few clarifying questions?

Sure, go ahead.

Do they have a Pan-India presence and is the issue persistent across India or is it pertaining to a particular area? What is the quantum of decline in profitability? Where in the value chain does the client lie? For example, does it provide services like tower infra, equipment manufacturing etc. or is a pureplay network operator? Are the competitors also seeing a similar decline?

The client operates in India, decline is substantial, assume that client is pureplay network operator and service provider like Airtel, Jio. Competitors are seeing an increase in profitability.

Got it, I think I have enough information for now to proceed with the analysis. I would like to proceed by analyzing the reason for decline in profits by breaking down profits in 2 components – Revenue and costs.

You can deep dive into revenues first. What do you think are the revenue streams for a telecom operator?

Okay so major revenue streams would include:

1. Call/SMS/internet services (postpaid, prepaid and roaming)
2. Data monetization partnerships (OTT)
3. Broadband and Direct to home service
4. Net network exchange fee

Is there anything else that you would like me to look at?

No, that's very comprehensive. Why don't we begin with net network exchange fee?

Sure, so net network exchange fee can be broken down into receipts from other operators for using client's network and payment to operator for using their network for facilitating the call. Since revenues have fallen, there could be decline in amount received or increment in amount paid.

Alright, let's look at why amount paid has increased

Amount paid can be broken down into # of calls made from client's network to other networks, duration of calls (mins) and charges per minute

Good, # of calls from client's network have increased over the past 7 months

Calls made by any customer can be of 2 kinds: First time primary call, calling back for a missed call. Do we have any data on the kind of call types that have seen an increase?

Callbacks have increased substantially.

Interesting! Here, I would like to map the user journey of a phone call to understand the reason for increased call backs. Customer dials the number > Phone rings > Wait time > Phone is picked, and conversation happens. For each of the steps there could be following problems: Dialing the number: poor network coverage leading to call initiation failures. Phone rings: delayed ringing because of high network latency, ringing duration too short, wait time: high wait time leading to impatience, Phone is picked: signal issues during conversation.

Yes, ringing duration was the problem identified. Competitors have decreased the duration of ring from 45 secs to 25 secs which is leading to calls drops. Why don't you give me some recommendations for solving the problem and we can then close the case?

So, I would want to structure recommendations in 2 buckets: short-term and long-term measures: Short term: 1) Reach out to TRAI to apprise them of the situation and get the call ringing duration back to normal 2) Reduce own ringing duration to match that with competitor. Long term: 1) Negotiate with competitors on agreements about network usage fees and duration of ring 2) Liaise with TRAI to set regulation on the issue

Telecom Operator

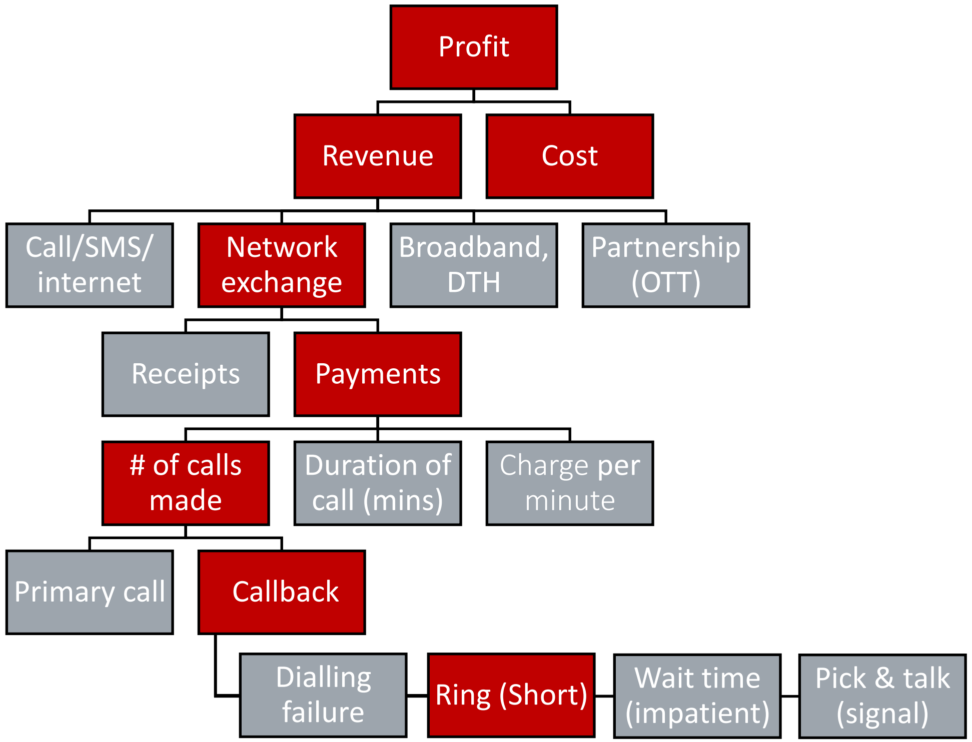
Case Statement

- Your client is a telecom operator based out of India. They have been facing declining profitability issue for the past 7 months
- Identify the problem and recommend solutions

Interviewee Notes

- List down revenue streams for telecom operator
- Net network exchange fee further breakdown into received and paid
- Break down call origination increase in primary call or callback
- User journey of a phone call and map reasons for call drop

Structure/ Framework



Key Takeaways

- Please note that the entire case could be solved using cost-based approach as well, here with the revenue side approach, the interviewer wanted to test the robustness in structure (missing the network usage fee paid can be an easy slip but would be important to consider since the candidate mentioned “net” network usage fee)
- Structuring recommendations makes it easier for interviewer to follow through and appreciate accounting for time period feasibility in providing solutions

Let's dive into the case: Your client is a premium airline, and it is seeing a drop in profitability. analyze the issue and recommend solutions.

Before I start with my analysis, I would like to ask a few preliminary questions. Could you tell me a little bit more about the airline, its market position, and where does it operate. I would also like to understand the competitive landscape for our client.

Alright, so it's an Indian airline, a Joint Venture between an Indian Business Group and a multinational airline. It is one of the many competing airlines in India and operates in most passenger airports. It is not the market leader though.

How does our client define profitability and since when has the profitability declined and by what quantum? Also, are the competing airlines also facing similar issues with profitability?

Actual Profits have been around 15% lower in the last 6 months and only the client has seen this major dip. The competition is stable.

I would like to break down profits as revenue minus costs. I would like to understand if there is an increase in costs or decline in revenue for our client in the last 6 months?

Both, actually. Why don't we start looking into revenue first?

Absolutely, I would like to think of revenues as the average number of customers we serve in a period multiplied by average number of transaction the customer makes controlled for various revenue streams for services we provide multiplied by average prices across services. Has there been any notable change in any of these parameters?

Overall, the number of customers seems to have no change. Why don't we explore the revenue streams and look at each separately?

Sure. Since we are a premium segment airline, we would have a number of revenue streams: Revenue from Tickets, Seat selection, Meals, Extra-baggage, Tie-ups with Lounges, Tie-ups with Hotels, Tie-ups with cab aggregators and Ad-hoc services. Do you think any of these revenue streams have observed a decline in the last 6 months?

We observed that the overall revenues from Tickets as well as Meals have declined

Alright, since the number of customers is the same, the decline in Tickets revenue could be due to reduced Ticket Prices or the Mix of Tickets being sold across seating classes, i.e. Economy vs Premium Economy vs Business. Are either of the two issues relevant here?

You're spot on. We're seeing that while there is an increase in Economy customers, there is a decline in occupancy across Premium-Economy class. Let's now look into Meals.

The decline in revenue from meals could be either due to change in price of food items offered or the variety of food items offered, or the quantity/quality of food items offered. Has any of the factors changed?

The client introduced a new easy-to-serve menu a couple of months back. That seems to be issue here. Let's look at costs now.

I would like to think of the broad buckets for the airline when thinking about the costs. I would like to start with the aircraft - Purchase/lease, maintenance, fuel, asset depreciation. Next, airport related expenses include Aircraft Parking, Ground Infrastructure. Next human capital expenses include salaries, training costs, etc. And other costs include interest payments, compliance/legal costs, marketing, regulatory, licenses, insurances, etc.

Data tells us that fuel costs have gone up in the last 6 months. Can you analyze why?

Increase in fuel costs could either be due to a consistent increase in fuel prices in the last 6 months or there is an inability from our end to predict and order the right quantity of fuel. Do either of the two factors seem relevant to you?

Yes, we order fuel through futures contracts. I believe our technology solution that helps predict fuel demand is not giving us accurate results leading us to have demand-supply gap, in-turn resulting in higher costs. Can you now give some recommendations and summarize?

- In short term, bundle free services with premium economy tickets, offer seat upgrades. In long term, redesign cabins, revise loyalty programs and integrate customer feedbacks.
- For meals, reintroduce popular items & highlight quality. In long term, optimize menu.
- For fuel costs, introduce manual oversight for demand forecasting in short term. In the long term, upgrade prediction system and try long-term contracts.

Premium Airline

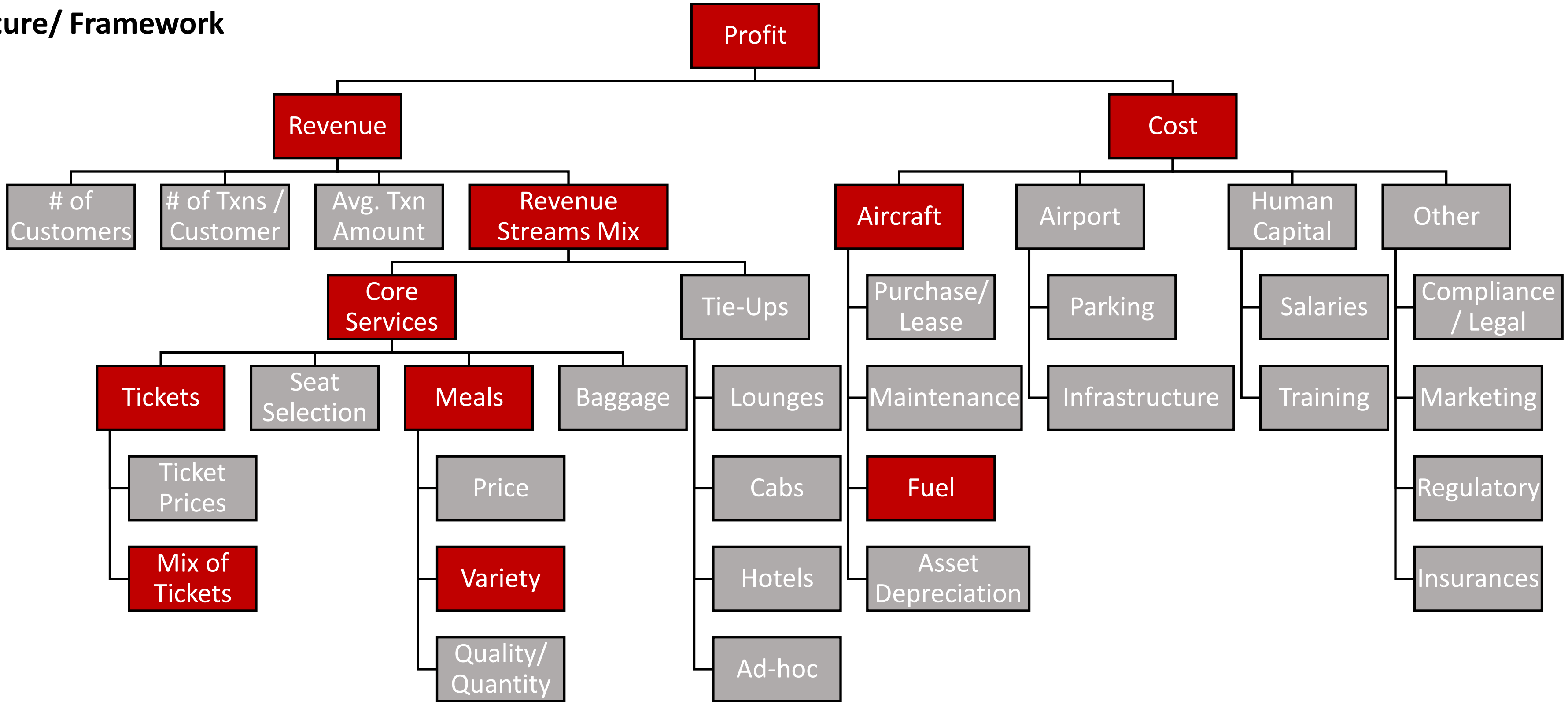
Case Statement

- Your client is a premium airline. It is seeing a drop in profitability
- Analyze the issue and recommend solutions

Interviewee Notes

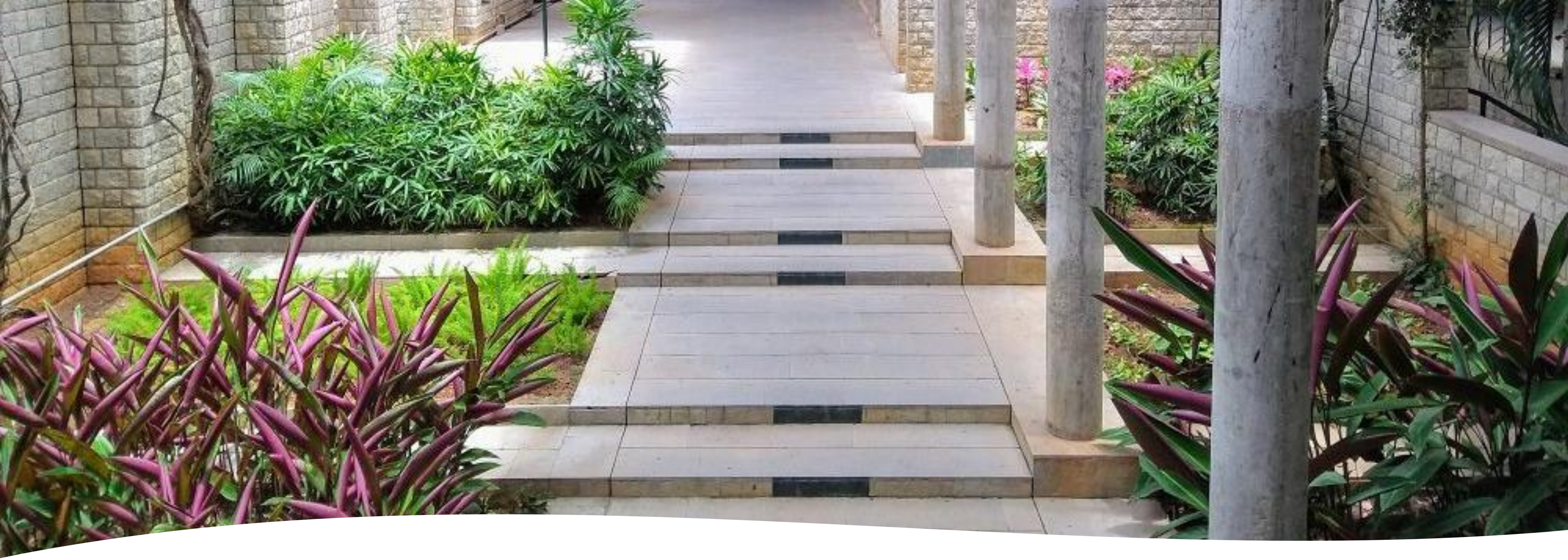
- Indian Airline
- Profits declined by ~15% in last 6 months
- Company specific issue
- Operations across cities
- JV of an Indian business group and a multinational airline
- Competitive airline but not the market leader

Structure/ Framework



Key Takeaways

- It is crucial to cover all possibilities and MECE both the revenue and cost sides in this case. As it is a premium airline, it has several revenue streams and expenses beyond just ticketing and transportation related activities
- A useful step in this case would be to ask relevant questions at each step of the solution. For example, asking how Fuel is procured could give an insight into futures contracts which would enable an easier identification of root cause of the problem



IIMB Market Entry Cases 2024-25

Market Entry Framework

Content Page

Basic structure

Market Entry

- **Strategic Objective**
  - Why to enter?
  - Target Metric
- **Industrial Conditions**
  - **Market Attractiveness**
    - Addressable market
    - Growth rate
    - Profit Margin
  - **Customers**
    - Market structure
    - Reaction to entry
    - Segments
  - **Competition**
    - Price, Product, Place, Promotion
  - **Barriers to Entry**
    - Financial constraints
    - Capabilities/Resources
    - Suppliers
    - Govt. Regulations
    - Patents, IP
- **How to Enter?**
  - **Organic**
  - **Inorganic**
    - Joint venture
    - Acquisition

Good to know frameworks

1. Using **2 by 2s** for final decision like degree of control vs investments; competition vs own capabilities or your own set of parameters
2. **Porter's 5 forces**: Good to get the context of industry as a whole
3. **5Cs**: Company, Competitors, Customers, Context, Collaborators → very useful in scoping
4. **Value Chains** for various industries to understand nuances of market entry and objective metrics

Market Entry Framework (contd.)

Content Page

Preliminary Questions

- Clarify objective, growth quantum and targeted timeline
- Geography – Why are we looking into this geography? Have they launched this product in another market?
- Business Model – Where does the firm lie in the value chain?
- What are the existing products/ services, capabilities and expertise of the firm?
- Who are the target customers? Market size and price sensitivity
- Any side-effects of product?
- Pricing – given or required, ask for targeted margin

1. Risks Involved

Risks

- Internal
  - Constraints
  - Resources
- External
  - Industry level
    - Market Attractiveness
      - Addressable market
      - Growth rate
      - Profit Margin
    - Customers
      - Market structure
      - Reaction to entry
      - Segments
    - Competitors
      - Price, Product, Place, Promotion
    - Barriers to Entry
      - Financial constraints
      - Capabilities/Resources
      - Suppliers
      - Govt. Regulations
      - Patents, IP
  - Macro Factors
    - PESTEL
    - Regulations
    - Currency Fluctuations

2. Market Size and Share

Economic Feasibility: Mkt Size x Mkt Share x (Price – Variable cost) – Fixed Cost

Solve the guesstimate to calculate market size, qualitatively find achievable market share

3. Modes of Entry

	Organic	Joint Venture	Acquisition
Advantages	- Retain business control - Build Experience Curve - Boosts Brand Image	- Less investment - Local Expertise - High Scale and Scope	- Extend market scope - Utilise local expertise - Produce synergy
Disadvantages	- High Capex - High Commitment	- Limited Control - Brand Dilution Risk	- Significant Investment - Threat to Brand Value

Enterprise Wi-Fi Service

A leading telecom player in India is considering entering the wireless Wi-Fi service space for enterprises. You have been hired to evaluate the feasibility of this market and suggest a strategy for market entry.

To begin with, I would like to gather more information about the client. Specifically, I would like to understand how wireless Wi-Fi works, whether we are first movers in this space, and details about the client's existing services and customers.

You can assume the client is a major Indian telecom player and make relevant assumptions. The client currently provides wired Wi-Fi services and wants to explore the wireless space.

I would analyze the opportunity using three key dimensions:

1. Market attractiveness – Assess market size, growth rate, existing competitors, barriers to entry, and potential threat.
2. Financial feasibility – Evaluate break-even numbers, revenue projections, and overall profitability.
3. Operational Capabilities – Examine whether the company has the resources, technical expertise, and infrastructure to support this expansion.

Let's identify the potential clients for this service first.

The client already caters to wired Wi-Fi customers; I would focus on businesses that do not currently use Wi-Fi. This is because the switching costs for existing wired Wi-Fi users may be prohibitively high. Would this assumption be valid?

Good observation! Can you list five types of businesses we could onboard for this service?

Based on low existing Wi-Fi penetration, growth potential, and future demand for connectivity, I would suggest the following: Salons, cafes, apartments, independent retail stores and schools across all buildings.

Interesting suggestions. Can you estimate the number of salons in India and how many we could potentially onboard?

I would approach this through demand-side analysis:

I would like to first look at urban and semi urban population of India. Then, look at average number of annual visits segmenting them by men and women. Finally, taking capacity of an average salon to be 10 chairs, I would estimate total number of salons in India. We can then assume that we can onboard at least 10% of these salons.

Alright, suggest businesses no one would typically think of. Provide unique perspectives.

I would like to segment businesses based on age groups that require these products and services and walk you through my rationale.

a) Younger populations: Daycare centers and play schools where children's gadgets require connectivity.
b) Youth and middle-aged groups: Small eateries and tea stalls, driven by the rise in mobile payments and online services.
c) Older populations: Retirement homes that are increasingly using digital tools for communication and entertainment.

Let's move to financials. How would you evaluate the financial feasibility of this business?

I would undertake the following steps: Firstly, estimate projected revenues for a time-period of say five years and then look at various fixed (e.g., infrastructure and licenses) and variable costs (e.g., maintenance and support services). Then perform a break-even analysis and evaluate return on capital employed (ROCE) to determine profitability.

Fair enough. Lastly, how would you recommend promoting this new service?

We could market our service though digital and traditional means. For traditional medium we could focus on trade shows, partnerships with complementary service providers, such as cloud software companies, to create bundled solutions and referral programs to incentivize existing clients. For digital we could focus on building our website and enhance online presence with SEO and targeted content marketing.

That seems reasonable. Thank you for the analysis, we're done with your interview.

Enterprise Wi-Fi Service

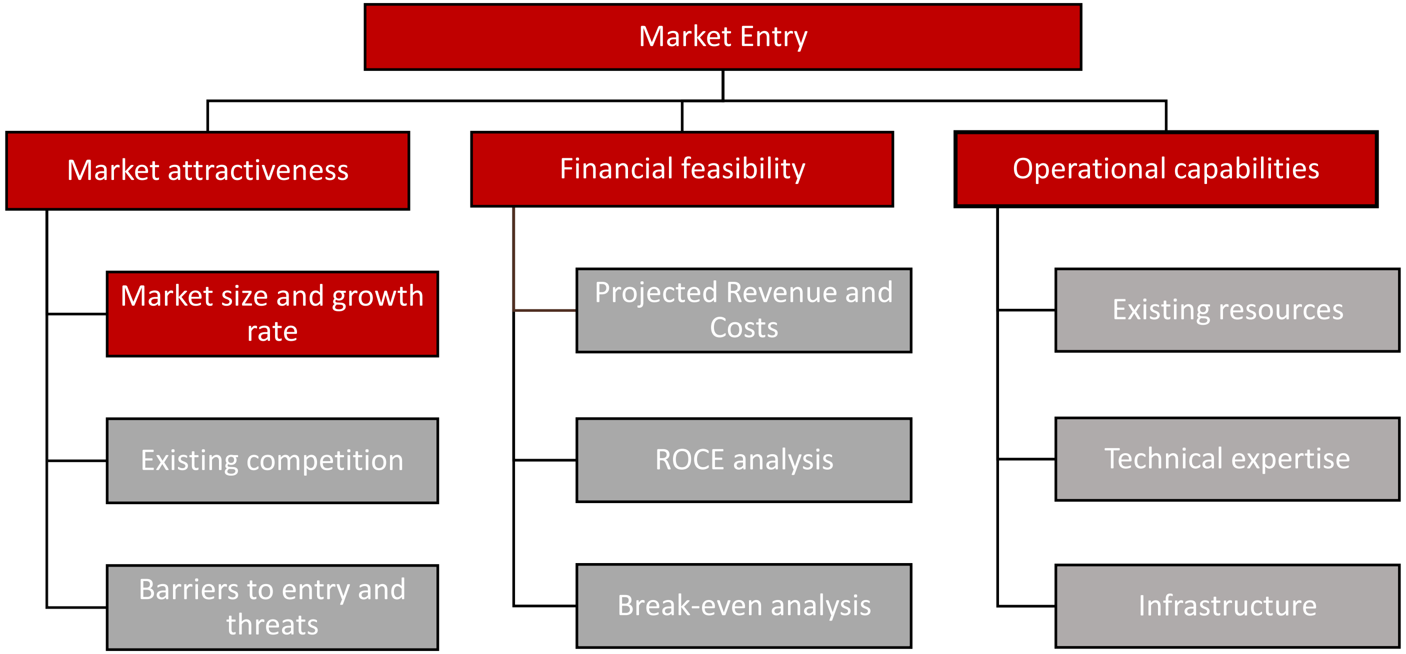
Case Statement

- The client is a major Indian telecom player.
- It already provides wired Wi-Fi services to businesses and is looking to launch a wireless service.
- Provide entry recommendations

Interviewee Notes

- Assume it's a generic telecom company in India
- Focus on new segments of businesses that don't currently use Wi-Fi.
- Highlight key customer pain points for wireless connectivity.

Structure/ Framework



Calculations

- Urban population = 490 million, Semi- Urban = 420 million
- 50% use salon services
- Frequency of women visits = 8-12 (urban) per year and 4-6 (semi-urban) and men = 6-10 (urban) and 3-5 (semi-urban)
- Average capacity = 10 chairs, occupancy = 80%
- Average duration of visit = 1 hour, number of operational hours = 8, 300 days working
- Demand = Total visits/ Average occupancy (in a year)
- Number of salons: 1,65,000
- Potential Clients: 16,500

Key Takeaways

- Clearly state all underlying assumptions, such as market size estimates, customer adoption rates, and pricing strategies, to avoid ambiguity during analysis
- Try to identify non-traditional business segments and focus on underserved niches for maximum market penetration
- Could have incorporated sensitivity analysis in financial feasibility to account for variability in adoption rates or unexpected costs

AI Diagnostics for Indian Healthcare

Your customer has created a diagnostic tool driven by AI that produces faster findings and 95% accuracy. Their goal is to enter the Indian market for medical diagnostics. How would you handle this situation?

Before diving into the analysis, I would like to understand more about the client. What is the client's expertise in healthcare or medical technology industry? Do they have prior experience in this space or collaborations in India? Are there specific objectives—revenue generation, increasing healthcare accessibility, for this move? Are there any financial constraints or restrictions for the investment?

Great questions. The client operates in the fintech sector but has strong R&D capabilities in AI/ML. This is their first venture into healthcare, with no manufacturing setup or distribution partners in India. Their primary objective is to position India as a self-reliant hub for healthcare diagnostics. Revenue generation is secondary to trust-building and accessibility. There are no significant budget constraints.

Thanks for clarifying. Based on this, I propose we proceed with a structured approach focusing on:

1. Market Potential: Market size, growth and trends
2. Financial Viability: Estimating costs, revenues, and break-even points
3. Operational Feasibility: Evaluating manufacturing, distribution and compliance
4. Competitive Landscape: Analyzing key players and identifying differentiation strategies.
5. Risks: Highlighting risks and strategies to address them

Does this structure align with the client's objectives?

Yes, this structure looks solid. Let's proceed with market sizing and revenue opportunities

The Indian healthcare market is growing rapidly, driven by urbanization, health awareness, and post-pandemic preventive care. I'll begin by focusing on B2B partnership strategy to establish credibility, followed by a phased expansion into Tier-1 and Tier-2 cities. To estimate the market size, I'll like to follow demand size approach: India has a population of around 142 crore, assuming 10% of the population seeks healthcare annually, that's approximately 14.2 crore people. Of those, 70% would require diagnostics, which gives us about 9.9 crore people. If we target 50% of that as B2B customers—hospitals and diagnostic labs—that's around 4.9 crore users. With an average cost per test of ₹1,000, the total addressable revenue from B2B diagnostics could be ₹4,900 crores annually. Assuming a 10% market penetration in the first year, the client could generate ₹490 crores in revenue from B2B customers. This estimate doesn't include the B2C market, where the opportunity could be even larger. Does this align with market trends ?

Yes, that's in line with our expectations.

To proceed further into B2C space, could you help me understand the AI adoption trends in healthcare across Tier-1 and Tier-2/3 cities? Specifically, how significant is the gap in adoption, and what are the main barriers against adoption in these cities?

AI adoption is much higher in Tier-1 cities like Mumbai and Delhi. However, Tier-2/3 cities are more skeptical with limited infrastructure, lower awareness and price sensitivity being major barriers. I would now like you to evaluate the financial feasibility of the investment.

Sure, before I delve further can you help me out with the cost breakdown, since I'm not well versed with the industry a brief overview of average cost involved in the setup, certification and day to day operations would be helpful.

Sure, the company has already incurred ₹10 crore on development of the product, it would need to spend further ₹5 crores to get an ICMR certification. Setting up of the manufacturing unit and marketing channels is expected to cost the company ₹70 crores and variable cost that the company would incur on these text is approximately ₹500 per unit.

Thanks for the information, performing the breakeven analysis at ₹1,000 per test, an average test in India costs ₹750 assuming the client can charge a ₹250 premium on higher accuracy the breakeven volume would be 17 lakh tests which is approximately 3.5% of the addressable market This seems achievable within the first few year of operations.

That sounds reasonable, let's move to operational feasibility.

AI Diagnostics for Indian Healthcare

For this I would analyze the value chain: Starting with R&D and Technology: Ensuring AI algorithms are scalable and adaptable to new diseases. Manufacturing: Deciding between in-house manufacturing and partnerships with contract manufacturers. Distribution: Partnering with Tier-1 hospitals and diagnostic labs like Apollo and Dr. Lal PathLabs and finally, regulatory compliances: Fast-tracking ICMR approval by conducting pilot studies with trusted healthcare providers, since I believe these initial investments in partnerships and regulatory compliance would be crucial in establishing trust and gaining market credibility

Yes you are correct these steps would be essential for a smooth market entry. Let's proceed to the competitive landscape.

The key players in the market include: B2B Players these include established hospital chains like Apollo, Max Healthcare, and diagnostic labs like Dr. Lal PathLabs and Metropolis Healthcare, which may already have basic AI tools or digital solutions. B2C Startups: Companies like HealthifyMe and Livlong that are exploring AI-driven consumer diagnostics, targeting tech-savvy urban customers. The key differentiation for our client lies in speed and accuracy, results in minutes with 95% accuracy. I'll now proceed to identify the risks and how we can mitigate them. Shall I continue ?

Yes, go ahead.

I'll look at risk from two perspective internal and external: on the internal side, there are risk associated with technological obsolescence, as AI algorithms will need continuous updates to stay competitive in a fast-evolving field and resource divergence, clients focus on a new health tech sector, might impacts its existing operations. On the external side, the primary risks are regulatory delays, as the ICMR certification process could take time and delay the launch, and customer scepticism where building trust in AI diagnostics, especially among healthcare professionals, will be a significant challenge and finally, price wars, particularly in Tier-2/3 cities where affordability may drive competitors to lower their prices.

Let's move to market entry strategy and recommendations.

For the market entry strategy, I'll break down the recommendations into short term and long term, in the short run organisation can focus on B2B partnerships with hospitals and labs in Tier-1 cities to establish credibility. To expedite ICMR certification, pilot studies with key healthcare providers will help gather data, and regulatory consultants can streamline the process. For operational execution, setting up a scalable manufacturing facility, CMU's or partnering with local suppliers can be explored with initial distribution aimed at Tier-1 cities. Finally, for long-term growth, after establishing a presence in Tier-1 cities, the company can expand into Tier-2/3 markets with affordable options, introduce training programs to build trust in AI diagnostics and also enter into B2C space with their own application/website.

Great recommendations. That will be all for today. Thank you.

AI Diagnostics for Indian Healthcare

Market Entry | Challenging | BCG

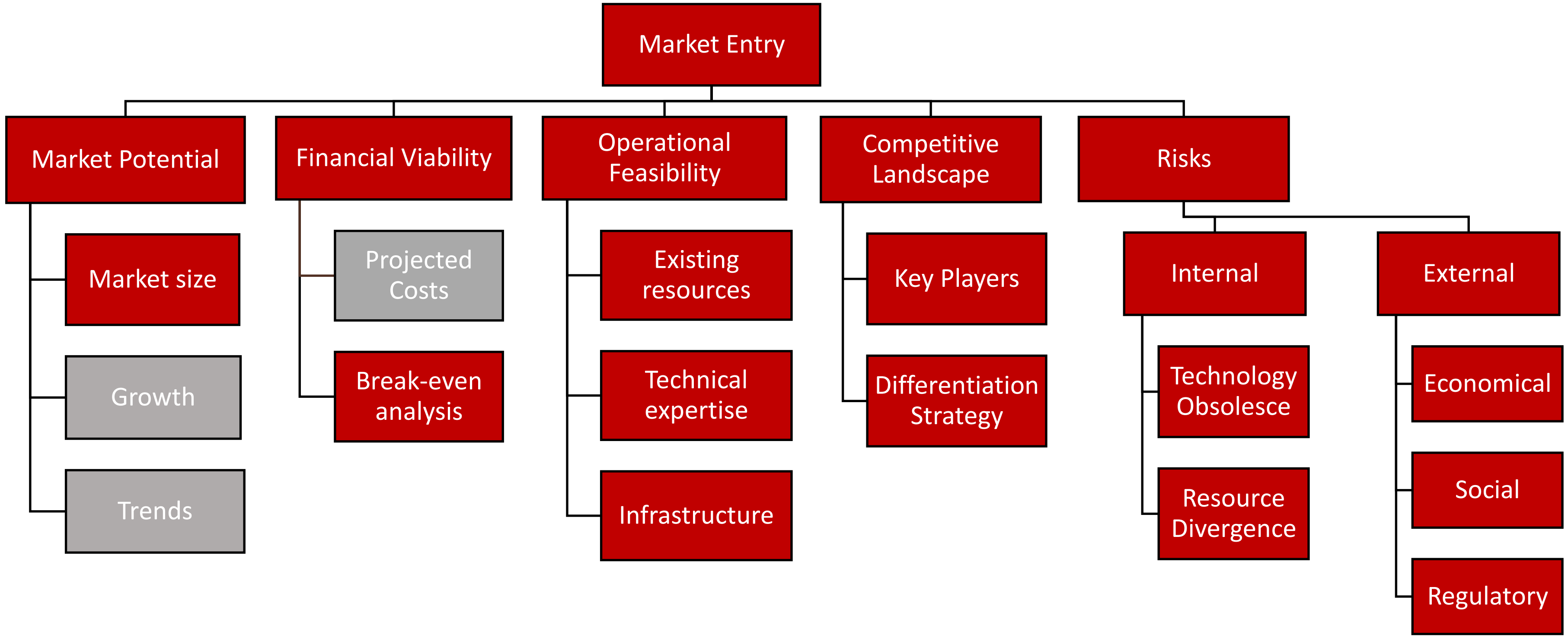
Case Statement

- **Client**: A fintech-focused AI/ML company with a 95% accurate AI diagnostic tool for early disease detection.
- **Goal**: Enter the Indian healthcare diagnostics market.
- **Objective**: Evaluate the opportunity and suggest market entry strategy, focusing on trust-building and scalability.

Interviewee Notes

- **Client Background**: A fintech company with strong R&D in AI/ML, entering healthcare for the first time in India.
- **Competitive Landscape**: High competition from established players (Apollo, Dr. Lal PathLabs) and AI-driven startups (HealthifyMe, Livlong).
- **Focus**: Profitability through B2B partnerships, primarily in Tier-1 cities.

Structure/ Framework



Key Takeaways

- It's essential to get the interviewer's buy-in at every stage, especially during guesstimates, to ensure alignment.
- Be ready to pivot between multiple frameworks, depending on the direction of the case
- If time is limited, summarize your entire approach before delving down into one of the components

Mexico City's airport wants to issue 2500 new taxi permits for $1000 each. Your company runs a taxi fleet in the city but doesn't currently operate at the airport. They have a lot of excess capacity and want to know if they should buy these permits to increase their profits.

Understood. I would like to start with a few preliminary questions. What is the current number of permits operational? How long are these permits valid for? Is this the only airport serving the city? Does the client have excess capacity in terms of number of cars or drivers or both? Is budget a constraint for the client? And what does the competitive scenario look like?

There are currently 5500 taxi permits operational, these permits are granted for lifetime and there is only 1 airport in the city. The client has excess capacity both in terms of cars and drivers and has no budget constraint. The market is split equally among 3-4 companies.

Alright. I would first like to understand the financial attractiveness of this space, then look at the operational feasibility for the client, and finally look at any potential barriers to our entry or any future risks that we might face.

This seems fair. You can start with the financial feasibility.

In financial feasibility, I will focus on three key factors - passenger volume and taxi demand at the airport, traffic patterns to understand peak, medium, and low-demand periods and cab requirements based on operational capacity and demand.

That sounds great, start with calculating the taxi demand at the airport.

To calculate the taxi demand, I would calculate the total number of passengers arriving at the airport, the proportion which arrives at this airport vs those who use it as a changeover airport and the percentage opting for a cab. I would then take an average of the number of people traveling together and consider the average trip length to reach the final demand.

Alright. The airport has 42 million arrivals yearly without changeovers. 50% are international passengers. Assume that 40% of domestic customers and 80% of international customers use a cab. Also, assume each passenger is taking 1 cab. Additionally, consider there are 12 months, 4 weeks and 7 days in a year.

Alright. Basis these numbers, we will have 125k passengers arriving daily - 62.5k domestic and 62.5k international. We need 25k rides for domestic and 50k rides for international passengers. So, that makes it 75k rides per day. Do we know how long each trip is?

Yes, each round trip is of 60 mins, and both the taxi service and the airport are operational 24 hours a day. How would you distribute this demand across the day?

Right, so I would like to divide the day into 3 periods based on the traffic – peak traffic, medium traffic, low traffic. We can consider 6 pm-10 pm as peak traffic, 6 am-10 am as medium traffic and the remaining 16 hours as low traffic. Does that sound fair?

That sounds good. You can assume the traffic split to be 40-30-30 between high-medium and low demand periods respectively.

Okay, so for the peak traffic period, we need 30k rides in 4 hours or 7.5k cabs, assuming zero wait times. During the medium traffic period, we need 22.5k rides in 4 hours, or 5.625k cabs. For the low traffic period, we need 22.5k rides in 16 hours or 1.4k cabs. So, based on this calculation, there is demand for additional cabs only during the peak and the medium traffic periods.

Suppose we buy all the new permits, what is the annual profit that we can expect?

Alright, after buying the permits, there would 8k cabs operational. During peak traffic, the utilization would be ~95%. Similarly, for medium traffic period, the utilization would be ~70%. I would assume prices will differ based on the demand, do we have any average fare per trip for peak and medium traffic periods?

Assume an average fare of $200 per trip irrespective of the demand. Also, assume that the cab doesn't get any passenger on its return trip.

Okay. So, the average number of trips per day would be 0.95*4+0.7*4= 7 trips per day. So, average revenue per cab would be $1400 per day i.e., 1.4k*336 = ~$470k annual revenue. Now, I would like to look at costs that would be incurred to get this revenue to calculate the annual profits.

Airport Cab Service

That sounds fair. What are the cost items that we would incur?

The typical costs that would be incurred will be permit costs, fuel costs, parking and toll charges, driver commissions and maintenance/repair costs. Does that sound fair?

Yes, that sounds fair. Driver commissions would be 50% of the trip revenue and the remaining costs would be $8000 per cab annually.

So, the average annual costs of operating each cab would be driver commissions + maintenance cost + permit cost, which comes out to 235k+8k+1k = ~244k. This will give us an annual profit of $226k.

That is accurate. What are the possible risks that can threaten our plan?

The main risks include market saturation due to increased competition, public transport expansion reducing taxi demand, demand volatility from external factors like pandemics, regulatory changes increasing costs, and the introduction of a new airport, which could divert passenger traffic.

All good points. Can you think of any solutions to tackle this risk?

Yes. To improve utilization, the client can diversify into city tours or hotel partnerships and maintain fleet flexibility by leasing additional cabs during peak seasons. To address the external risks, the client should lobby with regulators to advocate for favorable policies and monitor infrastructure developments to adjust operations accordingly.

Alright, that will be all. Thank you for your inputs.

Airport Cab Service

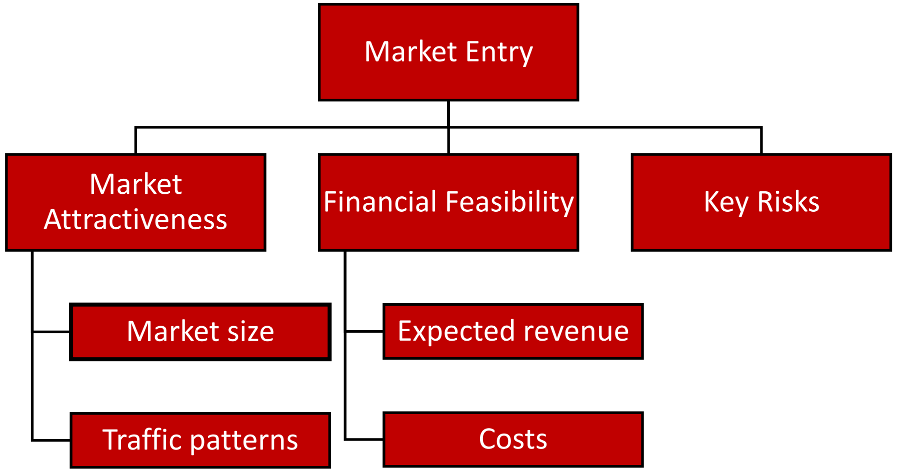
Case Statement

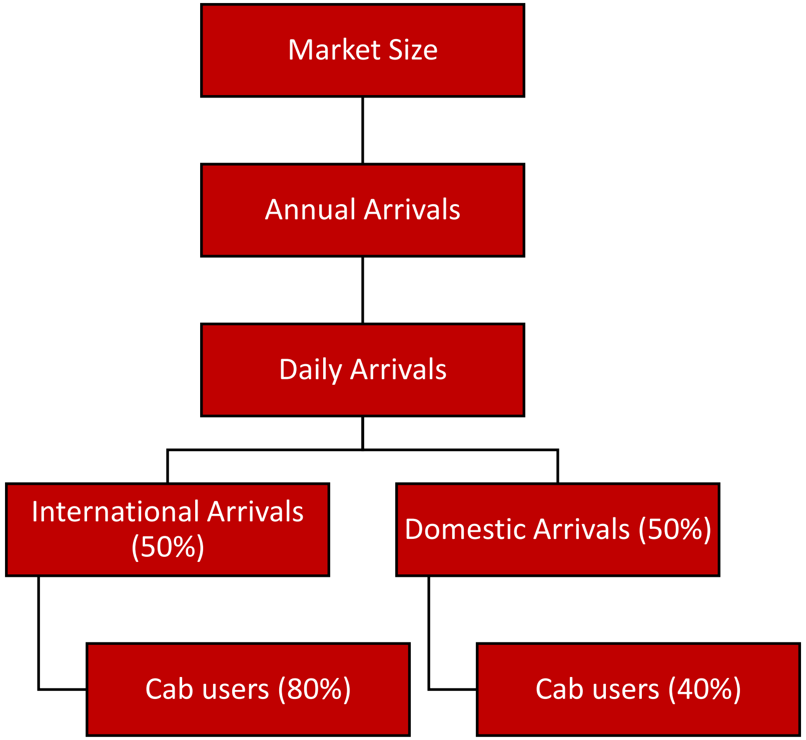
- The client operates a taxi fleet in Mexico City
- Mexico City Airport is offering 2.5k new cab permits for operation at the airport
- The client wants to determine whether to purchase these permits.

Interviewee Notes

- Annual: 42M passengers
- Daily: 125k passengers (42M/336 operational days)
- Domestic: 62.5k/day (50%)
- International: 62.5k/day (50%)
- 40% of domestic passengers use cabs (25k/day)
- 80% of international passengers use cabs (50k/day)
- Total daily demand: 75k rides
- Peak: 40% of rides = 30k/day
- Medium: 30% of rides = 22.5k/day
- Low: 30% of rides = 22.5k/day
- Average fare per trip: $200
- Driver commissions: 50%
- Other costs: $8000/cab annually
- Permit cost: $1000 (one-time)
- Trip duration: 60 minutes

Structure/ Framework





Key Takeaways

- Important to break down traffic into peak, medium and low traffic times to estimate the demand
- Need to break down passengers into domestic and international. Willingness to pay for cab will be different for these two groups

New Motor Insurance Launch

Market Entry | Moderate | Accenture

Your client is a motor insurance company based in India. It is facing decline in profits. The client believes the best course of action would be to launch a new product. Analyze the problem and provide a recommendation.

New product, that sounds exciting. I would like ask some clarifying questions. From my understanding about the insurance industry, the client can earn two types of profits: either from underwriting or from investments. As, the client is looking to launch a new product to boost profits, is it fair to assume that underwriting profit is declining? Also, what is the quantum and timeframe of decline?

That's a good catch! The underwriting profits are declining over the last few quarters and the decline is significant.

Is this decline specific to any geography or office? With motor insurance, I am assuming we are insuring all 2, 3 and 4 wheelers. Any specific product contributing to the declining profits? Moreover, is it industry-wide or are only we experiencing it?

The profit decline is pan-India and across all products. No, it is not an industry wide issue.

Lastly, can you please help me understand more about the new product our client is thinking about? What is the customer segment that the client wants to target?

The new motor insurance is for ultra-luxury cars for high-end customers. This will allow us higher premiums per policy.

I seem to understand the situation now. So, I would first like to look at the cause of the decrease in profits. This will help me understand if the new product solves the underlying issue. If it does, then I would look at the industry attractiveness, financial feasibility, operational feasibility, risks and modes of entry. Does that sound good to you?

Good, you can go ahead.

So, let's start with breaking down Profit as Revenue – Cost. Do we know if either has changed?

Cost seem to have increased significantly. Let's start with that.

For analyzing cost, I would like to look that the insuring process. Pre-issuance process includes costs such as R&D, Salaries, Rent, Utilities, Stationery and Marketing. During issuance costs includes inspection, re-insurance, broker commissions. After issuance cost are claims as well as claim reserves, i.e. the costs the company sets aside to cover anticipated claims that have not been reported yet

That's a good breakdown of cost. 4-wheelers seems to have higher claims and also require higher claim reserves

In 4-wheeler, I suppose there is frequent breakdown of vehicles or the breakdown cost has increased. Do we have any data on the same? Also, any specific insured product facing this issue?

We see increased frequency of breakdown in a car model which holds a large portion of our insurance portfolio.

Perfect, so non-diversification of insurance portfolio is the root cause of increased cost as well as the salary costs. In that case, launching insurance for ultra-luxury cars makes sense as it will diversify the portfolio quickly and also provide higher premiums per policy to balance the claim reserves.

Yes, that's correct. Now, can you list all the factors you would like to analyze to understand if we should launch the new product?

Sure! I would first look at industry attractiveness by calculating the total addressable market, any barriers to entry, competitor consolidation, segment growth rate, and finally, customer preference, loyalty and overall willingness to pay. Next, I would test the financial feasibility by analyzing the premiums, claim ratio and conducting a break-even analysis. Finally, I will look at operating feasibility by analyzing if we have good market knowledge as insurance is data driven. I would also look at re-insurance support and any related terms and conditions.

Good. Now, how would you launch the new product?

So, Is the client looking to launch independently, inorganically through joint venture or or by acquiring an existing player with the required strategic assets?

Our client wants to launch independently.

Understood. So, we first need to work on awareness by marketing. That can be done through TV ads, print media, social media campaigns, SEO, cross-selling and up-selling to our existing customers. Then we have to ensure accessibility. This is the important part as we need to tie-up with the car dealerships of ultra-luxury cars, who are the the major points of sale. At the beginning, we can leverage our existing sales team to sell the new product and a smooth online purchase journey, given their prior experience. To address acceptability, we can focus on our good claim ratio in other products, and our customer first philosophy through the marketing campaigns. We can use the advanced data analysis tool to correctly price the product to ensure affordability with profitability.

Thanks for your thorough analysis and recommendations. We can close the case now.

New Motor Insurance Launch

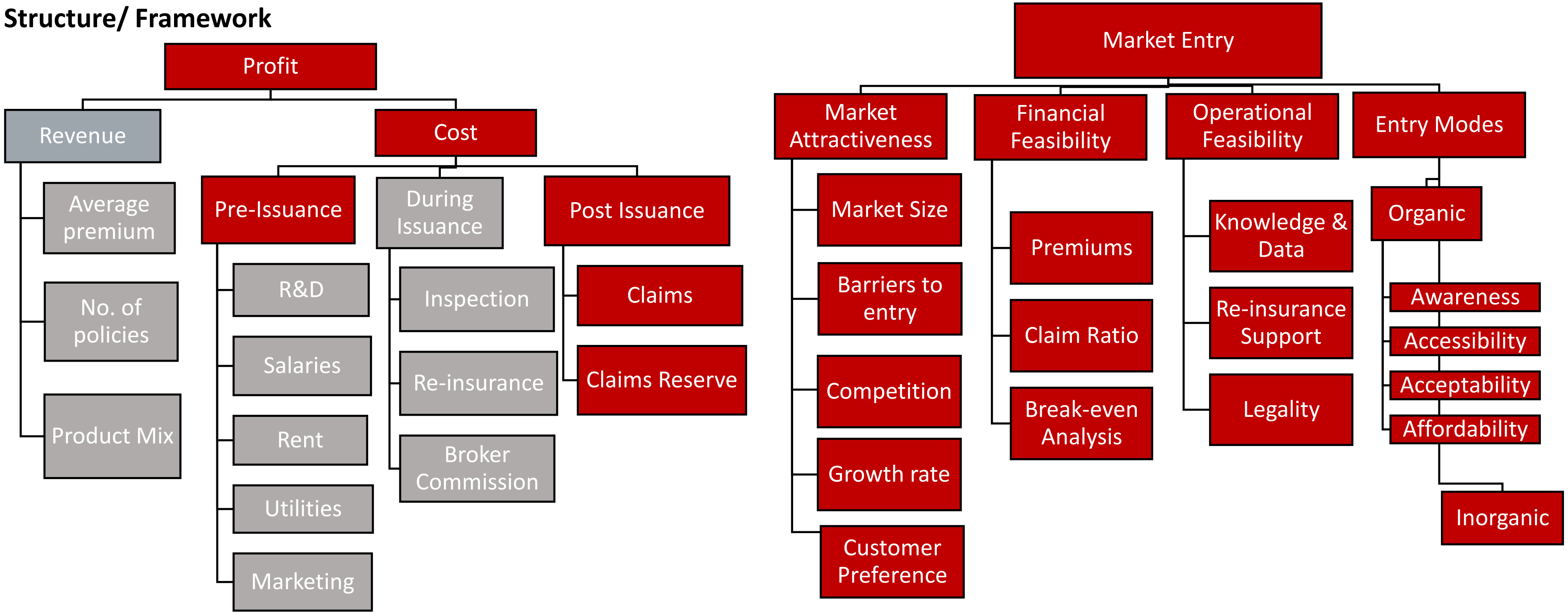
Case Statement

- Indian motor insurance client facing declining profits
- Wants to launch a new product in India

Interviewee Notes

- Significant decline in underwriting profits over last few quarters
- Motor insurance for 2, 3 and 4 wheelers
- Company specific issue and prevalent pan-India
- New product is insurance for ultra-luxury cars

Structure/ Framework



Key Takeaways

- Prior understanding of key insurance terms would be helpful for root cause analysis
- It might be helpful to breakdown the problem into smaller steps at each stage and to get the interviewer's buy-in at each step
- The case was a mix of both profitability and market entry and required interviewee to be creative at each step

Your client is a fashion retail company and wants to create a presence in South India. They are doing fairly-well and want to assess this opportunity. How would you advise them?

For business context, I would like to ask a few clarifying questions. What is the current geography our client is operating in, and which regions of South India do we want to target?

Sure. The client is a home-grown fashion retail brand well set up in North India. Within South, we can start with Karnataka.

What is the product mix, how does the client's regular customer base look like, is the price range for affluent or cost-sensitive? Which parts of the value chain does the client delve in?

They sell both modern and ethnic merchandise and cater to all age groups with more focus on women. The price is for affluent buyers. As far as value chain is concerned, they own the value chain end to end. However, clothes are manufactured by local skilled craftsmen and special effort goes into collection and management via local collection centres.

Okay. I would also like to know what is the objective and success metric for our client?

The client is looking to increase revenue and evaluate if this venture can be lucrative for them. There are no specific metrics, you can help us explore that.

Understood. To proceed, I would like to assess market attractiveness, financial feasibility followed by operational feasibility. Does this approach make sense?

Yes, what will you explore under each?

In terms of market attractiveness, I will assess the the market size, industry growth, market share & price we can target. Under financial feasibility, we will see the cost of operations including setup, production, distribution, retail & marketing cost heads. Further, for operational feasibility, we will evaluate organic vs inorganic entry and external factors like social, legal, environmental obligations alongside forces in industry when it comes to suppliers, willingness to pay, entry barriers and substitutes etc.

That makes sense. Why don't we deep dive into market sizing first?

For that, I will estimate the Total Addressable Market (TAM). Karnataka has a population of 70 Mn with approximately 40% urban split and further 50% females. This amounts to 14 Mn. Affluent buyers (High & Medium income groups) are 20% giving us a TAM of 2.8 Mn.

Seems like a good number but what can be realistically achieved?

For that we will look at existing competition and demand for our product. Are there any competitors for our current products focused on local craftsmanship and are we open to producing new designs basis customer preferences in Karnataka?

Good questions, there are 2 major competitors with a market share of 20% each. Additionally, the client wants to keep their brand image intact. How do you think the client can capture the market?

Makes sense. Considering competition, we can capture 5% of the potential market and preference towards local designs can be taken as 30%. Further, one shopper can buy our products twice in a year. Accounting for these, we get a serviceable market of 84K. For the latter, we can follow two methods: greenfield operations or inorganic entry either through acquisitions of smaller players in South India that have synergies with our business or through joint ventures.

Considering the client wants to launch their brand anew in the South, we can go with your former suggestion. Please go ahead.

That's great. Now we should observe players in the value chain that we will have to lock-in. It must consist of Raw Material Procurement, Manufacturing, Inventory, Logistics, Retail and Marketing. As we want to rope in local craftsmen, we will have to separately create collection centers and relationship managers to incentivize and motivate them.

That seems fair. How do you suggest we rope in these craftsmen?

We will have to observe external (craftsmen-specific) & internal (company-specific) factors. External/craftsmen aspects include skillset, pricing, efficiency to scale and internal include geographical location, ease of value chain setup, setup of logistics with these craftsmen, collection centers and quality check

Ok this sounds good. We can wrap up the case here.

Retail Expansion

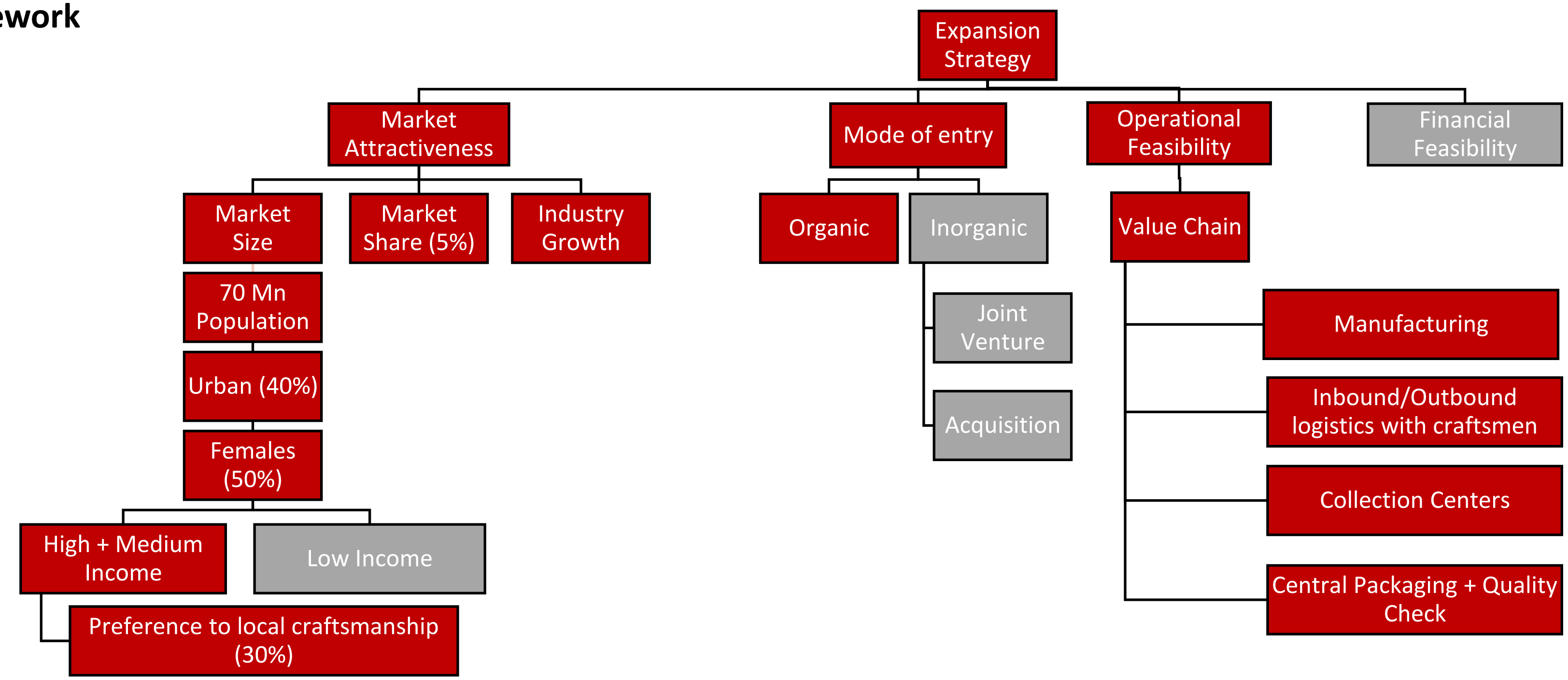
Case Statement

- The client is a homegrown fashion retail company well-established in North India, selling modern and ethnic merchandise
- They want to expand into South India, starting with Karnataka
- They wish to increase revenue and evaluate the potential profitability of this venture while maintaining their brand image

Interviewee Notes

- North India based retail fashion company looking to expand in Karnataka
- Key factors for TAM: Women customer base, affluent buyers, 2 major competitors with 20% market share
- Focus on brand and local craftsmanship pushing to expand organically
- Within manufacturing, add nuances to include craftsmen handling: logistics, collections centres, quality check

Structure/ Framework



Potential Market Size = TAM * Local Pref * Market Share * #Buys per year = 2.8Mn * 30% * 5% * 2 = 84K

Key Takeaways

- Clarify existing value chain and intent of the client to diversify, change product design or hold on to the current business model
- Focus on key aspects of a business which was local product and craftsmanship promotion in this case. Also ensure brand image remains intact If requested by the client

Chinese Bilingual School

Your client, a well-established bilingual school from China, wants to expand internationally. How would you approach identifying the right markets and designing a strategy for their successful expansion?

Thank you! Before diving into the solution, I'd like to ask some clarifying questions. What is the client's unique value proposition or differentiation? Are there specific regions they're considering for expansion? What is the primary objective of this expansion—profitability, brand-building, or testing new markets? Have they expanded to any other region? And is their any budget and timeline for the expansion?

The client offers a premium academic program with a strong emphasis on Chinese culture and values. They are open to considering regions globally, with profitability as the primary objective. They haven't expanded internationally before, and their budget allows for a phased entry starting with pilot schools.

Thank you. To structure the approach, I would focus on 3 key areas- identifying the most promising markets for expansion, evaluating the challenges associated with entering those markets and designing strategies to ensure sustainable growth.

That works. Let's explore the first area—how would you identify the right markets?

I'd evaluate markets based on three factors: cultural alignment, economic potential and regulatory environment.

Sounds good. Can you describe briefly what would you look at under each of these factors?

Sure, under cultural alignment, I'd prioritize regions with sizable Chinese-speaking communities or cultural appreciation for Chinese heritage like Southeast Asia and North America. To assess economic potential, I'd focus on areas with affluent populations, high disposable income, and willingness to pay for premium education. Lastly, under regulatory environment, I'd assess ease of entry for foreign schools, local regulations on curriculum, and policies supporting private education.

Great. Now, how would you estimate the market size?

To estimate market size, I'd firstly calculate the percentage of Chinese-speaking families and expats in target location. Then consider the proportion of households interested in bilingual programs based on their income levels and willingness to pay. This would depend on factors like the average fee structure for private schools in the region, competitive landscape, including existing bilingual or international schools and local education trends.

That sounds fair. What challenges might arise in such markets?

The challenges can be categorised into 4 areas. Cultural challenges involve balancing Chinese cultural emphasis with local expectations. Regulatory challenges include navigating policies for foreign schools. Operational challenges include recruiting qualified bilingual educators and managing infrastructure setup in unfamiliar markets. Lastly, perception challenges involve addressing concerns about exclusivity while building trust and promoting inclusivity in local communities.

Excellent. Basis the above, the client has identified Southeast Asia as a potential location. How would you recommend that the client enter this market?

A phased approach is recommended for expansion. In the short term, the client should conduct detailed market research, launch a pilot school in a key city like Kuala Lumpur to test the concept, and build brand awareness by emphasizing bilingual education and Chinese cultural values.

For the long term, they should adapt the curriculum based on pilot feedback, scale operations through franchise models or joint ventures, invest in e-learning platforms to attract global families, and establish partnerships with local governments to ensure credibility and operational stability.

Great approach. We can close the case now.

Chinese Bilingual School

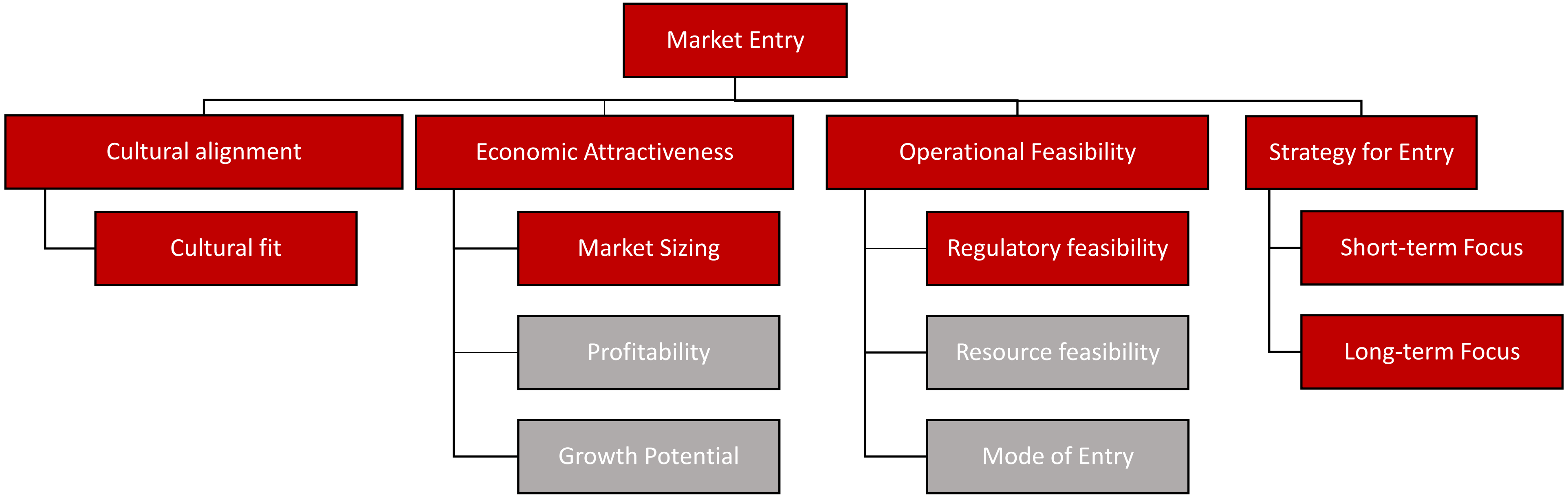
Case Statement

- How would you approach identifying the right markets for the international expansion of a bilingual school from China?
- How would you design a strategy for the successful expansion of the school?

Interviewee Notes

- Follow a qualitative approach rather than a quantitative one for understanding market needs and cultural fit.
- Expand internationally while maintaining premium quality and profitability.
- Focus on integrating Chinese culture with local educational systems.

Structure/ Framework



Key Takeaways

- As interviewer hinted for qualitative discussion, the candidate made sure that all the factors were listed out before going in detail to anyone
- Ask all relevant clarifying questions in the beginning. No fixed structure used, needs to adapt the approach as per the direction from interviewer
- It's crucial to understand the client's objective and constraints before framing any recommendations, as they guide the entire approach

Your client is a firm operating in the US across the value chain in the oil and gas industry, the 3 segments being i) Exploration of oil, ii) Oil extraction and processing, iii) Oil distribution. Analyze and suggest which segment the client should enter in the Indian market.

Before analysis, I would like to know if the client is currently operating only in the US or if they have ventured into any other geographies. I would also like to know the client's objective of currently considering entering the Indian market. If yes, by when do they want to achieve the objective?

The client is currently operating only in the US. Geographical expansion is being considered for increasing market shares and there is no specific target. They just want to increase revenues.

I want to also confirm about the competitors in this field. According to my knowledge about the oil and gas industry, there are majorly 2 kinds of players in India – Government players like IOCL and private firms like Reliance industries. Am I missing out on any kinds of competitor firms here?

You are right about the kind of competitors. You can, for example, consider the 2 firms you have stated for the discussion.

Ok. For assessing the market entry, I would first like to evaluate if the market is attractive.

You can assume the market is profitable and attractive and continue your analysis.

Thank you. Given that the market is attractive, I would like to assess the firm for 2 more criteria: i) Operational feasibility : to check if the firm has the resources and capabilities needed to run the new operations, ii) Financial feasibility: to check if the project is economically viable and if it can generate a satisfactory returns. If these two factors are feasible, I would like to evaluate the preferable mode of entry for the firm. Can I proceed with this approach?

Seems fair. Please proceed by starting with the analysis for each segment of the value chain.

Sure. For the exploration part, since the firm has already been carrying out oil field exploration in parts of US, we can consider that they have the technical and functional expertise to carry out these operations. But since the firm would not have experience with the kind of terrain or geography in India particularly, it could be at a disadvantage when compared to firms like Reliance, who have a huge database and experience in the Indian terrain. I would like to know if the firm has enough financial resources to transfer or mobilize the required resources in India.

Yes. You can consider the firm has the financial feasibility for the market entry. This holds true for investments in all segments of the value chain. So, I would want you to continue looking at the operational feasibility and mode of entry for each segment of the value chain.

I think the firm should not enter the Indian industry in the exploration stage. This is because it won't be able to earn any profits unless it gets access to already available data about the reserves. A joint venture might also not be helpful here as firms like Reliance or IOCL, which already have the technical expertise, might not find any advantage in forming a JV with our client. However, if our client possesses any special technology or equipment which would be of some advantage to the firms, then we can consider this approach

Sounds elaborate. The client does not have any such highly differentiating technology. Let's proceed with analyzing the situation for the other 2 parts of the value chain.

Although the client has expertise due to its oil processing & extraction operations in the US, the client also faces challenges across 4 aspects: high investment requirements in infrastructure, regulatory barriers, limited knowledge of local terrain and strong competition. It can enter India through 3 routes: joint venture, licensing of its technology or greenfield setup. While licensing is quick & involves minimal risk, it also limits client's involvement in operations. Greenfield operations would require high investment & would also be time-consuming. Thus, a joint venture seems the optimal way at this stage.

Fair enough. What about the oil distribution stage?

This stage would require lower upfront investment as compared to the other two stages due to already established distribution networks in the country. The client can also leverage its existing expertise in operations. Further, direct access to the end consumer would also allow the client to differentiate its services.

Oil and Gas Industry

However, the client faces strong competition in this industry as well, as well as high sensitivity of prices. These challenges can be mitigated if the client enters this industry through a joint venture with one of the existing players, which also provide the client easier access to customers. After establishing market presence, the client can also enter into a hybrid model by making greenfield investments in building its own outlets.

Sounds good. Let's end the case here!

Oil and Gas Industry

Case Statement

- Client must decide on which stage in the oil and gas industry in India
- Can enter in 3 segments of the value chain : Exploration, extraction, distribution

Interviewee Notes

- Firm operating only in US, across all parts of value chain
- No specific target – only geographical expansion to increase profits
- Client has financial strength to enter, and market is attractive
- Reliance industries, government players like IOCL can be considered as competitors

Structure/ Framework

	Market Attractiveness & Financial Feasibility	Operational Feasibility	Mode of Entry	Decision
Oil Exploration	Favourable	**Low** • Lack of experience in Indian terrain • Dependence on data controlled by local players	**JV not feasible** unless differentiated tech is available.	Should not enter
Oil Extraction & Processing		**Low** • High investment requirements in infrastructure • Regulatory barriers • Limited knowledge of local terrain • Strong competition	• Greenfield operations: Require high investment & time-consuming • Licensing: Loss of control over operations • **JV: Most feasible**	Should not enter
Oil Distribution		**High** • Lower upfront investment • Established distribution network • Ability to leverage existing expertise • Direct access to end consumer	**JV most feasible** to face strong competition & high sensitivity of market prices. Can enter hybrid model through greenfield investments after establishing market presence	Should enter

Key Takeaways

- No specific framework could be applied but understanding of industry and macro factors can be useful
- State your approach clearly and confirm with the interviewer if it can be followed
- Assess the challenges and opportunities in each choice as well as when considering the mode of entry- a matrix can be helpful here

Your client is a US-based fitness company with facilities like gyms, yoga, swimming pools, and more. They own the facilities, management, and trainers. Due to a significant decrease in memberships after COVID-19, they are exploring the opportunity to offer online fitness courses. The key decision is whether to build this offering in-house or acquire an existing online fitness player.

Before we start, I would like to ask a few preliminary questions. What is the client's market position and how is the competitive landscape? Are there any specific customer segments that the client is targeting? How does the client differentiate their offering? And, has the client identified potential acquisition targets or is this a broad exploration?

The market is very competitive, and new players are entering the online space. We do not have data on market share and competition, and no specific focus in terms of customer segment. Differentiation is low across the industry. The client has not identified specific targets but is open to exploring promising opportunities.

Alright. I would like to analyze this through three buckets – financial feasibility, operational feasibility, and risks. Under financial feasibility, I will see the profitability of building the online platform in-house versus acquiring an existing player. Under operational feasibility, I'd analyze the capabilities required to build an online platform, and under risks, I will compare the risks associated with both strategies.

That sounds fair! Let's try to understand what capabilities the client would need to build the offering in-house.

Sure. The client would need capabilities in 4 key areas. Firstly, technology, where the client needs to develop a website or app, supported by an IT team. Secondly, content creation, involving fitness trainers to create engaging workout routines and a creative team for video editing. Thirdly, a digital marketing team for social media campaigns to attract and retain users. Finally, operations, including a customer service team to resolve technical queries.

Great. How would you market these new offerings?

The client should focus on audience segmentation, targeting sedentary individuals post-COVID and elderly users at higher health risks. Next, they should collaborate with athletes and fitness influencers to enhance credibility and reach. Thirdly, they can use testimonial campaigns to showcase real-life success stories to build trust and use social media for targeted ads to boost awareness and drive customer acquisition.

Those are some good suggestions! Now let's say the company finds out that it's cheaper to acquire the existing player and we enter a revenue-sharing model with them. I will give you some numbers, and you need to estimate the percentage increase in revenue. Also, I want you to walk me through your calculations. The revenue-sharing model is such that we must share 50% of the additional revenue generated per customer with them.

- Existing customer base: 200k
- Monthly subscription: $50
- Increase in customer base: 20%
- Additional subscription fees per customer: $10

Alright. Here are the calculations –

- Existing Customer Base Revenue = $10M
- New Customers Added = 20% increase, which is 40k users.
- Revenue from New Customers = $2M
- Additional Revenue Per Customer = $400k
- Total Incremental Revenue: $10M + $2M + $400k = $12.4M
- Percentage Revenue Increase: ($12.4M - $10M) / $10M * 100 = 24%.

That's great. What risks do you foresee in each of these options?

In-house development is time-intensive and requires significant upfront investment. Building customer trust and brand recognition will also take time. Acquisition involves higher upfront costs and might have potential integration challenges with existing systems.

Alright. So, what is your final recommendation?

I recommend acquiring an existing player. This option ensures faster time-to-market, leverages the partner's expertise, and mitigates operational risks

Great work. We can close the case here.

Fitness Studio

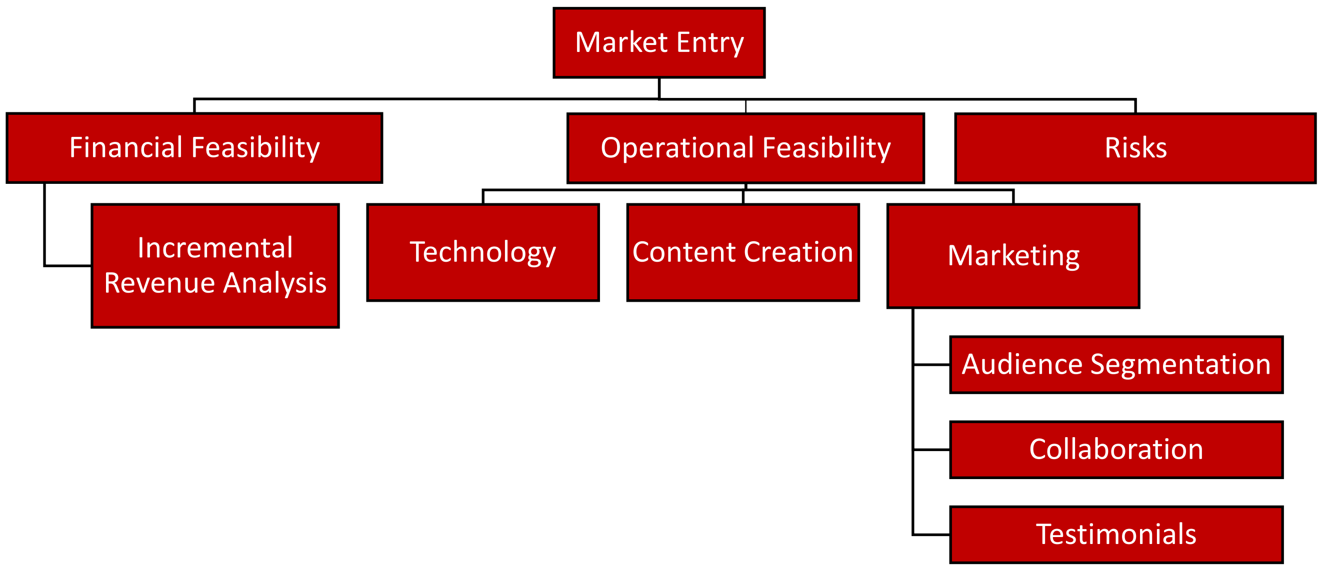
Case Statement

- Your client is a US-based fitness company with facilities like gyms, yoga, swimming pools, and more. Due to a significant decline in memberships post-COVID, they are exploring the opportunity to offer online fitness courses. The key decision is whether to build this offering in-house or acquire an existing online fitness player.

Interviewee Notes

- No specific customer focus or point of differentiation for the client
- The market is highly competitive

Structure/ Framework



Fact Sheet

Header	Values
Existing Consumers	200K
Monthly Subscription	USD 50
Increase in Customer Base	20%
Additional fees/customer	USD 10

Key Takeaways

- Ask all relevant clarifying questions upfront.
- Acquisition ensures faster market entry, operational synergies, and long-term growth potential.

Your client is a Saudi Arabia-based telecom company looking to offer a TELCO Score Index by utilizing their data and AI capabilities. Assess the feasibility of this venture.

Alright, I would like to ask a few questions before starting. Who are the major customers of the client? What are their current capabilities? And what is their standing in the market?

The client operates B2B with clients such as government entities and B2C with postpaid and prepaid plans. They have advanced capabilities in cloud, big data, and cybersecurity and command 80% market share.

Noted. What exactly is the TELCO Score Index, and how would it be used? Who are the target customers for this product?

The TELCO Score Index is an alternative to credit scores. It uses telecom data such as SIM card information, phone type, location, bill payment history, and data package usage to assess the financial reliability of individuals. The primary target customers would be financial institutions such as banks who could use the Index as an alternate reliability metric for individuals who do not have traditional credit scores.

Are there any competitors offering a similar solution?

Yes, some companies purchase data from telecom firms and attempt to develop similar capabilities. However, our client has a unique advantage since they are not selling raw data to third parties but instead creating a value-added product.

Understood. I'd like to conduct my analysis through 3 buckets: market attractiveness, financial and operational feasibility, and risks.

That sounds fair. How would you start with market attractiveness?

Alright. So, I'd start with the population of Saudi Arabia, focusing on the 18-65 age group. I'd then segment this population by income level and assess the proportion with and without credit scores. This would give an estimate of the demand for credit reliability data among financial institutions for these two groups. Would you want me to calculate the same?

No, that's fine. Suppose you found that there are 10M individuals with credit scores and 5M without. Would you expect this ratio to be consistent across income segments?

No, I would expect the ratio of individuals without credit scores to be higher in lower-income segments, as they are less likely to have formal credit histories tied to financial institutions.

That's fair. What pricing strategy would you recommend for this offering?

Pricing could follow one of the 3 approaches. In cost-based pricing, we can cover the fixed and operational costs of developing and maintaining the index. In competitor-based pricing: we can align with market rates for similar services. And, in value-based pricing, we can price on the perceived value to financial institutions. Since the client has no direct competitors, value-based pricing would likely be the most appropriate strategy.

Very comprehensive! Assume the client has chosen value-based pricing. How would you structure the pricing model?

The model could include a fixed component, which is a subscription fee for accessing the TELCO Score Index and an incremental component to charge institutions for each additional customer data request.

That makes sense. Are there any other considerations for operational feasibility?

We can analyze the feasibility in 3 phases. In pre-implementation, the client would need to integrate diverse data sources, plan infrastructure, and ensure regulatory compliance. During implementation, the focus would be on AI models, cybersecurity measures, and pilot testing with financial institutions. For post-implementation, the client would need to focus on scalability, ongoing system maintenance, and customer support.

Great. So, what is your final recommendation to the client?

Based on the analysis, the TELCO Score Index is a promising venture for the client, leveraging their unique capabilities and market position.

Alright, thank you. We can close the case here.

TELCO Score Index

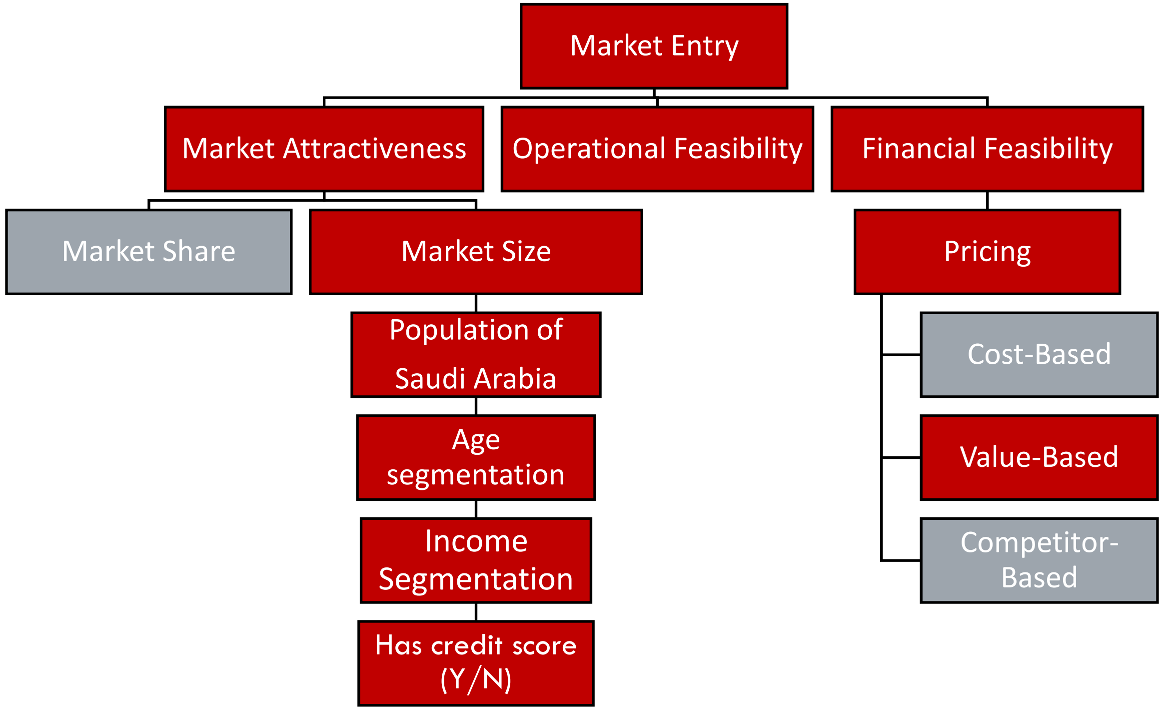
Case Statement

- Client is a telecom operator in Saudi Arabia looking to develop telco score, an alternative for credit score
- They want to analyze demand and pricing strategy

Interviewee Notes

- Incumbent leaders, 80% market share
- New AI based product – analyze feasibility
- Customers are banks and other financial institutions
- Banks come for data of customers which can be analyzed using sim and phone info.

Structure/ Framework



Key Takeaways

- Check with the interviewer exactly what needs to be analyzed and calculated
- Give the approach for guesstimate to the interviewer before the calculations are done

Ferry Service

Your best friend inherited a ferry and wants to monetize it. She is thinking to start a ferry commuting service between North & South Mumbai and needs your help in assessing the opportunity and price it.

Before I delve into the case, I have a few questions. What objective does my friend have in mind for this service?

Your friend just wants to use it as an additional source of revenue.

Does my friend already have a business model in mind? How is the competitive landscape?

The goal is to use the ferry as an additional source of revenue. There is no other ferry service currently operating in the region, and she is open to exploring all possibilities.

Thank you. Now that I have a basic understanding of the situation, give me few moments to structure my thoughts.

Sure!

I will start with understanding the potential customer segments and accordingly assess the market opportunity. I will later move on to delving into the revenue model and pricing the service.

That sounds fair! Please go ahead.

Starting with customer segments we can target both daily commuters and tourists for the service. Daily commuters would be the sum of employed and unemployed commuters.

- Employed commuters = Number of companies × Average workforce.
- Unemployed commuters = ~20% of total commuters.
- Tourists = Can be forecasted basis historical data with peak tourist months requiring additional capacity planning. Do you want me to get into the numbers now.

That's not required, let's move on to pricing the strategy.

For pricing this service, we can follow cost based, value based or competition-based methods. Since we are the first movers, we can focus on cost based or value-based pricing.

Sure! You can focus on cost-based pricing.

The major cost heads can be divided into fixed costs and variable costs. The fixed cost would include- licensing fee, employee cost, maintenance costs and marketing costs. Variable costs include fuel costs, ticketing costs, food and refreshment costs. The total cost would be sum of fixed and variable costs. The total annual variable cost is equal to the number of trips/day * cost per trip * no. of operational days in the year. Do we have information for these? Also, to estimate the total number of trips, can you help me with the time taken for a single trip.

You can assume the total fixed cost to be 12.5 Crs and the variable cost to be 20000/trip. It takes 20 mins for a single one-way trip.

Assuming total number of trips in a day to 10 (4- morning peak- 2, 4 – evening peak 2, 2-no- peak trips). The total cost comes to be around 18.5 Cr. This includes 12.5 Cr fixed cost and 10*20,000*300 = 6 Cr Variable cost

Okay! Can you can calculate the break-even price given that the capacity of the boat is 200.

Assuming 100% occupancy during peak hours and 80% occupancy during non-peak hours. Daily commuters comes out to 1920. The break-even price comes down to be Rs. 320 per person. I have an understanding that autos do not ply in south Mumbai and only cabs and Mumbai locals do, I would like to check the prices of these substitutes to price my service.

Given that the cab services costs Rs. 350 and Local costs around Rs. 100. How would you price your service?

Ferry offers faster travel and a better experience. Pricing above cabs (~₹500) positions it as both functional and a premium service. Additionally, for tourists, we can offer slightly higher packages (e.g., ₹1,000 for a trip). Dynamic pricing during peak hours could also maximize revenue. Does this pricing strategy align with your expectations?

Yes, great. Let's close the case here.

Ferry Service

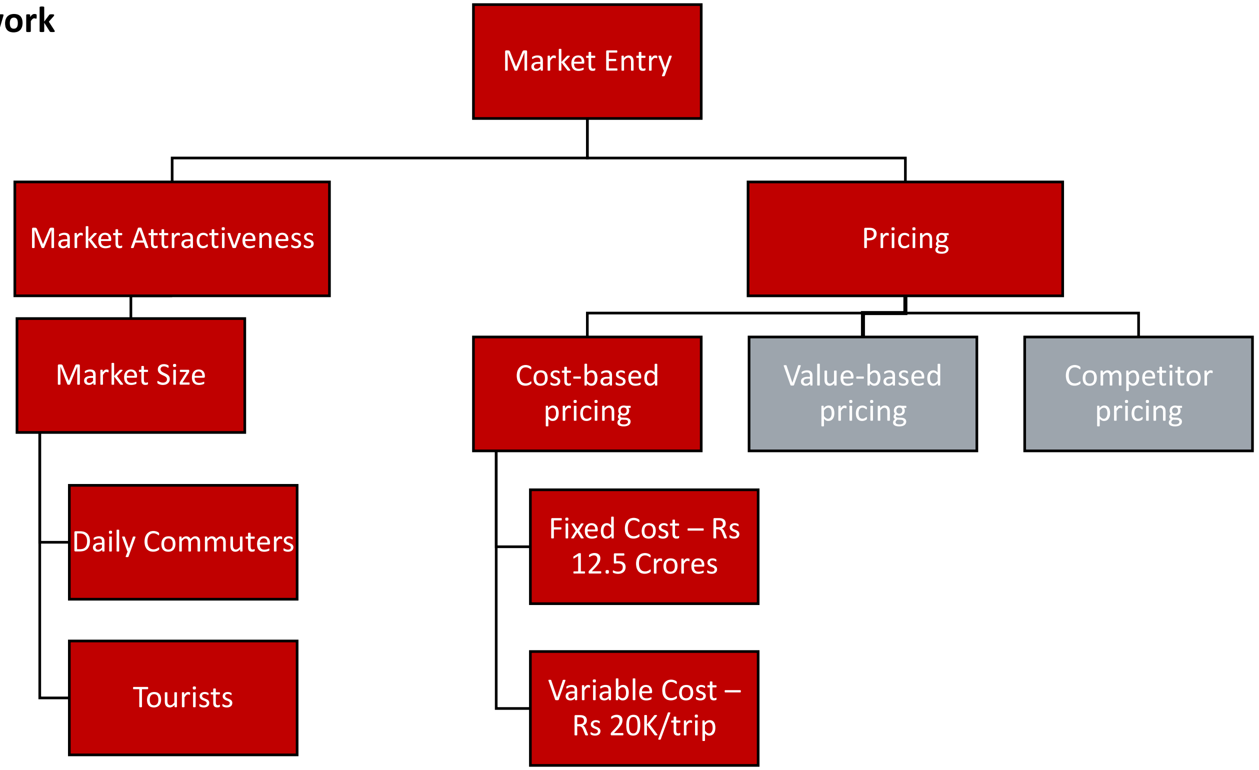
Case Statement

- Your best friend inherited a ferry and wants to monetize it. She is thinking to start a ferry commuting service between North & South Mumbai and needs your help in assessing the opportunity and price it.

Interviewee Notes

- Ferry Capacity – 200
- Cab Cost – Rs 350, Local Cost – Rs 100
- Assumptions – 100% capacity during peak hours, 80% capacity during non-peak hours

Structure/ Framework



Key Takeaways

- It is imperative to take in the interview’s buy in at all stages. Especially during guesstimates.
- It is important to understand key customer segments; hence, clear segmentation of commuters and tourists ensures accurate demand estimation.
- If given an opportunity to summarize the case in a time strapped interview, try to cover your entire approach despite delving into it or not during the course of the case.

Coffin Manufacturer

Your client is a high-end coffin manufacturer in Singapore. There is a new technology that helps make coffins of the same quality but at a lower cost. They have come to you for advice on how to proceed.

I would like to ask a few preliminary questions about the client. Would it be fair to assume that the customer segment they deal with is premium as they are a high-end manufacturer?

Sure, you can do that.

What do we know about the competitors in the space? What is the geography of operations and how is the competitive scenario? Is the tech proprietary?

The client only operates in Singapore. The market is stagnant and we have a 10% market share, we have another competitor with approximately the same market share, and the rest of the market is fragmented. The new technology comes from the US and is not proprietary. Anyone can buy it and use it. Can you list out the options in front of the client?

At the first level, the client can either choose to stay in the business or exit it. If they decide to stay in the business, they can either invest in the new technology or continue current operations. If they exit the business, they can either liquidate or sell to a third party.

That sounds fair. Can you evaluate the value from each step?

Sure, I will start with the option of staying in business with no investment in new technology. I would like to estimate the profitability from this option. To estimate the revenue, I will start with market sizing, Market size = (Population / Avg life span) * (Coffin bearers).

That sounds reasonable, you can take the population as 50L, average life as 80 years and assume that 70% are coffin bearers.

This gives me a total market size of 43.7K coffins and our market share as ~4.4K coffins. To estimate the profits, can you help me out with the revenue and cost structure of the business i.e. what is the average selling price of these coffins, and the fixed & variable costs involved in the business.

The coffins sell at $5K and there is a variable cost of $4.8K in manufacturing. We also have a fixed cost of $700K/year to run the business. Can you assume a perpetual business and let me know the NPV of business assuming a 10% discount rate?

The annual profits come out to around $180K. Assuming a 10% discount rate and perpetuity of business, I get a valuation of $1.8M for the business.

That sounds fair. Can you now look at the option where the client invests in the new technology? Assume that the new technology reduces the variable costs by 50% and requires an upfront investment of $150K.

Sure. The reduction in variable costs will increase our profits. However, since the technology is not proprietary, our competitors will also invest in the technology. This will lead to a price war. Hence, this does not seem to be a viable option for the business. However, if the competitor buys this technology, we can either investigate entering this price war or exiting the business.

That sounds like a good assessment. Let's explore the next option of selling to a third party.

In this case we should expect to get the same amount as the NPV of our business, i.e. $1.8M. For liquidation, I'd like to know about the client's assets and liabilities for this.

The major asset they have is land which they purchased 50 years ago at $150K. Assuming a 6% inflation rate can you estimate the current value?

6% inflation rate means that it will ~double every 12 years. Hence, in 50 years it will approximately be 16 times the original value that is $2.4M

That's correct. So ,what will be your recommendation to the client.

The value of the assets is more than the valuation of the business. However, this value is going to keep on increasing with time. I would recommend continuing the business till the time competitors introduce the new technology and at that time exit & liquidate the business

That sounds good. Thank you for your time.

Coffin Manufacturer

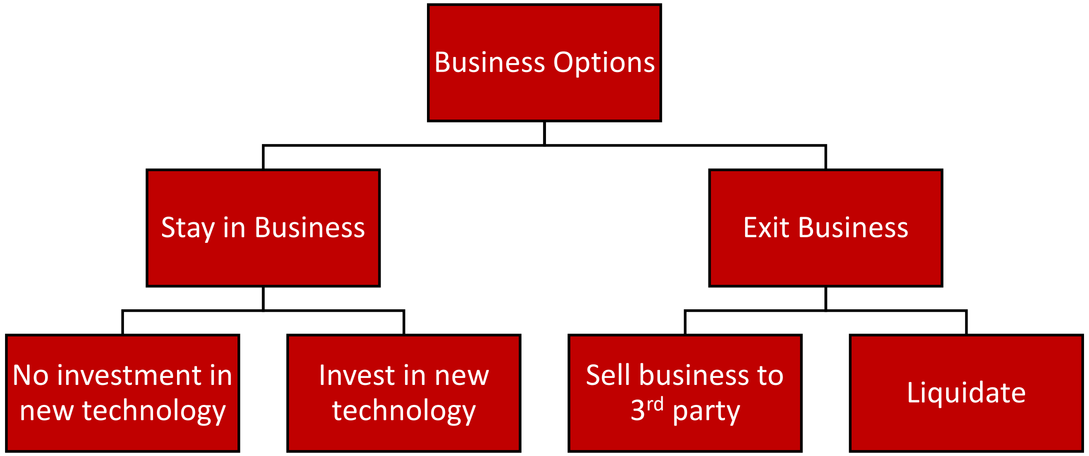
Case Statement

Your client is a high-end coffin manufacturer in Singapore. There is a new technology that helps make coffins of the same quality but at a lower cost. They have come to you for advice on how to proceed.

Interviewee Notes

- Premium customers
- 10% market share with one similar competitor
- Market growth has been stagnant
- Operates only in Singapore which has population of 50L, average life 80 years and 70% as coffin bearers
- Price of coffin = $5K, variable cost = $4.8K, fixed cost = $700K/year
- Major asset is land purchased 50 years ago at $150K. Inflation rate can be assumed to be 6%

Structure/ Framework



Calculations	
Market size = (Population/Avg. life span) * (% coffin-bearers)	= (50L/80L)*70% = 44K
Profits = Volume sold * (Price – Variable cost) – Fixed cost	= 44K * 10% * (5K-4.8K) – 700K = $180K
Valuation of business = Profits / discount rate (assume perpetual business, 10% discount rate)	= 180K/10% = $1.8M

Key Takeaways

- Take buy-ins from the interviewer regularly.
- Make the framework before jumping into the case. Remember to navigate the framework well.

Domestic Airline Service Provider

Our client is a leading airline service provider. They have done a study as to where could they increase their frequency and where could they add new routes. The new policy got approved by their Board. You need to help the client on starting on a particularly identified route which is Kolkata – Goa – Kolkata

Before diving into the case, can I know about existing flights on mentioned route?

Sure, there is an Indigo flight on this route which is a direct flight.

Can I know a bit more about this flight, what is the average capacity, timings and occupancy of the plane?

It is a 180-seater plane, and the route timing is 10:30 am Kolkata to 01:00 pm Goa and return at 02:15 pm from Goa, once daily. The flight runs at 95% occupancy on average

Can I know a bit more about our client's plane (how many seaters?)

It is also a 180-seater plane

I would like to ask a few more questions. Why have the other operators not started operating on this route?

Well, many operators are evaluating this route

With 95% average occupancy it seems to be a great route to operate on. So, our concern should be to decide at what slot and at what frequency do we plan to run the flight.

What about the cost structure?

Some of the cost header that I can think of are: Tariff at the airports, parking charges (if they are cheaper at Goa then we park the plane there, otherwise we park in Kolkata), fuel, staff etc. Is the same plane used for other routes as well? Further, should I also estimate potential demand on this route?

Ignore these factors for a moment. And there is sufficient demand on the route so market sizing can be ignored as 95% occupancy on average is an excellent occupancy.

Got it, can you help me understand how are the flight slots allocated to an operator?

Assuming that you will be given the slot that you desire for, how would you suggest the client to operate on this route?

The route is attractive. So firstly, we have to decide on the slots at which we operate. We also need to check what differentiating services can we offer to poach customers from competitors who also operate on the route.

Interesting, what differentiated services can you offer?

Some factors that I can think of are faster check-in/check-out, increased frequency for seasonal demand (as Goa has more tourists during winters and around Christmas) and data driven personalized services and excess luggage facilities.

Don't you think that the operators are already doing it? And on your luggage point, what kind of travelers go to Goa? And what kind of luggage will they have?

Tourists who travel with less luggage. Light travelling is the norm, so this might not be a feasible suggestion. Can we consider operating indirect flights?

Our client currently offers direct flights on this route and the flight is costly.

Interesting! Then we can consider including indirect flights on this route which will reduce ticket cost & increase occupancy. We can have 1-stop flights with halts at Mumbai, Bengaluru etc.

Interesting, at what slot would you prefer the client to schedule the flight

As we have very high average occupancy, it means there is demand on the route. I would operate the flight at or around the same time as our competitor to take advantage of the demand. As our flight will be with one-stop, we can lower our ticket prices as well.

If the client lowers the ticket price, how will the competitor react?

They will also lower their price.

Domestic Airline Service Provider

So, do you think this would be a good idea?

No, hence we should operate at the same price as our competitor. And since our costs could be lower because of one-stop flight and higher occupancy we can make higher profits.

Alright, thank you. We can close the case here

Domestic Airline Service Provider

Market Entry | Challenging | YCP Auctus

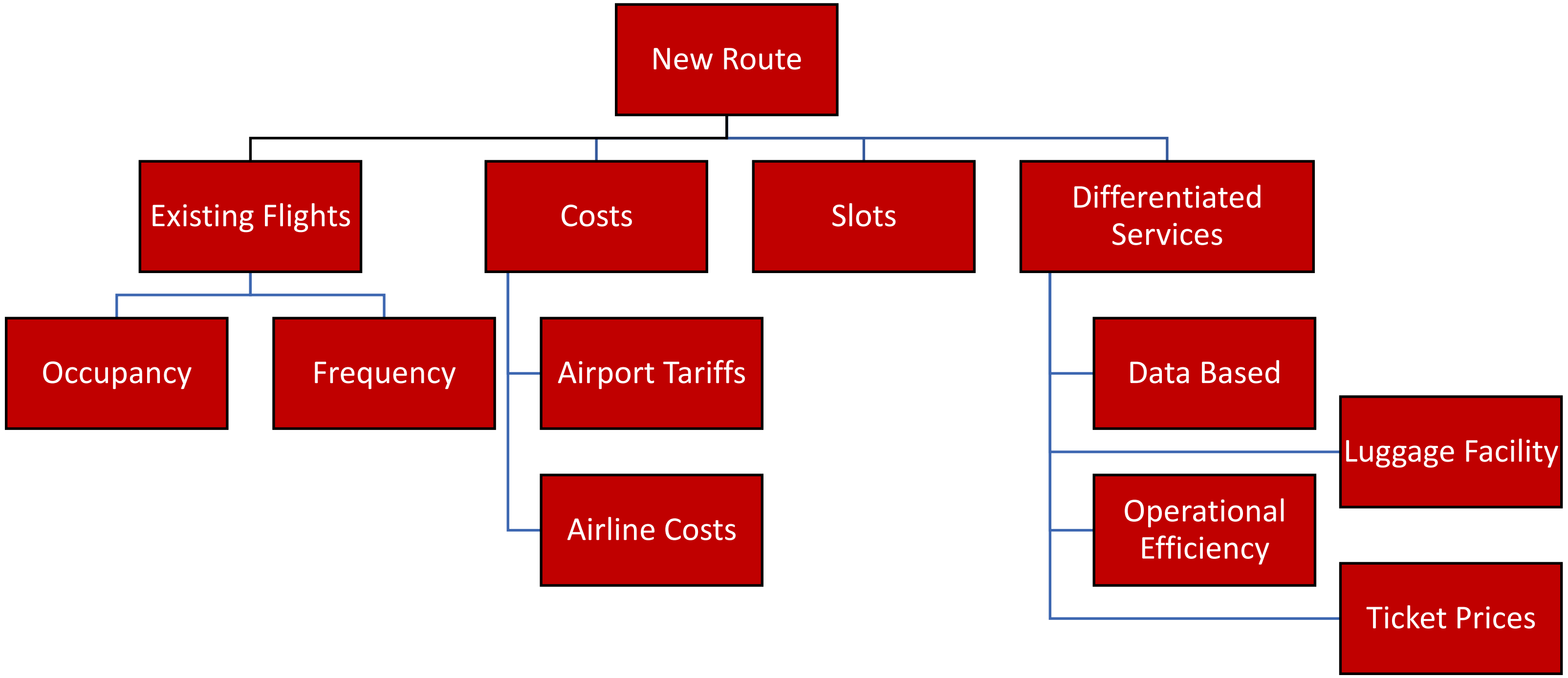
Case Statement

- The client is a leading airline service provider
- They need to implement a new policy on increasing flight frequency and adding new routes
- Advise the client on adding the Kolkata-Goa- Kolkata route

Interviewee Notes

- Many competitors exist due to high occupancy of the route
- No need to focus on conventional framework

Structure/ Framework



Key Takeaways

- The interviewer was pushing to focus on methodology of implementation. One must be quick to adapt
- It is more important to be MECE and check things to focus on with the interviewer when the framework isn't direct or conventional
- Preliminary questions need to be more comprehensive. Recommendations must be more unique – E.g.: Partner with travel agencies, etc.

Third-Party Garages

Ratan Tata visits Germany and is amazed by the third-party garages there. He wants to replicate the business model in India and has asked for your help to understand if it is feasible. If yes, how to approach this?

I would like to understand the problem a bit more. Why do customers opt for third party garages than company service centers? What is their revenue model? Which segments in auto does it cater to?

These are independent garages focusing on vehicles from all segments. The revenue model is both pay per service and subscription based. Customers opt for this for better quality in lower prices. Auto dealers are okay with it as the servicing sector doesn't contribute much to their revenue and increases costs.

In order to understand the reason for their existence, how do they source the original spare parts as it must be a concern? Also are we planning to implement the exact same model in India, and what's the current competitive scenario in India? And what is the objective behind replicating this?

The parts used are original sourced from the tier 1/2 suppliers. For Indian scenario focus on cars only. There are no organised players present in India. The objective is to increase revenues maintaining decent profitability.

Ok, I have good information to proceed with my analysis. Since this is a new industry, I will begin by analyzing the market attractiveness, and then move on to analyze the operation aspect as in setting up of the value chain and potential barriers if any.

That sounds right. Let's start with market sizing and target segment. I want to see your approach, don't focus on numbers.

Sure, I will begin with the population approach. Apply filters of urban and rural. We proceed with urban and apply filter of income (high, medium & low). Divide, this by 4 to get number of families, we can ignore the low-income segment. Multiply medium and high income by number of cars per family. 1 and 3 respectively.

That's about right, which segment do you suggest we should target?

Medium income segment looks for value for their money whereas high income segment looks for brand and convenience. Even though the MI segment seems lucrative, the unorganized Indian repair industry is full fledged and attracts the MI with much cheaper prices with duplicate parts. Hence, I think our favorable segment would be high income.

That's a good observation. The Indian unorganised sector is quite popular among the medium income segment. Our offering of convenience and quality will sit better with high end segment.

Right. Also, we can earn better margins from this segment. Do you want me move to pricing also?

No, let's focus on the setting up of the value chain. How do you suggest we go about it ?

Understood, Since we are focusing on high income clients, we will be dealing with high end luxury cars. We will need strong supplier relationship with both domestic as well as overseas suppliers. That shouldn't be a problem with the brand name Tata. Next, we will need to setup stores, preferably in tier one and two cities. For marketing we can tie up with dealers for servicing programs and advertise directly in store. Lastly finding skilled workers might be a challenge for which we can setup a training facility for the same.

Those are great suggestions. Can you elaborate on the location of the stores? Which locality to target in the city?

Let me gather my thoughts. I think ideally, we should be in the vicinity of our clients. But those areas must have very high rental cost, instead we can locate ourselves outside the city on major highways, with large stores.

Wouldn't that be inconvenient to our clients?

For convenience we can have pickup facility for our clients. This will help us exploit low rent cost, high economies of scale and deliver convenience to our clients too.

That is what I was looking for. We can close the case here. Thank you.

Third-Party Garages

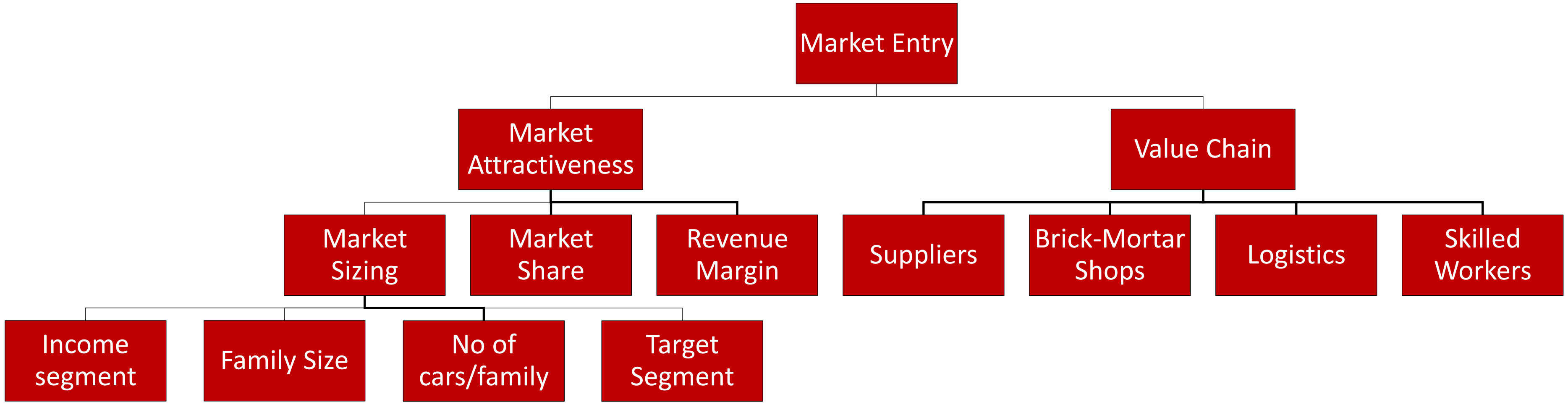
Case Statement

- Assess if the business model of third-party garages popular in Germany can be replicated in India

Interviewee Notes

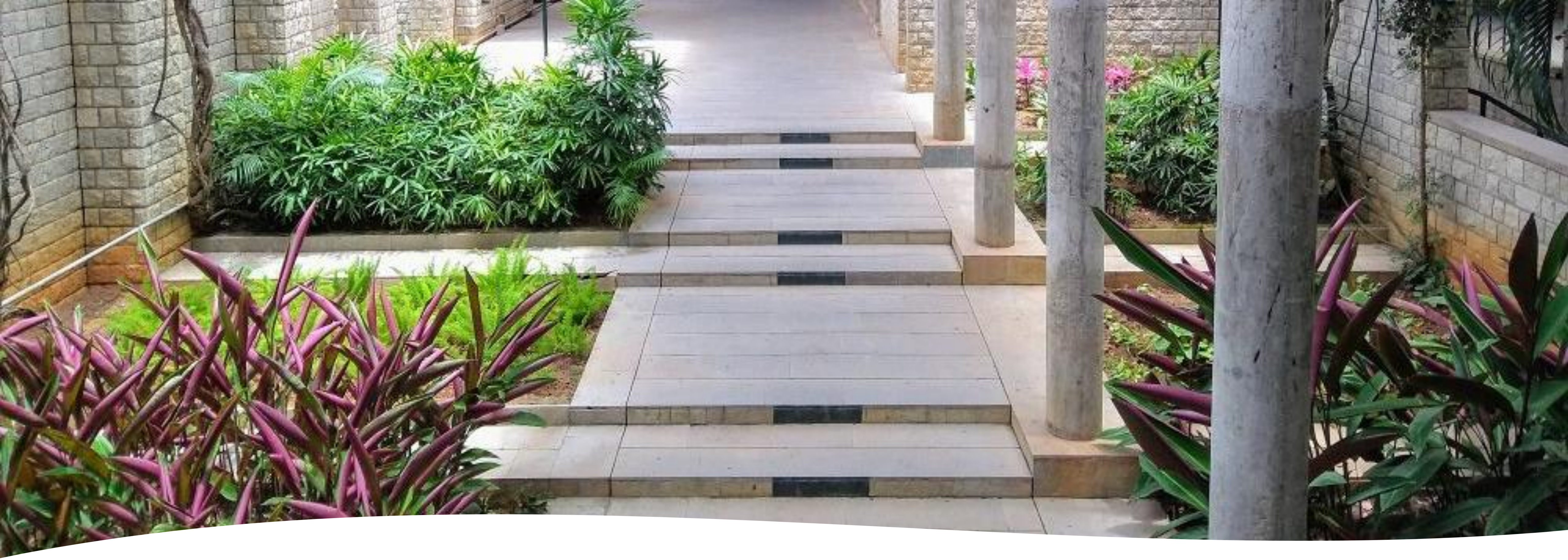
- Understand the business model of these garages and why are they better compared to brand owned stores.
- Identifying the issues related to unorganized sector in India while assessing target segment was of key importance here.
- Remember to tie up each decision to the objective of increasing revenues and convenience

Structure/ Framework



Key Takeaways

- Focusing on the product journey rather than the customer journey provided clarity in addressing root causes
- Competitors also face similar issues, but better demand forecasting and advanced packaging have helped some reduce replacements. These strategies are replicable



IIMB Growth Strategy Cases 2024-25

Growth Strategy Framework

- Market growth rate lower than management's growth expectations
- High market share w.r.t. closest competitor
- Concentrated in a small market
- Demand in other markets
- Typical Market Entry Case!!

- Market growth rate in line with management's growth expectations
- Low market share w.r.t. market leader
- Growth rate w.r.t competitor
- A derived profitability case!!

- Product - Market growth rate lower than management's growth expectations
- Management's objective
- High concentration in a single product/ category
- Diversification strategy case!!

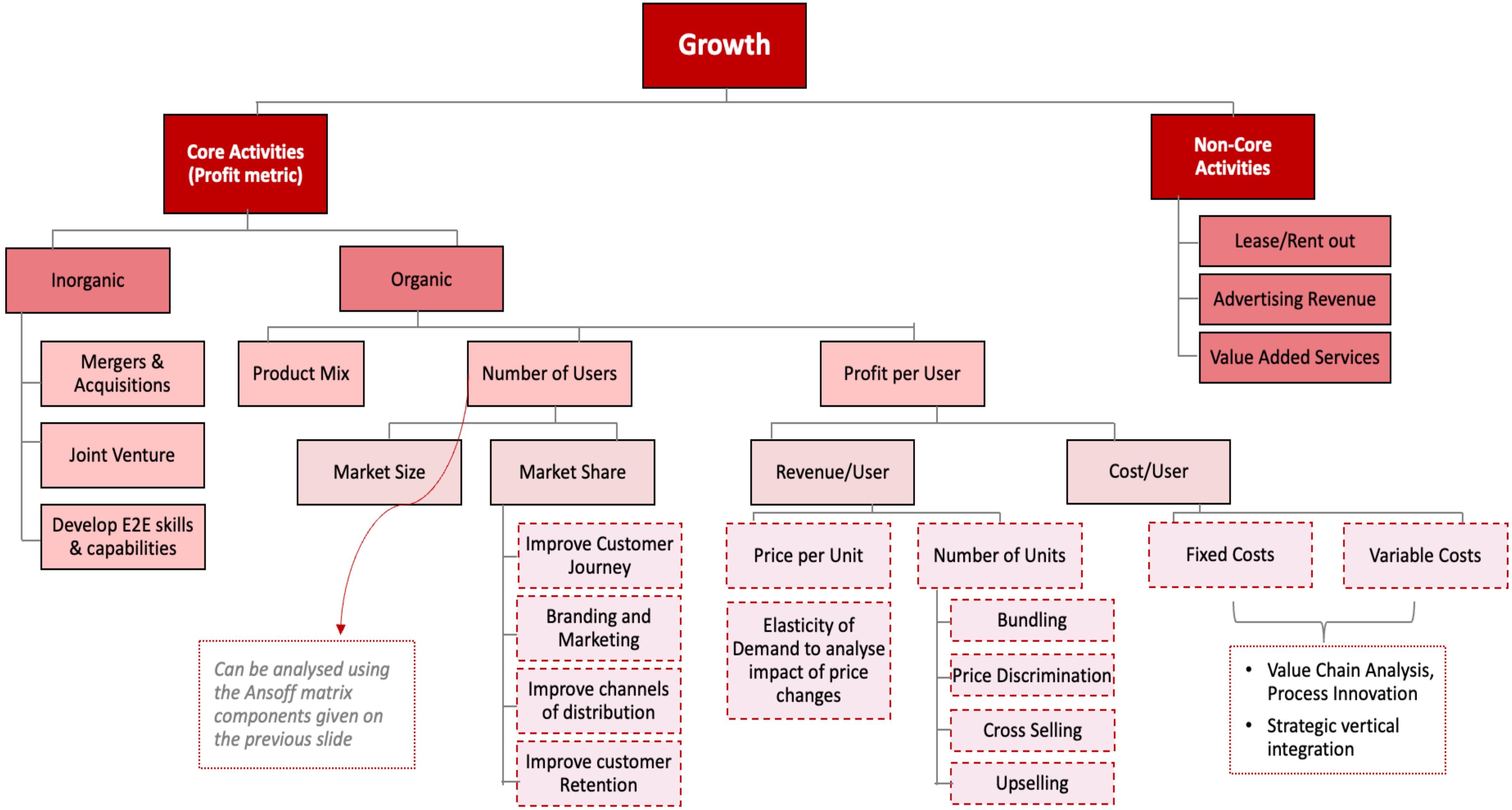
- Market growth rate lower than management's growth expectations
- Product in maturation or decline phase
- Product Launch Case!!

Growth Strategy Framework (Alternate)

Content Page

Preliminary Questions

- Clarify objective and quantum of growth, timeline
- Business Model – Where does the firm lie in the value chain? What are its revenue streams and distribution channels?
- Understand customer segments
- What is the product mix? Any differentiating/ new features in products?
- What is the competitive landscape?



Fireproof Vests Manufacturer

The CEO of a fireproof vests manufacturer is looking for new ways to diversify in the Singapore market. What are his options and how should he evaluate these options?

Before I delve into the diversification options, I would like to ask a few clarifying questions on the client's current business. What is the client's product portfolio, apart from fireproof vests, and who are the existing customers they are catering to?

They currently supply fireproof vests to the Singapore Government, to be used by the firefighters, which is the only product they sell currently.

Understood, do we know the rationale behind this proposed diversification, and is there any specific goal that the client is pursuing?

They are foreseeing saturation in the fireproof vest market and want to look for alternate opportunities to grow their business further.

Got it. I would like to take a minute to analyze the problem and identify various avenues for diversification.

Sure.

There can be multiple avenues for growth. Primarily, we can look at 4 options – We can look at existing markets with our current portfolio, through Market Penetration, or expand our portfolio through Product Development Strategies. The client can also look to explore other markets, such as private sector, or international markets. This can again be done using its current expertise in existing products through Market Development, or venture into new products using Product Diversification strategies. Considering the client's expertise, I would suggest they should stick to the current market, i.e., safety products to government agencies and expand their portfolio to products such as bullet proof vests, fire fighting equipment and headgear, etc. Shall we go ahead with that approach?

Alright, that makes sense. What factors would you consider to choose which product they can diversify in?

I would look at broadly three aspects: market attractiveness, financial feasibility and operational feasibility of the diversification. Under market attractiveness, I would look at market size, share, growth, profitability, and barriers/risks to entry (including competitive landscape, and regulations). Under financial feasibility, I would consider the investment required, costs and revenue to do a breakeven or ROI analysis. For operational feasibility, I would look at the value chain of the industry to see where our client would be able to create synergy and leverage its current capabilities (including skilled labor, technology, and production/design compatibility).

Great, so let me show you some data regarding the products the CEO has shortlisted *(data on next page)*. Which of these products would you recommend and why?

I would focus on officer uniforms; and riot shields due to high production overlap, market size and growth. Primary focus will be on Officer uniform, given the large market size, 3-year revenue opportunity will be the highest compared to other products (Calculation on the next page). Additionally, due to high production overlaps and growth rate, the client can also go for riot shields. I would not recommend bullet proof vest, despite significant production overlap, given the huge competition, gaining market share would be difficult.

Alright. Now let us evaluate that hypothesis for bullet proof vests and officer uniforms. Suppose we can capture 30% market share for both in 3 years, what would be the projected revenue?

To find the projected revenue in the 3rd year, I would need to know the market size in that year. The data has mentioned that the growth rates given are over the past 3 years. Can I assume a similar growth rate of 10% over the next 3 years as well?

Good, you may assume 10% growth rate and proceed.

In that case, the market size for bullet proof vests in year 3 would be around $800M, and considering 30% market share, the projected revenue is $240M, the same for Officer uniforms will be 521Mn.

Fireproof Vests Manufacturer

Alright, suppose the capex is $100Mn for bullet proof vests and $200Mn for Officer Uniforms. The CEO wants an ROI of at least 15% in 3 years. Which diversification would be feasible as per that?

Do we have information on the variable costs, and the market shares predicted for the first 2 years as well?

Yes, assume variable cost to be 75% of revenue. And the market shares of year 1 and 2 are 10% and 20% respectively for both products.

Thank you. So, the profit each year would be revenue – VC (For example, $60M-$45M for year 1). We get the total profit to be ~$103Mn for bullet proof vests and ~$240Mn for uniforms. The ROI can be calculated as (Profit-Investment)/Investment. This gives us (103-100)/100. 3% is the ROI for vests and 20% for uniforms. Thus, I would not recommend the CEO to go ahead with Bullet proof vests and instead should choose Officer Uniforms for diversification.

Great, thank you.

Police Equipment	Production Overlap	Market Size	Market Growth*	# of Competitors
Officer Uniforms	●	$1.5B	5%	3
Hand Cuffs	◔	$300M	-2%	8
Police Badges	◔	$100M	3%	4
Bullet Proof Vests	◕	$600M	10%	20
Weapon Holsters	◑	$300M	5%	12
Riot Shields	◕	$450M	12%	6
Body Cameras	◔	$250M	50%	25

* Annual market growth over the last 3 years

Fireproof Vests Manufacturer

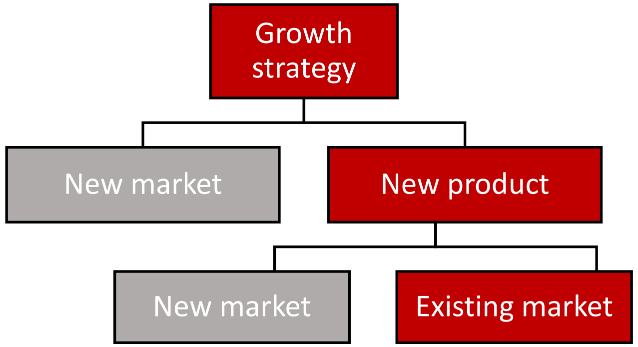
Case Statement

- Fireproof vests manufacturer in Singapore looking to diversify into different products
- Client wishes to stay in the Singapore market but delve into new products

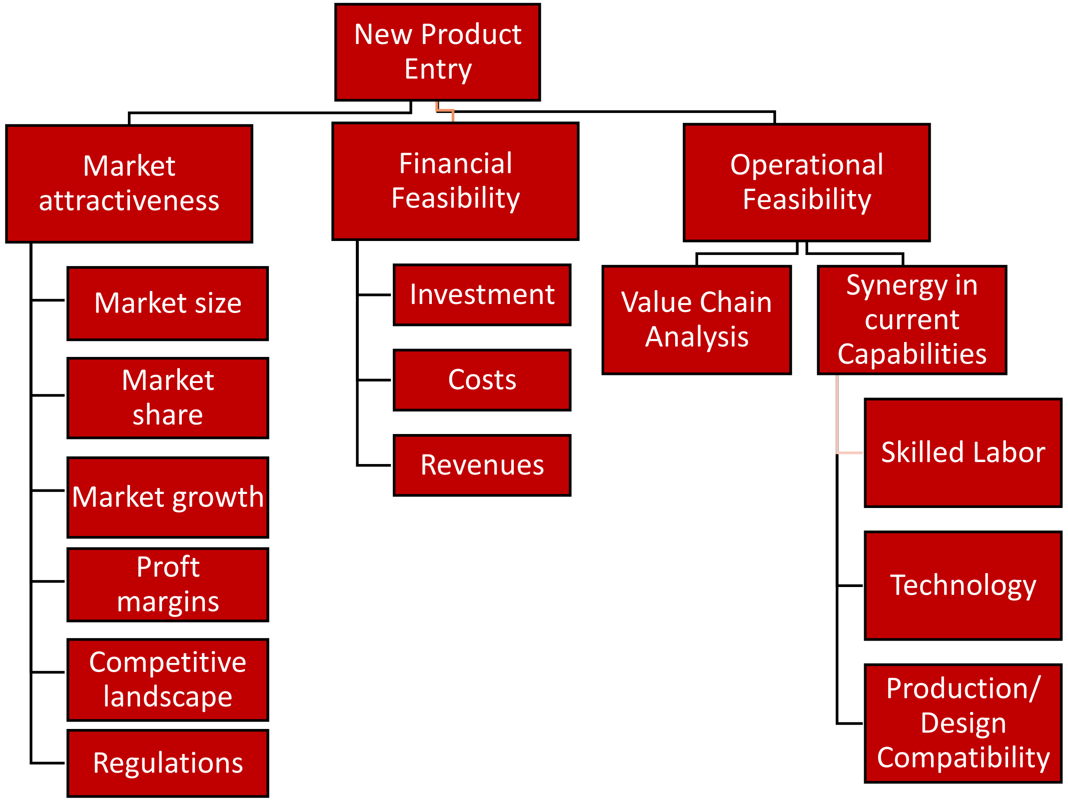
Interviewee Notes

- In the given data, growth rates given are previous years. Need to make assumption for future growth rates.
- Client wishes to achieve 15% ROI. Need variable costs, market shares of each year and investment for ROI calculation.

Structure/ Framework



Particulars	Officer Uniforms	Bullet Proof Vests
Market Size	1.5Bn*(1.05)^3	600Mn*(1.1)^3
Market Share	**1.73Bn * 0.3 =521Mn**	798Mn * 0.3 =240Mn
Profits (Revenues – VC)	(150-113)+(315-236)+(496-372) =240Mn	(60-45)+(132-99)+(218-163) =103Mn
ROI	**240-200/200 = 20%**	103-100/100 = 3%



Key Takeaways

- Focus on synergy and market growth when evaluating diversification options
- Consider growth rates and predicted market shares for projected revenues; and use variable costs and investment for ROI calculation.
- Depending on the interviewer, the case could have used the New Market Development strategies, it would be useful to analyze the same outside of this case for complete understanding

Your client is a US-based tyre manufacturer. Over the past few years, their growth has declined. Investigate the reasons behind this decline and provide recommendations for growth.

Thank you for the context. To start, I'd like to ask a few clarifying questions to better understand the client's business. Could you tell me about the client's product portfolio?

The client produces high-performance tyres exclusively for premium car manufacturers like Lamborghini and Porsche.

What is the client's primary revenue source? Do they focus solely on sales to OEMs, or do they also serve the aftermarket segment?

Most of their revenue, around 80%, comes from OEM partnerships. They have a smaller presence in the aftermarket segment.

Understood. How has the client's growth trend been over the past few years? Is the decline specific to the client, or has the overall premium car market also experienced stagnation? Also, how does the competitive landscape look like?

Growth has declined steadily by 10-15% annually over the last three years. The premium car market is growing steadily, so the issue seems to be specific to the client. The client is a market leader, and competition hasn't significantly impacted their market position.

That's helpful. Has there been any change in customer preferences, such as a shift in the type of tyres being used or a move toward alternative technologies? Could you share more about the client's relationships with key customers? Are they still purchasing at the same levels, or have their purchasing patterns changed?

So, there hasn't been any change in the customer preferences. They still prefer high quality tyres. However, the purchasing patterns have changed. Can you explore why?

Based on what we've discussed, the premium car segment is growing, and demand for high-performance tyres remains strong. However, the decline in growth suggests market share erosion, i.e, that the client's revenue concentration with OEMs might be a risk. If key customers are reducing their orders, this could indicate they are either exploring alternative suppliers or producing tyres in-house. Could this be a possibility?

That's an interesting insight. Why do you think key customers might be producing their own tyres?

In industries like automotive, it's common for OEMs to pursue backward integration to control costs and quality while increasing supply chain efficiency. Given that Lamborghini and Porsche are premium brands with high production capabilities, they might have opted to produce tyres in-house to meet their specific performance needs and reduce dependency on external suppliers.

That's correct. Some key customers, including Lamborghini and Porsche, have started producing their own tyres through backward integration.

Thank you for confirming. This backward integration seems to be the primary driver behind the client's growth decline, as it directly impacts their largest revenue stream. May I now proceed to recommend strategies to address this challenge?

Yes, go ahead.

The client can grow either by exploring new markets or by maximizing opportunities in current markets. Do you want me to begin with any of these?

Let's start with exploring new markets.

For new markets, the client should focus on high-growth regions like India, and the Middle East, where the premium car market is expanding. They can establish partnerships with local luxury service centers and distributors to build their presence. At the same time, diversification into adjacent product categories such as high-performance motorcycle tyres and off-road tyres could unlock additional revenue streams. These products align with the client's expertise and would resonate with niche audiences in these new markets. Together, expanding geographically and diversifying their product portfolio will help the client reduce over-dependence on current markets and explore untapped opportunities.

That sounds promising. What about opportunities in existing markets?

In current markets, the client can focus on strengthening the aftermarket segment while also innovating in product offerings. Building a direct-to-consumer platform to engage luxury car owners directly would be a key step. They can upsell by offering premium perks such as free installation, extended warranties, and subscription-based maintenance to create stronger customer loyalty. Additionally, innovating products for emerging needs, like developing EV-specific tyres with features such as lower rolling resistance and enhanced durability, would allow the client to stay ahead of industry trends. Collaborating with premium EV brands like Tesla would reinforce their position as a leader in high-performance tyres. These strategies would help them secure market share and increase revenue in existing markets.

Great! Can you summarize your recommendations?

Absolutely. For new markets, I recommend expanding into high-growth regions like Middle East and India while diversifying into adjacent categories such as motorcycle and off-road tyres. For existing markets, the client should focus on strengthening the aftermarket segment with a direct-to-consumer platform and innovating EV-specific tyres to cater to emerging needs. This two-pronged approach will help mitigate risks from OEM backward integration while driving growth and maintaining the client’s market leadership.

Thank you! We can close the case.

Premium Tyre Manufacturer

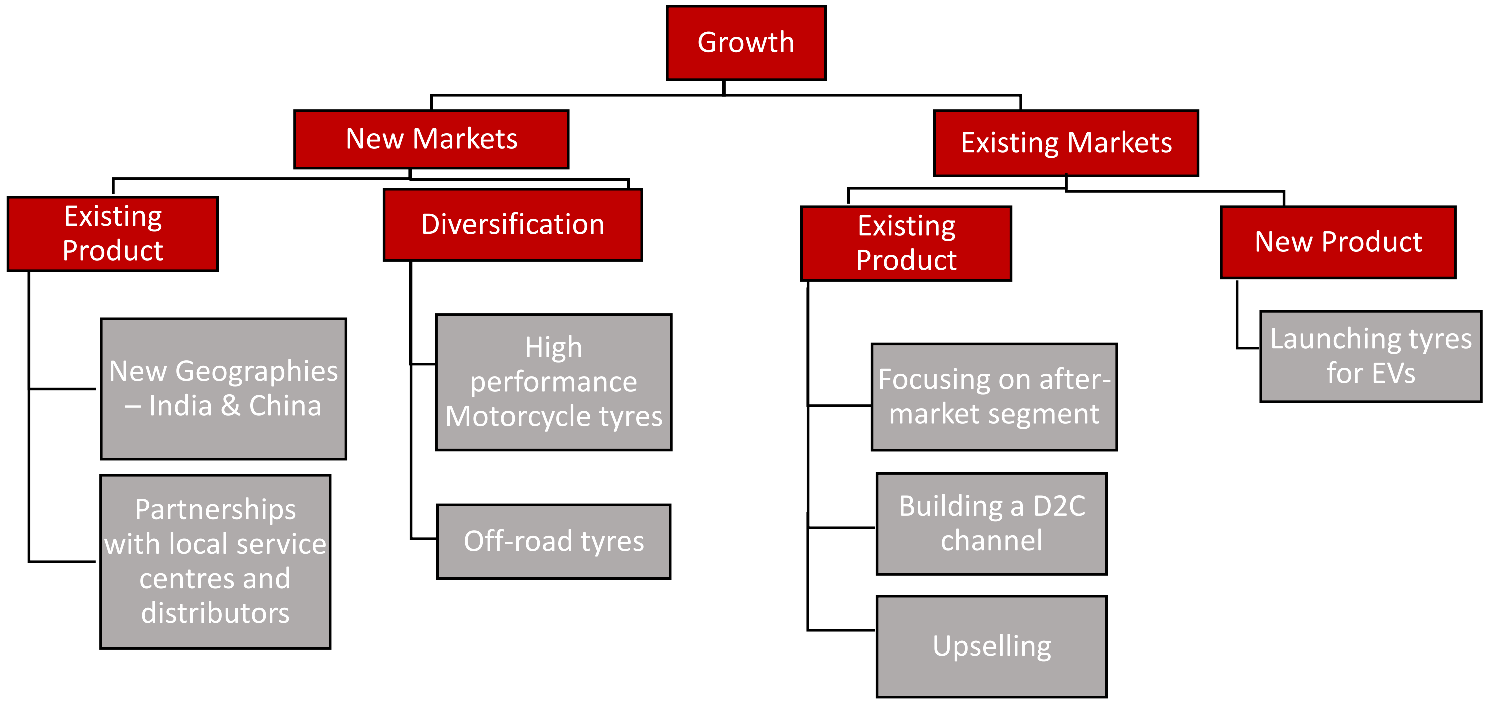
Case Statement

- Client is a premium tyre manufacturer focused on high-performance tyres for luxury car brands
- They want to investigate the cause and regain growth

Interviewee Notes

- US based client, into manufacturing tyres for premium cars
- 80% revenue comes from OEM partnerships
- Growth declined 10-15% over the last 3 years
- Market leader, no impact from competition

Structure/ Framework



Key Takeaways

- Be careful of geopolitical relationships before pitching in new markets
- Remember that market share erosion can happen either because of the competitors or backward integration by the client
- Paying attention to details, such as the client's presence in the aftermarket segment, is essential. Including these specifics in your recommendations demonstrates your ability to connect key insights and present comprehensive solutions.

Automotive Manufacturer

The client is an automotive component manufacturer specializing in the assembly of electrical parts. Currently, the client produces 4,000 units of the component daily and aims to achieve a 15% year-on-year growth in production. The client seeks your expertise to determine whether they need to invest in capex. If yes, how much should they invest?

To ensure we're aligned on the problem, the client is an automotive component manufacturer producing 4,000 components annually and is targeting a 15% y-o-y growth. They are seeking guidance on whether capital investment is needed to achieve this growth and, if so, the amount required.

Correct!

To address this, I'd first like to know more about the client. Who are their major customers, and what types of automobiles do they primarily cater to? Additionally, what is their current market share as compared to thier competitors? Why do they want to grow by 15% y-o-y?

The client majorly caters to two-wheeler OEMs (Original Equipment Manufacturers) in India and is among the top 5 players. The manufacturer currently foresees increase in future demand and hence, wants to prepare for the same.

Got it! I would address this issue by examining a) operational feasibility, b) financial feasibility, c) Potential risks faced by the client. Operational feasibility includes current capacity utilization and production constraints (if any) to assess the need for capex investment. Financial feasibility includes revenue-cost benefit, capex investment financing, payback period, etc. while risks include any hurdles that the client may face in the future.

Great approach! Let's delve into it.

Thank you. To understand the operational feasibility, I would assess the current capacity utilization first. Do we have information w.r.t no. of factories, assembly lines, stations, labor, labor hours along with the throughput rate / cycle time?

The client has one factory in Pune, Maharashtra which is equipped with 2 assembly lines with 10 stations. It is used for 2 shifts of 8 hours each. There are 30 labors on each line. The cycle time is 25 seconds for each finished product.

Understood. Hence, the total capacity is 4608 units per day and 15% y-o-y growth for the next year would be 4600 (4000*1.15) units. Therefore, the client can easily suffice next year's demand but for upcoming years, it does need to increase its capacity. It can initially focus on increasing capacity utilization by optimizing machine utilization, improving labor productivity, etc. Future capacity can further be increased via reducing production constraints. Do we have production constraints – bottlenecks like machine utilization, labor efficiency, shopfloor management – which can result in increased efficiency?

Currently, the client cannot further improve machine & assembly line efficiency as the cycle time is the most optimum. But yes, it can surely work around machine utilization as the machine can be operated for 24 hours.

Great! So, 3rd shift can be started which will increase the production by 2304 units. This will further reduce the requirement of capex investment.

Sounds good, can you elaborate how can they increase production with capex investment?

Certainly. The client can expand production through either organic or inorganic growth strategies. Organic growth may involve increasing production capacity by adding assembly lines, establishing a new factory in a cost-effective location, or investing in more efficient machinery. Inorganic growth could include entering into contract manufacturing agreements, forming joint ventures, or acquiring a similar company to scale operations.

Great recommendations! Lastly any risks that you foresee?

Here are a few risks that might hinder the production:

a) Wear & Tear of machinery: Due to 24-hour utilization, machine efficiency will reduce due to wear & tear.
b) Reduced demand: Demand might reduce due to external factors like economic situations (recession), political tensions or environmental concerns, competitors, etc.
c) Liquidity & financing issues: Increase in raw materials, storage, labor will lead to high working capital while capex investments will require debt / equity financing.

Spot on. Now we can close the case. Thank you!

Automotive Manufacturer

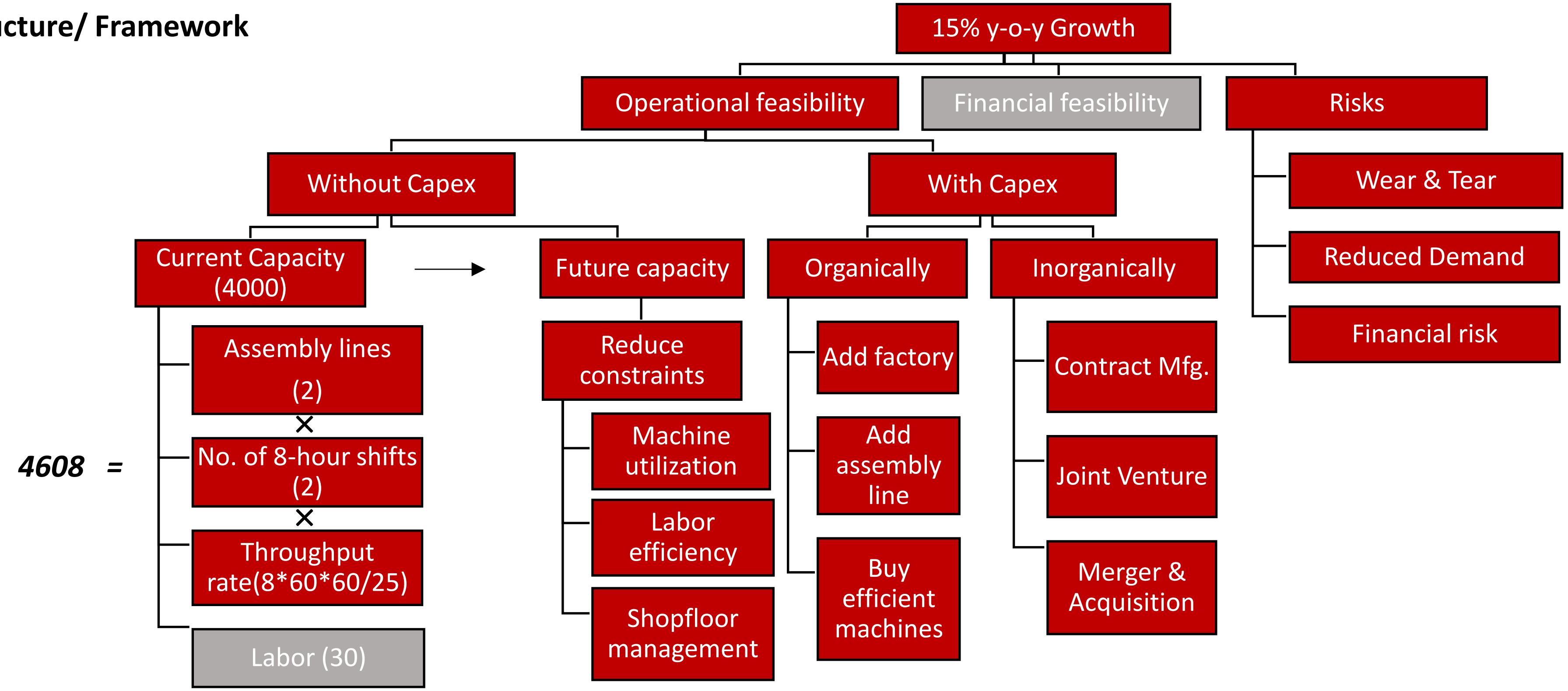
Case Statement

- The client is an automotive component manufacturer specializing in the assembly of electrical parts. The client aims to grow 15% year-on-year
- Your task is to figure out how he can grow and give recommendations

Interviewee Notes

- Aim / Goal: Growth due to higher demand
- Major customers: OEMs
- Geography: India
- Two-wheeler automotive component
- Market position: Top 5
- Factory in Pune, Maharashtra

Structure/ Framework



Key Takeaways

- Operational growth case with slight calculations
- When facing operations problem, it's crucial to understand the current capacity utilization and its production constraints
- Depending on the case interview, the case could also consider further analysis of financials aspect. This would require calculation of Payback Period, NPV, comparison of target v/s actual ROI, etc. Practicing the same is also recommended for such cases

Oil Refinery Company

An oil refinery company's profits have been stagnated. Analyze the issue and suggest diversification option.

Thanks, I would like to ask a few clarifying questions to understand the context better.

Sure, go ahead.

I would like to understand a bit more about the client business/products, the geographies in which they operate and where do they exactly lie in the value chain? Additionally, since when have they been experiencing this issue?

They are based out of India, have two refineries and 20K petrol pumps pan India and the company isn't seeing growth since last 1-2 years. They are present across the value chain, but are experiencing issues downstream in selling petrol and diesel.

Understood. Do we also have information regarding their competitors, and if they have also been facing similar issues?

You can assume they are one of the major players and only sell petrol and diesel. In the interest of time, you can focus solely on the company and consider that we must diversify as soon as possible.

Okay, so, the company is facing slow growth in profitability since last 1-2 years, it owns the downstream value chain and sells petrol and diesel. We need to find the reason why and recommend diversification options at the earliest.

That's correct. You can start with the case and see if you require any other information.

Sure, since the profits are not rising, I would like to understand is it because the revenue aren't increasing, or the revenue or cost are going up simultaneously?

The revenue aren't increasing because of emergence of alternate fuel. You can suggest ways to boost revenue.

Understood, I would like to start with looking for organic and inorganic growth opportunities. Organic can be further broken down into enhancing sales using existing products or new products, and inorganic is to look for greenfield/JV in other countries.

Since it's a capital-intensive industry in terms of investment required for plant and machineries, let's limit our case to how we can increase revenue without substantial investment or expansion in other countries.

Makes sense, organically, we can increase revenues through existing products or venture into new products. Revenues from existing products would include - increasing revenue/users by cross-selling, upselling and loyalty programs or increasing market share.

Great. Let's explore the option of increasing revenue per user. What exactly would you do?

The revenue per user can be increased in three ways - 1) Pushing the existing customers to go for premium fuels/high octane petrol in petrol pumps, 2) Introducing other ancillary services such as selling automotive parts or opening garages for cars/bikes, 3) Opening a departmental store in petrol pump and launching a loyalty card program where customers can get discounts or coupons based on their purchase history.

Good suggestions. Let's now explore how to increase the number of users.

So, the no. users can be increased by increasing market share through marketing or penetrating deep into the tier 2/3 cities.

That's a fair point but we have already captured a good market share, and the client doesn't want to invest much in penetrating the tier 2/3 cities. Can you think of any out of the box business idea?

Sure, we can further analyze venturing into new products using the clients' existing capabilities - the client can use its existing refineries to expand its product line by launching – 1) petrochemical consumer goods- plastic & polymers, lubricants, 2) Renewable energy – hydrogen fuel, 3) Agriculture and food – pesticides, fertilizers and cooking oil.

These are great suggestions. Mention two most important factors you would consider while going for any of the options.

I would like to consider financial feasibility – IRR, ROI etc. and operational feasibility.

Good. We can close the case here.

Oil Refinery Company

Growth Strategy | Moderate | BCG

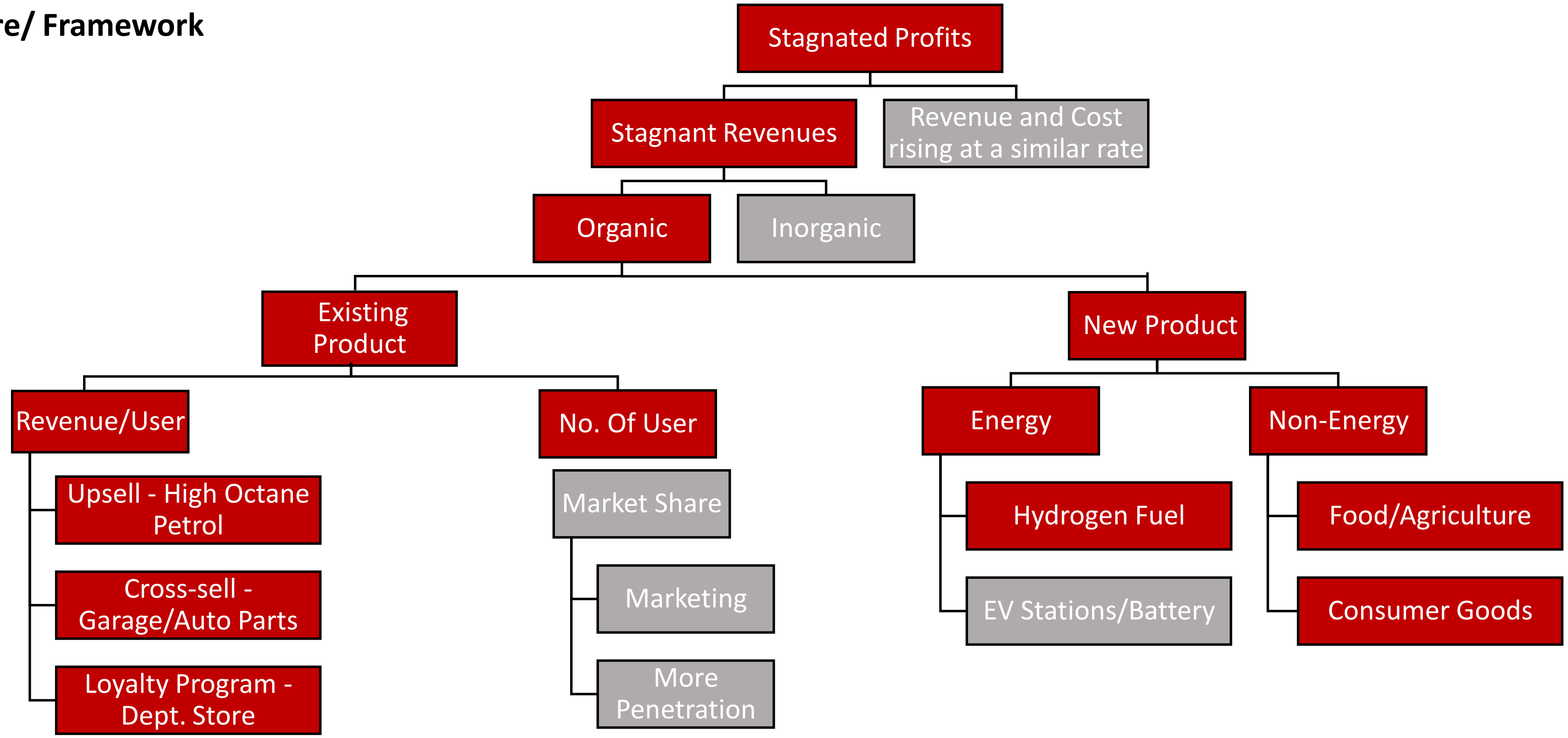
Case Statement

- An oil refinery company is seeing a stagnated growth in profitability
- Suggest Diversification options

Interviewee Notes

- Company isn't seeing growth since last 1-2 years.
- We must diversify as soon as possible.
- Client is looking to increase revenue without much of an investment.
- Already have a good market share can't penetrate much.
- Need to use existing capabilities and think of alternate business expansion ideas.

Structure/ Framework



Key Takeaways

- Prepare the industry section well to have better understanding of the nuances of such niche industries
- Structure and try to cover all possible growth avenues, given the clients' business structure
- The case could have additionally included the cost aspect of Profits, and how growth can be achieved while minimizing costs. Thinking along those lines would further provide a holistic view of the case

French Fine Dining Restaurant

Your client is a mid-sized French restaurant with 25 restaurants across cities in France. They are known for their high quality traditional fine dining experience. Recently there has been a rampant growth in fast casual, delivery-based food services, capturing the new customer segment. How should the client react to ensure growth while keeping their brand identity?

Thanks, just to reiterate the problem, our client is a French fine dining restaurant that wants to ensure growth, given the rampant competition from fast casual, delivery-based food service, while keeping their authentic brand identity intact?

Yes, that is correct, you may proceed.

Sure, before I begin, I have a few preliminary questions. What is the clients' target demographics, and have they been experiencing any decline in profitability, given the changing trends?

The target demographic is middle to upper-middle-class section and people who value a premium dining experience, and they have been experiencing stagnant revenues since the last 2 years.

Understood. Can I understand their business model a bit more. Do they currently provide any digital ordering/delivery services? Also, how does our client differentiate itself from the competition, and moreover, are the competitors also facing similar issues?

No, they do not provide any delivery options currently. And yes, competitors are also facing similar issues due to the change in trend. The key differentiators are exceptional service, ambiance, and authentic, high-quality French cuisine.

Got it. I think I have enough to begin with, I would just take a few minutes to structure my thoughts before proceeding with the discussion.

Sure.

I would like to divide the growth opportunities in 2 parts – Core and Non-core activities. I would first like to discuss Core activities and then proceed to Non-core. Does that work?

Sure, please proceed

Core activities can be divided into 3 profit metrics – Product Mix, No. of customers/Average order value, and Average profits. Any specific bucket you would like me to analyze first?

What do you think should their approach be with respect to the product mix?

For product mix, they should retain their primary focus on fine dining, authentic French cuisine, which is what their USP is. Additionally, they can focus on launching a sub-brand, that can cater to the fast casual delivery-based food services. This will prevent cannibalization of their existing business, help them retain their image, also focus on the growing new customer demand segment

That makes sense, you can proceed with the other factors.

Sure. To increase the number of customer/AOV, they can adopt 2 approaches – Organic and Inorganic methods. They can inorganically expand through M&As with other fine dining restaurants to expand their market size. They can also look to acquire the new competition in terms of fast casual food service providers. This will help them expand their market share in that segment also.

Don't you think this might conflict with brand's premium perception?

There is definitely a risk of brand dilution, but they could position it as "fine dining at home" with premium packaging and limited, high-quality options, depending on customer needs and demands

Okay, is there any scope of Organic growth?

Yes, they can focus on enhancing core fine dining experience to gain customer loyalty. They could provide new and exquisite menu items to attract younger customers, focus on branding and marketing through various digital platforms to increase their presence. , they can also offer loyalty programs for regular customers. Overall, they should focus on the enhancing the customer experience at each stage of the customer journey.

That is comprehensive. Is there any other aspect you would like to analyze to offer growth opportunities

Since our customers are middle-upper middle-class sections of the society, there might be some elasticity in terms of increasing prices, however I would not be in favor of this approach, given the tough competition. They can however focus on strategic innovations to control costs. In terms of Non-core activities, they can also look to leasing the restaurant space for events/functions, keeping their authentic French theme in mind, during the lean hours of the day. However, that would additionally require a cost-benefit analysis to judge whether this approach will be financially and operationally feasible.

Great, that covers it all, we can close the case now, thank you!

French Fine Dining Restaurant

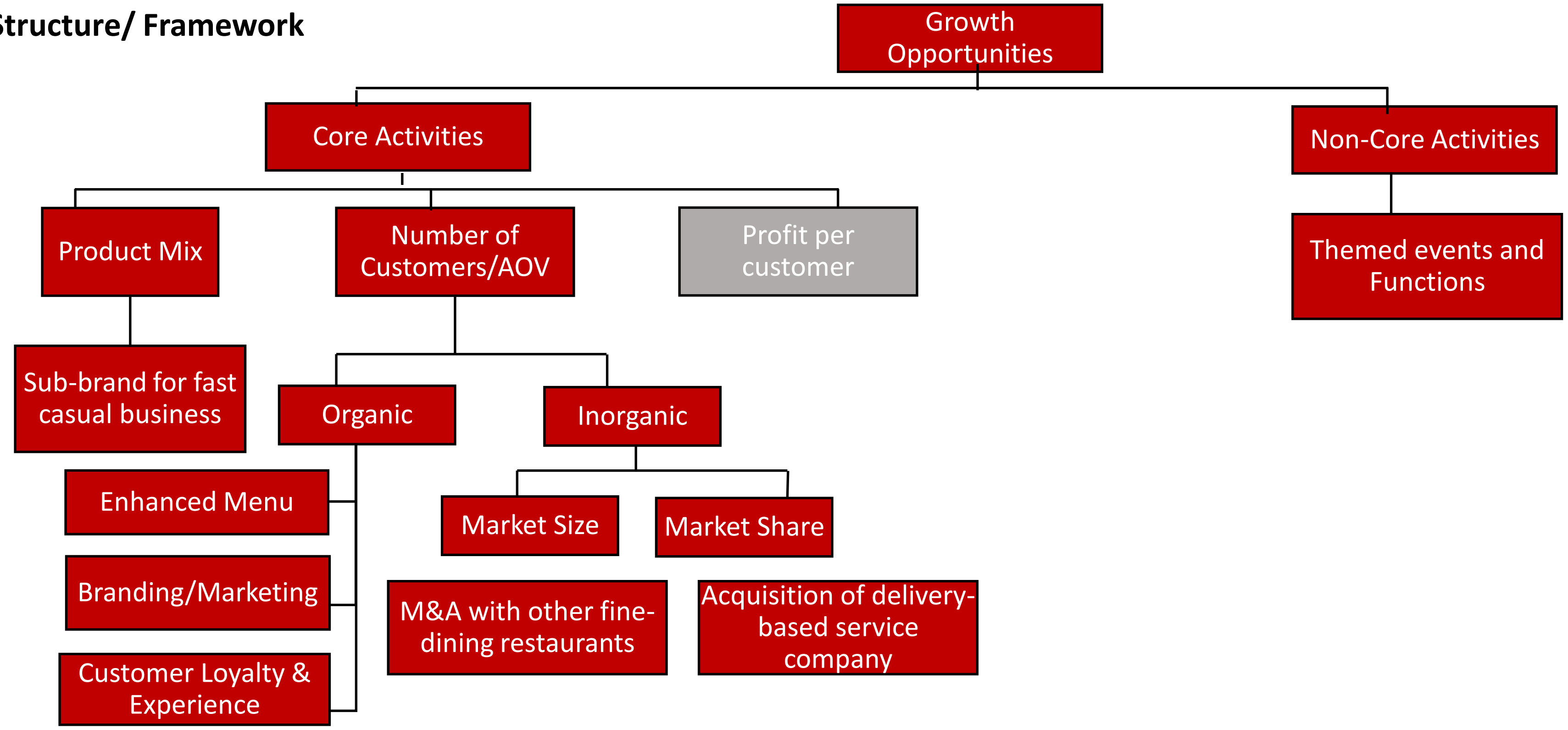
Case Statement

- Fine dining restaurant facing stagnant revenues due to competition from casual fast-delivery based food services
- They would like to assess growth opportunities, keeping their brand identity intact

Interviewee Notes

- Company facing stagnant profits for 2 years
- Increase in casual food delivery-based services
- Target demographics are middle to upper middle-class sections
- Key differentiators – exceptional service, ambiance, authentic French cuisine

Structure/ Framework



Key Takeaways

- As can be observed in the transcript, this was more of an interviewee-led case, where the candidate is required to brainstorm and think of all possible avenues of growth available, given the problem statement
- Getting an understanding of the changed business environment and clients' USP is significant to be able to suggest viable solutions, given they would like to keep their brand identity intact

Automobile Dealership

Your client owns an automobile dealership in Delhi NCR and is facing flat sales. How would you go about solving this problem?

Thank you. I'd like to begin by asking some clarifying questions to understand the client's business better. Could you share details about the dealership's offerings and its current operations?

Apart from selling cars, the dealership provides post-sales car servicing. They operate 10 sales showrooms and 4 service centers across Delhi NCR.

Got it. What brands does the dealership sell, and how has the client's performance been compared to competitors?

They sell Skoda and Audi cars, both premium Volkswagen brands. However, flat sales are not unique to this dealership; it is an industry-wide issue in the premium car segment in Delhi NCR.

I see. If it is an industry-wide problem, that suggests the overall market pie is shrinking. This could happen because customers are either purchasing less or opting for alternatives. Would you say that decline in purchases might stem from macroeconomic uncertainties, and alternatives might include SUVs, electric vehicles, or flexible ownership options like rentals?

That's a reasonable assumption. Let's assume the primary issues are a shift toward SUVs and electric vehicles, along with growing interest in rentals or subscriptions.

Thank you for clarifying. We can look at two main avenues for increasing sales: organic growth and inorganic initiatives. Focusing on organic growth first, we can target either increasing revenue per customer or growing the total number of customers. Let me explain.

Please go ahead.

To increase revenue per customer, the dealership can upsell premium add-ons such as advanced safety features, custom interiors, and extended warranties. These options not only enhance the customer experience but also increase the average transaction value. Additionally, bundling maintenance packages or service contracts as part of the car purchase could further boost revenue per sale while encouraging customer loyalty. Another idea is to launch a certified pre-owned luxury car program. This would involve acquiring and refurbishing pre-owned cars to sell them at competitive prices with warranties, tapping into first-time premium car buyers or price-sensitive customers.

That sounds promising. How about increasing the number of customers?

To grow the customer base, the dealership can focus on promoting high-demand vehicles like SUVs and electric cars, aligning with current market trends. Exclusive test drive events and targeted marketing campaigns showcasing the benefits of these models could attract new customers. The dealership can also expand into Tier-2 cities, where demand for premium cars is growing. Partnering with local influencers and using digital marketing channels can help the dealership tap into these emerging markets. Additionally, introducing flexible ownership models, such as subscription plans or partnerships with luxury car rental services, can cater to customers hesitant about full ownership.

Great! Let's move to the inorganic initiatives.

Inorganic strategies could involve opening new showrooms in collaboration with EV companies as joint ventures. These showrooms could serve as both sales hubs and EV experience centers, offering charging infrastructure, education about electric vehicles, and exclusive deals on EV models. This approach allows the dealership to expand its presence while mitigating risks through shared investments.

These are good ideas. How would you prioritize them?

I would begin with organic strategies, as they are quicker to implement and directly address current customer needs. Priorities should include promoting SUVs and EVs, launching the certified pre-owned program, and upselling premium add-ons and service packages. Expanding into Tier-2 cities should also be a key focus to capture untapped demand. Inorganic initiatives, such as opening joint-venture showrooms with EV companies, can follow as a strategic long-term investment.

That makes sense. Also, can you tell me some success metrics for these initiatives?

Success can be tracked through key metrics such as growth in SUV and EV sales, average transaction value per customer, and revenue from the certified pre-owned program. Additional indicators include increased footfall from test drive events, adoption of flexible ownership models, sales growth in Tier-2 cities, and customer satisfaction scores. For inorganic initiatives, success can be measured by the performance of joint-venture showrooms in terms of sales and customer engagement.

Thank you! Let’s close the case.

Automobile Dealership

Case Statement

- Client owns an automobile dealership in Gurgaon and is experiencing flat sales
- The client wants to understand the cause and regain growth

Interviewee Notes

- The client has 10 sales showroom and 4 service centers
- They also provide after-sale services
- Sells premium Volkswagen brands – Skoda & Audi
- Industry-wide issue in the premium car market in Delhi NCR

Structure/ Framework

- Growth
  - Organic Growth
    - Revenue/ Customer
      - Upsell Premium Add-ons
      - Bundle Maintenance Packages
      - Launch pre-owned luxury car program
    - No. of Customers
      - Focus on high-demand models
      - Expand into Tier-2 cities
      - Introduce Flexible Ownership Models
  - Inorganic Growth
    - Open exclusive showrooms with EV companies in Joint Venture

Key Takeaways

- The case required the interviewee to think broadly to zero down on the core issue leading to flat sales
- An interviewee led case involving exhaustive discussion of available options for growth

Your client is the Ministry of Railways, China. They oversee all rail networks in China, including infrastructure, operations and regulation. They oversee the working of 16 railway bureaus and 22 railway group companies. They are considering investment in a high-speed railway line between Beijing and Shanghai. Advise them if the project is a go or no go.

Could you tell me a little bit about these two cities? What are the existing modes of transportation between them? Any USP that these cities have as compared to others?

Sure. Beijing and Shanghai are 2 of the largest cities in China with dedicated Economic Zones. Currently, there is a regular railway line as well as a flight that operates between these cities.

Okay. And what is the added benefit that our high-speed railway line is going to provide? Could you also tell me the price of a flight ticket and a ticket of the regular railway? Also, what is the price point that we have decided for our new railway line?

The regular railway line currently takes 12 hrs, while the flight takes 1.5 hrs. The new high-speed rail line is going to take around 3 hrs to travel the distance. Price of a ticket is $250 for the regular railway line and $500 for the flight. Regarding pricing for the high-speed rail ticket, what would you recommend to do?

Pricing can be done in 3 ways – Competitive pricing based on what our competitors (regular railway/flight) are offering, cost plus pricing based on the margin that we want above the cost price and value-based pricing, for which we will need to assign a price to the additional value we are providing our customers.

Which one would you want to go with?

Since alternate modes of transportation already exist on this route, I would like to go with competitive pricing, with my competition being the flight operating between the cities. I would want to price it close to $500, because although the actual flight time may be 1.5 hrs, airports require a lot of formalities as compared to railway stations which would increase the time taken for the air journey close to 3 hrs too.

Makes sense. What other factors would you consider to decide on your final answer?

I would check external factors like market attractiveness in terms of competition, suppliers for construction & operation of the new line, regulations, market size and customer behavior. I would also consider internal factors, namely operational feasibility, financial feasibility and strategic viability with regards to the firm’s capabilities and resources.

Let’s take each factor one by one. What would you check in operational feasibility?

I would look at the value chain in detail and check if there is any transferability between existing and new value chain. This will include sourcing of component parts, manufacturing and assembling facilities, transportation of parts and equipment, etc. This will help me identify if I can leverage and reuse existing machines or expertise of existing staff.

What about financial feasibility?

I would look at the fixed and variable costs first. Fixed costs would include infrastructure related costs, actual train cost, salaries of newly appointed employees and finances needed to develop online booking platforms, if needed. Variable costs would include electricity/fuel and facilities cost. I would also analyze revenue sources to assess break even. We would also need to perform NPV and payback period analysis to gauge the viability of the project

Let me give you some data for reaching a breakeven point. Fixed costs are $2.5 bn. Variable costs are $50,000 per train per day. Assume that we are going with competitive pricing of $500 per ticket. Additionally, currently there are 20 flights operating per day with 150 passengers per flight.

Assuming 30% net market penetration of flight passengers, the revenue we would generate per day = 0.3*150*20*$500 = $450,000. Variable cost would be $50000*number of trains running per day. If one train has a capacity of 150, and we need to make 20 trips (with each trip taking ~5 hrs for the journey, including waiting time, and assuming same service level and timings as the flights), 1 train makes make ~4 trips a day. Hence, we need 5 trains to run every day. So, variable cost = $50000*5 = $250,000. So, profit per day is 450,000-250,000 = $200,000. Since fixed cost is $2.5 bn, break-even point is 2,500,000,000/200,000 = ~12,500 days = 12,500/360 = ~34 years.

Now given that breakeven will happen in 34 years, what would be your recommendation?

I would still go ahead with the investment, because aim of most governments, while implementing such projects, is not breaking even. The goals can be political (such as promises made during elections), economic (improving trade in the Economic Zones of the two cities), Social (employment generation, improving the image of China in front of the World) or Financial (extending the high-speed railways for transportation of goods, improving customer penetration %), etc.

That's sound judgement. We can close the case.

Ministry of Railways

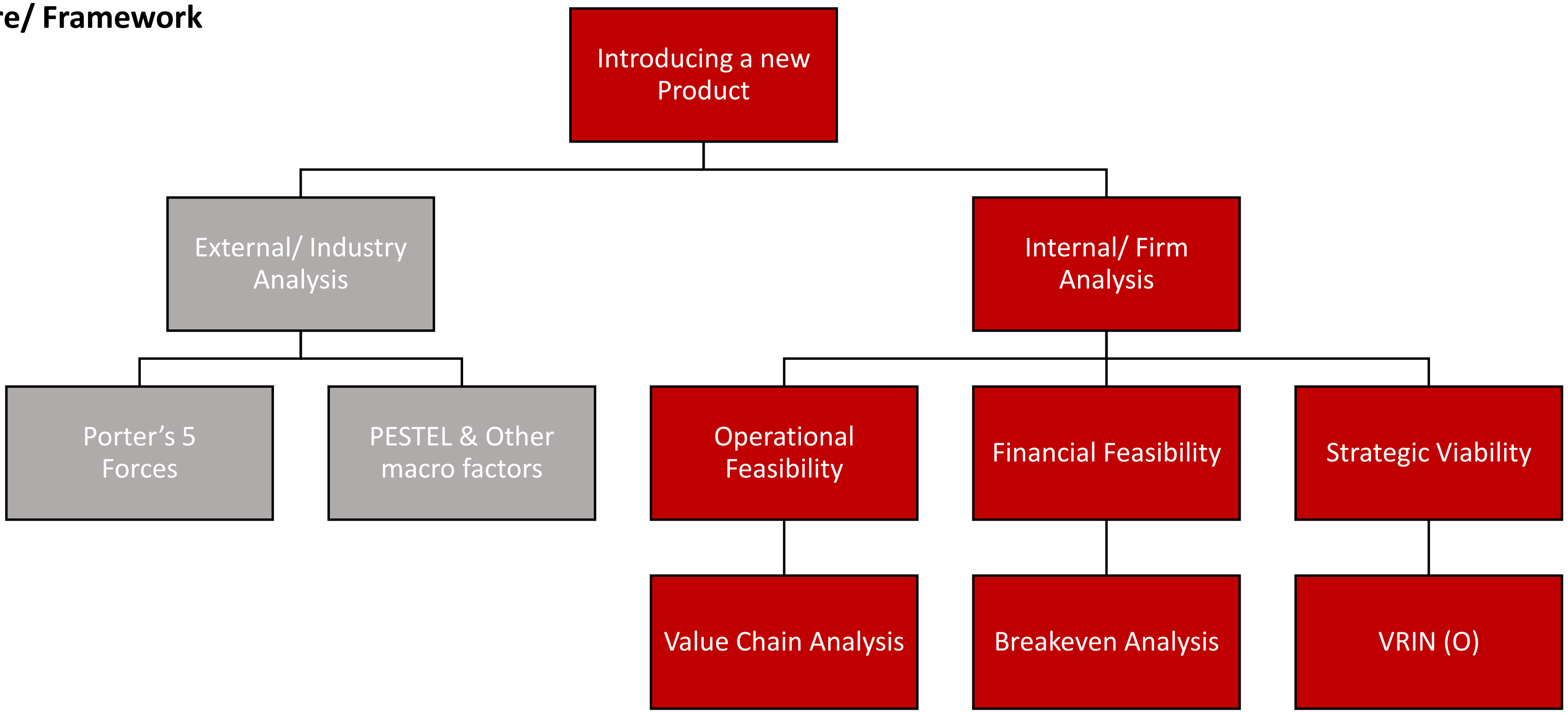
Case Statement

- Analyzing feasibility of investing in a high-speed railway line in China
- Railway line to operate between Shanghai and Beijing

Interviewee Notes

- Chinese Railways
- Shanghai and Beijing – Economic Zones, large cities
- Air travel, regular rail already present in the route
- Pricing – 3 types
- External & Internal Considerations
- Operational, Financial feasibility – break even point

Structure/ Framework



Key Takeaways

- Ask USP of introducing new solution/entering new market.
- In the financial analysis, try matching units to reach the breakeven point

Your client is a Medical Device Manufacturer who developed a new product called the "Bear Hugger". This is designed to provide patients with warmth & comfort after critical surgeries. They need your help in growing this product's business.

That is an interesting device. So, before we deep dive into the case, I'd just like to know if the client has any specific objective in mind, like increasing revenues within any specified time frame?

Sure, the client is looking at a revenue growth plan for the next one year.

Alright! Next, I would like to know more about our client and the business context. Which parts of the value chain does our client operate in? Does it only manufacture or also distribute the product? Also, do we have any data on which geographical location our client operates in currently?

Great question! Our client not only manufactures but also distributes the product to hospitals. It also promotes the product among doctors through medical representative visits and webinars. The company currently operates and sells the product in Bangalore & Chennai only.

Got it. Next, I would like to know a little more about the product itself. Do we have any data on what it does exactly and how is it priced currently? Do we also have any similar products in the market?

So, the product helps the patients heal faster using proprietary temperature control technology. It is currently priced at Rs. 20,000 per patient. And no, we don't have similar products in the market. However, you can assume a normal blanket as an indirect substitute to our product.

Okay. I think I have most of the information I would need to proceed with solving the case. Just one last question – Are there any financial or operational constraints on our client's side to consider before exploring the growth options?

No, you can assume that the client has enough capital and resources to help them grow.

Sure. I'd like to go ahead with analyzing the case now. The company can either go for an organic or an inorganic growth method. Do we have any data on whether the company has any preference?

Let's go ahead with Organic methods first.

The target hospitals in Bangalore and Chennai constitute for the current market. The client can either penetrate further in Bangalore and Chennai or look to enter other geographical areas. Within Bangalore and Chennai, it can focus on expanding its distribution network, increase awareness in doctors through targeted promotions using sales representatives, webinars, conferences, medical journals and colleges. Collaborating with insurance companies to include the product in insurance plans would also help increase the reach.

Great points. You mentioned about expanding its distribution network. Assume that our client sells the product to only 10 hospitals in each of the 2 cities. What can you do to immediately expand your network from 10 hospitals?

Yes, I believe the quickest way would be to collaborate with large hospital chains like Apollo, Fortis, Narayana Health Centre. This would help our client build a bigger network in not just these two cities but also to expand in other geographical areas.

Absolutely! Let's look at expanding into other geographical areas as you mentioned just now. Where do you think our client should focus on expanding next? And why?

I think since the product is focused on patients with critical surgeries, a metro city like Mumbai would make the most sense since it has a large hospital network available that also provides services like critical surgeries for residents in Mumbai and many remote areas in Maharashtra.

Great, so I want you to quickly tell me an estimated number of hospitals that can be targeted in Mumbai within 30 seconds.

Medical Device Manufacturer

Sir, so the estimated number of target hospitals I could reach was about 180. From experience, I know that Mumbai is divided into about 40 smaller towns/cities. Each of these roughly have 4-5 large or multi-specialty hospitals that have ICUs to accommodate patients after critical surgeries.

Good. Tell me, if our client would want to enter any market outside India, which countries should it consider and why? Also, what factors should it consider while assessing these countries.

I believe US could be a great market to enter since it has a well-developed healthcare system in place. The few factors to consider are possibilities to collaborate with insurance companies since healthcare expenses are majorly paid through insurance policies, any government regulations, competitors, pricing caps, export laws, and FDA or regulatory body approvals and patent policies.

That was a comprehensive analysis.

Thank you, sir. Since we've covered the distribution network and geographical aspects of growth, I'd now like to look at the # of patients per hospital. To increase the total customer base, we could plan on targeting any other potential users like senior citizens, people suffering with mental health conditions like depression or anxiety etc.

Great suggestion, however, our client wants to focus only on the current target segment. It was great discussing the case with you; I think we can close the interaction here.

Thank you so much sir, have a great a day!

Medical Device Manufacturer

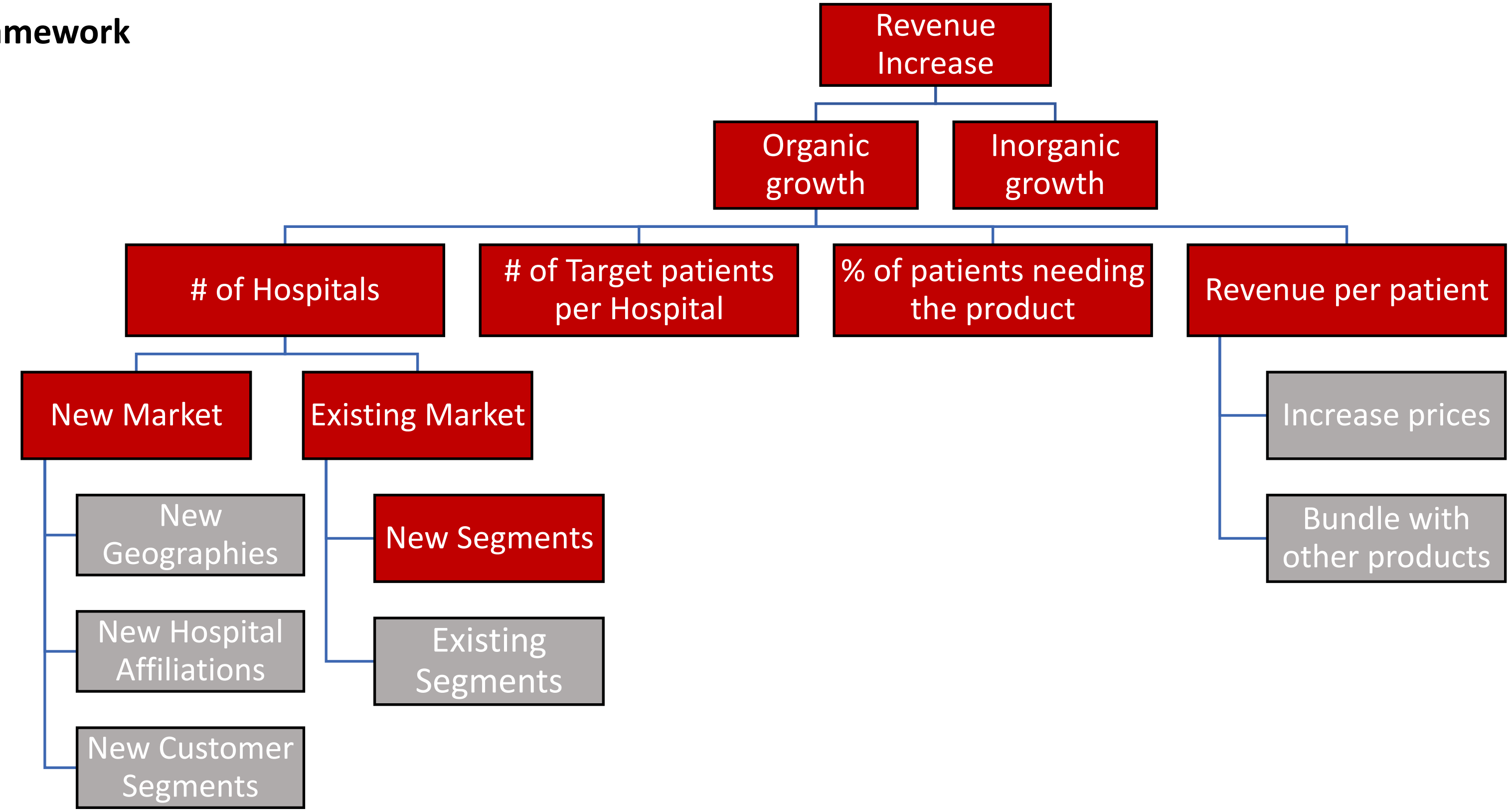
Case Statement

- Medical Device Company wants to devise a growth strategy for new product – “Bear Hugger”
- Operates in India, sells products only in Bangalore and Chennai currently through hospitals.
- Client needs help with increasing revenues in the next one year

Interviewee Notes

- Product uses proprietary technology
- Priced at Rs. 20K / user
- No direct competitors
- No capital or resource constraints
- Only organic growth strategies to be considered
- Distribution network of 10 hospitals each in Bangalore and Chennai

Structure/ Framework



Key Takeaways

- Details about product patents could be asked in the beginning.
- Ask for interview buy-in to your approach at every step. Don’t hesitate to give creative solutions or to derive insights from your experience.
- Knowledge of the industry in a global sense helped the interviewee to answer the question regarding overseas expansion.

Your client is a hypermarket chain looking to grow their revenues. How would you advise them?

Thank you for the case. So, our client is a hypermarket chain looking to grow his revenues. Are there any other objectives from this case?

No, you can just assume that the client wants to grow the revenue from a typical store located in a residential area in Delhi.

Sure, I have a few preliminary questions. Do we have a numerical growth target and a time horizon?

The time horizon is 6-12 months. We would like to achieve the best revenue growth possible from the store.

Do we know by what pace the industry is growing and what is our historical growth rate? Do I need to keep any budgetary constraints in mind?

Those would not be relevant.

And finally, can you tell me a bit about our products/services? Whether we deliver or sell online in addition to store sales? Who are our main customers?

Yes, we are like a regular hypermarket store like a Big Bazaar or a Reliance Fresh and sell similar products. Currently, we only have in-store sales, and our customers are mostly residents in the neighborhood.

Thank you, sir. May I take a Minute to structure my approach before proceeding.

Sure. Take your time.

Thank you for your patience. My approach would be to keep breaking down revenue into its various components and factors and then think from the point of view of a customer of how to influence revenue through influencing those factors. Should I go ahead with that?

Yes, please proceed.

Thank you. I have broken down revenue into No. of billings and the Average Revenue per bill. I have further broken-down no. of billings into No. of customers and Frequency of Customer visit. I would further break down no. of customers into the size of the local population, since you mentioned that are customers are residents in the neighborhood, and market share. I would break down the average revenue per bill into the average no. of items purchased and the average price of an item purchased. (Refer to the Flowchart).

That looks comprehensive. Please proceed.

Sure. To improve revenue, I want these factors to improve. Since all these factors depend on customer behavior, I would like to put myself in the shoes of a customer and analyze.

Great, please proceed.

The customer journey includes Need, Awareness, Affordability, Accessibility, Experience, and After sales. Under Need and Awareness, we would have to undertake marketing initiatives such as advertisements, social media, and word of mouth publicity to draw people to our store. We would also have to make our products/services affordable to capture maximum market share. Under Accessibility, we should look at ways of expanding the "Local Population" that we are catering to by making our store more reachable. We can expand geographical reach by selling online and through home delivery.

Great; How would you increase frequency /bill amount?

Yes, for that, I will investigate Experience and After Sales since that would make our customers loyal and want to shop more. Under experience, I want to target the 5 senses: Visual, Olfactory, Hearing, Taste, and Feel. By making the store visually pleasing – having good furniture and an easy set of directions to navigate the store and find products, we would achieve growth. By playing soothing music and spraying good room fresheners, we will make the experience pleasant, and this will make the customer visit more frequently and stay and shop longer. Under taste, I would look at the quality of our products in use and try and better the offerings. Under feel, I would look at Air Conditioning, Quality of the Sales Staff, arrangement of the store etc. Under Aftersales, I would look at billing experience, navigating out of the store, and Customer Complaints and Redressal.

That's great. You talked about increasing average price of an item sold. How would you do that?

Sure. Can you give me some information about our product mix? What percentage of our products are our private labels and what are resale?

That's a great question. Currently, 20% of our sales our from our own labels, and the rest is resale.

Interesting. I suppose we earn a smaller margin on resale compared to our private labels. We can try increasing the proportion of private labels. we can do this by training our Sales staff to push customers to these labels, shelf these labels at more accessible and visible places in the store, and providing them at attractive prices and best quality.

That's great. We can close the case here. Well done!

Thank you, sir. It was a great pleasure interacting with you

Hypermarket Chain

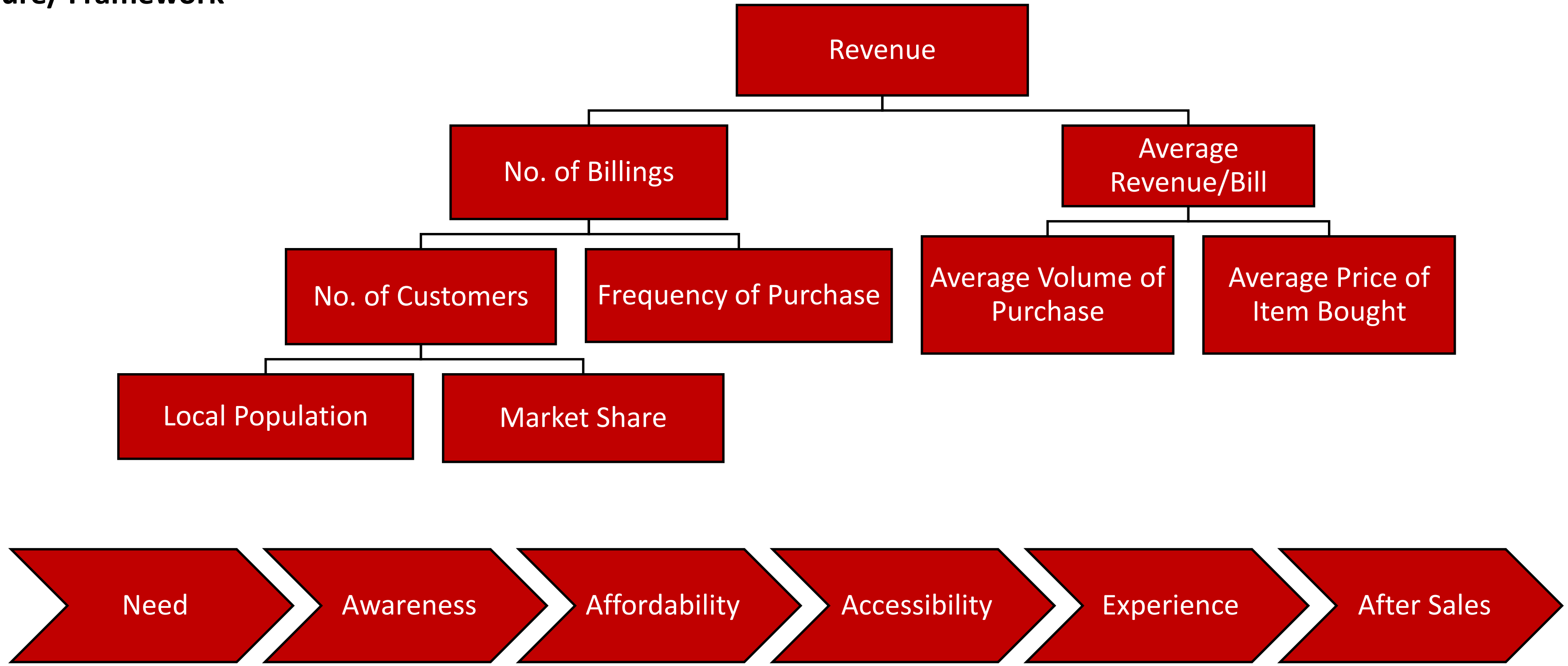
Case Statement

- Client is a Hypermarket chain looking to grow their revenue
- Advise them on ways they can achieve this growth

Interviewee Notes

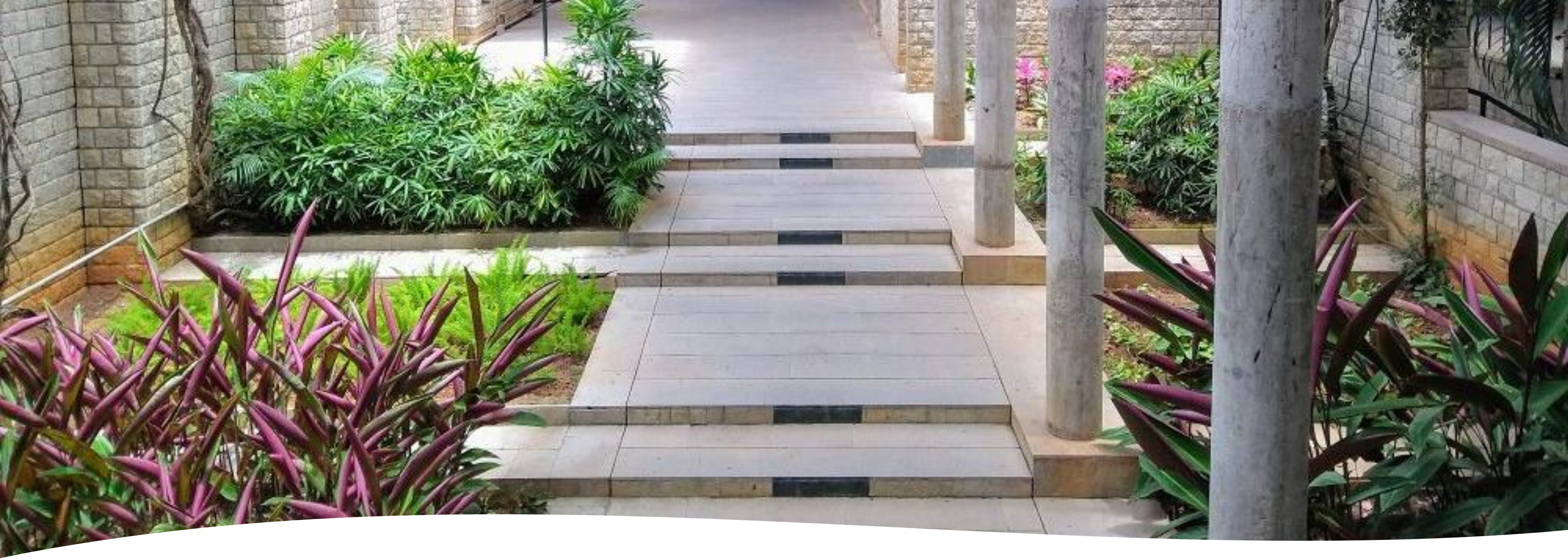
- Regular Hypermart similar to Big Bazaar
- Explored ways to increase revenue by splitting customer behavior
- Client also has private labels

Structure/ Framework



Key Takeaways

- The interview was mostly open ended, and the interviewer was largely interested in the depth of analysis achieved. The interviewer did direct the interview excessively
- Each aspect of customer journey was explored at a high level



IIMB Pricing Cases 2024-25

Pricing Framework

Content Page

Market Price

GAP

Value to consumer
Profit to seller
- Brand
- Quality
- Innovation
- New-found utility

Cost

- Pricing
  - Inward Looking
    - Cost Based
      - Costs
        - R&D, one time costs
        - Production costs – Fixed & Variable
        - Other specific costs
      - Returns
        - Markup
        - Margins
        - Breakeven Period
        - Payback Period
  - External Looking
    - Benchmarking
      - Industry
        - Structure
          - Feature of Others Substitutes, Complements or other proxies
      - Features
        - Additional Features
        - Differenciating benefits
        - Others' Price range
    - Value Based
      - Willingness to Pay
      - Opportunity Costs
      - Extrapolate Benefits

New Medicine Launch

A Pharma company has developed a new product to control diabetes for patients in India and need your help in pricing it.

That's an interesting problem. Can I ask some questions to better understand the client?

Sure, go ahead.

What is the objective of pricing? Is it to maximize the profit or something else?

Yes, It is to maximise the profit.

Can I have more details about the product? Basically, how it is different from normal insulin injection & information on how restricted its availability be i.e. Will it be available over the counter or requires a prescription? And how is the competitive landscape in the market?

It's an oral tablet instead of an injection and has lesser side effects. It'll be available over the counter and the market is highly competitive.

Alright, I believe I have enough information to proceed. I'd like to break down the tablet's pricing into three main strategies: 1) Cost-based pricing, 2) Competitor-based pricing, and 3) Value-based pricing. Which of these should I prioritize?

Why don't you guide me on how to approach these strategies? I don't need the details—just an outline of the key factors to consider.

Okay, let me start with cost-based approach. We need to consider all the costs involved in production, including fixed costs such as R&D, salaries, and rent, as well as variable costs like raw materials, manufacturing expenses, distribution, sales and marketing. These, combined with our production volumes, will help determine the minimum price for the tablet. On top of this, we need to factor in profit margin, which can either align with the company's target or be estimated using a suitable proxy.

Yes, that's sound fair. Let's explore other approaches you have listed now.

Now, moving toward competition-based pricing, we need to analyze the pricing of existing insulin injections and other oral diabetes medications. This will help us understand the price at operational costs which includes both maintenance and labor costs, any regulatory competitors. We should also consider the pricing of Ayurvedic and homeopathic alternatives, as these could be perceived as substitutes by some consumers.

And how about value-based pricing?

For value-based pricing, we need to quantify the value proposition of our new oral tablet. Given its advantages over insulin injections, such as fewer side effects and easier administration, we should definitely price our product higher than insulin. However, the exact markup will depend on how consumers perceive the benefits of our product.

That's a fair assessment. Let's move on.

Okay, now, to assess how much value we're providing to the customer and how much we can capture, we can conduct a price elasticity analysis. This will help us determine the price that maximizes profit. Additionally, we can investigate the supply vs. demand gap in the existing market to find the optimal price for the product.

Yes, that's a detailed enough analysis. Let's stop the case here.

New Medicine Launch

Case Statement

- Oral tablet for diabetes patients
- Lesser side affects
- High competition in the market

Interviewee Notes

- Follow a qualitive approach rather than a quantitative one

Structure/ Framework

- Cost
  - Fixed Cost
    - RnD
    - Salaries
    - Depreciation
    - Rent
  - Variable Cost
    - Sourcing
    - Manufacturing
    - Distribution
    - Sales and Marketing

- Pricing
  - Cost
    1. Cost of production - fixed cost and variable cost
    2. R&D expenses
  - Competitor
    1. **Competition**: Insulin injection
    2. **Substitutes**: Ayurveda, homeopathy
    3. **Value Addition:**
       - Lesser Side affects
       - oral tablets instead of injection
  - Value based
    1. Willingness to Pay: Elasticity analysis
    2. Supply and Demand tradeoff

Key Takeaways

- As interviewer hinted for qualitative discussion, the candidate made sure that all the factors were listed out before going in detail to anyone.
- The interviewer was trying to speed up the case. Make sure that you are not taken aback by it.

Since you've worked in the power industry, let's discuss a related case. Your client intends to construct a 1000 MW coal power plant on the outskirts of Bangalore. Determine the pricing strategy for one unit of electricity. Please outline your approach; we're interested in your methodology rather than specific numbers.

Sure, firstly, I'd like to inquire about our client's primary business domain.

Assume that your client is an EPC contractor handling all engineering procurement and commissioning internally.

Understood. There are three pricing approaches: cost-based, value-based, and competitive-based. Considering electricity as a commodity, I'd suggest proceeding with either cost-based or competitive-based pricing. Which one would you like me to go forward with?

Let's proceed with cost-based pricing.

In that case, I'll start by listing all the costs involved in constructing the power plant. Then, based on the determined breakeven period, I'll calculate the per-unit electricity price. Does this approach sound good to proceed further?

Yes, please continue.

I'd like to categorize the costs into fixed and variable. Fixed costs entail land acquisition, EPC expenses (covering power plant system design, equipment procurement, and commissioning), labor, operational and maintenance costs, and permits for environmental compliance. Variable costs include coal purchase and transportation for the plant's fuel. Is this breakdown comprehensive?

Yes, proceed.

To calculate the total cost, could you provide the breakeven period?

To calculate the total cost, could you provide the breakeven period?

So, we can consider it, let's say 5 years and then fix the price accordingly.

Are you sure? Isn't the period too short and would lead to a very high per unit price which will not be competitive enough. Reconsider your approach in deciding the breakeven period. The hint is , consider the life cycle of equipment.

So generally, the life cycle of equipment is 20-25 years. We need to break even before that period. So, to break even and earn some revenue after that, we can consider half the period of the life cycle of equipment for break even i.e., 10-12 years. Therefore, total cost equals land acquisition, permit, EPC, and operating expenses calculated based on 340 operational days annually.

That approach is reasonable. Now, let's focus on variable costs. Assume one ton of coal generates 1 MWh.

Alright, to calculate the variable cost of coal, let's first determine the total amount of coal required over 10 years. Could you please confirm the capacity of the plant?

Assume the plant capacity is 1000 MW per hour.

Got it. The plant operates 24 hours a day, 340 days a year, for 10 years. The total number of hours the plant will operate in 10 years is:
10 years × 340 days/year × 24 hours/day = 81,600 hours.
The plant generates 1000 MW per hour, the total electricity produced in MW over 10 years will be: 1000 MW×81,600 hours=81,600,000 MW
Given that 1 ton of coal generates 1 MWh, the plant will use 87,600,000 tons of coal over this period. Hence, Total coal cost=tons of coal used × price of coal per ton.
This will give us the total variable cost of coal for the 10 years.

Aren't you forgetting something about plant capacity? You have taken a wrong assumption while calculating total units.

Yes. So, plant will only be operating at 60-70% of its total capacity due to factors like maintenance schedules, planned outages for repairs or upgrades, and variations in electricity demand. So, plant will on average running on 650 MW capacity. Hence, we need to take 650 MW instead of 1000 MW in the earlier calculation. Thus, total costs comprise fixed and variable expenses. To establish the breakeven price, total costs = the price per unit * the total units generated in 10 years.

Correct proceed.

Therefore, the total costs include both fixed and variable expenses. To determine the breakeven price, the total costs are equal to the price per unit multiplied by the total units generated over the 10-year period.

You're overlooking an essential economic concept in setting the price.

We'll incorporate discounted operational costs to determine the net present value. Then, we'll equate this cost with the product of the price and the total number of units generated in 10 years. Hence, we must price one unit higher than the break-even value.

Sounds good. We can end our discussion here. Thank you!

Power-Plant

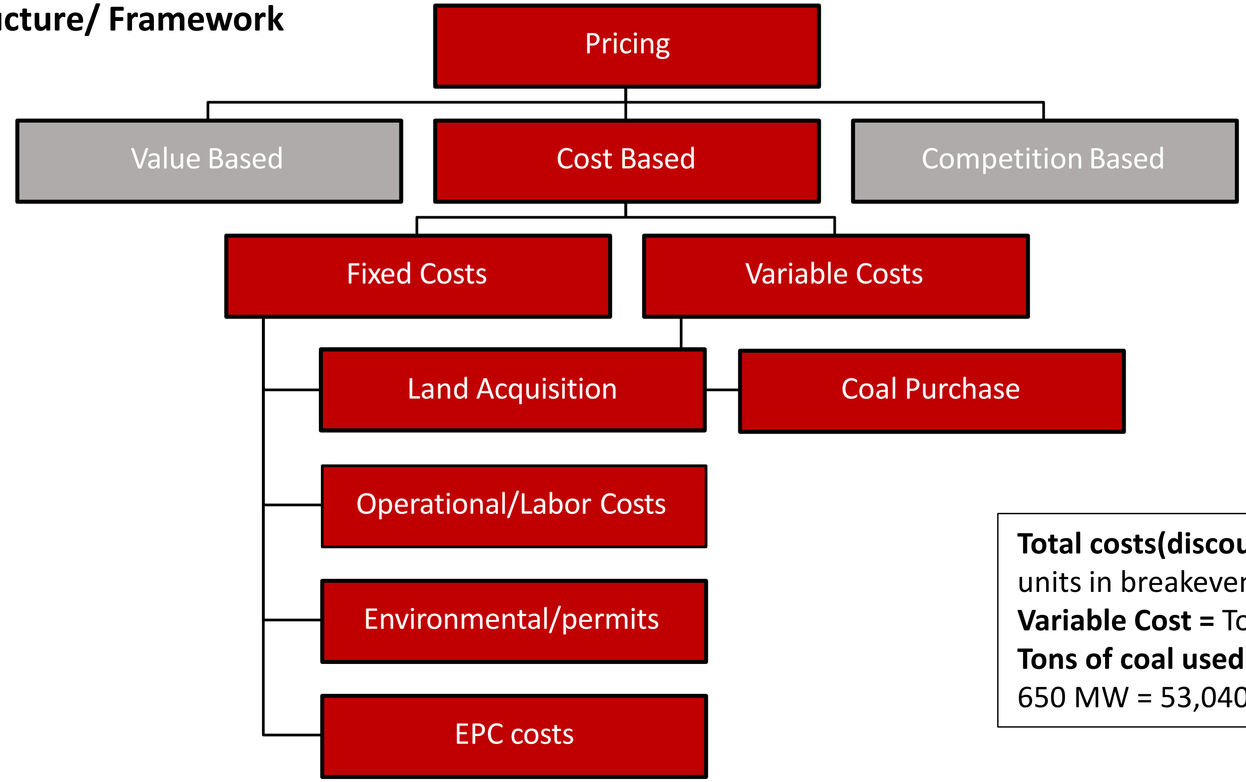
Case Statement

- Your client intends to construct a 1000 MW coal power plant on the outskirts of Bangalore.
- Determine the pricing strategy for one unit of electricity

Interviewee Notes

- Client- EPC contractor
- All engineering procurement and commissioning internally.
- Assume one ton of coal generates 1 MWh.
- Assume the plant capacity is 1000 MW per hour

Structure/ Framework



Total costs(discounting and using NPV) = Per unit cost x no. of units in breakeven period
Variable Cost = Tons of coal× price of coal per ton
Tons of coal used =10 years × 340 days/year × 24 hours/day x 650 MW = 53,040,000 MW

Key Takeaways

- Structure the problem following MECE approach at each stage.
- Revise important figures relevant to the industry you have worked in. e.g- Capacity and Utilization of a power plant
- Buy-in the interviewer at every step especially for assumptions.

Coca-Cola Pricing

Your client is Coca Cola. The firm is planning to increase the price of its product. What would you advise them?

So before going ahead I would like to ask some preliminary questions to have a clear idea of the problem statement. May I proceed?

Sure, go ahead.

So can you tell what is the objective of the firm in increasing the prices? Has there been change in the products to justify the price increase?

They want to increase their revenue. That is the only reason for the price increment. There has been no change in product portfolio.

Fair enough. Coca Cola has a large product mix including PET Bottles, cans, etc. The price increment is applicable to which of these and in which geography? Also, do we have any data regarding the current price and the planned increment?

The pricing change is planned for canned beverages in India. The current price is Rs 23 per can, and the increment is Rs 4 per can.

Great, the data gives me a clearer picture. I would like to know If we have any data regarding Coca Cola's market share and the competitive landscape?

Sure. Currently Coca Cola has 50% of the market share. Main competitor is Pepsi, which holds about 45% of the market share, and the remaining 5% is held by local fragmented players.

So now that I have a clear idea about the company and its competitors. I would like to look at the economic feasibility involved in hiking the price. Can I go ahead with this approach?

Yes. It sounds good to me. Tell me how would go about evaluating the economic feasibility?

Sure. Firstly, economic feasibility can be assessed by using cost – benefit analysis conducted for the two scenarios with below formula-
Economic Feasibility = [Market size * Market share * Growth rate * (Price – Variable Cost)]

We have data regarding the market share and the price points. Can you give me some data regarding how our market share or growth rate will be affected if we increase the price and if there are any additional costs that would be incurred due to this

It is a valid question. We have data insights from the industry analysis that increasing the price by Rs 4 will reduce the growth rate from the current 6% to 1% per year. Additionally, there would be no increase in costs due to this price increment.

That is a useful insight. Considering that our variable costs won't change since we are not making changes in volumes of production or the process. I am not sure about the exact market size of the carbonated drinks market that Coca Cola is into so I will assume a market size of 2 billion. Can I go ahead with these assumptions in mind for the analysis?

Yes, you can proceed with these assumptions.

So, in the case where we change the pricing:
Economic Feasibility = 2 bn * 0.5 * 0.01 * 27 = 0.27bn
If we don't increase the pricing:
Economic Feasibility = 2 bn * 0.5 * 0.06 * 23 = 1.38bn
So, increasing the pricing doesn't seem like a good decision given that there is a drastic change in growth rates and the resultant potential profit becomes negative. Does the analysis look intensive enough or do you want me to consider some other approach?

No, your analysis looks good. Can you tell me when would be the pricing change justified ?

Sure. Given that we are not making any changes in the product currently, an upgrade in the can design, beverage quantity or a new product variation can help justify the price increase as these factors can help us expand the market share itself and, also give a boost to the growth rate which is currently forecasted to be 1% post pricing changes are implemented probably due to undercutting by competitors post the price increase.

Fair Enough. We can end the case here. It was a good discussion.

Coca-Cola Pricing

Pricing | Moderate | GEP

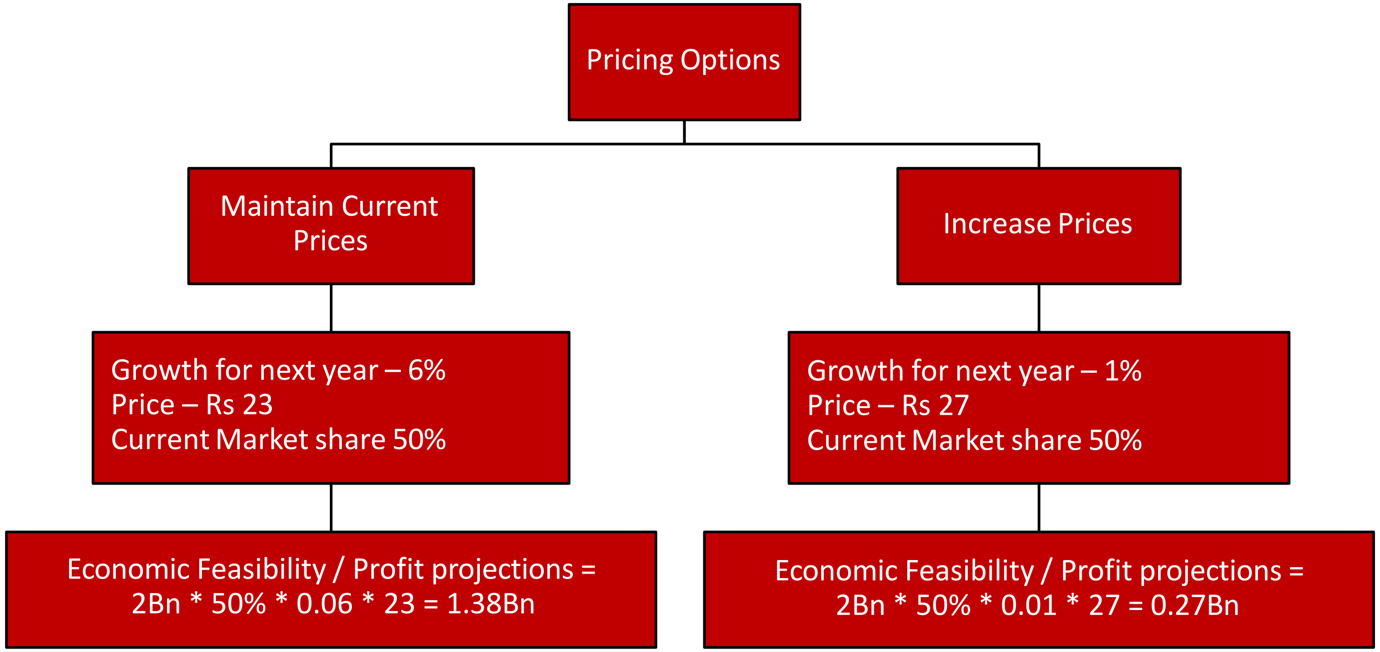
Case Statement

- Coca-Cola is considering a price increase for its canned beverages in India.
- The objective is to increase revenue without any changes to the product portfolio.

Interviewee Notes

- The current price of Coca-Cola cans in India is Rs. 23, and the proposed increase is Rs. 4.
- Coca-Cola holds a 50% market share in India, with Pepsi being the main competitor at 45%.
- The industry analysis suggests that a Rs. 4 price increase will reduce the annual growth rate from 6% to 1%

Structure/ Framework



Key Takeaways

- Details about objective, product, competitor landscape, current pricing and growth rate should be asked in the beginning
- Confirm with the interviewer at each step if your approach seems logical. Voice any assumptions that you are making or ask for any data you feel necessary to go ahead with your analysis

Toothbrush Manufacturer

Your client is a toothbrush manufacturer. Their R&D division has come up with a product innovation which is a toothbrush which stays forever. They want you to analyze the pricing strategy for the toothbrush.

That's interesting. Before I dive deeper into the analysis, I want to understand a bit more about the context. Can I ask a few clarifying questions?

Sure go ahead.

I would also like to know more about the firm and the product. What products do they currently manufacture and the geography they operate in?

The client only sells toothbrushes and has operations only in the US. I would like you to look into the factors which influence whether the client should go ahead with the product release.

We need to first analyse the customer need for the product, then the firm's ability to capture value and the ability to scale the manufacturing. And the differentiating feature the product has over the existing product which will increase willingness to pay.

No market study has been done for the product yet. What would be some of the pros and cons for the firm to introduce the product.

The pros will be the firm will be having the first mover advantage and will be a market disruptor. The firm can use the existing expertise in the toothbrush manufacturing, operators and marketing. The cons will be that we do not know the need for the product and the new product will be a one time sell and there is a cannibalization of the existing traditional toothbrush business of the firm.

Please suggest the pricing strategy for the new toothbrush. Assume that the firm has spent on the R&D already and it is a sunk cost.

We can consider 3 types of pricing.
Cost base: This would be the minimum price that the client must charge the client based on the costs incurred for R&D. Irrelevant as it is sunk cost.
Competitor –based pricing: Since there's no competition, it would not be relevant.
Value based pricing: This is the maximum price that the customer would be willing to pay based on the value that our product offers to them.
Since, the firm might want to capture most of the value for the innovation, can I go ahead with the value-based pricing.

Please go ahead.

For calculating the value that the customer will gain out of the eternal toothbrush, I'm assuming that the toothbrush will be used by only one person, because of hygiene reasons and he/she uses it for the lifetime. Also, that there's only one type for kids and adults.

You can proceed with the assumptions and one person uses the toothbrush for lifetime.

The value of the toothbrush will be present value of all the toothbrushes the person will buy in a lifetime. Assuming that cost of one toothbrush is $1, life expectancy is 70 years, and one person replaces toothbrush once in 3 months. Assuming a discount rate of 7%, the lifetime cost of toothbrushes will be around $57. We need to price slightly lower than this.

Suppose a competitor approaches you to buy this innovation for $10B, what is your suggestion to the client.

Assuming US population of 300M, the market size is $17B considering only the US market and since the firm will have patents for this innovation and potential to expand in other markets, the firm should not sell it for $10B. The growth depends upon the birth rates.

Can you think of some ways the client can further their revenues from the product.

The client first needs to focus on the US market and gain market share. The firm can also think about selling the license for the technology. They can further expand to new geographies and also can think of leveraging this technology in other products.

Great recommendations. We can close the case now.

Toothbrush Manufacturer

Case Statement

- Pricing strategy for an eternal toothbrush

Interviewee Notes

- No competitors
- R&D expenses are to be assumed as sunk cost
- Consider discounted cashflows
- Growth strategy framework for recommendations on increasing the revenues
- Inflation factor can also be considered in calculating the present value

Structure/ Framework

Pricing

- Cost Based: Irrelevant as it is stated by interviewer to treat as sunk cost. No data available.
- Competitor Based: Irrelevant as there are no competitors.
- Value Based: Calculated using the present value of future expenditure on regular toothbrush which is 57$ (below eqn)

Market Size computation:

Population*toothbrush price

=300M*$57

=$17B

Growth= birth-rate

$$PV\ eternal\ toothbrush = \$1 + \frac{\$1}{(1+0.07/3)} + \frac{\$1}{(1+0.07/3)^2} + \cdots + \frac{\$1}{(1+0.07/3)^{(70*4)}}$$

Key Takeaways

- The interviewer was impressed by the recommendation on how the value of the innovation can be increased by using the underlying technology in other products
- Ask for interview buy-in to your approach at every step. Don’t hesitate to give creative solutions or to derive insights from your experience.

Skydiving Institute

Your client is an Indian adventure sports company planning to open the first skydiving institute in the country. You are required to help the company in pricing their services.

Thank you for the case. Could you share more details about the client's business—current services, presence, and the planned location for the institute?

The client operates only in India, offering adventure sports like bungee jumping and paragliding. The skydiving institute will be located in northern India.

Understood. What is the primary objective behind launching this institute and how does the competitive landscape look for skydiving and other adventure sports?

The objective is to maximize profits. There is competition in other adventure sports, but for skydiving, there are no competitors in India.

Noted. Could you elaborate on the type of services the client plans to offer? For example, will it be tandem skydiving with an instructor, solo jumps with prior training, or will there be additional options like video recording services?

Initially, it will be standard tandem skydiving with an instructor. Later on, the client may introduce additional services based on customer demand, such as solo jumps with training or video recording options.

There are three major approaches to pricing: cost-based, competitor-based, and value-based pricing. Since the value derived from skydiving is largely intangible, we will focus on cost-based pricing to determine a minimum price and use competitor-based price to establish a competitive price range. Does this approach sound reasonable?

Yes, please proceed.

For cost-based pricing: Fixed costs would include licensing and certification, infrastructure (land, setup, construction), equipment and aircraft, training for staff, employee salaries, and marketing. Variable costs include fuel, costs associated with customer training before skydiving, and any complementary services (e.g., food, beverages). After calculating costs, I'd apply a markup to reflect the client's profitability goals and customer price elasticity.

That's clear. How would you estimate demand?

To calculate the maximum daily capacity for a skydiving operation, I'd start by mapping out the customer journey in three main stages: before the jump (registration, safety briefing, and gearing up), during the jump (aircraft availability and jump logistics), and after the jump (landing, gear removal, and feedback). The next step would be to identify potential bottlenecks at each stage, with the aircraft likely being the main constraint due to the time needed for maintenance, takeoff, and landing. Finally, by taking into account the aircraft's operational limits and working hours, I could estimate the maximum number of jumps that could be completed in a day.

Great. Given no direct competitors, how would you benchmark pricing?

We can benchmark skydiving prices against comparable and substitutable adventure sports like paragliding and bungee jumping, factoring in its premium and exclusive nature. Another approach is to analyze the skydiving-to-paragliding price ratio in other established markets, such as Europe, and apply a similar multiplier

The average skydiving price is about 2.5x of the paragliding price in countries like Europe. Also do you think keeping prices high would be beneficial or keeping them low?

At a 2.5x multiplier, skydiving would be priced around 12.5k. I think the setting the price slightly higher would be better to avoid the risk that lower prices may signal lower quality, which could deter customers due to the sport's inherent risks.

What else would you recommend to client to attract more customers?

To increase business, I suggest offering tiered packages: a basic experience for those wanting a standard jump, and a premium option that includes photos, videos, and VIP treatment for those willing to pay more. This will cater to different customer preferences and maximize revenue. Additionally, partnering with travel agencies and boosting marketing efforts can help attract a wider audience, positioning the skydiving institute as a top choice for adventure seekers and travelers.

We can close the case here. Thank you.

Skydiving Institute

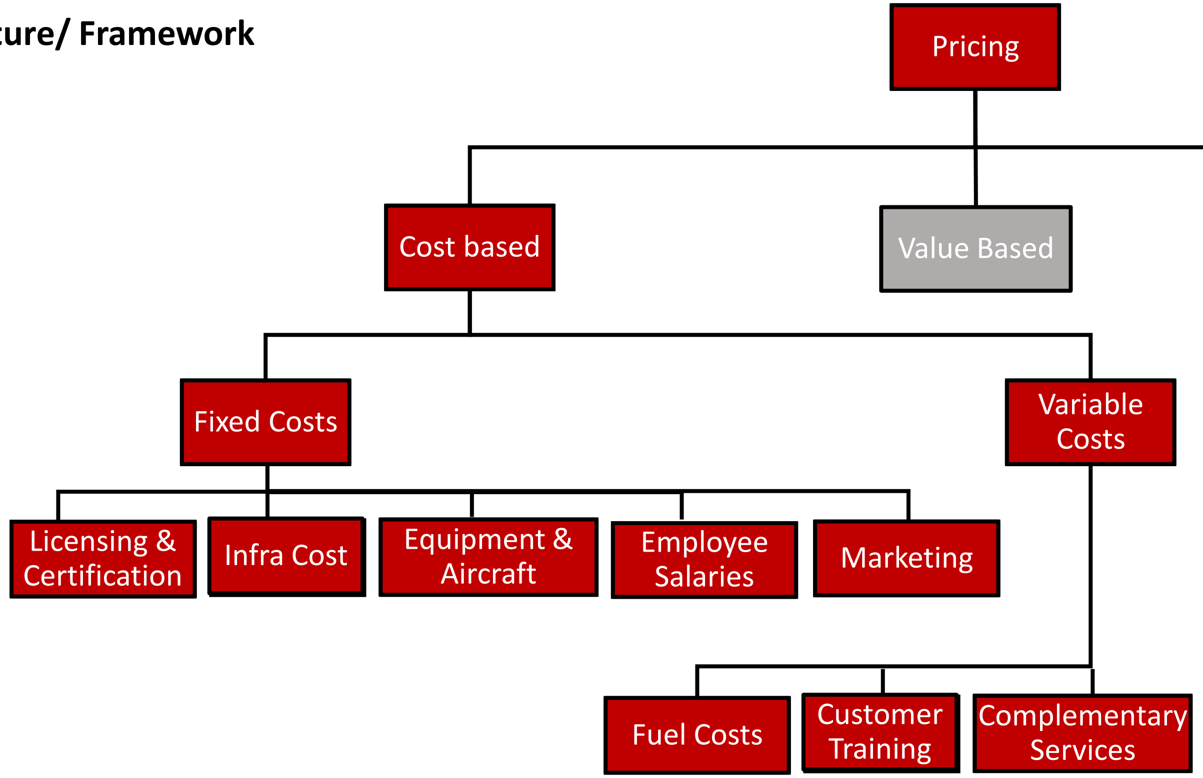
Case Statement

- Client is an Indian adventure sports company planning to open the first skydiving institute in the country and needs help in pricing their services.

Interviewee Notes

- First of a kind skydiving Institute
- Currently has only standard skydiving service with trainer

Structure/ Framework



Key Takeaways

- Interviews often focus on understanding the thought process, and cases may be driven in a more qualitative direction.
- Asking relevant questions is crucial to framing recommendations effectively.
- When direct competitors are absent, benchmarking against practices in other geographies or analyzing substitute services can provide valuable insights for comparison and strategic guidance.

Blind Bidding

Your client owns a zoo and amusement park in Singapore and plans to participate in a blind auction to bid for the world's only pair of dinosaurs, which are about to hatch. Elite businesses and governments from around the globe are also competing in this auction. The client has hired you to advise them on the ideal bid amount.

Sounds interesting! Can you share more about the client's operations and their strategic goal in bidding for this pair of dinosaurs?

The client owns and operates a zoo, managing all its activities independently. The zoo features various animals for entertainment and includes food and beverage vendors. The client aims to bid for the dinosaur pair to boost footfall and ultimately increase profits.

Okay. I would now like to understand more about how a blind auction works. From what I understand, many bidders can take part, but they don't know what price others are bidding, and each bidder can only submit one bid price. Is my understanding correct and complete?

Yes. That's correct.

Does this zoo have any competitors offering similar services in the same geography?

They are the only zoo in Singapore.

How about AR VR based amusement parks? Singapore is known to have technologically advanced amusement parks that offer augmented reality experiences with animals.

That's correct. For this case, you can assume there are no other amusement parks in the competitive landscape. However, I want to understand why information on the competitive landscape is important when deciding the bid price?

The competitive landscape will affect the bidding price because:

1. We need to compare the new resource (dinosaurs) with competitors to see if it gives an advantage.
2. To check if anyone already has a similar resource, that is rare, valuable, not-imitable.

You are right.

To proceed, can I take some time to structure my thoughts?

Yes sure. In case you have any questions please feel free to shoot them.

As the strategic goal of the client is to increase profits, therefore I would want to understand how the revenues and costs will be affected with the addition of the new pair of dinosaurs in the zoo. I would want to analyze:

1. Incremental revenue
2. Incremental costs
3. Expected margins

That's a fair approach. Can you list the sources of incremental revenue before diving into the calculations?

The zoo's revenue sources include entry fees and a share of food and beverage sales. To calculate potential revenue, we need details on the current pricing strategy and any planned changes with the dinosaur attraction. Additionally, do we have data on the expected increase in visitor footfall?

The zoo charges an entry fee of $110 per customer. Additionally, customers typically spend an average of $10 on food and beverages from vendors inside the zoo. Of this $10, 60% goes to the vendors, leaving the client with 40%. With the introduction of a new dinosaur attraction, the average daily footfall is projected to increase from 5,000 to 6,500. The client also plans to raise the entry fee by $20, and the average spend on food and beverages is expected to rise to $15 per customer. However, the vendor's absolute share is expected to remain unchanged.

Using this information, I'd calculate the incremental revenue. The current daily revenue to the zoo is sum of revenue from entry fee and revenue earned from 40% share on food and beverages i.e. [5000 x ($110 + 0.4 x $10)]= $570,000, With the introduction of new dinosaur, the daily revenue will increase to [6500 x ($130 + $9)] = $903,500. Therefore, the total increase in revenue is $333,500. Similarly, we can calculate incremental costs. Do we have any information on how the costs will increase?

I want you to analyze what all would you consider when calculating total costs.

Blind Bidding

Total costs can be categorized into fixed and recurring costs. The bidding price the zoo will pay constitutes a one-time fixed cost. Additionally, the expense of setting up the cage for dinosaurs will also be a one-time cost. Recurring costs will include maintenance, such as expert caretaking, food, and security. Do we have any information on these additional costs?

The total additional cost for year 1 including both fixed and variable will be $100,000. However, the bidding cost will be added on top of this.

Okay. So, assuming the bidding price to be ‘P’ we can say the total cost for year 1 is $100,000 + P. Next, we need to consider the margin that the client expects in year 1. Do we have any information on this?

Yes, the client expects to earn $230,000 per year. Using all this information, how can you form the pricing equation and what would be the bidding price?

The pricing equation will be: Revenue = Costs + Margin
$333,500 = $100,000 + P + $230,000
So, the bidding price ‘P’ should be $3,500.

Great job. We can close the discussion now.

Blind Bidding

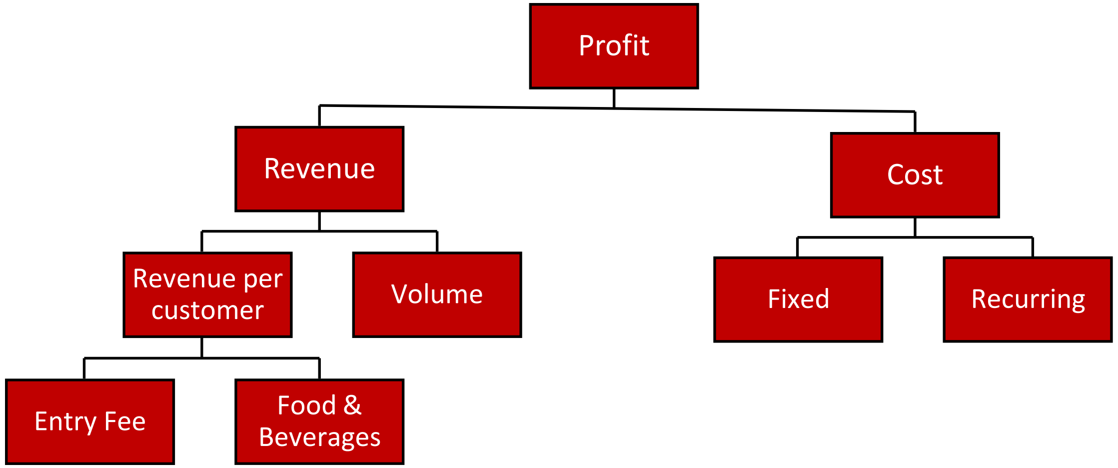
Case Statement

- A zoo in Singapore and plans to participate in a blind auction to bid for the world's only pair of dinosaurs, which are about to hatch. The client needs help to decide ideal bid amount.
- The zoo features various animals for entertainment and includes food and beverage vendors. The client aims to bid for the dinosaur pair to boost footfall and ultimately increase profits.

Interviewee Notes

- Only zoo in Singapore. No competitors
- Client owns and operates a zoo, managing all its activities independently.
- Charges entry fee and customers can purchase food and beverages inside.
- Current pricing: Entry fee of $110, average spend on F&B $10/customer.
- Future pricing: Entry fee $130, average spend on F&B $15/customer
- Footfall increases from 5000 to 6500 customers per day.

Structure/ Framework



Current Revenue: [5000 x ($110 + 0.4 x $10)]= $570,000
New Revenue: [6500 x ($130 + $9)] = $903,500
Total increase in revenue = $333,500
The pricing equation will be: Revenue = Costs + Margin
$333,500 = $100,000 + P + $230,000
Bidding price 'P' should be $3,500

Key Takeaways

- Need to create a pricing equation considering all types of incremental revenues, costs and margins.
- The client's objective of earning a margin needs to be taken into consideration.

Factory Owner

Your client owns factories which they lease out to a manufacturing firm. They are currently exploring whether to automate the factory or not and, if so, the new pricing. Could you advise them on this?

I would like to ask a few preliminary questions about the client. Could you let me know a bit about their factories and current pricing system? Also, why are they looking into automation?

The client owns three factories in Coimbatore and leases them to textile manufacturing firms. Their current pricing is an annual lease and is competitive with the market. The client wishes to see if they can increase their profits with automation.

Got it. To evaluate the potential impact of automation, I'd like to analyze where cost reductions might occur. May I confirm that we're primarily focusing on cost efficiencies and how these translate to pricing changes?

That's correct. Can you think of the areas where automation might reduce costs?

I would like to map this on the value chain. So, the factory process for the textile firms can be broken down into raw material procurement, manufacturing, packing and distribution. Through automation, they can probably reduce raw material and manufacturing expenses (utilities and labor). However, they will find the increased fixed cost of investment and maintenance as well.

That sounds correct. Can you now tell how they should go about pricing it?

To determine the pricing, I would establish a floor and ceiling. The floor price would account for the increased costs due to automation, such as capital expenditure and maintenance. Do we have any details on the cost of investment and maintenance for the new machinery?

Yes. The new machinery costs INR 2.5 Cr, with an annual maintenance cost of INR 50L. Labor costs remain unchanged.

If we spread the capital expenditure of INR 2.5 Cr over 5 years, it adds INR 50L per year. Combined with annual maintenance, the total additional cost becomes INR 1 Cr annually. This would be the minimum increase in lease pricing to cover the client's costs.

For the ceiling, we need to assess the additional value created for the textile firms. Do we have information on the potential savings or efficiencies from automation?

Assume that the current margin of the firm is INR 50 Cr & automation would expand it by 10%.

This means additional annual savings of INR 5 Cr. Hence, the client can price the automated factory lease at an additional INR 1-5 Cr. You told me that we are already competitive in the pricing; hence we will need to find a benchmark we can take to price between INR 1-5 Cr.

Yes. Automation is expected to expand the firm's annual margin by 10%, which is currently INR 50 Cr.

A 10% increase in margin translates to additional annual savings of INR 5 Cr for the textile firms. This means the client could justify an increase in lease pricing of anywhere between INR 1 Cr (to cover costs) and INR 5 Cr (to capture the value generated). Since the client's pricing is already competitive, we'll need to benchmark against the industry to determine an optimal price point.

That's a reasonable range. What are some ways we could determine the final price within that range?

I can think of three approaches:

- Review past negotiations to understand how price increases were communicated and received by lessees. This could provide insight into the textile firms' willingness to pay
- Gather industry data on lease price increases tied to efficiency improvements, which could help identify a benchmark.
- Propose a phased approach—starting with an additional INR 1 Cr in the first year, then increasing by INR 50L annually to reach the ceiling price gradually.

Thank You. Let's close the case now.

Factory Owner

Case Statement

- Factory owner, leased out factories to textile firms
- Wants to know the change in pricing for automation

Interviewee Notes

- Wants to increase revenues from lease
- New machinery costs INR 2.5 Cr, with an annual maintenance cost of INR 50L

Structure/ Framework

Price floor — Actual price — Price ceiling

Cost based pricing | Benchmark to set actual price | Value based pricing

Value Chain for cost saving

Raw material	Manufacturing	Packing	Distribution
• Reduction in raw material for new automated machines	• Utilities • Labor	• Utilities • Labor	• Unaffected

Key Takeaways

- Break down problems in structured way.
- Take regular interviewer buy-ins for all the assumptions which you make

Your client has developed a new digital therapy product for autistic children. The product imitates the therapy that is provided by a doctor in person through use of interactive videos, audiobots, games etc. How would you go about pricing the product?

Sure, I would like to ask a few preliminary questions about the product. Can the product be considered a replacement of therapy through doctors, or how is it different from it? Also, what is the competitive landscape like?

The product reduces the need for doctor therapy as children can use it at home. Plus it can also reach people who currently don't have access to doctor therapy. Although doctors can also use it to expand their reach through the digital solution, but here you can assume it reduces the need for doctor's therapy by 50%. The product is available in English language and is used on a tablet. In terms of competition, you can assume there are 2-3 other similar new products in the market.

That is informative, thanks. I can think of three broad ways of pricing the product – 1) cost based 2) competitor based and 3) value based. I can start off with value based as the value of this product is directly equivalent to therapy. Is there info on the costs of normal doctor therapy?

So, doctor therapy is very expensive and costs ~INR 3L per year, and doctors are very scarcely available, which is why this product can reach out to those who cannot afford or avail such services.

So, if the product can reduce the need for doctor therapy by 50%, it implies it can be priced at INR 1.5L per year. But this is the upper limit as it would not solve the problem of affordability and scarcity of doctors, and this will not be competitive with other digital therapy players. Next, we can look at benchmark pricing. Is there any info on their prices?

No not really, it is a novel product and there is no info on other competitors' business plans. Maybe you can focus on cost based instead.

Sure. I would like to proceed by dividing costs into fixed and variable costs. The fixed costs would be amortized over multiple periods and divided with the user base to arrive at fixed cost per user per year.

Then we will add variable costs and a desired profit margin on top of these. Is there any data available on these figures?

That's good. The total fixed cost is known, but how would you go about arriving at the expected user base?

We can look at the total market size and multiply with expected market share

So it is estimated that there are 5 million autistic children in India. How would you proceed?

I would like to compute the addressable market from this. I would like to apply filters of 1) income levels and 2) internet / tablet penetration and English-speaking population on this total market size. Based on this we will reach at the following number for the total addressable market-

Income Levels	No. of children	Internet/Tablet Penetration/ English speaking Population	No. of children	Total
Low Income (50%)	2.5 mn	10%	0.25 mn	2.15 mn
Med Income (40%)	2 mn	70%	1.4 mn	
High Income (10%)	0.5 mn	100%	0.5 mn	

Great, do you think this is the addressable market or would there be additional filters on this 2.15 million figure you have arrived at?

Yes! We have to, now account for competitors and doctors also. Since this product competes with doctors also, they might create negative publicity for such a product. Given that this market would be split amongst 2-3 competitors and, also competing with the doctors, we can aim to capture 25% of this, approximately 0.5 million.

That's very good. We are running out time. Are there any more filters you can think of?

Yes, other factors could be 1) people not willing to get treatment / social taboos 2) people opting for alternative treatments apart from conventional therapy.

Thanks. We can close the case here. It was a pleasure interacting with you.

Autism Digital Therapy Product

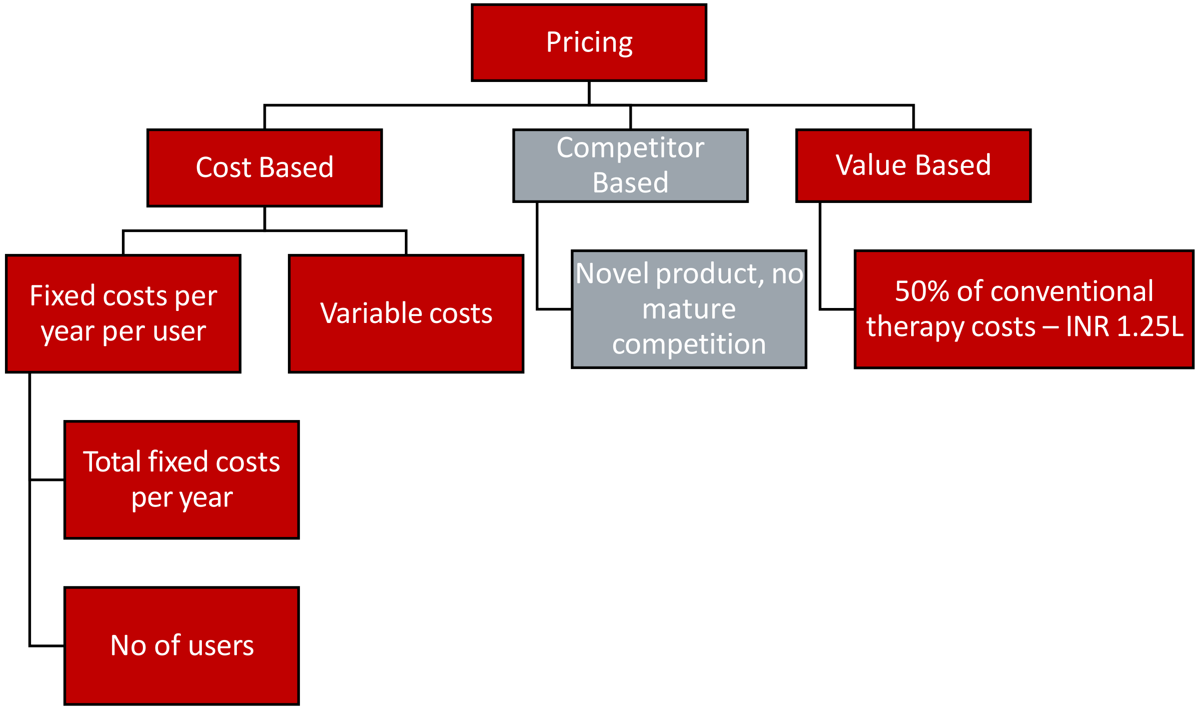
Case Statement

- Pricing problem for a digital therapy solution for autism
- The product imitates the therapy that is provided by a doctor in person through use of interactive videos, audiobots, games etc. It is available in English language and needs a tablet to be used

Interviewee Notes

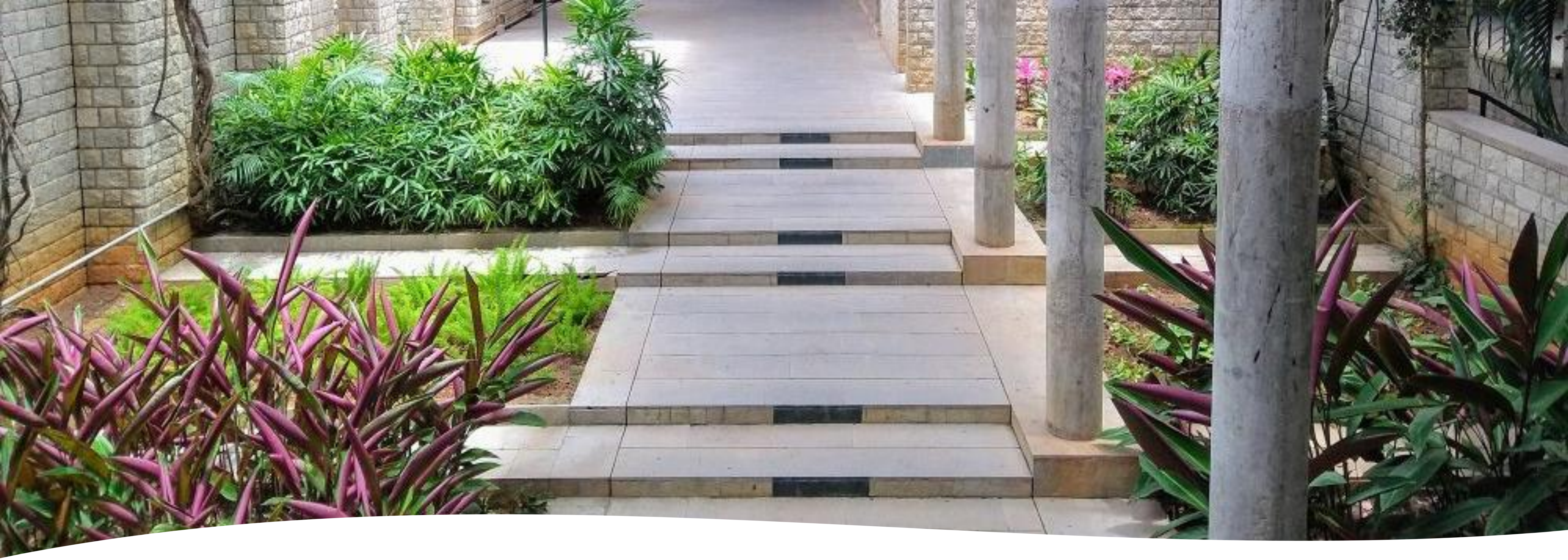
- Learn about the product first, how is it different from normal doctor therapy. The value provided is similar to conventional therapy, use that for value-based pricing
- For user base calculations, use factors of internet and tablet availability, and English-speaking population
- Maintain balance between qualitative and quantitative approach.

Structure/ Framework



Key Takeaways

- Use the data provided by interviewer thoughtfully, factors of English language product and tablet were used later in interview
- When interviewer is asking to list down factors, focus on qualitative aspects instead of quantitative numbers
- The pricing case ended with a mix of guesstimate and market sizing, do not rigidly stick to frameworks and focus on problem stated by interviewer



IIMB M&A & PE Cases 2024-25

PE/VC Framework

Factors to be evaluated for the time-period of investment	Financial Feasibility		Synergies and Business Model		Exit Options and Risks	
	Financial Factors	**Acquired Firm's Factors**	**Synergies**	**Business Model**	**Exit Options**	**Risks**
	Market Size (Guesstimate)	Unique Value Proposition	Demand-side Synergies	Company's Evaluation	Total Exit	P E S T L E
	Growth Rate	Competitors	Supply-side Synergies	Operations	Partial Exit	
	Profitability	Current Equity Structure	Efficiency Synergies	Financials	IPO	

Use information from above parameters to calculate Free Cash Flows (FCFs) to estimate the valuation of the company being acquired

Factors needed to analyze a company

Structure

What structure do we need to execute the strategy?

Systems

Business system needed to execute the strategy?

Style

Analyzing Leadership style and cultural qualities

Staff

How should we help our managers in their growth?

Strategy

What should we do to solve the business problem?

Structure

What structure do we need to execute the strategy?

Shared Values

Current Values and culture of the firm

Private Equity Investment

Your client is a global impact fund of US$200 Mn and is looking for investment opportunities. Please provide suggestions.

Thank you for the case. In my opinion, PE firms prefer to make majority investment and follow up on the main investment with add-on investments or bundle the new investment with the existing portfolio to bring about synergies. Before I proceed, I had a few preliminary questions to better understand the ask. Can I go ahead and ask them?

You are right about how PE firms operate. Please go ahead and ask any questions that would help with the ask.

Great, so I understand the client is an impact fund, but it would help to understand how the current portfolio of the firm looks like. Further, is there any specific scope of the fund related to catering any specific segment of the social impact?

They are a sector agnostic firm and are open to investing in any socially impactful business as they have investments in multiple avenues.

Okay, got it. Also do we have any information on what is the objective of the investment by the client? Or any constraints on the number and the amount of investment?

The client expects a minimum 15% return on their investment and are looking to invest in EBITDA positive companies and the ticket size would be anywhere between US$20-30 MM.

Okay, so for deciding the investment opportunity, I would like to focus broadly on these decisions in the same order to shortlist a few options and then look which option aligns with the existing portfolio: a) Geography b) Industry c) Company d) Exit Options
Should I go ahead and elaborate on each of these a bit more?

That sounds fair. Yes, please go ahead.

First is selecting the geography where the client wants to invest, since we already know that the client is a global impact fund and hence choosing the location would be an important factor. When selecting the location, the client should focus on the kind of country they would want to invest in (under-developed, developing, developed) and the future trends of the economy. Also important are the risks such as tax laws, regulations, political unrest and the foreign investment policies.

Yes, that's correct. Let's move ahead and look at the other factors.

Sure, now moving on to industry. The major factors would be the social impact created by the industry, industry attractiveness (in terms of market size and growth rate), competitive landscape, risks (regulatory, legal, and technological) and future trends.

Fair enough. Please continue.

Now that we have selected the geography and the industry, next step is finalizing the company where we would like to invest. This can be divided into two parts: financial and non-financial. Under financial, we will look at the projections of the financial numbers of the company, valuation of the company. Under non-financial, we would look at the qualitative aspects of the company such as management performance, credit rating, core competencies and competitive advantages and the ESG scores of the company.

That is quite an exhaustive list. Under qualitative factors what do you think is the most important criteria for investment?

Competitive advantage is the most important factor to look at since it allows a company to achieve and maintain superior margins, a better growth profile, or greater loyalty among current customers consistently.

Great! That's correct. We can close the case now. Thank you.

Private Equity Investment

Case Statement

- Global impact fund of US$200 Mn and is looking for investment opportunities
- Provide suggestions

Interviewee Notes

- The fund is a 'global impact' fund
- The client needs suggestions on where to invest

Structure/ Framework

- Investment Decision
  - Geography
    - Economy
    - Laws
    - Political Situation
    - Foreign Policies
  - Industry
    - Social Impact
    - Attractiveness
    - Comp. Landscape
    - Future Trends
  - Company
    - Financial
      - Projection
      - Valuation
    - Non-Financial
      - Mgt. Perf.
      - Credit Rating
      - Core Comp.
      - Comp. Adv.
      - ESG Scores
  - Exit Options

Key Takeaways

- In a PE case, it is important to understand the objective and constraints of the client
- Try to bucket various decision-making questions in order to bring a structure to the case. Think logically in a sequence to come up with parameters

This is a small case about Merger and Acquisition. A little background about the case. It's about two firms in Africa that supply palm oil to FMCG conglomerates like HUL. Firm A owns two plantations, one mill, and one refinery. Firm B owns one plantation, one mill, and one refinery. The plantation of Firm B is closer to Firm A's mill. What are the synergies they can exploit if they merge?

Thank you for the context. To approach this situation, I would like to split the synergies into five key categories, splitting it into supply side synergies, demand side synergies, cost savings synergies, operation synergies and efficiency synergies. I'll analyze the benefits and costs in those. Would you like me to proceed with this structure?

That's great. Lets start with the supply side synergies. What benefits can they achieve here?

Supply-side synergies can primarily unlock economies of scale. By pooling procurement operations, the merged entity can purchase seeds, fertilizers, and equipment in bulk, driving down input costs. Additionally, improved supplier negotiations become possible due to larger procurement volumes, enabling better terms and pricing. Centralizing procurement processes would further streamline operations and reduce redundancy.

What advantages can we get from efficiency synergies?

Efficiency synergies can be realized through refining and transportation optimization. Consolidating refining operations into a single, high-capacity facility reduces overhead expenses and energy consumption. This not only lowers costs but also improves product quality control. Additionally, standardizing best practices, such as advanced farming techniques, across plantations and mills enhances productivity. In transportation, aligning production outputs with the closest refinery and export port minimizes transit times and fuel usage, further reducing costs and improving efficiency. Labor optimization is another aspect here where workers can be allocated more effectively across plantations during high-demand periods like harvesting. These synergies ensure better resource utilization and cost efficiencies.

What about operational synergies?

Operational synergies can be attributed to proximity optimization. Firm B's plantation, located closer to Firm A's mill, reduces transportation costs and processing time. By directing all output from plantations to the most efficient mills and refineries, the merged entity can ensure high capacity utilization and minimize downtime. Furthermore, investing in a single advanced refinery can improve overall operational performance and scalability. Beyond logistics, shared disaster management resources between the firms ensure a more resilient and robust operation.

Which refinery to choose for this advanced refinery?

The choice of which refinery to consolidate into should depend on factors such as capacity, operational efficiency, and proximity to the export port.

How can they achieve synergies in cost savings?

Cost-saving synergies stem from the financial efficiencies of the merger. By consolidating investments in infrastructure and technology, the firms can reduce their individual financial burdens. Transportation cost reductions are achieved through optimized routes and better shipping rates due to increased shipment volumes. Overhead expenses, such as administrative and maintenance costs, also see significant reductions post-merger. Finally, leveraging tax benefits or government subsidies available to larger entities further improves financial performance.

What risks do you foresee in this merger?

While the merger offers many benefits, there are potential risks to consider. Cultural differences between the two firms may lead to friction during integration, particularly among employees and management. Operational disruptions could occur during the consolidation of mills or refineries, temporarily impacting production and revenue. Regulatory compliance is another challenge, as the merged entity must ensure it meets all environmental and trade regulations in the region. Addressing these risks proactively with clear communication, stakeholder alignment, and robust planning will be critical.

That's great. We are good to close the case.

Palm Oil

Case Statement

- Two African firms supply palm oil; Firm A owns 2 plantations, 1 mill, 1 refinery; Firm B owns 1 plantation, 1 mill, 1 refinery.
- Firm B's plantation is near Firm A's mill, enabling potential synergy.

Interviewee Notes

- The client needs to know what can be various synergies and its sources

Structure/ Framework

- Synergies
  - Supply side Synergies
    - EOS
    - Improved Supplier negotiation
    - Centralised procurement
  - Efficiency Synergies
    - Refinery optimisation
    - Optimised labour allocation
    - Standardization
  - Demand Side Synergies
  - Operational Synergies
    - Proximity optimisation
    - High capacity utilisation
    - Operation time minimization
    - Advanced refinery
  - Cost saving Synergies
    - Shared investment
    - Transport cost reduction
    - Reduce over head expenses
    - Better shipping rates
    - Tax benefits and subsidies

Key Takeaways

- In a M&A case, it is important to understand the various benefits through the operational synergies of the client
- Try to bucket various types of operational synergies and form a logical structure of it.

Your client is a PE firm looking to make an investment in the EV industry in India. What advice would you give to them?

Thanks for the problem statement. Before proceeding, I would like to understand more about the client. Could you tell me about their existing portfolio? Have they made an investment in EVs before? Also, do they want to invest in any specific industry segment, like two or four-wheelers or charging stations?

They have a very diversified portfolio and have invested in EVs before but not in India. They have the two-wheeler segment in mind.

What time horizon are they looking at, and are they looking at any particular firm in the two-wheeler EV segment?

5-10 years. Can you tell me what all elements you would look at to analyze this case?

First, I would start by analyzing the attractiveness of the two-wheeler EV industry. Then I would look at the attractiveness of the firm in question in terms of its financial and operational capabilities. I would look at the financial aspects of the investment, like the expected return, NPV, Payback Period, and finally, I would consider the integration and investment specific risks that the client could potentially face. Do you want me to consider some other factors?

No, these seem comprehensive. Could you please elaborate on each of the factors?

Under industry attractiveness, I would analyze the market size of the two-wheeler EV industry, the growth rate, the competitive scenario, the bargaining power of suppliers and buyers, and the presence of substitutes. I would also look at the barriers to entering the industry to understand threats from newcomers.

Okay, how would you evaluate the attractiveness of a firm in the EV industry?

I would look at the firm's operational and functional capabilities. Regarding functional capabilities, we can look at R&D, sourcing of components, relationship with suppliers, manufacturing capabilities, distribution, marketing and branding, return and maintenance

Is there anything specific in terms of suppliers which you'll focus on?

Yes, since we are talking about the EV industry, the availability of Lithium-ion batteries is an issue. Also, on the customer side, the lack of charging infrastructure deters people from buying EVs.

Correct. Can you list a few risks that the client should look out for?

With respect to the investment specific risks, we can broadly categorize them into industry-wide risks or firm-specific risks. Industry-wide risks could be regulatory (changing regulations regarding EVs in India), technological (new technologies that might render the current EV technology obsolete), supply risks due to the unavailability of Li-ion batteries, etc.

Firm-specific risks could pertain to any event that endangers the firm's current capabilities, e.g., the locking of suppliers by competitors, etc. We can examine the value chain and identify such risks at each stage.

In addition, we also need to analyze the integration risk, i.e., the problems our client might face in synergizing the investment with its existing portfolio. Should I go ahead with that?

No. In the interest of time, let's close the case here.

EV Industry

PE | Moderate | Bain

Case Statement

- Client is a PE firm looking to make an investment in EV industry and want advice around the same

Interviewee Notes

- Client has a diversified portfolio and has invested in EV before but not in India
- Client has 2-wheeler segment in mind

Structure/ Framework

- Investment Decision
  - Industry Attractiveness
    - Growth Rate
    - Competitive Landscape
    - Bargain Power of Players
    - Substitutes/ Compliments
    - Entry Barriers
  - Target's Positioning
  - Risks
    - Performance
      - Industry
      - Target
    - Integration
  - Target's Financials

Key Takeaways

- It's always advised to familiarize oneself with client and their needs
- It is always beneficial to have industry specific knowledge while approaching such PE cases
- Giving a comprehensive list for measuring the attractiveness of the industry was a plus

Healthcare Facility

M&A | Moderate | BCG

Your client is a leading healthcare group, they are acquiring a standalone healthcare facility and want your recommendation on the undertaking.

Thank you for the case statement. I would like to ask a few preliminary questions to better understand the current state-of-affairs, use them to build an analysis of the situation and then proceed to the recommendation. Would it be correct to understand a health care facility to be a hospital/clinic?

Sure and yes, we can consider the healthcare facilities to be hospitals for this discussions.

Do we have more information on the proximity of the hospital to the Client's hospital?

Both the hospitals are located in the same Tier 1 city, within 10km of one another.

The proximity of the two facilities will influence the key decision-making parameters for this acquisition.

Good. Which parameters will you use to judge the effectiveness of this acquisition?

For merger or acquisitions, we can split the parameter into non financial and financial factors. We can further divide the financial factors into the value added by the new healthcare facility and the costs associated with acquiring the new healthcare facility. Non-financial factors can also be divided into internal and external factors. Under financial factors we can do due diligence around the valuation of the facility, synergies, asking price and integration costs.

Emergency Ward is the only department common between the two hospitals. You can look into the non-financial side.

This a good start. Now, I would like to look at the internal factors: organizational fit, cultural sync between the two hospitals, long term vision and ensure that they maintain the same patient centric service and goals. The integration should ensure that the two hospitals are perceived as one entity.

That makes sense. What else do you want to look at?

As there is no significant overlap between departments, intra department integrations are negligible. However, a protocol has to be drafted to standardize the operation of the ER dept., with clarity of hierarchy across the two hospitals. The client should also refresh the organizational hierarchy with the acquisition of the new hospital, eg. absorbing experienced and leading doctors from the daughter hospital into leadership roles.

Fair, beyond the capabilities, culture and organisational structure what other things should be looked into?

Yes, we need to consider external factors. This includes accounting for the measures and expenses required to update and consolidate regulatory permits, such as fire safety regulations, elevator certifications, supply procurement tenders, tax documents, and agreements with healthcare payers (both public and private) under a unified name. Additionally, the client should ensure that all public relations and marketing communications are aligned to reflect a consistent identity for both hospitals.

Are there more bases to cover?

Yes, I can also think that the client will have to update its Patient Management Systems, consolidate all patient database across the two hospitals and streamline processes for appointment booking, emergency service assistance and delivery across the two hospitals for a seamless patient party experience. Is there anything I am missing?

No, that is all. We will close the discussion here!

Thank you for your time.

Healthcare Facility

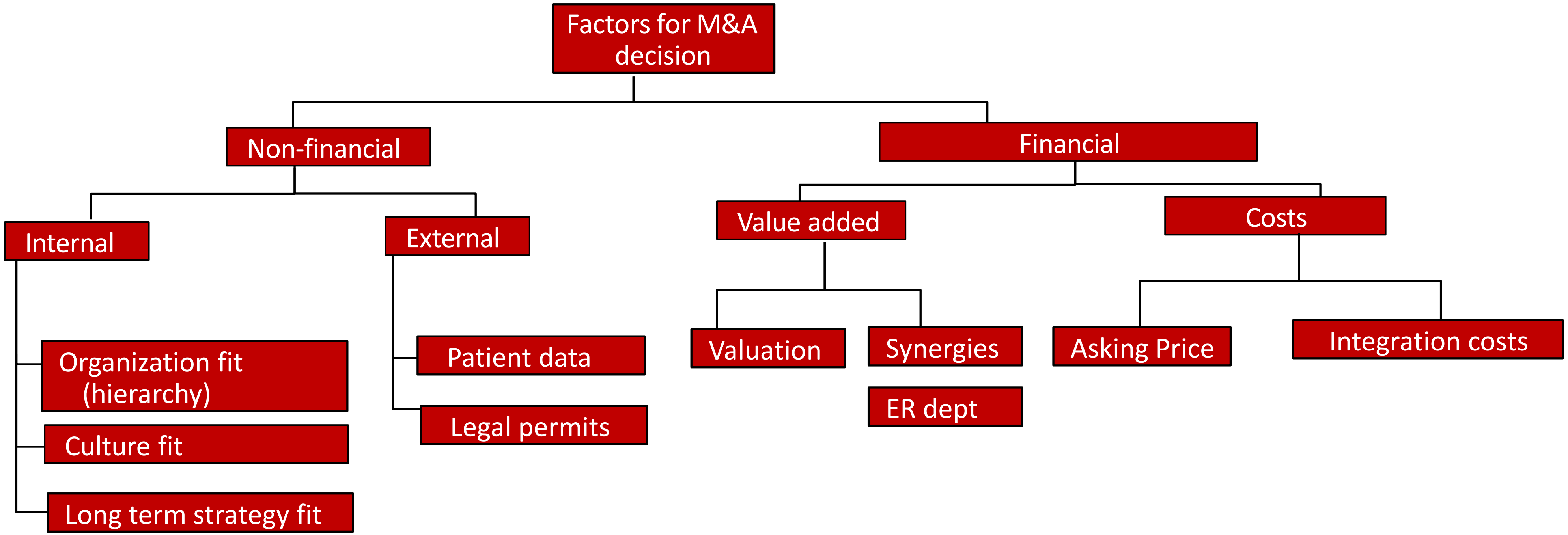
Case Statement

- The client is a leading healthcare provider, take hospital chains like Apollo Hospitals/ Narayana Healthcare group for example
- It is acquiring another healthcare facility in its proximity
- What are some of the bases that they should cover as they make this decision

Interviewee Notes

- The hospitals are in the same city/town
- They do not have overlapping capabilities except the ER (emergency) department
- Cultural and people fit across work location
- Need to align operations
- Need to maintain same identity
- Ensure seamless experience for patients

Structure/ Framework



Key Takeaways

- Ensure the benefits/ hurdles of all stakeholders involved in the business model are being accounted
- In mergers, identify the current attributes (location/ capabilities/ services/ positioning) that contributes to value of post-merger proposition being greater than than the sum of individuals

Army Cantonment Hotel

PE | Moderate | Accenture

Your client is a PE firm looking to invest in a hotel in India and need your help in figuring out whether they should go ahead with it.

Thank you for the case. Before we deep dive into the case, I'd like to give a structure to the case and ask a few preliminary questions. Can you give me a brief idea about the client?

Sure, our client is one of the biggest PE firms in India and has a diverse portfolio. Lately, they have been investing in a lot in real estate since they believe there is a significant potential there for the next 10-20 years owing to rising population.

Has the client already decided on the hotel that they want to invest in or are they yet to decide the same?

Good question. The client has actually already decided on the hotel they are interested in and need your help in understanding if the investment is worth making.

Sure. In that case, I would like to understand more about the hotel. Where is it situated? Who are the customers and their purpose of visit? Do we have any details on the tariff rates?

The hotel is situated in a small town in India in an army cantonment area and provides basic amenities. It became operational 3 years ago. As such, more than 95% of the visitors are trainees who visit the town to attend conferences. People do not spend a lot of time in rooms and use it only for keeping their luggage and sleeping. The trainees receive an allowance of $80/night during the course of their visit. I don't have information on the tariff rates but you can estimate the same if required.

Are there any other hotels in and around the area that could be potential competitors?

Not in the same town but there is a town nearby with ample number of hotels.

Thank you for the all the details! I would like to evaluate the financial attractiveness of the asset, followed by growth drivers and then finally analyze the risks and synergies. Does the approach seem fair to you?

Sounds good. You can start with the financial attractiveness aspect.

I would like to look at the different revenue and cost streams for the hotel and come up with a valuation of the hotel based on expected cash flows and the discount rates to account for time value of money. Revenue streams will include accommodation charges, food, laundry and other services. Cost stream will include fixed costs like staff salaries, utilities, maintenance etc. and variable costs like grocery, house keeping expenses etc. Do we have any idea around the different revenue and cost streams as well as discount rate?

You can assume accommodation charges to be the only source of revenue. Costs are $30/night for an occupied room and $0 for an unoccupied room. Discount rates are not known. You can calculate the payback period on investment to evaluate financial attractiveness. If payback period is less than 7 years, the client is good to go.

Accommodation charges can be calculated as No. of hotels room * Occupancy Rate * Tariff rate * No. of nights operational. Do we have data on these parameters and also the investment amount?

There are 400 rooms in the hotel with an average occupancy of 75%. Hotel is operational throughout the year. The investment amount is $65000/room. You will have to estimate the tariffs. Assume that all the rooms are similar and a single tariff rate applies to all customers.

The tariff can be calculated based on three approaches: value-based pricing, cost plus pricing and competition based pricing. Since the hotel provides basic amenities and there are hotels in nearby town, I feel pricing is most likely to be influenced by competition while ensuring that operational costs are being covered. Do you think that's fair? If yes, can you tell about the tariff rates for hotels in the nearby town?

Sure, that makes sense. There are three types of hotels in nearby town – Economy with a tariff of $50/night, Utility with a tariff of $75/night and Luxury with a tariff of $125/night. It takes $10 to travel to and from the nearby town to the cantonment area

After including travel costs, the cost of staying in Economy, Utility and Luxury hotels comes out to be $60, $85 and $135 per night. Given the trainees receive an allowance of $80 per night, it makes sense to keep the tariff between $60-$80 to keep the prices competitive as well as affordable for the trainees. Is that fair?

Army Cantonment Hotel

Yes, that's correct. You can assume the tariff to be $70/night.

Sure, I will take a minute to calculate the annual profit and breakeven period. According to my calculations, the annual profit for the hotel would be $4.4M and the payback period would be 6 years (see working below), which is acceptable as per the client's expectations.

That looks good. Can you tell me some of the risks associated with the investment?

Risks can be divided into two parts: Internal and External. Some of the internal risks include attrition of human resources, decline in quality of service and deteriorating infrastructure due to lack of maintenance. External risks include emergence of competing hotels, changes in trainees' allowances and shift in conference location. All of these factors can potentially impact our estimation of cash flows and payback period.

Excellent. So what's your final recommendation to the client?

I feel the client should go ahead with the investment since it is financially attractive to them. The internal risks should not be a major issue since the hotel is just 3 years old and hence, it should be in a good shape for at least next 4-5 years. As far as external risks are concerned, army locations are usually strategic in nature and not changed frequently. Hence, the demand is fairly inelastic and cash flows should be as predicted for the hotel with minimal variation.

Great! We can conclude the case here. It was really good interacting with you.

Army Cantonment Hotel

Case Statement

- PE firm looking to invest in a hotel located near army cantonment
- Identify payback period
- Risk analysis for investment

Interviewee Notes

- Hotel located in army cantonment area
- Used by trainees attending conferences
- Hotels available in nearby town:

Type	Tariff (/night)
Economy	$50
Utility	$75
Luxury	$125

- Cost of to and travel from nearby town = $10

Structure/ Framework

- Investment Analysis
  - Financial Attractiveness
    - Revenue
      - Food
      - Laundry
      - Accommodation
        - No. of rooms
        - Occupancy Rate
        - Operational nights
        - Tariff rate (per night)
          - Value based
          - Cost based
          - Competition based
    - Costs
      - Fixed
      - Variable
  - Growth Drivers
  - Risks
    - Internal
      - Attrition
      - Service Quality Dip
      - Poor Infra
    - External
      - Competition
      - Change in allowance/venue
  - Synergies

Annual Profits = No. of rooms * Occupancy Rate * Operational nights * (Tariff – Expenses)
= 400 * 0.75 * 365 * $(70-30) = **$4.38M**

Payback period = ($65000 *400)/$4.38M ~ **6 years**

Key Takeaways

- Important to showcase breadth of thinking and MECE at every step
- Case solving can get numerical, get comfortable with calculations under time crunch

Pre-Kindergarten School Investment

There is a PE firm which wants to invest in a pre-kindergarten school chain like Kidzee which operates in Mumbai. What advice would you give them?

Can I ask some clarifying questions?

Yes ofcourse.

Is it the first time that the PE Firm is venturing into the education industry

Yes, this is the first time.

What is the horizon of investment that the PE firm is looking at?

5-10 years. Can you tell me what all elements would you consider while analyzing the case?

First of all, I would like to estimate the size of the pre-kg industry, look at the market share of the pre-kg chain that our client is looking to invest in and then look at the growth rate of the industry and the target's market share.

Good. Please proceed

To estimate the market, I would divide Mumbai into 5 zones. For each zone, I would estimate the number of married couples in the age group of 27 to 35. Before, I proceed, I want to do a side analysis about who can afford to enroll their kids in pre kg schools

Ok. Please go on.

I assumed some per annum fees for a pre-kg school. Then I assumed that families spend x% on rent, y% on housing needs, z% on leisure etc. Using the per annum fees assumption and the percentage of income spent on education, I was able to calculate the cutoff for families who could afford to enroll their kids in the pre-kg school based on their income

Ok. How will you use this information?

Now we can further segment the married couples between 27-35 into those who can afford and those who cannot

Ok, the market size is fine. What else will you advise the client?

We should also look at the financials of the pre-kg chain. By looking at their assets, liabilities, income and expenses we would be able to determine what percent of their revenues come from operating activities.

What kind of expenses do you think are applicable for a pre-kg chain?

As they are operating in Mumbai, rent and lease would form a major part of their expenses. Apart from rent, they would incur expenses for salaries, maintenance and advertising.

Ok. What else? Do you foresee any risks for the client?

One risk could be that the client is not able to find suitable teachers for engaging with pre-kg children.

Wait, who is our client?

I'm sorry. It is the PE firm. Since this was a PE client who was looking to invest in another company, I got confused about the perspective from which the question is asked

No worries

The risks for our client are that the pre-kg industry could become irrelevant in the future. The government could come up with a law where children below x years are not allowed to study. The schools could start opening their own pre-kg chains.

Interesting. Anything else?

The technology is evolving so fast. In future, robots could be developed to take care of and educate children when their parents are not at home.

Hahaha. That is still 15-20 years away. It was an interesting discussion. Let's wrap it up here!

Pre-Kindergarten School Investment

Case Statement

- A PE firm client has approached you for advice
- Objective: Evaluate whether or not to invest in a pre-kindergarten school chain like Kidzee

Interviewee Notes

- Horizon of investment: 5-10 years
- Target company is in Mumbai
- Estimate market size using no. of married couples, affordability cut-off

Structure/ Framework

- Invest in Pre-KG kindergarten?
  - Pre-KG Market Opportunity
    - Industry Size
    - Industry Growth Rate
    - Target's Market Share
  - Financials
    - Assets
    - Liabilities
    - Income
    - Expenses (rent, salaries, maintenance, advertising)
  - Risks
    - Relevance
    - Technology

Key Takeaways

- Important to give step-by-step approach for market sizing followed by a verdict of whether the opportunity is lucrative
- Analysis of all 3 – market opportunity, financials and risks is required to be studied when evaluating a decision for a PE firm

Your Client is PE firm and is looking to invest in 2 Indian AI driven startups, one in the Healthcare space and the other in consumer space. They have hired us as consultants in this regard.

Ok. So, I would like to know more about the client, its investment focus, current portfolio and what our scope of work would be.

The client is a Singapore based PE firm , and they have been investing in growth stage startups since a couple of years. The client has hired us to determine the criteria to evaluate the AI capabilities (actual v/s inflated) of the 2 startups.

I would like to begin with the Healthcare startup first and then subsequently move to the other startup. So, within the healthcare space, in which domain (Hospitals , Diagnostics or Pharma) does the startup serve and in which region?

You could assume the startup operates in a tier 1 city and it provides both pathological & radiological diagnostic services .

So as per my understanding the AI could be implemented in either automating the testing process or for patient profiling or in form of chatbots or virtual assistants for scheduling and delivering the results. So, is there any other part in value chain where AI has been implemented?

You are correct. The startup has procured AI enabled machines which carry out processing of samples of routine pathological tests.

So, while evaluating the capabilities I would look at financial and non-financial net benefits realized after implementing the AI.

Okay, proceed.

On the financial side I would look at the incremental cash flow generated either from the additional patients served or from to cost savings resulting due to reduction of staff after implementing the AI and then would look at the NPV based on the cost of procuring the AI-enabled machines.

Also, I would look at impact on cost per sample and revenue growth (of routine tests segment, since only those have been automated) post the procurement of the machines.
For the evaluating the non-financial benefits , I would look at certain KPIs which would be affected post AI enablement such as sample processing time, TAT, utilization rate and compare it with firstly, the numbers before procuring the AI-enabled machines for the startup and then with competitors or industry average for these KPIs .
Also, I would like to know how adaptable are the current AI enabled machines in incorporating additional non-routine tests (scalability) or other advanced tests which may be required in future. Also, do we have the numbers for conducting the financial feasibility?

That's great. No need for the calculations now. We can move ahead with evaluation of the startup in the consumer space.

I would like to know more about the startup, what sort of service it provides , where does it operates and who are its customers if we have any information regarding the same.

So, it's a tech startup in India which provides FMCG & quick commerce companies with AI based solutions and analytical insights to improve their customer engagement.

Okay as per my understanding the startup might be providing services such as customer profiling , customer segmentation, demand prediction, consumption patterns and targeted marketing.

Yes , you are correct.

Okay, on the financial side, we can analyze the sales uplift caused in clients of the startup after hiring their services. Additionally, we can look at incremental cashflows that clients of the tech-based startup experienced.
Incremental CF = EBIT(1-T) * % Increase in sales
And then compute the NPV after adjusting for the initial investment required to procure services of the startup.

AI Startup Under The Lens

Okay what other metrics can you think of that we need to consider to evaluate the AI capabilities.

Some of the metrics I would track are

1. Average order value (AOV)
2. Churn rate
3. Customer Acquisition Cost (CAC)
4. Net promoter score
5. Purchase Frequency

We could track these metrics before hiring the services of the startup and after hiring services of the startup and look at what impact has been created and do competitive benchmarking of these metrics. Also, we could look at validating the impact the startup claims it can make on certain metrics versus the actual impact it has achieved. Apart from these, for consumer tech startup we could look at their client's satisfaction rate, their testimonials and look at increase in number of client's served , retention rate among existing client's and revenue from repeat clients. We could also look for the the qualifications, prior experience of the leadership and the technical teams working at these startups and gain understanding of their skills and expertise and see whether they are capable for developing AI based solutions.

Great! Let's end the case.

AI Startup Under The Lens

PE | Moderate | EYP

Case Statement

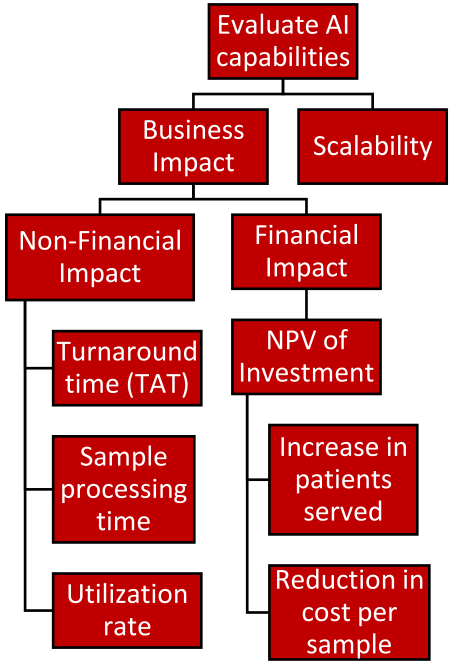
- Determine the criteria to evaluate the AI capabilities (actual v/s inflated) of the 2 startups

Interviewee Notes

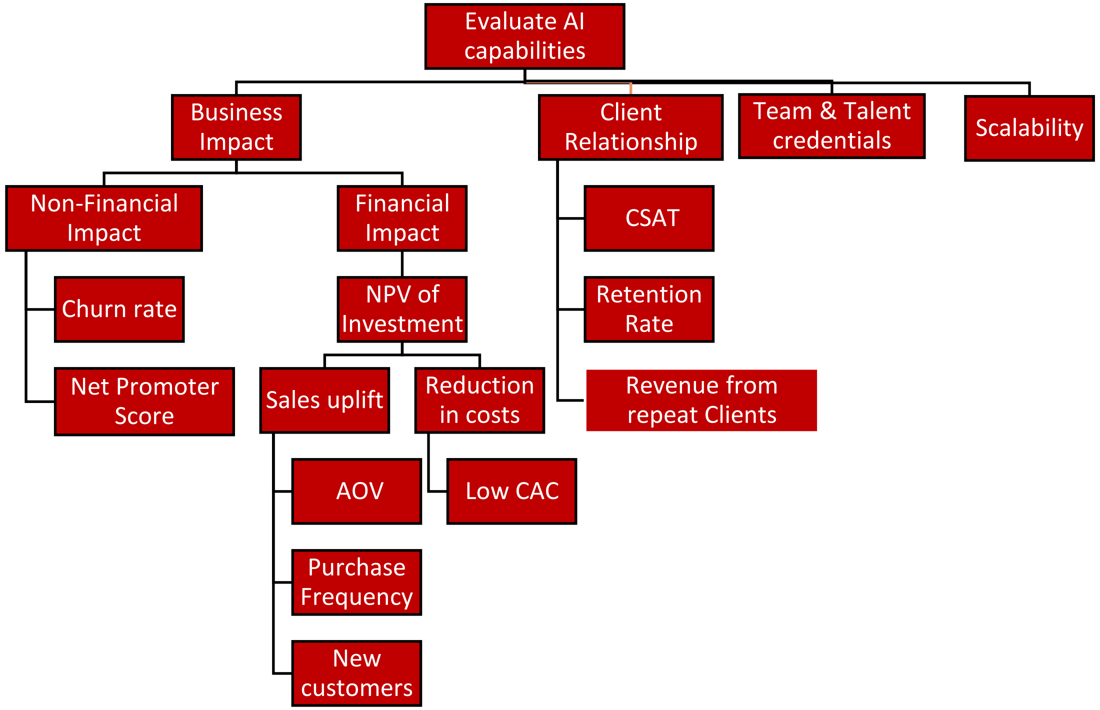
- Healthcare startup provides radiological & pathological diagnostic services
- Consumer space startup serves FMCG and quick commerce firms and provides them with services to improve their customer engagement.

Structure/ Framework

Diagnostics Startup



Consumer-Tech service startup



Key Takeaways

- Basic knowledge of KPIs related to the diagnostics , FMCG , Quick commerce and service industry is required
- Knowledge about where or in what part of value chain AI based solution could be implemented especially in case of Diagnostics startup can give you an edge
- Slightly unconventional case, ask the interviewer for some time to think and then come up with a comprehensive structure of your own

Coal Mine Investment

Your client is a PE firm who is looking to invest into a coal-miner based out South Africa. Evaluate if it is a valuable investment for your client.

Sure, thank you for the case. Before I drill down to the factors to be analyzed, I have a set of preliminary questions for our client. Firstly, I wish to know about the current portfolio of our client and the future vision of our PE client.

May I know the reason for asking this question?

Typically, PE clients look to invest into firms which are in line with their portfolio and/or their vision. Eg – If our PE client invests in green firms and is concerned with the ESG impact of its invested firms, then investing in a coal mine wouldn't be a part of my recommendation.

Great. Out client is not into green stocks, its current portfolio contains traditional energy firms (Petrol, Coal, Gas). Hope that answers you question. Do you have any more questions?

Yes; Further I would I like to know if we have a quoted valuation from the coal-mining firm?

No, Nothing as of now.

Understood; Also, apart from the fact that coal-mining is in synchronization with our PE client's portfolio, is there any other purpose of investing into the coal-mining firm?

Our client wishes to earn a decent ROI from this investment in the next 6-7 years. There is no predefined ROI preferred. You are expected to evaluate whether this coal-mining firm has the potential for the same.

Understood. Further, I would like to know about the customer profile of the coal-miner, and if there are any outstanding contractual obligations of the coal-miner.

Its clients are based outside of South Africa, and there are no current contract obligations on the coal-miner.

Got it. I would also like to enquire about the number of mines and their location in terms of distance from ports, if not, what are the transportation facilities available? As per my understanding, the coal-miner ought to have interconnectivity with the ports for transportation to its clients outside of South Africa

Good question. The miner operates one mine and is a major player in South Africa. Also, the mine is located relatively closer to the ports, and the coal-miner has interconnectivity with the ports for transportation outside of South Africa; the miner itself transports to the ports and thereafter based on the contract the shipment is shipped.

Understood; I now have a fair understanding of the case. I would request for some time to structure my thoughts and come up with parameters to be analyzed.

Sure, take your time.

So, in order to evaluate if the coal-mine is a valuable investment for our client, I would like to follow a 4-pronged approach. Analyze the following:

1. <u>Macro-economic factors</u> (related to the industry)
2. <u>Micro-economic factors</u> (related to the firm – due diligence and financial feasibility)
3. <u>Operational feasibility:</u> Possibility of our client, PE firm, to tinker the operations of the invested firm (coal-miner) in order to earn a higher ROI after 6-7 years (the client's stated period of investment)
4. <u>Exit Options and Risk</u>

Is there anything else you want me to look at or anything specific you would want me to dive in?

Can you please elaborate about what you meant by macro-economic factors?

Sure. So, following are the pointers that I'll be looking under macro-economic factors:

- Analyze the **supplier** (labor unions, equipment manufacturer) and **buyer** (in the form of geographical locations of major buyers) landscapes
- Future growth potential in the industry
- Competitive landscape inside the coal-mining industry

Great; can you now elaborate on the financial feasibility analysis?

Sure; I would want to calculate the NPV using a discounted cash-flow model wherein the parameters will be as follows:

1. Free cash flows [basing future free cash flows based on growth (of buyers, new mines) and risks]
2. Hurdle rate (based on the current equity-debt structure)
3. Terminal value; since coal is a non-renewable resource, hence as per my understanding the coal-mine would be evaluated every 5/6 years based on the rate of mining to gauge the amount of coal left to be mined. Thus, terminal value will be a critical factor

Interesting analysis. Thankyou, we may stop the case here.

Coal Mine Investment

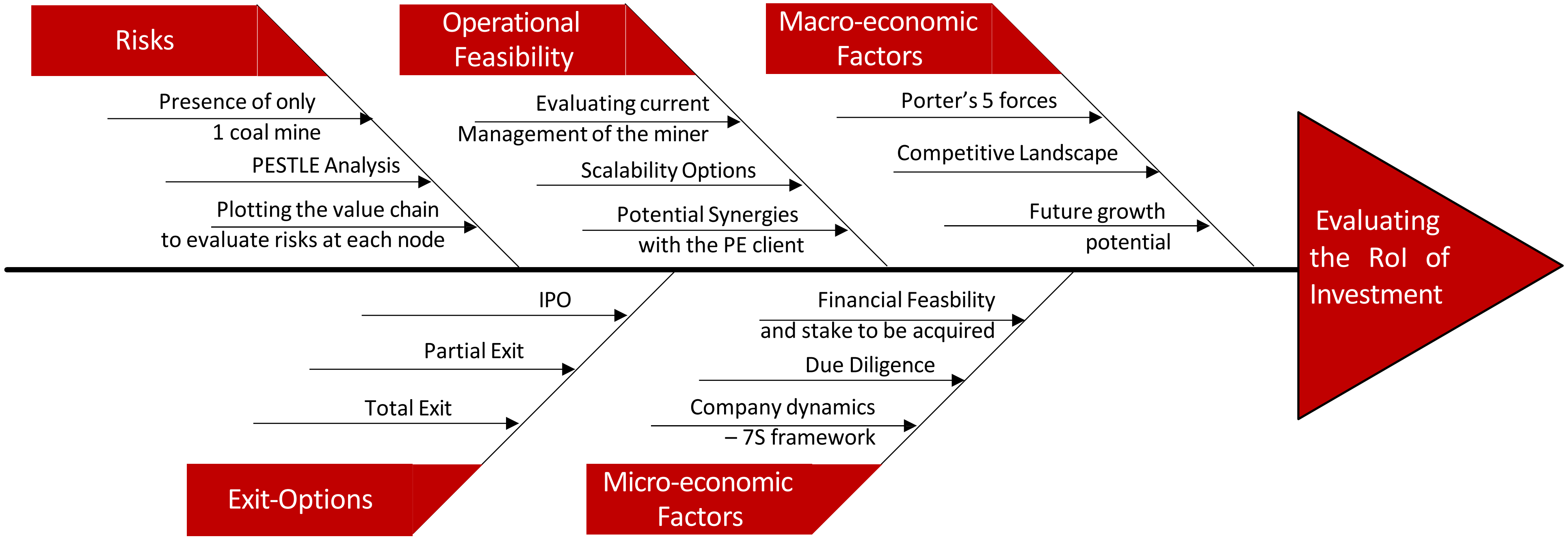
Case Statement

- Our client is a PE firm looking to invest in a coal-mining firm in South-Africa
- Portfolio of the PE firm is in traditional energy stocks (Petrol, Coal, Gas); not willing to invest in green stocks
- Overarching objective is to evaluate the investment opportunity

Interviewee Notes

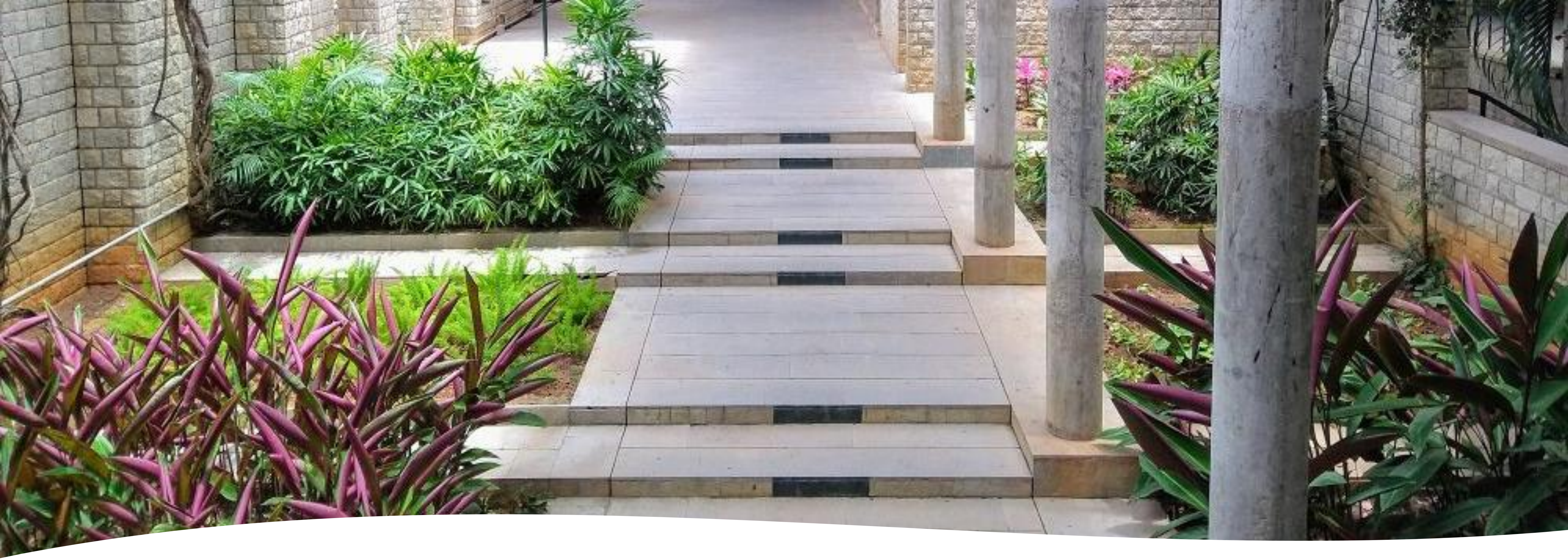
- Since there is no standard framework for such case, aim was to evaluate from the lens of our PE client and form a coherent (yet MECE) set of parameters to be evaluated, hence in that regard the 4-pronged approach was suggested
- Thought-process ought to be like a fishbone-diagram (or a decision tree), wherein the final objective formed the core of the diagram (See right)

Structure/ Framework



Key Takeaways

- Critical to understand the rationale for investment
- The Interviewer might not be looking at the final problem to the solution, and maybe looking to evaluate the interviewee on a specific set of parameters
- In case of M&A/PE cases, adequate time should be given to preliminary questions as the interviewer is looking to check your initial hypothesis with them
- There is no specific framework for such cases, hence it is critical to form an overarching framework (during the case) based on one's hypothesis of the case



IIMB Unconventional Cases
2024-25

Delhi Mohalla Clinic

Your client, the Delhi government, opened Mohalla Clinics eight years ago to provide free healthcare services. However, these clinics have not been successful. Can you help identify the reasons and provide actionable recommendations?

Thank you for the problem statement. I would like to ask a few clarification questions to understand the context a little better. How many Mohalla Clinics are currently operational? Are they sufficient to meet the population's needs?

Around 300 clinics are operational and evenly distributed across Delhi. They were deemed sufficient during planning.

What services are offered at these clinics? How do we define success for these clinics?

General medical consultations, basic laboratory tests (e.g., blood tests, X-rays), and free medicines are provided. Success is measured by patient turnout, which has been significantly lower than expected.

Thank you! Let me summarize the problem to ensure I've understood it correctly.
The Delhi government started around 300 Mohalla Clinics eight years ago to provide free healthcare to the urban poor. These clinics offer general medical check-ups, lab tests like blood tests and X-rays, and free medicines. They are evenly spread across the city and were planned to meet the population's needs. However, the number of patients visiting these clinics is much lower than expected, and this issue exists in all clinics, not just a few.
I would like to analyze the problem further & suggest solutions. Does that sound good?

Yes. Please proceed.

To diagnose the problem, I would like to start by analysing consumer journey and identify possible reasons for the low turnout. I'll break this journey into three stages:
Pre-Visit: Factors like awareness and accessibility of clinics.
Consultation: Quality of services - doctor availability, infrastructure, and waiting time.
Post-Visit: Follow-up mechanisms, timely availability of test reports, and access to prescribed medicines

Okay! Can you discuss what factors we should investigate in each step?

In the pre-visit stage, I'd like to examine both Awareness and Accessibility factors. For awareness, I will look if people are aware of the clinic locations and the services provided. For accessibility, I will check if clinics are easily accessible to the low-income groups?

Awareness and accessibility are not significant issues. Most people in the target audience know about the clinics, & they are evenly distributed across the city to ensure accessibility

For the consultation stage, firstly, I'll focus on Service Levels to see if doctors are regularly available & if waiting times are manageable. Then, I'll look into Infrastructure to see if labs& diagnostic facilities are functional & if clinics are capable of handling expected patient load

The consultation stage is also functioning well. Doctors are available, waiting times are reasonable, and lab facilities are operational.

For post-visit stage, I'd start by exploring test reports to see if they're provided promptly and if delays in processing reports lead to repeated visits. Then, we can look if medicines are available when prescribed. Next, we can check if there are any mechanism to ensure patients return for follow-ups.

The main is that patients face delays in receiving blood test reports because the system is manual. It discourages them from completing their treatment or returning for follow-ups. Medicine availability is fine, but the delays in test reports disrupt the treatment flow. Can you now provide some specific recommendations on how we can address these issues?

Certainly. To address the challenges identified, I recommend the following actions:
(a)**Digitize Lab Processes:** Implement a centralized digital system for lab results, allowing patients to access their test results online or via SMS. This will significantly reduce the need for multiple clinic visits and speed up the treatment process.
(b) **Establish Follow-Up Mechanisms:** Introduce a reliable follow-up system using SMS reminders or calls to ensure that patients complete their treatment cycles. This system could also alert patients when their test results are ready.

These sound like practical solutions. Implementing these recommendations could enhance the effectiveness of Mohalla Clinics. Thank you for your detailed approach and thoughtful recommendations. This concludes our case.

Delhi Mohalla Clinic

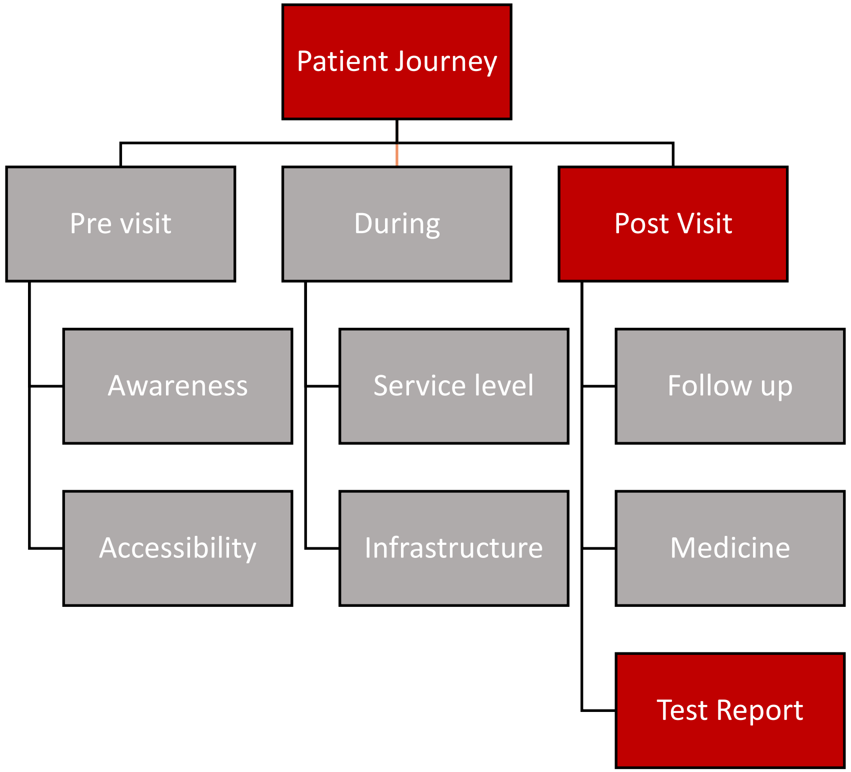
Case Statement

- Client: Delhi Government
- Problem: Mohalla Clinic opened eight years ago to provide free healthcare services have not been successful
- Objective/Goal: Identify reasons and provide recommendation to improve its effectiveness

Interviewee Notes

- Clinics are well-distributed across Delhi to meet the population's healthcare needs
- Provide comprehensive primary care services, including free diagnostics and medications
- Uniform challenges indicate systemic issues in service delivery or patient engagement
- Success metrics focus on patient turnout, highlighting perceived value and satisfaction
- Post-visit handling and communication of lab results is a key bottleneck affecting satisfaction and return rates.

Structure/ Framework



Key Takeaways

1. The primary challenge facing Mohalla Clinics is significantly lower patient turnout than projected, indicating a systemic issue across all clinics rather than isolated incidents.
2. Analysis should focus on the entire patient journey, with particular attention to any stage-specific barriers that may deter patient engagement and retention.

What is your favorite Travel Destination?

I would like to travel to Maldives someday.

Ok, so your client is an Inventor who resides in Maldives and has invented a Teleportation Device. What do you think is the best use he can get out of it?

I would like to understand more about the product the client has invented. Can the teleportation device be used to travel through time or geography or both? Also does it transport only people, or can we use it to move any type of goods?

Teleportation device can only move through geographies. We are currently in 2024. Time travel is not possible. The device can carry humans as well as any other goods that can fit in.

Can I know what is the volume or capacity of the device?

The Teleportation Device is like a typical elevator box that can travel from point A to point B. You can assume the volume to be similar to an elevator.

I would also like to know more about our client. What is the age of the inventor, and does he have any objective in mind?

The client is a 40+ male scientist who has completed his education in India and then moved to Maldives. He wants to maximize his personal profits using his invention.

Thank you for all the information! As per my understanding, the main benefit of the Teleportation Device is that it reduces –

(a) Time required for travel (b) Cost of traveling between two points of travel

To get maximum profit out of the Teleportation Device, the client can look to either sell the device at maximum possible price or collaborate with a manufacturing firm to transport the goods form one country to another. Can I know what is the travel time of the Device?

It takes the device 5 min to travel from point A to point B and it takes 5 min for loading or unloading the device. If you collaborate with a manufacturing firm, which items do you think can be transported using this device?

I can think of two factors in choosing the product to be transported. (1) Profit Margin of the product and (2) Quantity that can be transported. So, choosing small items with high profit margins will be the most profitable for the client. Some other things that can also be considered are transporting items which are not possible to be transported in today's world using traditional means, for example perishable food items. The client can also think about transporting time sensitive products like organs (example: heart, lungs, etc.) as one of the key benefits of the device is significantly reducing the travel time.

So which item will you propose to the client to transport using his invention?

I would recommend to transport high margin jewelry items like Diamonds & semi-precious stones as this will allow him to transport large quantity & gain huge profit per unit area.

Can you please calculate and tell me the profits he can expect to earn from this venture?

Assuming the average selling price for the product to be Rs. 1,00,000 and that he would be able to procure the item at a cost of Rs. 20,000 from the manufacturer, the profit he would earn on every single product will be Rs. 80,000. Now, calculating the number of products that can be transported in one go: Assuming the elevator box to be cuboid of side 3m for simpler calculation, the volume of the device is 27m^3. Suppose every jewellery item has dimensions = 20cm*20cm*5cm = 2000cm^3. Considering 80% packing efficiency, the total number of products per trip comes out as ~10,000. A round trip takes 20 min. and assuming 12 hrs. of operating time per day = 36 round trips per day. Are these assumptions correct? Or do you want me to revisit some figures as these numbers seem to be on the higher side?

You may proceed with the assumed figures.

So, daily profit comes out as Rs. 3k crores (=80,000*10,000*36). But there are other factors that need to be considered to find the actual profit that the client would be able to realize.

Can you tell me those factors?

Some of the factors are:

1) The demand of the product in the country where the product is being supplied to. The number of the products to be transported have to be in line with the demand of product

Teleportation Device

2) The daily supply also needs to be considered. The amount transported can not be higher than the amount of product being manufactured.
3) We have also considered that the product is being transported from Point A to Point B and are returning empty. The client can also use the device to transport some other product from Point B to Point A to further increase his profits.

Ok, nice observations. What do you think are the risks associated with this operation? And what would be some additional recommendations to the client?

1) The client currently has just one machine which is limiting his capacity. The client can plan to develop more teleportation devices which may also be used to diversify into different operations.
2) There is risk of imitability wherein some competitors may come up with similar devices. Therefore, the client should patent his device.
3) We also have not considered other costs required for the operations e.g. the maintenance and downtime costs which will also bring down the profits of the client.
4) The client can also plan to sell the device or leasing it to third party to reduce his risks.

Great. We can close the case now.

Teleportation Device

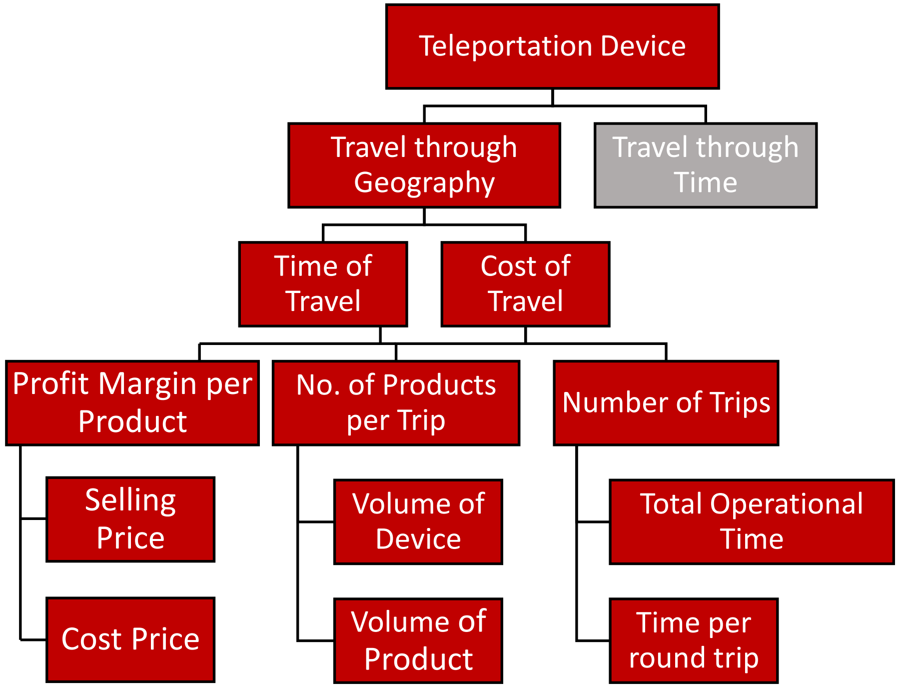
Case Statement

- Using Teleportation Device in the best possible way.

Interviewee Notes

- Device can be used to travel through geography.
- Objective is to maximize profits.
- Device has volume equal to an elevator box.
- Travel time = 5min., loading/unloading time = 5min. Therefore, total round trip = 20min.

Structure/ Framework



Key Takeaways

- Clarify the client’s goals and the functionality of their product before diving into solutions.
- Do a sanity check on the numbers and point out the factors that can affect the final numbers you arrived at e.g. align transportation capacity with market demand to ensure consistent profitability.
- Breakdown the elements and MECE at each step. Communicate your thought process to the interviewer as he/she can help bring you on track.

Call Center Operations Optimization

Your client is the Chamber of Commerce in India. They manage a customer call center and want to optimize its operations. Help the client optimize their operations.

Thank you for the case, I would like to ask few questions to understand the client's needs. Firstly, what is the core responsibility of the Chamber of Commerce? My understanding is that they act as an advisory body to businesses. Additionally, who are the users of the call center? Finally, does the client have a specific reason for undertaking this optimization exercise? Is there a defined budget or timeline?

Great questions, let me help you with the information. The call center users are businesses that use the service for any queries they might have. The Chamber of Commerce, as a supervisory authority, helps them with aspects of their daily operations and queries. The Chamber has no particular goal but wants to streamline operations as they anticipate an increase in query volumes due to India's growing business environment. Client does not have any budget restrictions or timelines in mind.

Thank you. I would to know more about the callers. What industries, sizes, and regions do they represent? Additionally, what channels are used to engage with the call center, and what is the typical duration of these engagements?

The callers are small businesses from all over India. They belong to the retail and food and beverage industries. The callers currently use the phone-based helpline and a website. The average call duration is 10-15 minutes, depending upon the query.

Thank you, That's helpful. To follow up, what types of queries do they typically have, and do we know the distribution of these queries across the available channels?

The primary channel is phone calls, (90% queries) and 10% are routed through websites but are ultimately resolved through calls. The kinds of calls are of three types:

1. Legal queries about business registration (10%)
2. Issues with GST and tax related queries (50%)
3. Accounting issues and best practices (40%)

Thank you. I believe I understand the callers. To understand the call center, could you help me understand
1. Where is the call center located? Is it operating from a single location or multiple sites? Also, what are its operational hours? 2. How many employees work at the call center? Additionally, could you share insights on call volumes and frequency to help assess business operations and potential queue issues?

The client only has one central call center which has 100 employees. The call center functions during standard business hours, from 10 a.m. to 6 p.m., and this schedule is expected to remain consistent moving forward. Regarding your second question, could you elaborate on how understanding call frequency and volumes would contribute to your analysis?

Sure, I wanted to assess the daily call volumes and average call duration against the current capacity to determine if additional resources would be needed during the optimization.

Great, that won't be necessary for now. We can revisit this if required later.

Alright, thank you. I would now like to proceed with walking you through the broad approach. The suggestion will be two-fold focusing on:

1. Optimizing operations, including channel mix, TAT, automation, etc.
2. Training of employees

Sure, please proceed.

When we focus on optimizing operations, there are three things that we will work on.
1. Pre-call experience
2. During call experience and timelines
3. Post-call follow-ups and resolution
Starting with the pre-call experience, there are three main initiatives we'll focus on:
a) Launching new channels such as chatbots on WhatsApp, the website, and email-based resolutions to enhance accessibility and reduce reliance on phone calls.
bThe chatbot will be designed to handle routine queries across the three main categories (legal, tax, and accounting). To achieve this, backend operations will codify options, enabling

to identify the query type and route it to the relevant team. Grouping employees based on the nature of queries will foster specialization, enhancing efficiency and resolution accuracy. c) The email queries will also use some sorting mechanism to automate routine queries and route the others to have an additional level of filtration and automate basic queries in legal and accounting particularly. Shall I move to the next step, or would you like me to elaborate on anything further?

Great, could you move to the other aspects during the interaction.

The during-call experience will focus on the quality of call resolution and time taken.
1. Quality: We will focus on understanding call center employees' current training and level of expertise and then benchmark best practices to optimize it further.
Training will be twofold – one on query and content, and on managing the chatbot and responses. Soft skill training will also be provided.
2. Time: Training manual and AI assistance to help resolve queries faster. Customer logs will also be available to check previous interactions.
Post-call experience will focus on closing the communication and optimizing document and information sharing channels, such as having customer logs of this interaction and a drive for document and information sharing. Feedback loop closure through surveys will also be instated to ensure call center executive appraisal and quality improvement.

Fair. Could you see if there is anything else we can do to optimize operations? I would like you to focus on call center employees more.

Sure, we have discussed the ability enhancement of the employees solely by focusing on the employees. We will also focus on motivation and opportunities for the employees. The operations require specialized understanding, so we will instate CSAT-based KPIs for each employee instead of volume-based ones. Additionally, we can also focus on infrastructure and environment to remove any distractions and reduce idle time.
Would you like me to run through training and demand forecasting?

Sure, that makes sense. We can close the case now, that won't be required; thank you for your time.

Call Center Operations Optimization

Unconventional | Challenging| Bain

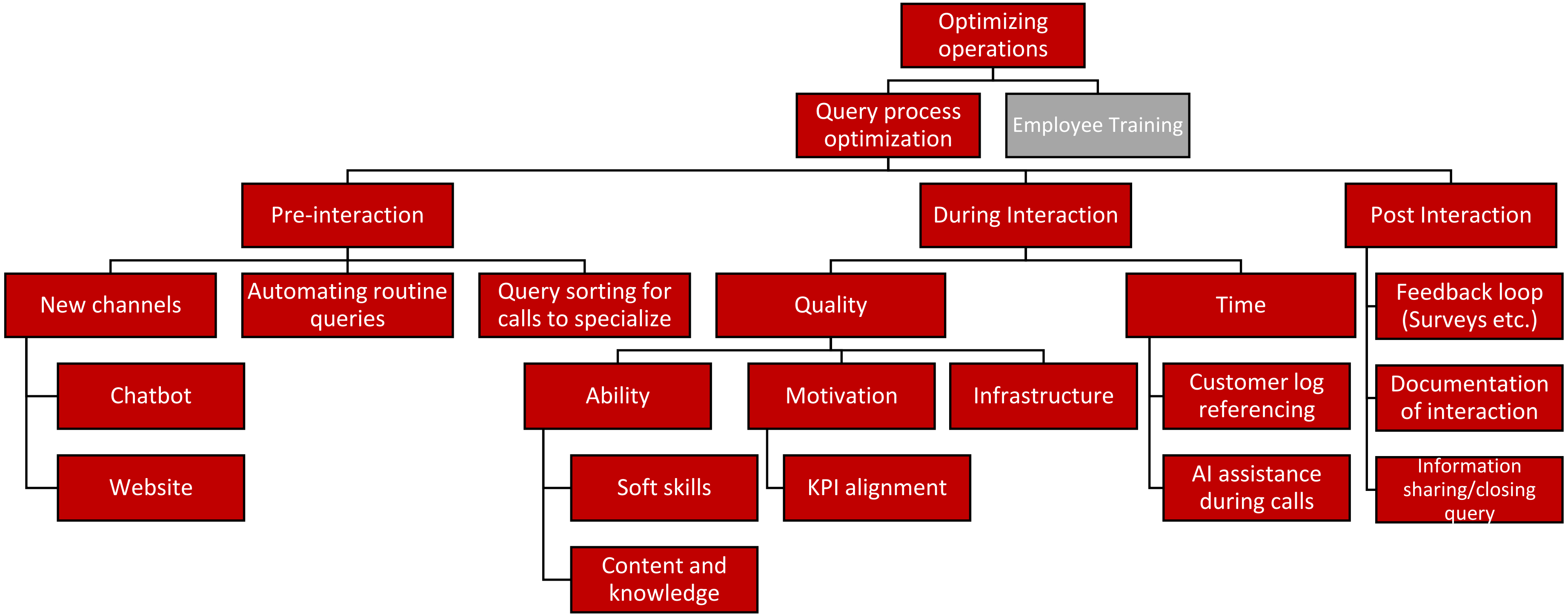
Case Statement

- The Chamber of Commerce, acting as a supervisory authority, aims to provide timely assistance to SMEs through its call center.
- To optimize call center operations in anticipation of increased query volumes driven by India's growing business environment.
- Streamline pre-call, during-call, and post-call processes to enhance efficiency, improve customer experience, and prepare for future scalability.

Interviewee Notes

- No specific KPIs; optimization needed due to rising query volumes.
- 100 employees handling 3 types of queries (legal, GST/tax, accounting) for SMEs in F&B and retail sectors.
- Operations are primarily phone-based with limited automation or sorting.
- Focus areas: infrastructure provision, employee capability, and incentive alignment.

Structure/ Framework



Key Takeaways

- Focus on the entire value chain of a customer interaction – mention some mathematical method to increase utilization to see if data is available at any stage to calculate
- Walk through overall approach and get alignment on approach as unique problem, not standard call center optimization problem

Oregon Trial Golf

Your client is Oregon Golf in US, manufacturing golf clubs and accessories for 20 years. Recently they received a patent for their golf clubs that were able to hit farther with greater accuracy. As a result of this their sales sky-rocketed. However, the company is unable to match its production capabilities. The company has hired you to advise them on ways they can increase their production capacity.

Thanks for that. I would like to reiterate the problem statement. Our client is a golf club manufacturer who has witnessed increased sales due to a new patent on their design. They need our help in identifying ways to enhance their production capabilities

Yes, your understanding is correct, go ahead.

Sure. I have a few preliminary questions before I begin. I would like to understand a bit more about the client's product and the design on which they received the patent?

Our client prepares cast iron clubs where they pour metal in pre-made moulds to shape the club, whereas our competitors do it by a carving process .

Understood. Does the client have any specific metric in mind with respect to the production increase?

No, there isn't any metric as such. The client would just like to meet its market demand.

Got it. I think I have enough enough information to begin my analysis, I will just take 30 seconds to structure my thoughts

Sure.

Capacity expansion can essentially be done in 2 ways, either the client enhances its inhouse production capabilities or outsource it externally. Is there any specific avenue that the client prefers of the two, or should we analyze both the options?

Let's look at the in-house production capacity for now.

Sure. Internally, they can look at brownfield expansion, i.e., using the existing facility, or they can go ahead with greenfield expansion which would entail construction of new facility

Is there information regarding the cost of setup of these facilities to decide which will be more feasible? This would include fixed cost of investment & new equipment, variable costs like labor & materials. There might be different warehousing and transportation costs too

That's a good point. To expand existing facilities, it would cost $2Mn to add each additional line. There are 2 kinds of lines – one producing 1250 units per month costing $6Mn per line, and other producing 7500 units per year costing $4Mn. To build a new facility, the construction cost will be $12Mn. There are 2-line options- 2000 units per month for $8Mn per line and 1250 per month for $5Mn per line. However, they can only add a maximum of 3 production lines. Can you calculate which one would be a better option for the client?

Sure. Do we have information about any demand targets that they are looking at?

Good question. They are looking to add 60,000 units per year.

Thanks for that information, I'll take a few seconds to run the calculations.

Sure.

Based on my calculations (detailed later), the client should opt for a Greenfield expansion. The most cost-efficient option is to set up 2 production lines with a capacity of 2000 units/month each and 1 line of 1250 units/month. This configuration would cost the client $33Mn, which caters to the demand within just three production lines

That's a great analysis. Can you also highlight some risks associated with this expansion?

Sure. The three main risks are logistics and storage, cost variability, and manpower-related challenges. Inward logistics risks include procuring raw materials and transporting them to the facility, along with storage and distribution of the new clubs. Cost challenges may arise from increased expenses for raw materials, additional labor, and storage. Lastly, hiring and training skilled labor for the production process could pose difficulties.

That was a very good analysis, we can close the case now. Thank you!

Oregon Trial Golf

Case Statement

- Oregon Trial Golf, a golf manufacturer.
- Manage the surge in demand caused by receiving a patent for cast iron golf clubs by scaling production capacity.
- Recommend strategies to increase production capabilities

Interviewee Notes

- Patent for cast iron golf club design using metal moulds
- Manage increase in demand by enhancing production capacity
- Cost of Brownfield expansion:
  - $2Mn per additional line
  - Line 1: 1250 units/month- $6Mn
  - Line 2: 7500 units/year - $4Mn
- Cost of Greenfield expansion:
  - Construction cost - $12Mn
  - Line 1: 2000 units/month - $8Mn
  - Line 2: 1250 units/month - $5Mn
  - Only 3 lines permitted
- Identify expansion challenges

Structure/ Framework

- Enhance Production
  - In-house
    - Greenfield Expansion
    - Brownfield Expansion
  - Outsource

- Expansion Challenges
  - Logistics & Storage
    - Inbound Logistics
    - Outbound Logistics
    - Storage & Warehouse
  - Cost Variations
    - Raw Material
    - Procurement cost
    - Labor, storage, etc.
  - Manpower
    - New skills
    - Build expertise

Brownfield Expansion:
Line 1: 1250 units/month = 15,000/year - $6Mn
Line 2: 7500 units/year - $4Mn

Option 1: 4 Line 1:
Cost = 4x6 + 4x2 = $32Mn
Option 2: 3 Line 1 and 2 Line 2
Cost = 3x6+2x4+5x2 = $36Mn

Option 3: 2 Line 1 and 4 Line 2:
Cost = 2x6+4x4+6x2 = $40Mn
Option 4: 8 Line 2
Cost = 8x4+8x2 = $48Mn

There is no option which caters demand within 3 production lines.

Greenfield Expansion:
Line 1: 2000 units/month = 24,000/year - $8Mn
Line 2: 1250 units/month = 15,000/year - $5Mn

Option 1: 2 Line 1 and 1 Line 2
Cost = 2x8 + 1x5 + 12Mn = $33 Mn
[Construction cost = $12 Mn]

Option 2: 3 Line 1
Cost = 3x8 + 12Mn = $36Mn
Option 3: 4 Line 2
Cost = 4x5 + 12Mn = $32Mn

Therefore option 1 is the best feasible solution.

Key Takeaways

- Follow a top-down approach while communicating results to interviewer. For example: start with which expansion strategy you would recommend, followed by the associated profits, and calculations undertaken, if required by the interviewer
- Follow a structure and try to bucket similar points category-wise. This exhibits clarity of thought, and makes it easier to communicate during the interview

Your client is a small finance that has now qualified all parameters to operate as a universal bank in India. They have hired you to establish an asset liability strategy for them

Confirming the problem statement, we are required to develop an asset liability strategy of a bank that is currently transitioning from a small finance bank to a universal bank?

Yes, your understanding is correct, go ahead

May I please understand the rationale behind this shift and what criteria do the banks need to meet to transition to the universal bank status?

Good question! The client wants to reduce its priority sector lending requirement that is fixed for small finance banks and increase its presence across the country. They have maintained adequate book size and have been consistently profitable for 5 years. Along with that they have fulfilled other criteria by RBI to qualify as a universal bank

Got it. I think I have enough enough information to begin my analysis, I will just take 30 seconds to structure my thoughts.

Sure.

We can divide the clients' books in 2 parts - Assets and Liabilities and discuss each component separately.

Sure, go ahead.

Major Assets include the loans that the banks lend to retail or institutional clients. This can also include additional investments made by the bank. Liabilities include the deposits kept by customers including fixed, savings and current accounts. Additional liabilities include borrowings from open market or from RBI, and non-performing assets.

Great that was an extensive list. Can you further elaborate on clients' loan portfolio and what it can entail post this transition?

Sure. In order to do that, can I please get some information about their current loan portfolio and the sectors that they are engaged in?

Good question! Currently they provide micro finance to unbanked areas of the country, primarily including to SHGs for financial inclusion. They have a major MSME portfolio of 45% and a small home loan portfolio as well.

Perfect. I have divided their loan strategy in 2 parts - existing customers and new customers post transition. For existing customers, since they have significant presence in the unbanked rural areas of the country, they can bundle their offerings to include agricultural loans as well, which still needs considerable formalization.
For new customers they can use their expertise in the MSME sector to provide loans for small businesses. With additional resources, they will have access to more agents and wider geographies to push these loans. Moreover, increased government push for MSMEs might help them command higher rates of interest. Since they already have a small home loan portfolio, they can look to expand it further among their existing and new customers.

That's great and something we implemented as well. Do you think they should additionally expand to other loan segments like vehicle, education, etc.?

From my experience, these loans are extremely expensive for banks and require great degree of due diligence. Given the scale at which our client currently operates, these might not be the most suitable expansion opportunity. Moreover, it is also very difficult to bundle these products along with our current portfolio.

Perfect, that makes sense. Could you also highlight some key factors they will have to keep in mind before selling loans to customer

We can categorize it in 3 parts - existing portfolio, loan profile, and due diligence. Current portfolio would help the firm identify its existing strengths and expertise which they can utilize for their newer products. Loan features will help with 3 things, current need in the market, interest earning for each category and the repayment schedule to determine if the bank has the necessary resources to issue the loan. Lastly, due diligence will help us identify 2 things predominantly- the probability of default and chance of NPAs within each category and the loss given default which they will incur if the customer defaults.

Perfect. That was a great discussion, we can close the case now. Thank you!

Small Finance Bank

Unconventional | Moderate | BCG

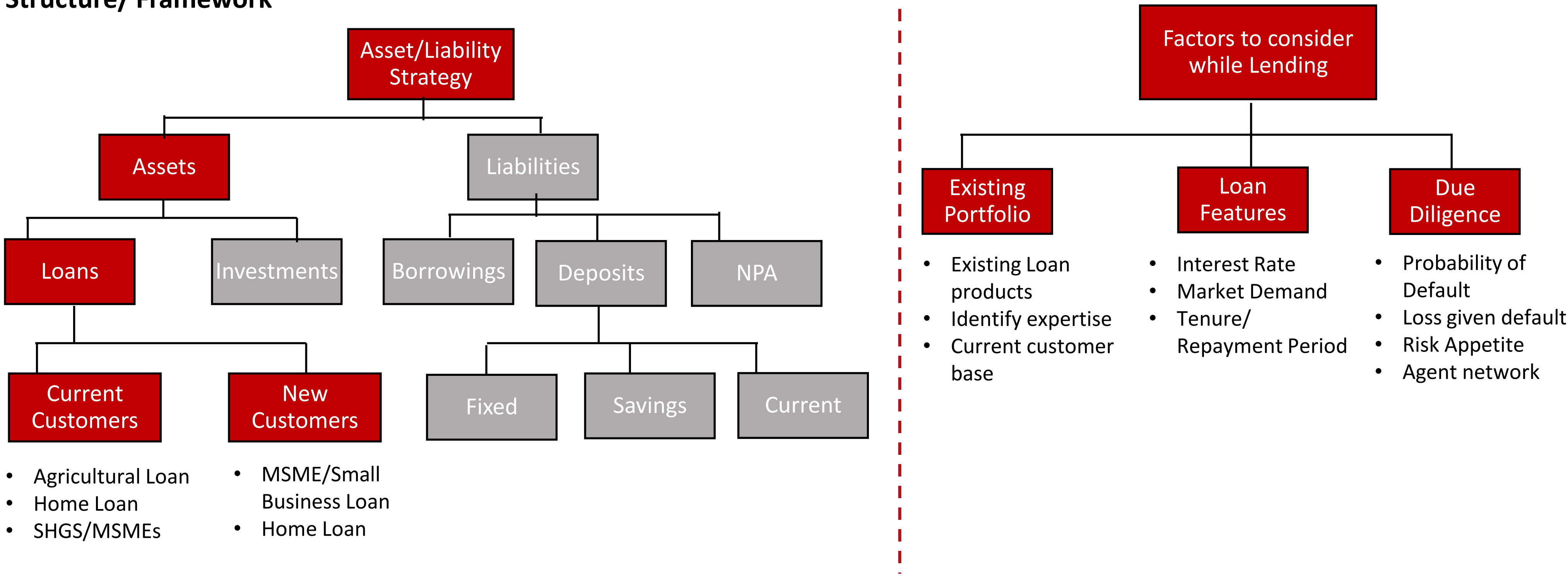
Case Statement

- A small finance bank transitioning to a universal bank.
- Expand presence in the market and reduce dependency on priority sector lending.
- Formulate an asset-liability strategy to optimize the bank's loan portfolio, manage risks, and align with the requirements of a universal bank.

Interviewee Notes

- Client transitioning to universal bank status to increase presence and reduce priority sector lending
- Present asset liability strategy for the bank going forward
- Identify factors that need to be considered before lending

Structure/ Framework



Key Takeaways

- Understand the rationale/objective behind a change. This will help you understand the factors to be considered while approaching the case
- Better to clarify conceptual topics, if the case is outside your preferred domain area. For example, if you are unaware of how small finance banks work, clarify with the interviewer. Similarly understanding the current loan portfolio was also key in drafting a future loan strategy

Government in Middle East

Your client is a government in Middle East looking to attract international education providers. Help them try to understand how to go about it?

Confirming the problem statement, we are required to assist a government in middle east to onboard international education providers

Yes, your understanding is correct, go ahead

Before starting the analysis, I would like to understand a bit more about the client. Is there any specific country in ME that we are looking at, and is there a rationale behind this move?

Our client is the government of Saudi Arabia (SA). They want to invite foreign education providers simply because it is a common belief that, international education institutes will be of a higher quality standard.

Understood. Is there any specific timeline that the client has in mind?

They would like to achieve this in the next 6-7 years, by 2030.

Okay, lastly, is the government providing any incentives to the education providers?

Yes, they are looking to provide investment support and subsidies for the initial years of operation

Great, I'll just take a few minutes to structure my thoughts before proceeding with the discussion

Sure

To attract international education providers to Saudi Arabia, we will have to look at 5 broad things – Assess the need-delivery gap in the education space in SA, understand the financial feasibility of the move along with the operational aspects, we will also have to simultaneously search for foreign education providers that are willing and able to come to Saudi Arabia, and are a right fit. Lastly, we need to analyze the risks and challenges of this proposal. Anything you would like me to look into first?

That's an extensive list. What should we see to identify the delivery gaps in SA?

Education providers can be divided in 3 categories – Schools, including elementary, middle and high schools, Higher education, and lastly skill-based education. We need to identify the number of each institute and benchmark it against other developed countries to understand the gap. In terms of quality there are certain metrics that we can look at across each of these– Enrollments rates, student-teacher ratio, pass rates, fungibility of skills and employability international job markets, and lastly the standard of curriculum.

Great. Can you now assess the financial feasibility of this move?

Sure, we can do this for both the client as well as the education providers. But since we are onboarding the education providers, I would like to analyze it from their perspective first

Sure, that makes sense. I don't need numbers, just some broad categories to look at

We need to look at the future revenues which would depend on number of students in SA times the percentage of students willing and able to enroll in these international institutes times the average cost of education. We will also have to factor in the product mix, which would entail the level of education institute (Schools, College, etc.). The costs would include fixed costs of setting up, infrastructure, employee salaries, furniture, licenses, etc. There will also be some variable costs such as stationary, course material, and other amenities.

Great, I get the idea, let's say that the providers will be able to earn a margin of 20% and their payback period is 11 years, do you think this is a favorable opportunity for them?

This would entail a benchmarking analysis with other countries in the region. We can benchmark this across 4 parameters – Financials, Political, Social, and Legal implications. We need to see how is the profitability, payback period, and ROI in other countries of the region like Dubai, Bahrain, etc. which are also booming economies in the middle east. The Political landscape needs to be assessed, given the current geo-political situation and whether that is suitable for the education providers. SA has also been known to have strict social norms of conduct, the suitability of which needs to be assessed for the employees of the organization. Lastly, we need to analyze the legal implications of this move. If SA is favorable across all these parameters, then this would be a good move for the providers.

Thank you, this was a great discussion, we can close the case now.

Government in Middle East

Unconventional | Moderate | LEK

Case Statement

- Government in the Middle East wants to attract quality international education providers to address the country's educational needs.
- Help them identify the factors they need to consider to get the most suitable providers

Interviewee Notes

- Client is looking to attract quality international education providers
- Identify the need delivery gap in the country
- Assess the financial feasibility
- Detail key factors to be considered by education providers before entering SA

Structure/ Framework

- Education Providers
  - Need-Delivery Gap
    - Schools
    - Higher Education
    - Skill Education
  - Research for Intl' providers
  - Operational Feasibility
  - Financial Feasibility
    - Revenues
      - Number of students in SA
      - %age willing and able to attend Intl' institutes
      - Average cost of education
      - Product Mix
    - Costs
      - Fixed Costs
        - Initial Investment
        - Infrastructure
        - Furniture
        - Employee Salary
        - Licenses
      - Variable Costs
        - Stationary
        - Amenities
        - Course Material
        - Food Services
  - Risks/ Challenges

Metrics (for Schools, Higher Education and Skill Education):

- Enrollments rates
- Student-teacher ratio pass rates
- Fungibility of skills
- Employability in international job markets
- standard of curriculum

Key factors to benchmark: Financial impact | Political Scenario | Social Norms | Legal Implications

Key Takeaways

- If the case pertains to any specific region, try to incorporate key nuances of that region that will impact the problem at hand for brownie point
- Cases structured around governments related to healthcare, education, etc. need to be assessed from the perspective of social welfare. As a result of this, we assessed the financial feasibility from the education providers' point of view and not government in this case.

TCS Seating Rearrangement

Unconventional | Moderate | WWT

As the CEO of TCS, you are tasked with redesigning the seating arrangement of employees currently working from the office. How would you approach this problem?

Thank you for sharing the problem statement. Before I delve into the problem, may I ask few preliminary questions about the same.

Sure, Please go ahead.

I would like to start with understanding the objective of the move, and if we have any time and budget constraints.

The move aims to increase efficiency, improve culture and foster a positive workplace. The project needs to be implemented within a year and there are no budget constraints as such

Is this initiative limited to a particular office or location, or is it intended to be a company-wide transformation? What is the scale of implementation, i.e if we are thinking of excluding any teams or departments under this?

It's a company-wide transformation and all the teams are included in this change, there are no exception.

Can you please shed some light on the existing seating arrangement?

What do you think would be the existing seating arrangement in that company, give me a rough overview of that?

I assume the current seating arrangement is based on random order, is assigned once you join the office, and does not change with time. People from the same project might be sitting together, but not necessarily.

Correct, the current seating arrangement tries to allocate the employees to a seat which is in the same floor as the project he is working on and then the seat he is assigned is randomly allocated. We have open working spaces and limited number of printers per floor.

I think I now have all the relevant details to delve into solving the problem, based on my understanding of it, I am thinking of analyzing the problems first, then proposing the solution and finally deciding on the key metrics to be used to track progress.

This sounds like a fair approach; go ahead with listing the problems that you think the employees are facing due to the incumbent seating arrangement.

Certainly. The issues can be grouped into four major categories: Employee-Related Issues, Operational Inefficiencies, Cultural and Environmental Impact, and Strategic Concerns.
Are there any particular categories you want me to investigate further?

What issues do you think fall under the category of Employee-Related Problems in the seating arrangement?

Under Employee-Related Issues, I see the following major challenges: Collaboration and Communication Barriers, Discomfort and Productivity Issues, Employee Morale Concerns

These seem relevant. Let's focus on Employee-Related Issues for now. Could you elaborate further on how these impact the organization?

Starting with Collaboration and communication issues - employees working on the same project or requiring frequent collaboration are seated far apart leading to inefficiencies. Next, lack of proximity between teams causes delays in cross-departmental coordination, and finally, the current arrangement discourages spontaneous discussions, which are often sources of innovation.
Moving on to the next vertical – Under productivity issues, we can think of distractions due to noise. While some places are noisier than others, employees may not feel the space as their own, leading to a lack of comfort and creativity and delays being faced as employees are seated far from resources such as printers.
Under the Employee morale issues, reduction in team cohesion due to randomized seating which decreases the belongingness and employees might feel they were treated unfairly as some of them would be getting window seats or seats near to the resources or private areas.

Great analysis, now propose some solution for the above problems.

TCS Seating Rearrangement

Unconventional | Moderate | WWT

For **collaboration issues**, we'll implement proximity-based seating for project teams to minimize silos and delays. Then, we can introduce collaboration zones that can support cross-functional discussions and flexible seating, allowing dynamic adjustments as needed. Ensure incorporation of regular feedback to ensure these arrangements stay effective.

For **productivity issues**, zoned workspaces can reduce noise distractions, and resources like printers or meeting rooms will be placed centrally for easy access. Cozy and comfortable furniture and personalized spaces will enhance comfort and creativity.

For **employee morale issues**, we'll ensure transparency in seating assignments, rotate high-demand seats like windows fairly, and involve employees in the planning process through surveys. Change champions can help communicate benefits and ease the transition.

We'll pilot these solutions first at a single location, gather feedback, and then scale company-wide to ensure a smooth and impactful implementation.

Where would you start this implementation, and can you share a roadmap?

We'll start with Bangalore due to its large size and significant office attendance, making it ideal for a pilot project.
Phase 1 (Month 1): Analyze the current setup, gather feedback, and map team dependencies.
Phase 2 (Months 2–3): Pilot the plan with 2-3 high-collaboration teams, introducing proximity-based seating, collaboration zones, and flexible seating. Collect feedback during this phase.
Phase 3 (Months 4–6): Refine the setup and roll it out across departments, using change champions to ensure transparency and address concerns.
Monitor success using KPIs to evaluate impact.

This sounds well-planned and comprehensive. What are the various KPIs you are thinking of using to monitor the progress?

To evaluate the seating arrangement's success, some KPIs include for:
Collaboration metrics like cross-team interactions, turnaround times, and communication feedback.
Productivity will be assessed through task completion rates, resource utilization, and noise impact.
Employee satisfaction surveys will track morale, team cohesion, and seating fairness.
Finally, overall business impact will be gauged through project timelines, client satisfaction, cost savings, and employee retention.

This sounds awesome and well thought of. We are good to close the case here.

TCS Seating Rearrangement

Case Statement

- Revamp the seating arrangement at all the locations of TCS
- Identify problems with existing seating arrangements.

Interviewee Notes

- The objective is to improve efficiency, culture and workplace atmosphere
- Time to implement is 1 year and no budget constraints.
- All locations and teams are to be included in this move.
- Current arrangement – randomized arrangement, permanent seating without any rotation

Structure/ Framework

- **Problems**
  - Employee Related issues
    - Collaboration and communication issues
      - Creation of silos
      - Delayed decision making
      - Hindered informal communications
    - Productivity issues
      - Distraction
      - Lack of personalization
      - Resource accessibility issues
    - Employee morale issues
      - Team cohesion issues
      - Disparity in seating
  - Cultural and Environmental Impact
  - Operational Challenges
  - Strategic Concerns.

- Solutions
  - Collaboration issues
    - Project/task proximity seating
    - Collaboration zones
    - Flexible seating policies
    - Regular feedback
  - Productivity issues
    - Zoned workspace
    - Centrally located resources
    - Personalised space
  - Employee Morale issues
    - Transparent allocation
    - Rotation
    - Employee involvement

Road map

Analyze & feedback Collection → Pilot Programme → Refine & roll out

Key Takeaways

- No conventional framework, So went for mapping the problems and solutions
- Descriptive and exhaustive breakdown was possible as the interviewer was brought in on the case
- Solutions needs to prioritised and logically followed while thinking about the roadmap implementation.

TV Actress

Your client is a well-known actress, and you are her image consultant. You are approached by a blackmailer who claims to have a video of the actress and is threatening to release it unless she agrees to pay him Rs. 5Cr. Will you advise her to meet the blackmailer's demands and pay the money or not?

This sounds like an interesting problem. Before I dive deeper into the case, I would like to understand the background of this situation better. Can you take me through the responsibilities of an image consultant and what domain does the actress work in? TV/movies/webseries etc.?

Great question. You can think of an image consultant as a PR manager, responsible for maintaining the public image and persona of the actress including branding and marketing campaigns. The actress' body of work is limited to TV serials - daily soaps.

Understood. What is the role of this actress in the show and what is the frequency of the show being aired?

The actress plays the role of a villain, and the production house releases four episodes per week throughout the year.

Do we also have any information on the what the content of this video is and why is it a concern?

Yes. The video captures the actress misbehaving with the hotel staff, and thus the release of this video will be bad for her image.

Alright, I think I have enough information to begin with the case. To determine whether or not to pay the amount, I will break down the issue into three key aspects: financial capacity, social considerations and personal motivations. I would like to proceed with evaluating her financial capacity first to know if she can afford the payment. Can you provide details on her sources of income such as per episode pay, branding contracts, endorsements etc.?

This sounds like a good first step. I have some information for you, the actress earns 5 lakhs per episode. She has three Instagram branding contracts which pay her a yearly retainer of 15 lakhs each. She also does brand endorsements, but that is out of scope for this case.

Okay so she earns a yearly income as follows: (1) Episodes – Rs.10.4Cr (5L*4*52), (2) Branding contracts – Rs. 45L (15*3). Therefore, total income – Rs. 10.85Cr. This seems enough to afford Rs. 5Cr demand but I would further like to move towards the social aspect of our decision. You mentioned the video is related to her misbehaving with the hotel staff so I would like to know if she has any prior relationship with hotels through her contracts?

You are moving in the right direction. So, of the three contracts, one is with a hotel chain, second is with a shampoo brand used by hotels, and third is with a fitness brand.

That is very helpful. Since out of the three, two contracts are related to hotels, the release of this video will hamper her business relations, and she will lose out on these projects. This might also lead to further backlash causing her reputational damage. I further want to understand the actress' personal life that would drive our decision. Who all are there in her family and would they be highly affected if the video gets released?

Fair point. The actress is married and has two babies. Her husband works in hotel business.

Oh, that means she has a close association with the hotel industry. We know the actress is involved in two hotel branding contracts, and her husband is also in the hotel business, which makes it highly improbable that she would deliberately mistreat hotel staff. As her image consultant, I now need to understand her perspective and motivations on this situation to determine whether we should comply with the blackmailer's demands or not.

Exactly, the actress wants to go into the movie business, and she staged the incident with the help of her husband. How do you think this will help her get the limelight?

Right, you mentioned that the actress plays the role of a villain, and this incident will further glorify her as an antagonist. It appears to be a case of intentional negative publicity, where she orchestrated the event herself with the intent of releasing the footage

That is correct. What are your closing thoughts? And what will be your final decision?

As we concluded that the actress has staged the performance herself and wants the video to be released, we will not comply with the blackmailer's demands.

Thank you. We can close the case here.

TV Actress

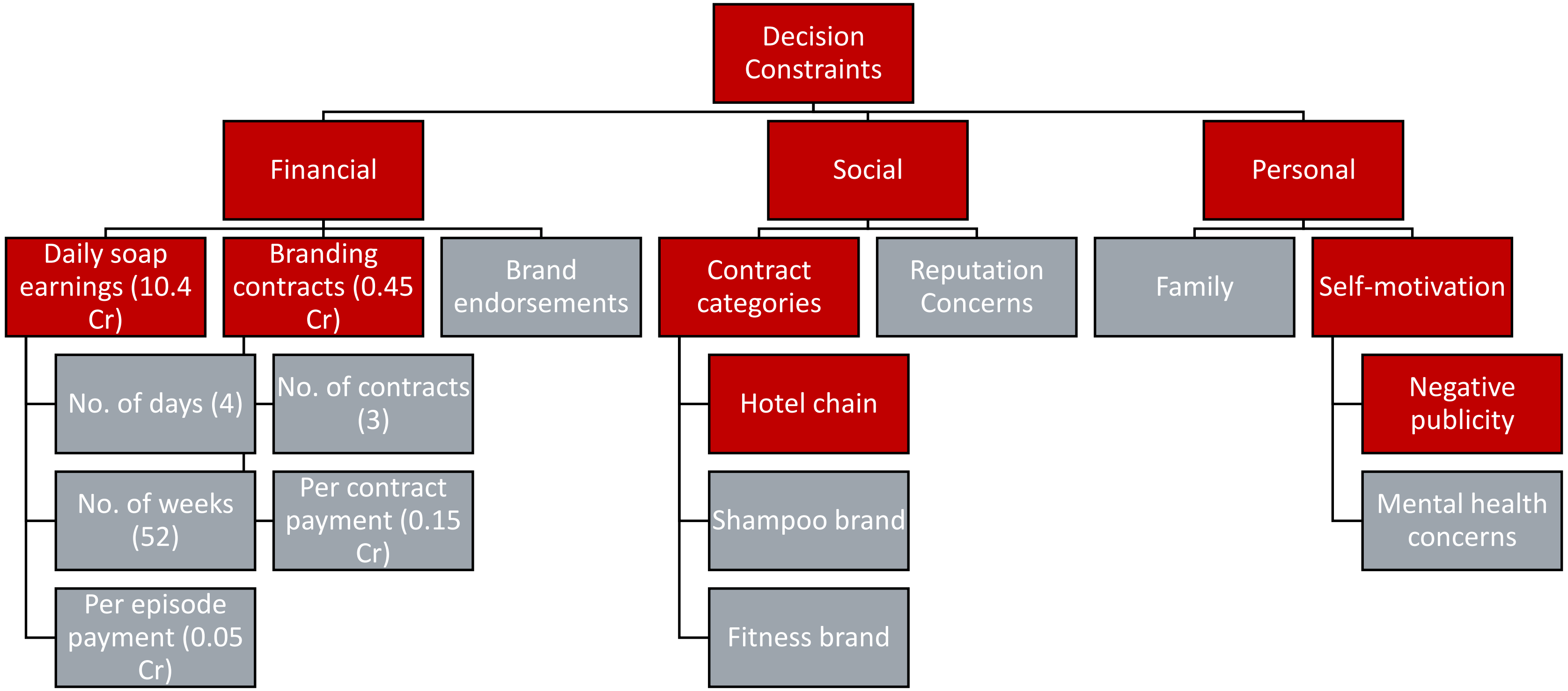
Case Statement

- You are the image consultant of a well-known actress
- A blackmailer who claims to have a video of the actress, is threatening to release it in exchange of Rs. 5Cr
- Make a decision on whether the actress should meet the blackmailer's demands and pay the money or not?

Interviewee Notes

- Actress works in a daily soap, 4 episodes are telecasted in a week and she earns per episode payment of Rs. 5 lakhs
- Her role is of a villain and she wants to transition to movies
- The video captures her misbehaving with the hotel staff
- She also has three yearly branding contracts of Rs. 15 lakhs each namely - hotel chain, shampoo and fitness brand
- She is married and has two babies. Her husband works in a hotel chain

Structure/ Framework



Key Takeaways

- It is important to scope the problem first before getting into solving it. The three drivers of decision-making are financial capacity, social considerations and personal motivations. While the first two would suggest the feasible solution to pay the blackmailer and get rid of the video, the catch was to find out the actress' interest. In this case, the video was staged and she herself wanted it to get released.
- Breakdown of income sources to analyze affordability of payment was appreciated by the interviewer. Further, determining the contract categories was helpful to identify that two of those contracts involved relationship with hotels.

Stay or Switch

Your client is the driver of the Managing Director (MD) at Bain. He wants to decide whether to continue working with the MD or switch to driving via Uber. Help him decide.

Thank you for the case. Before diving into the solution, I'd like to understand more about the client's background. Could you tell me more about his personal history, such as his work experiences, skillsets, his overall relationship with the MD and competitiveness of his salary.

Of course. He is 35 years old, married, and has two kids. He has been working with the MD for past 10 years and only has driving as the primary skill. Their relationship is good. In fact, the MD funded his kids' education through a scholarship once. His salary is competitive according to industry standards.

That's helpful. Could you also elaborate on his future ambitions? For instance, does he have specific financial goals like funding his children's education or marriage? Has he taken any loans, and what's motivating his desire to change?

His primary ambition is to maximize earnings to secure his kids' higher education. He has no loans but is exploring if Uber might offer a better financial future than his current role.

Thank you. To analyze his options, I propose comparing them on financial and non-financial parameters. Financial parameters would mainly include profits, while non-financial factors could cover work quality, job security, affiliation, and esteem factors like flexibility and autonomy. Does this sound fair?

That sounds fine, but let's focus on the financials first. What all factors would you consider while comparing financials?

For his current role, I'd need details about his fixed and variable salary components. Also, the car he drives—is it provided by the company?

His fixed salary is ₹25,000, with no bonuses. Yes, the company provides the car and covers all maintenance costs.

Understood. For Uber, considering he only does intracity trips, I'd need to estimate his revenues and associated costs. I'll first calculate monthly revenues.

Go ahead.

To calculate monthly revenue, Monthly revenue = No of trips/month × Avg. revenue/trip.
Daily trips = (Operational hours – Break hours) ÷ Average trip time
Assuming 25 days working, a 12-hour workday with 2 hours of breaks, and an average trip time of 30 mins: Daily trips = (12 – 2) ÷ 0.5 = 20 trips ; Monthly trips = 20 × 25 = 500 trips
Assuming an average trip distance of 5 km in a metro city at ₹20/km and a minimum base price/booking of ₹50 , the daily revenue is (20*5+50)*20 = ₹3000, or ₹75,000 per month.

That's reasonable. What cost heads would you consider?

The main costs would be financing for the car assuming he doesn't have one, fuel expenses, repair and maintenance, and platform commission per trip.

For simplicity, assume service cost ₹6,000 every 3 months, financing cost ₹25,000/month, mileage: 25 km/l & platform commission: 30% of revenue

Fuel cost: 20 trips/day × 5 km/trip × 25 days/month = 2500 km/month. Fuel required = 2500 ÷ 25 = 100 litres. Cost = 100 × ₹100 = ₹10,000 assuming fuel price of ₹100/litre
Service cost: ₹6,000 ÷ 3 = ₹2,000/month; Platform commission: 30% of ₹75,000 = ₹22,500.
₹25,000 (financing) + ₹10,000 (fuel)+ ₹2,000 (service) + ₹22,500 (comm.) = ₹59,500/month.
Net profit: ₹75,000 (revenue) – ₹59,500 (costs) = ₹15,500/month.

What are your recommendations? What are additional ways in which client can mitigate potential financial risks?

Based on the financials, staying with the MD is more profitable, as he earns ₹25,000/month without the risks and costs associated with driving for Uber. Non-financial factors, such as job security, quality of life, and affiliation, also favour this option.
To further boost earnings, he could consider a hybrid model. Since the MD often travels, the client could use his free time to take up flexible gig opportunities, like driving for Rapido, which requires minimal investment. Additionally, he should implement a solid investment strategy for his kid's education to secure their future and mitigate potential financial risks.

That makes sense. We can close the case now. Thank you.

Stay or Switch

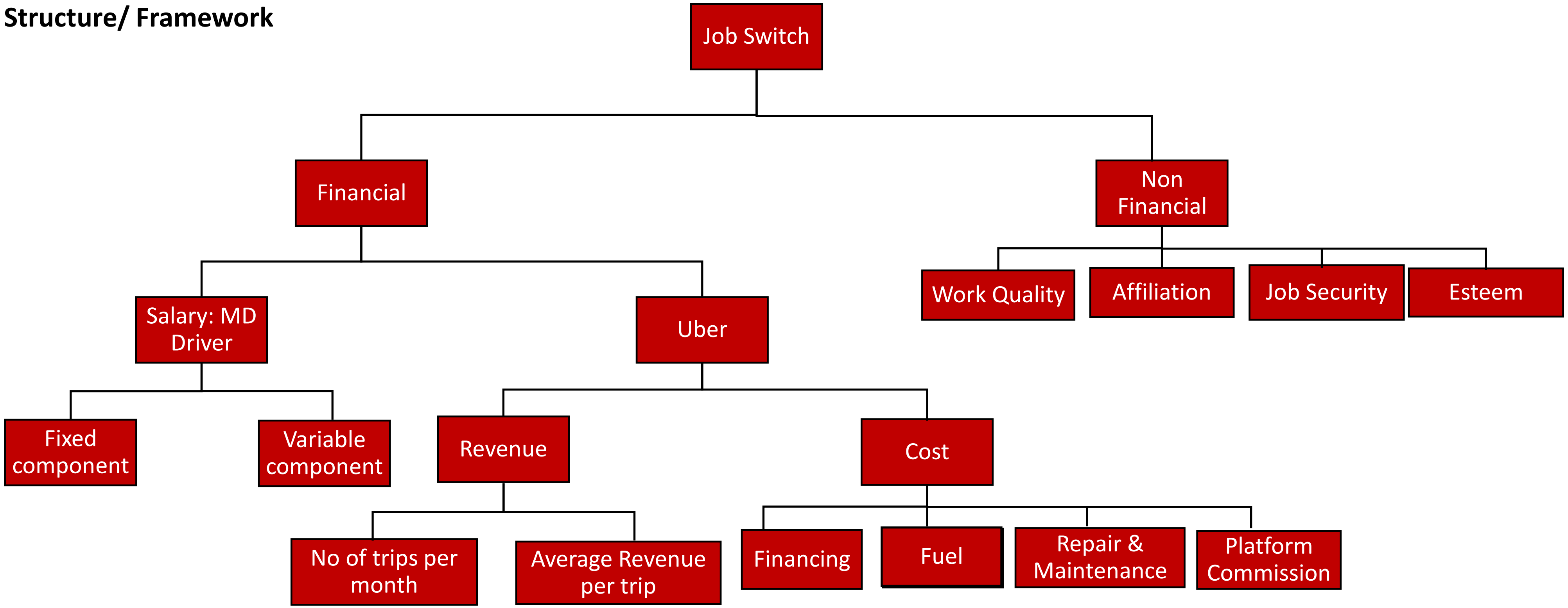
Case Statement

- Client is driver of MD and wants to understand if switching to uber would be a better option than staying and working for MD.

Interviewee Notes

- Working with MD for 10 yrs, has good relations.
- Only has work experience as a driver.
- Wants to secure his kid's higher education.

Structure/ Framework



Key Takeaways

- Analyzing the personal history and future ambitions allows for a more comprehensive approach by contextualizing the individual's situation over time in a person specific case.
- Knowing about the industry such as travel extensive lifestyle of MD ensures that any advice or decision is practical and tailored to the client's specific circumstances and industry dynamics.

Your client is a pizza company which has faced a decline in their customer satisfaction score. Analyze why and provide recommendations.

Thank you for the case. Before delving deep, I would like to ask a couple of preliminary questions. Can I know more about the client's geography, number of outlets, the products offered, and the customer segment catered to?

They operate in Bangalore and have only one outlet. They are very famous for their wood-fried pizzas and cater to the residentials mainly.

Do they operate in dine-in/take-away or delivery? Is there any specific segment that has faced the decline? Additionally, is there any specific customer or product segment that has caused this decline?

They operate in all the above but only the delivery segment has faced the decline. And no, there is no specific customer or product segment as such.

Alright. I would like to know since when has the score been declining, by how much and if it is faced by any specific segment of customers? How is this score measured? Has there been any change in the method of measurement?

This decline has been faced in the last month and we aren't aware of the magnitude. The score shows how satisfied are customers on a scale of 1-5. And no, there hasn't been any change in the measurement criteria.

Okay. Moving forward, I would now explore the customer journey and break it into three phases - pre-ordering, ordering and delivery, and post-delivery. Under pre-ordering, I would see the availability and accessibility of the app/website. In ordering and delivery, I would cover the ease of ordering, UI/UX, payment and the delivery process and in post-delivery the feedback and grievance redressal methods available to customers.

That sounds comprehensive. Can you elaborate and focus on the delivery process and identify any issues there?

Sure. I would like to break down the delivery process into four aspects – how, when, where and by whom. Under 'how', I will see how the food is delivered, in terms of packaging, taste, temperature, presentation and availability of side ingredients. 'When' refers to the time taken to deliver, 'Where' refers to the point of delivery and 'By whom' refers to the conduct of delivery partners.

Great, so the overall time taken to deliver has gone up, can you analyze why?

Since delivery time satisfaction ties to customer expectations, I assume there have been no changes in advertised delivery time promises. If so, delivery time depends on distance and speed—do we know which is the issue?

Yes, the assumption is correct. The distance has increased because of orders coming in from a bigger radius. Can you think of a few reasons for this?

Definitely. I would like to attribute this to three factors – customer, company and competition. Our customer base might have expanded due to launch of any new offering, the company may have faced an increase in popularity due to direct or indirect marketing efforts or competitors might have reduced.

Yes, The overall popularity has risen due to influencers posting about the client. Can you provide some recommendations to improve the score?

Got it, sure. In short term, the client can limit the delivery radius, set the right expectations or offer temporary promotions to affected customers. In long-term, they can open new outlets or cloud kitchens in high demand areas.

Thank you, we can close the case here.

The Pizza Puzzle

Case Statement

- Your client is a pizza company which has faced a decline in their customer satisfaction score. Analyze why and provide recommendations.

Interviewee Notes

- 1 outlet in Bangalore
- Fall in satisfaction score in the delivery segment
- Decline faced in last month
- No change in score measurement criteria
- Problem is with the delivery aspect

Structure/ Framework

Key Takeaways

- Ask focused questions, like the candidate did about geography, customer segments, and dine-in, takeaway, or delivery, to pinpoint any outliers and identify the root cause.
- The short-term recommendations ensure that customer satisfaction is maintained and in long-term, the strategy shifts toward sustainable growth by expanding operational capacity.

Movie Deal

Unconventional | Easy | BCG

Your client is Mr. Karan Johar who has been offered an exclusive partnership with PVR-Inox for his upcoming movie Jigra, with the following terms - All theaters across India would screen only Jigra during prime slots which are 11am, 5pm and 8pm and this would continue for approximately 50 days. Additionally, one screen would be dedicated to Jigra throughout the day in multiplexes i.e. which have more than one screen. The movie wouldn't be released on OTT for the next 10 months. All promotions will have PVR Inox as their exclusive partner. Should Mr. Karan Johar go ahead with the deal?

Thank you for sharing the problem statement. Before I delve into the problem, may I ask few preliminary questions about the same?

Sure, please proceed.

I would first like to start by understanding the current market share of PVR-Inox in India, no. of theatres they operate and the split between >1 and 1 screen.

PVR-Inox currently operate 80-85% of theatres across India, they are the market leaders and the split between >1 and 1 screen is 50:50

Thanks, that's helpful, further I would also like to understand what kind of releases- both domestic and International- are expected around the same time as Jigra, my objective behind asking the same is to anticipate potential viewership.

That's a really good question, why don't we explore that towards the later half of the case.

Sure, I would like to start by analyzing four key factors associated with the decision i.e., expected reach, economic feasibility, operational feasibility and risk.

That sounds pretty comprehensive, why don't we start by analyzing potential risk associated with the decision

I would like to start by breaking down the risk into two broad categories: internal and external, within internal I would look at potential clash with any existing platform, impact on Dharma's image in case the movie doesn't do well throughout the 50 days its running and genre-medium fit, given it's a movie about sibling relationship, therefore, we might even need to consider if OTT would be a better fit here

Dharma doesn't have any clash with any existing platform, possibility of success/failure of the movie would remain the same irrespective of the deal, however, you are right if he were to go through the normal route, they might be able to move the movie to OTT much quicker where it would find its right audience. Why don't we look at external risk now?

Sure, for external risks I would like to look at legal, economical and technological factors. Within legal we'll look at potential laws which might prohibit such exclusive partnership, for economical I would primarily consider affordability, whether our target audience would be able to afford PVR prices and whether dynamic pricing through age-specific discounts or a director cut version is feasible. For technology we can look at whether the print of the movie (i.e., VFX etc.) is compatible for OTT streaming or not

That makes sense, why don't we look at economic feasibility now, I don't want you to go into too much details just walk me through your approach

To analyze economic feasibility, I'll look at anticipated revenues Jigra can generate with the deal and compare the same against a normal release. Assuming in the normal route the movie runs in theater for 1 month with average success i.e. all prime and four non-prime slot in first 2 weeks and one prime slot and two non-prime in weeks preceding that. With an OTT release 45 days post the release

We have just received a call from Mr. Karan Johar and the same deal has been offered to Singham Returns, in light of this information how should he evaluate the deal, take 30 seconds and suggest three crisp pointers

He should evaluate first, the percentage of overlapping audience between the both films. Second, potential impact on pricing, if PVR-Inox were to introduce discounted prices with Singham returns and lastly, increased cost of promotion/advertising if Dharma were to go the normal route since now it would have to compete against a mass audience film and PVR-Inox's aggressive marketing strategies

Thanks, this is helpful for our next meeting with Mr. Karan Johar, we can close the conversation for now.

Movie Deal

Unconventional | Easy | BCG

Case Statement

- Mr. Karan Johar has been offered an exclusive partnership by PVR-Inox for his upcoming release Jigra and he wants us to evaluate whether he should go ahead with the deal or not.

Interviewee Notes

- Jigra is a movie about sibling bond and the target audience is people between the age group 15 –25.
- PVR is the market leader in multiplexes with 80-85% of market share.
- Initially the deal was offered only to Jigra.
- Assume there is no process/mechanism to predict potential success of a movie.

Structure/ Framework

- Factors to consider
  - Expected Reach
  - Economic Feasibility
  - Operational Feasibility
  - Risks
    - Internal
      - Image
      - Partnership Clash
      - Genre-Medium fit
    - External
      - Legal
      - Economical
      - Technological

Factors	Exclusive Deal	Normal Route
Prime slots	3 for 50 days	3 for 15 days and 1 for next 15
Non-Prime slots	1 screen all slots	4 for 15 days and 2 for next 15
OTT release	after 10 months	After 1.5 months

Key Takeaways

- Take time to process the information since the interviewer gave a lot of information in the beginning.
- The case lacked a natural flow, it followed a fast-paced Q&A format that required quick thinking.
- Even though we didn't reach the final solution, interviewer was looking for approach and structured thinking.

A recently privatized Indian Airline is looking to improve its on-time performance. How would they bridge the gap between themselves and current private competitors?

Got it, before I begin to analyze the situation, I have a question. What is on-time performance defined as?

On-time performance for an airline is the number of flights that arrive and depart on time over a certain time period. The airline has historically maintained an OTP of around 60% before privatization and now its competitors have an OTP of around 90%.

That's interesting! To proceed further, I would like some contextual information. How long does the airline want to bridge the gap in and what is its OTP goal? Also, is the airline's OTP 60% across the country? Finally, are there certain routes that are consistently late and is the issue domestic, international or both?

The airline wishes to get as close as possible to a 90% OTP with a horizon to implement their plan. The OTP is across regions and for both domestic and international flights. Therefore, please provide both short-term and long-term solutions wherever they are provided.

Alright, so I would like to proceed with my analysis by using a single flight as an example and breaking down its journey into stages to see what the possible issues are at each stage. Is that alright?

Sure, that sounds fine.

So broadly the processes can be broken down into two types: Process undertaken while the airplane is taking off, and process when the airplane is landing. Since a single flight does both of them repeatedly, it can be seen as a continuous circle of operations.

Let's begin by looking at the landing procedure first.

So, there would be a pre-landing procedure, the flight would then land and travel to the allotted gate. Then the passengers would disembark, and the flight would be serviced and cleaned. Finally, the next set of passengers would board, the flight would proceed to the runway and then take off for its next destination. Out of these stages, is there any particular one you would like me to analyze first?

Please look at all of them and tell me potential problems that would arise at each stage.

Let's look at them in chronological order:

1. **Before landing:** Air-traffic congestion and changes in the allotted landing strip could cause delays.
2. **During landing:** The landing strip distance and time for the pre-deplaning procedures would affect OTP.
3. **Deplaning:** Passengers' method of deplaning, boarding, and the amount of luggage in the cabins could cause delays.
4. **Post-deplaning:** Flight cleaning and maintenance time, refueling times, and crew deplaning and boarding times would affect OTP

Are these issues a good base for me to suggest possible improvements or should I delve into other possible problems as well?

No, this seems like a comprehensive list of problems. I would like to know which ones you would deem most important to provide solutions for.

I believe that passenger and crew boarding and deplaning times, as well as the flight cleaning and maintenance times are the most important issues that can be improved upon. Would it be alright if I focused on these issues?

Definitely, please tell me what you think should be done to improve performance in these areas?

Crew boarding and deplaning times are within the airlines control and strict performance targets can help improve performance here. Passenger boarding and deplaning times are not completely within our control, but we can look at the method of boarding – like using zone allocations and the restricting the amount of luggage allowed in the cabin to reduce this time.

Very good, so airlines are constantly using advanced data analysis to deduce the optimal method of boarding, but no one has reached a solution yet. Increasing checked-in bags is something the airline can look at as well. Please continue.

I understand that aerobridges are also faster for boarding and deplaning than having buses pick up passengers from the flight. More access to aerobridges would further improve our OTP. These are the short-term solutions I can think of. Should I move on to broader, long-term solutions?

Sure, go ahead.

In the long-term, I think increasing the number of crew and pilots would ensure that staff is always present to operate the flights. Also, I know that activities like luggage loading and flight cleaning are usually outsourced to a third-party, so that contract can be renegotiated with stricter timelines.

Sounds good, I believe that these measures are enough to make a difference in the OTP. We can close the case here.

Privatized Indian Airline

Unconventional | Moderate | YCP Auctus

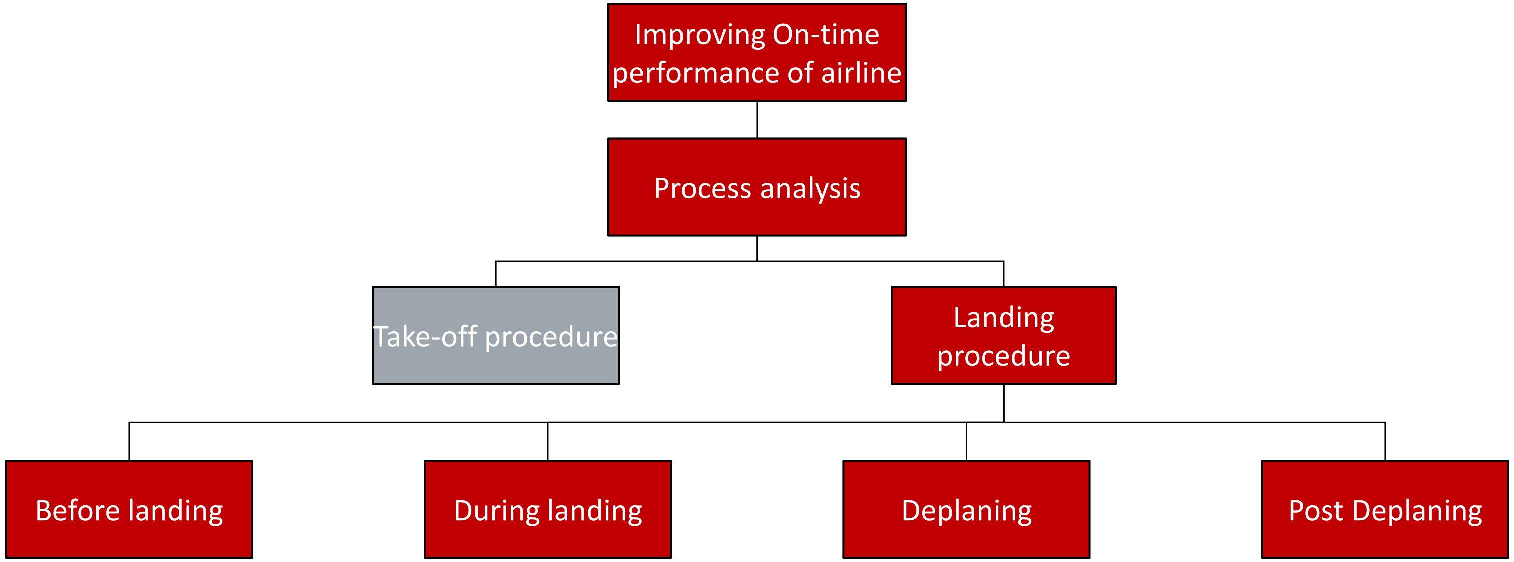
Case Statement

- Recently privatized Indian Airline wants to improve its on-time performance to 90%.

Interviewee Notes

- The issue is across India, for both domestic and international routes.
- Problems to be analyzed across the plane's journey from pre-landing to departure.
- Both short-term and long-term solutions to be provided.
- Create process, analyze each stage and recommend for each.

Structure/ Framework



Before landing:
- Air-traffic congestion
- Changes in landing strip

During landing:
- Landing strip distance
- Time for deplaning procedures

Deplaning:
- Passenger's method of deplaning/ boarding
- Cabin luggage

Post Deplaning:
- Flight cleaning, maintenance
- Refuelling
- Crew deplaning

Key Takeaways

- No conventional framework was applicable.
- Follow a structured approach while looking for problems. Break it down by thinking of the process as a logical sequence of events.
- The breakdown of process and description of issues in each can be more granular basis interviewer's response & requirements.

Government Scheme Implementation

The agriculture department of the Odisha government wants to implement a pull-based schemes & services initiative for the farmers. Help them come up with a plan to implement the initiative.

To begin with, I would like to ask some preliminary questions. Could you please clarify what you mean by pull-based schemes?

Sure. A scheme can be classified into push-based & pull-based. If the process accepts applications from farmers where the beneficiaries are selected through a screening process, then it is pull-based. On the other hand, if the schemes are pushed onto the farmers without any intimation from the farmers, then it is push-based.

Thanks for the clarification. May I know the details of the schemes that are up for offer?

The schemes mainly provide monetary benefits to the farmers, either directly or indirectly. You may assume the schemes to be quite lucrative to the farmers. Further details are not necessary. Farmers from across the state are eligible to apply & the application window for the schemes will be about 3 months.

Okay. I will now proceed with the planning then. The process planning can be divided into operational planning & financial planning. Do you want me to focus on both the aspects?

No, assume that there are no financial constraints. You may proceed with the operational planning.

The operations can be broken into 2 parts: pre-sanction & post-sanction. The pre-sanction part includes the design of the policies/schemes by the design team consisting of the consultants & bureaucrats, along with the subsequent approvals associated with those schemes before rolling out the same. The post-sanction part covers all the operational aspects pertaining to the farmers' application process. Should I elaborate on the design & approval process or proceed with the post-sanction aspects of the planning?

You have done well in breaking down the steps so far. The schemes have already been designed & sanctioned by the concerned authorities. You may proceed with the post-sanction part.

I will now break the post sanction part into 5 major steps:
1) Awareness & publicity of the schemes
2) Application by farmers for the schemes & the collation of documents
3) Verification of the applications received
4) Delivery of the benefit – financial or non-financial
5) Feedback by the beneficiaries
Am I missing any step, or should I proceed with the above ones?

The steps that you have outlined are quite exhaustive. Please elaborate on the challenges that the government may face in each of the steps. Start with awareness.

Outreach campaigns & various promotional activities can be used to increase awareness of the schemes among farmers. The farmers will need to be educated on the full extent of benefits that they can avail from those schemes & the process of doing so. A major setback here is the lack of digital literacy among the farmers, which would make digital campaigns ineffective. So, the government will have to rely on traditional print & television media to promote the schemes.

Good. You may proceed with the rest of the steps.

The application process can be online or offline. Online application can be done through website or mobile app. But offline application will require centers to be set up in various locations across the state. Farmers will have to visit those centers to submit their documents. The locations need to be convenient & diverse enough to reach as many farmers as possible. Apart from the location of those centers, several other factors need to be considered like staffing & time of operations. The application will be followed by the collation of documents.

Post application, the verification needs to be carried out diligently to ensure that the benefits of the scheme goes to the right person. For this, proper IDs need to be submitted by the farmers. Many farmers till this date face issues with proper identification, which may pose a challenge.

Post successful verification of the documents, the benefits can be delivered to the respective farmers.

Great! Can you now point out some of the bottlenecks that you find in this process?

Sure.

To set up centers across the state, significant investments will be required. Even after setting up the infrastructure, approvals will be required from the local authorities to make the centers operational. Beyond this, staffing will also pose a challenge since the employees will have to be trained properly on how to assist the farmers & handle their queries.

The second bottleneck is the lack of internet access in rural areas which will limit the use of digital applications. Even if such a provision is kept, most farmers will prefer to submit hardcopies of their applications. A lot of manual effort will be required to process the individual hardcopies. Also, the lack of digital media during promotions may limit the number of applications from farmers.

A third bottleneck will be the inability of a lot of farmers to submit proper identification. Instead of manual ID processing, a biometric Aadhar verification can be used. This will speed up the identification process & limit the chances of error.

The fourth & final bottleneck will be the ambiguity concerning the delivery of benefits. A lot of farmers will not have bank accounts where the monetary benefits can be transferred. This will pose a significant challenge for the government.

Great points. Before ending the case, let's discuss a bit about the feedback step that you mentioned earlier. Do you think it's an important step? Also, how can it be implemented?

At least in the initial stages, the feedback from farmers will be of utmost importance. It is a great way to figure out how to make the process more convenient to the farmers. The entire process can be implemented in a continuous feedback loop mechanism where the feedbacks can be used to improve the process continuously.

A way to collect the feedback would be through sending an agent to the farmer's premises. As the issues regarding internet access & digital literacy of farmers are resolved, this process can be accomplished through a simple online feedback form.

Great, that was a very comprehensive analysis. We can close the case now. Well done!

Government Scheme Implementation

Unconventional | Moderate | Samagra

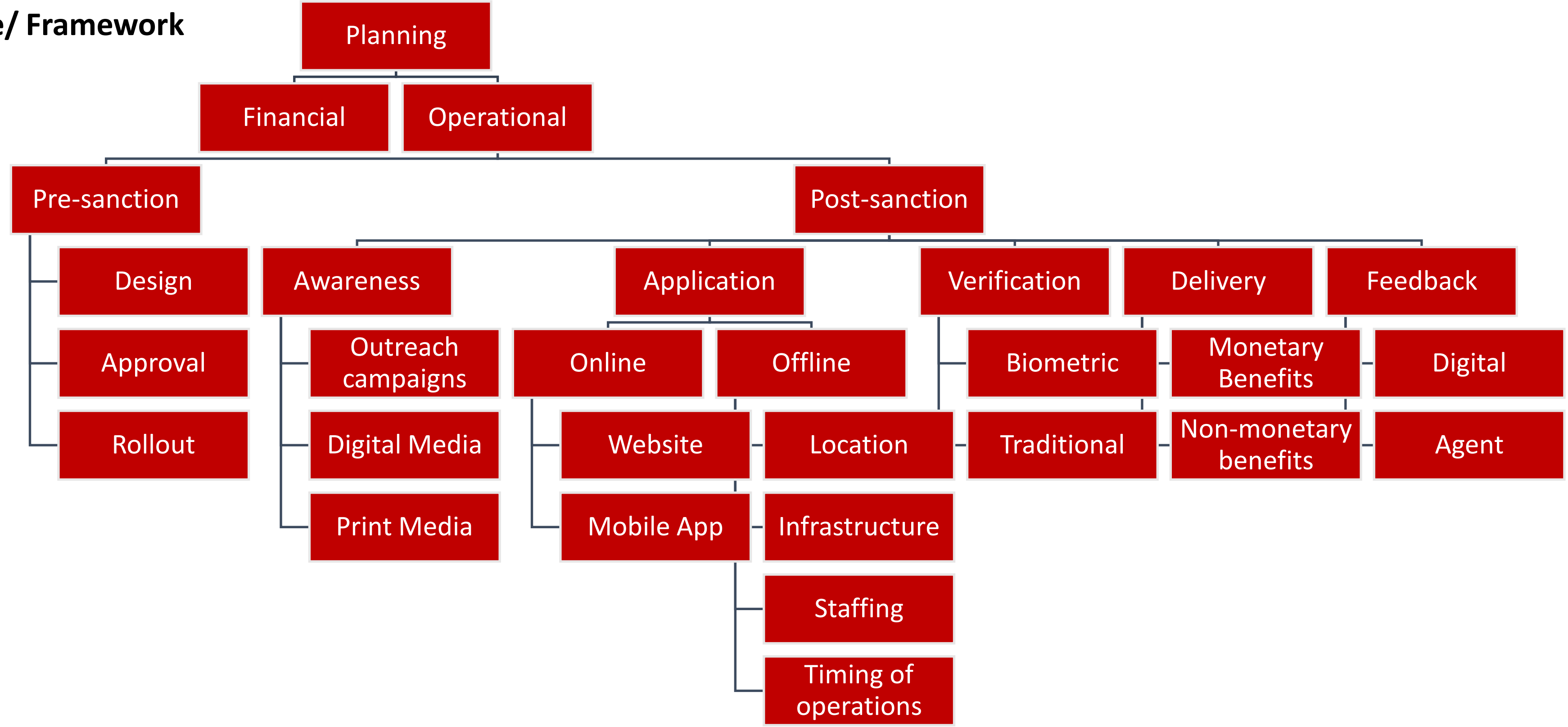
Case Statement

- Agriculture Department of Government of Odisha wants to implement a scheme initiative for farmers. Suggest steps.
- Identify bottlenecks associated with the steps.

Interviewee Notes

- Government wants to introduce a pull-based scheme initiative
- Schemes are usually monetary
- All farmers are eligible to apply
- Will be implemented across the entire state

Structure/ Framework



Key Takeaways

- Sometimes it's difficult to apply exhaustive breakdowns in unconventional cases. As long as the interviewer is bought in at every step, it should be fine
- Placing yourself in the consumer's shoes helps in figuring out a lot of nuances in a process

Football Club Revenue Streams

Analyze the various revenue streams for Manchester United.

So, before I start, I would like to clarify whether there are any external factors like COVID which would affect stadium attendance.

Good question but for this case let us assume no such situations and consider a normal season.

Alright. So, I would split the various revenue streams as ticketing, broadcasting, merchandising, sponsorships, prize money, net transfers, partnerships & collaborations and miscellaneous (stadium tours, social media channels, etc.). Does this seem fine? Would you like me to list more components, or can we focus on any one of these?

These look comprehensive. First let us focus on ticketing. How can you further break this down?

Sure. So, ticketing can be broken down as (number of tickets sold per game * price per ticket * number of matches played in a season). Number of tickets per game can be further broken down as (stadium capacity * occupancy rate).

Ok, that looks good enough. What all factors can be changed here to increase revenue considering the current situation of Manchester United?

So, I don't think we should increase ticket prices since they are already high, and the performances are not good enough to justify increasing the price. Number of games per season in PL is fixed at 19 home games. But we can have more matches if United were to progress into the later stages of cup competitions. Now coming to number of tickets per game, we can look at stadium capacity since occupancy rates for United games are generally close to 100%. To increase stadium capacity, the club would need to invest in stadium expansion.

That's pretty good and comprehensive. Now let us move on to broadcasting. Elaborate on this segment.

Broadcasting revenues would include TV rights from both domestic and international viewership. Then we should also consider digital platforms like Hotstar. As per my understanding these revenues would be earned by the Premier League which would then split it among various clubs based on some pre-determined agreement.

Fair enough but can you look at the viewership aspect? What would that depend on?

More the number of people interested to watch United's games, more would be the viewership for these matches. It would also depend on the type of match (if it is against a big club or a derby) and on the timing of the matches. Prime time slots like late night on a Saturday or Sunday would have more viewership. These are decided by the league which takes care of scheduling the matches.

Perfect! That's about it. Talk me through the transfers and how we can improve here?

Revenue from transfers would be outgoing transfers minus incoming transfers. So, we can improve our transfer spend by improving our scouting team and strategically buying cheaper players based on our team's analysis rather than spending on big names. We can also look at our academy team and promoting players to the senior team rather than buying new players. Buying players on loan is also a viable option instead of permanent transfers.

Yes, that looks fine to me. What about the partnerships segment that you talked about in the beginning. What is one important stream of revenue here?

Partnerships and collaborations would include those various ad shoots that the team does. Also, the club may collaborate with other brands for certain campaigns. Apart from these, we can look at the pre-season tour that the club does. There are lot of fan interactions and promotional activities that are done which contribute to revenues.

Yes, that's what I was looking for!! Pre-season is an important part of the club's revenues, and the club must do that as part of their various sponsorship deals. I think you have done a great job and touched upon the key segments. We can close the case here.

Football Club Revenue Streams

Unconventional | Moderate | Bain

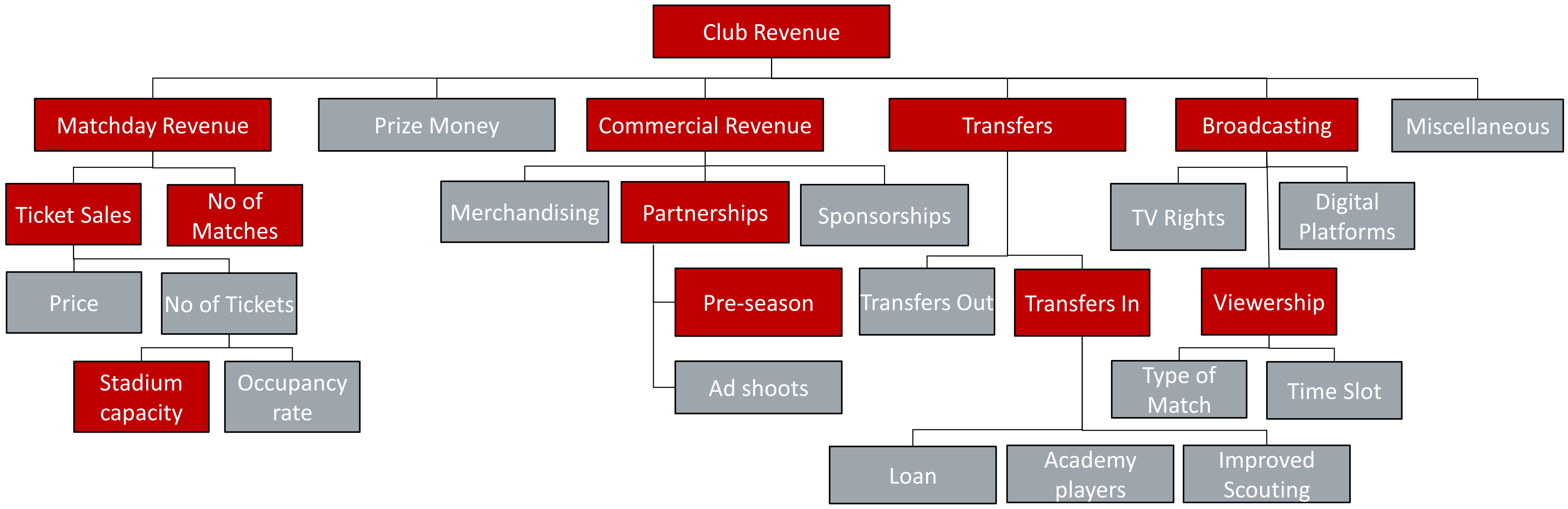
Case Statement

- Look into the various components of revenue for Manchester United

Interviewee Notes

- List down all the revenue streams. Be as comprehensive as you can
- Break down ticketing into key components and analyze what can be changed and what can't be
- Think about the real-world scenario while listing down or breaking down the various components

Structure/ Framework



Key Takeaways

- Case was based on Manchester United since it was mentioned as an interest by the interviewee
- Be knowledgeable about the whole situation and what's happening currently
- Ask the interviewer at every stage if the things covered are comprehensive and whether to focus on anything in particular

You are a lawyer representing a firm where there has been a recent accident leading to death of one of the employees. The employee was a crane operations and maintenance engineer, who passed away within the premises. As of now, you have convinced the family members of the deceased for an out of court settlement. We need your help with strategizing the reparation for the settlement.

That is an interesting problem statement. Just to reiterate the objective of the case, we need to come up with the reparation amount for out of court settlement. I'd like some time to think through the problem and clear any details before delving deeper into the case, if that's okay.

Sure, go ahead!

I'd like to begin by understanding more about the accident. Since it happened within the premises, my understanding is that it intensifies our liability more than a normal scenario. Do we have any information on how exactly the accident happened?

An employee reported malfunctioning of the crane to the maintenance engineer, who then proceeded to undertake the maintenance operations. He tested the crane, post which the mishap occurred, and the crane crashed into the cockpit.

Understood. And do we have any evidence of the accident happening this way, as well as details of the malfunction reported. Also, it's interesting that you mentioned that the engineer first tested the crane post repairing. Do we have any information on those tests? Additionally, are malfunctions like these common in the firm?

Good question! There is a CCTV footage which has captured how the accident took place. As for the documentation, there is a signed work permit which reports the details of the malfunctions along with the name of the deceased person who's responsible for undertaking the repair work. Additionally, there is a signed slip mentioning the testing undertaken, signed off by the safety engineer.
As for the frequency of such happening, this is the first time in last 3 years a fatal mishap has happened.

And what is the motivation behind out of court settlement, my answer-first is to avoid bad press. But anything else other than that?
On similar lines, how do I convince the family for an out of court settlement in the first place?

You are right, we want to avoid bad publicity. Additionally, the employee was working at the firm for 7 years, and we do not want it to be an argument in the court with the family, out of courtesy.

So, my assumption based on this is that the objective of the reparation and settlement is not to save costs, but to fairly compensate the family?

That is correct. That is enough discussion for now, let's start on the strategy part. How would you like to proceed?

How I am thinking of solving this is to bucket various compensation the firm should give to the family and calculate the same. I have identified the following levers for the same:

1. Monthly earnings of the employee for the rest of working life and pension post that.
2. Some sort of mark up over this to convey our condolences to the family (and protect downside risk of bad press).
3. Financial support to the family members for sustenance.

I would triangulate this amount with any benchmark basis similar settlements in the past. Finally, I would want to calculate my costs of undertaking the settlement and deduct it from the above amount.

That seems comprehensive. Let's ignore the pension, costs and benchmarking. Why don't we start with earnings. The employee was 40 years old and would work till 60. He was currently earning 75K per month.

Based on those, the total earnings come out to be 20*12*75K. Are we making a one-time payment or monthly payments?

Crane Accident

We will make a one-time payment; how will you calculate that? Also, are you sure about 75K?

Correct, I missed the increment in salary. Do we have any information there?
And for one-time payment I would want to calculate the Present Value for this amount.

The employee would get promoted every 4 years with a 20% increment. How will you factor this in? just walk us through your approach, we don't need to undertake the calculation.

Right, so that is 4 promotions. I will use a growing annuity formula with discount rate equal to the average inflation expected over the period. I am not sure if I remember the annuity formula entirely right now.

That is fine. Do you think we should pay all of this amount, or some percentage of it? What do you think will be the factors that determine that.

Hmm, so ideally, we should pay the whole amount. But that implicitly conveys that we take 100% responsibility of the incident, which might not be in the firm's best interests.
I'd suggest marking down this figure by some percentage, basis the following factors:

1. Lobbying capacity of the employees, if they are unionized against the incident that would create a problem.
2. Credibility of the evidence present and where the burden of responsibility falls.
3. Track record of the employee on the job, performance scores, etc.
4. Track record of company in such incidents, which as discussed, are rare.

Great! So, it turns out that the testing was not done by the employee as comprehensively as the rules suggest. However, we have noticed that the same is the norm amongst on-floor employees. Let's move on the second lever. What information do you need?

For condolences, I want to bucket into two parts:

1. Emotional support and costs for funeral.
2. Basic survival for the family members like wife, kids, parents. This would include housing (if they are on rent), education for kids, and health insurance.

The employee has a wife, and two kids of 13- and 10-years age. The wife is a BA graduate working as a receptionist for 30K per month salary. We provide housing quarters in which the employee and his family had been living. We can ignore health insurance.

Let's look at the kids' needs first. Since they are quite young, is there a way the company can provide for their school education. That would put out a good word in the press. Since the wife is already working and we are remunerating for the husband's lost income, I don't think there is a need to do anything there.
As for housing, we can allow the family to continue living there.

The firm operates school as well as college under CSR. We can consider that. Good insight on not remunerating extra to the wife since her earnings are not affected. Let's look at the monthly earnings for the deceased employee once again. Do you think we should analyze anything else?

Give me a minute to think through it.
I am not able to identify anything we might have missed. Is there anything you'd want me to focus on?

Have you heard of this term called moonlighting?

Oh, that's right. I missed any side income. Do we have any information there?

The employee was a drummer in a band and was earning 15K per month for gigs. The band has a following of 10 Lacs on Instagram. Do you think we should pay this amount?

Given the band has such a high follower base, we do not want bad press or any upheaval, we should ideally at least compensate the band for a missing drummer. This will help us get their support as well and protect the downside risk of getting any bad press. For the 15K remuneration to the family, we can decide on that basis how the family responds to the initial settlement.

That will be all. All the best!

Crane Accident

Unconventional | Challenging | BCG

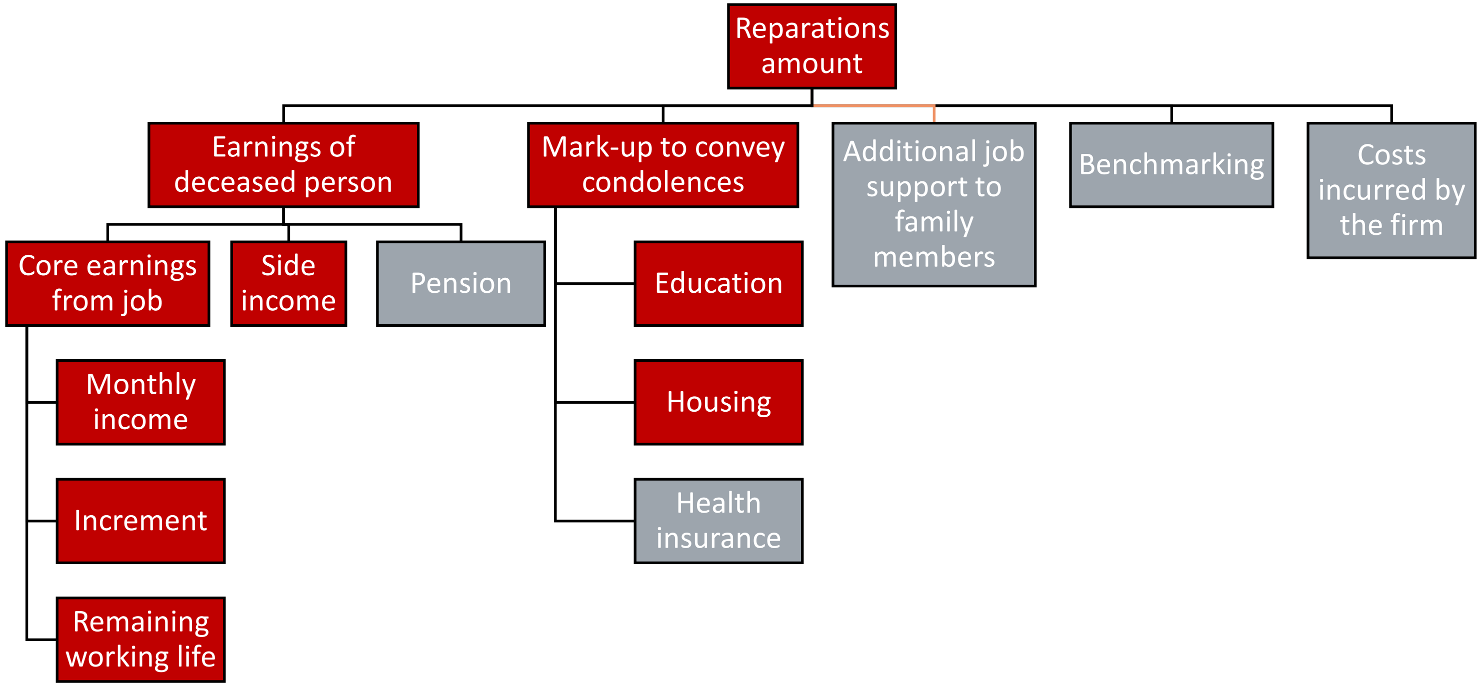
Case Statement

- You are a lawyer who's representing a firm which recently witnessed an accident that led to the death of one of their employees.
- Strategize on how to come up with the out of court settlement/reparations amount

Interviewee Notes

- Objective: Out of court settlement is to save on bad press and any retaliation from family, other workers, etc.
- No need to negotiate the least possible amount, but to keep it fair
- Evidence suggests that the accident is not entirely the firm's fault
- Monthly earnings are core earnings from job plus any additional income

Structure/ Framework



Key Takeaways

- The case is unstructured. It's important to comprehensively do the preliminary questions to single out the case problem. But more important is to frame every question with an insight of your own so that it gives you some points while you are losing on interview time
- Preliminary question could've included questions about what the firm does. But it did not seem particularly important here to the problem
- For cases that are on the longer side, it is important to keep the interview more on the conversational end to keep the interviewer engaged
- Keep highlighting the answers from each bucket, for times when you need to summarise or troubleshoot in the middle of the case and buy time

Sustainability Strategy for FMCG

You are the Chief Sustainability Officer of an FMCG major based in India. The board of the company has asked you to come up with a short-term and long-term sustainability strategy.

This is an interesting problem. Before we delve deeper into the case, I would like to ask a few preliminary questions about the FMCG company.

Sure, please go ahead.

I would like to understand what business the FMCG major is in. Additionally, to narrow down my solutions, I want to understand what exactly do we have in mind when we say 'sustainability'. Can I assume it means reducing carbon emissions? Lastly, I want to understand the specific time frame when you say short-term and long-term.

Our FMCG company is into food processing and manufacturing. And yes, you may assume that the objective of sustainability strategy is to reduce carbon emissions. By short-term, you can assume current financial year and for long-term we are looking at a time horizon of 5 years.

Great, do we have any data on current amount of CO_2 equivalent emissions for our client? Also, where exactly does our client lie in the value chain? I assume that the value chain consists of farmers, raw material aggregators, manufacturing, distributors, and retailers.

The emissions for our client is currently 1.5 Mn metric tons of CO_2 equivalents annually. Your assumption around the value chain is correct, you can further assume that our client only operates on the manufacturing part of the value chain.

I would also like to understand that as the chief sustainability officer, am I looking at reducing the carbon emissions only at the manufacturing end or across the value chain of the product. This will help me understand if I need to bring value chain partners onboard. Additionally, do we have any information on carbon emissions across different parts of the value chain. If there is a major CO_2 contributor in our value chain, I will focus there first to reduce overall emissions.

Great set of questions. We want to reduce emissions across the value chain to achieve low emissions per product. 30% of emissions come from farmers and raw material aggregators, 10% from manufacturing, 15% from transport, 20% from retail and the rest from storage.

Thanks for sharing this data. I think I am in a good position to start solving this case. As the emission contribution across the supply chain partners is comparable, we will have to coordinate and incentivize our supply chain partners as we formulate this strategy. I can begin by listing down different strategies to reduce carbon emissions at each stage of the value chain.

That approach sounds fair. However, I would want you to look at it from the different stakeholders' perspective as well.

Sure, I would classify my stakeholders into shareholders & lenders, customers, the government, value chain partners, and the company employees. Do you want me to focus on any specific entity while formulating the sustainability strategy?

Let's focus on the customers, shareholders/lenders, and the government.

Great, I will start with the **customers**. For the customers, I want to factor in the growing market of green customers who want to know the provenance of the products that they consume and the overall emissions per product. We can explore setting up a central monitoring entity in the supply chain which will log carbon emissions at all touchpoints as units flow through it.
Next, for the **shareholders**, there is a growing market of impact investing where investors look at ESG criteria while evaluating investment returns. They can also benefit from the visibility of total carbon emissions per product.
As for **government** regulations, we can factor in the cap-and-trade regulations which are being implemented in a lot of states. This will mean our company can sell emission rights if we stay below the emission limits and this would help us boost the bottom line as well. Tesla makes a lot of money by selling carbon credits this way. These are all essentially long-term approaches; shall I move on to some quick wins we can have this financial year?

Great suggestions. You're right, Tesla makes a significant profits by selling carbon credits. As we are running out of time, we can close the case now. Thank you.

Sustainability Strategy for FMCG

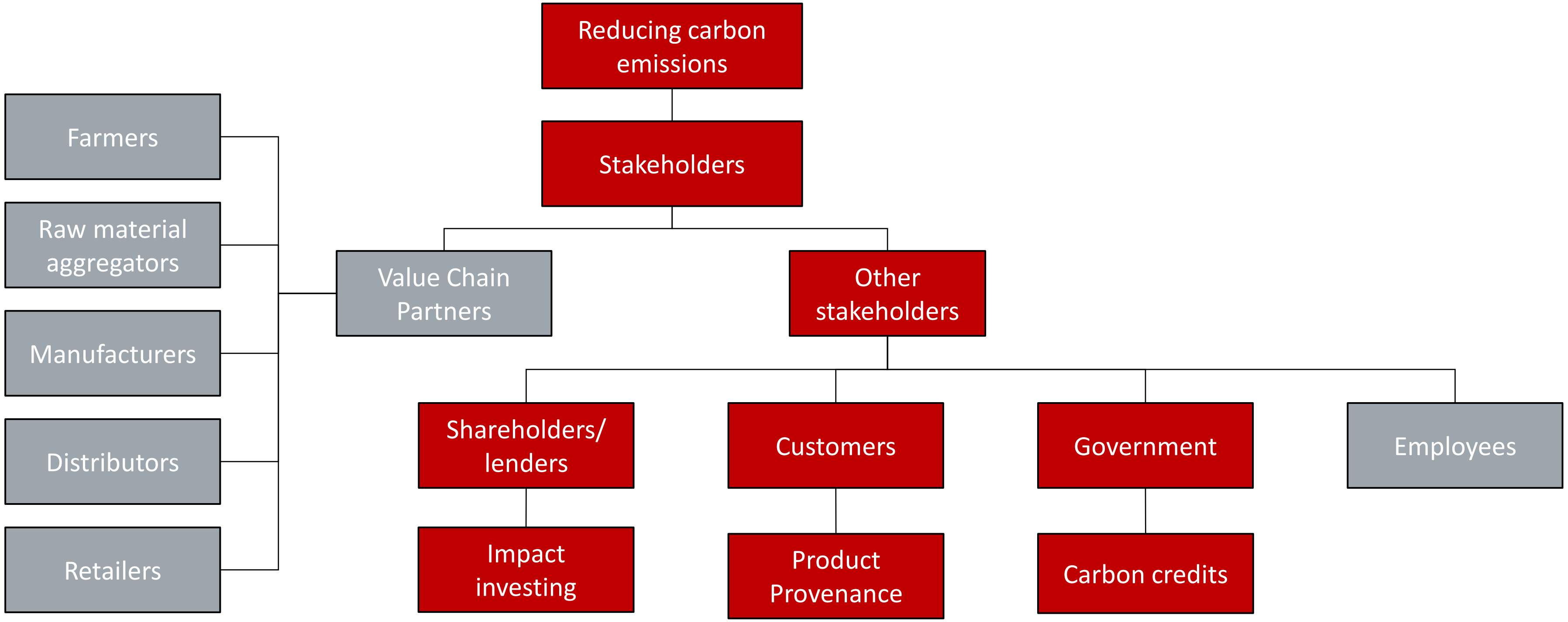
Case Statement

- FMCG food manufacturing company
- Chief sustainability officer
- Devise sustainability strategy for the short and long term

Interviewee Notes

- Emission split is even across the value chain, will require a wholistic approach
- Devise strategy based on interests of stakeholders

Structure/ Framework



Key Takeaways

- Ask the right questions: What is sustainability? What is short term and long term?
- Real world examples like that of tesla and carbon credits were appreciated by the interviewer

Your client, a packaging company, is currently manufacturing cardboard packaging for a whiskey manufacturer. The whiskey manufacturer plans to launch a special edition, Brand X, with potential high demand during the upcoming IPL, pending a promotional tie-up. The client's production capacity is sufficient for normal demand but falls short for the anticipated increased demand due to IPL. To address this, the R&D team suggests purchasing software from Taiwan that can enhance production capacity and reduce unit costs. However, this option comes with a substantial annual fee and potential installation delays. If the installation is timely, the client can meet any demand; otherwise, only partial demand can be fulfilled. The alternative is outsourcing production to a Chennai-based supplier, which is more expensive than in-house production. A decision must be made immediately between investing in the software or outsourcing production.

Before delving into the analysis, I need additional details about the client's production capacity, costs, and the regular as well as anticipated surge in demand due to the IPL tie-up. Additionally, could you provide specific data points regarding the annual fee for the software, the cost per unit in the case of software installation, and the corresponding figures for contract manufacturing?

Sure, the current production capacity is 15 million units, with a normal demand of 10 million units. However, due to an IPL tie-up, the demand is expected to rise to 20 million units. The current cost per unit is Rs 25. If the software is installed, the cost per unit will decrease to Rs 15. Alternatively, contract manufacturing has a cost per unit of Rs 27. The selling price remains constant at Rs 30 per unit in all scenarios. Annual fee of the software is Rs 90 million. In case of software installation delay, patrial demand of 8 million units can be met.

Considering the IPL tie-up's uncertain nature, I'd like to understand the probabilities associated with both the occurrence and non-occurrence of this event. Additionally, could you provide insights into the likelihood of a delay in the software installation?

The probability of the IPL tie-up occurring is 60%. Regarding software installation, there is a 75% likelihood of encountering a delay.

Right. I think I have all the information that is needed to make the decision. So, I would like to take a minute to think and come up with an approach to solve this problem.

Sure, take as much time as you need.

Alright, I have decided to split the scenario in two parts/decisions. We can do two things in this scenario:

1. Software installation
2. Contract manufacturing

We can check the expected revenues via both the decisions considering all the probabilities (IPL tie-up and delay in software installation) and then choose the one which gives the highest expected revenues.

Alright, that seems a good approach. But are you sure there are only two things that you can do?

Umm, I would like to think for a minute and check if there's any other possible way that can be taken here.

Yes, please do. Think about all the possible scenarios or decisions that you would be able to take if you were in place of the packaging manufacturer.

Alright, there is a third option as well. We could decide to do nothing and continue our operation as usual. Even in case of increase in demand due to IPL tie-up, we can continue supplying with current production capacity.

Correct. Now you can go ahead with your calculation and run me through the approach

Alright. I have made a decision tree with three options:

1. Do Nothing
2. Software installation
3. Contract manufacturing

Under each option I have again added two branches: Normal demand and High demand (due to IPL tie-up)

In case of software installation, I have further added two branches: Delayed installation and Timely installation. This completes our decision tree. Now, we can consider the profits in each of the branches and calculate the expected profits for all three options and choose the one with highest expected profits.

Good. That sounds like a correct way to go about it. Could you please do the calculation and let me know what decision you would take?

Sure, just give me a minute. I'll run you through each part

Do Nothing: There are two potential outcomes: Normal demand and High demand, with probabilities of 0.4 and 0.6, respectively. To calculate the expected profits, multiply the profit per unit by the number of units for each case. For Normal demand, it's 10 million units, and for High demand, it's 15 million units. By multiplying the probabilities and summing the result we get final value for the expected value as 65mn.

Sounds good, let's analyze the other two decisions as well

Software Installation: Dividing into Normal and High demand branches, each with probabilities of 0.4 and 0.6, respectively. Further breakdown for each includes the possibilities of delay (probability: 0.75) and on-time installation (probability: 0.25). If there's a delay, production can meet 8 million units for both Normal and High demand. Conversely, with on-time installation, we meet the actual demand: 10 million units for Normal and 20 million for High demand. We need to subtract 90 million as the annual fee in each case. By multiplying the probabilities and summing the result we get final value as 60mn.

That's right. What about the contract manufacturing option?

Contract Manufacturing: Considering two outcomes, Normal demand and High demand, with probabilities of 0.4 and 0.6, respectively. As we are making the decision now, we have already placed an order for 5 million units to meet potential high demand, which cannot be canceled. Consequently, in the Normal demand scenario, our in-house production would be 5 million units (10-5), and in the High demand scenario, it would be 15 million units (20-5). By multiplying the probabilities and summing the result we get final value as 60mn.

Makes sense. Now that you have analyzed all three options, what do you think is the correct way to go ahead?

Upon calculating the profits for each scenario, we find expected profits of 65 million in the first case, 60 million in the second case, and 70 million in the third case. Therefore, my recommendation for the client is to proceed with Contract Manufacturing.

Great, I think we can close the case now. Good job.

Packaging Manufacturer

Case Statement

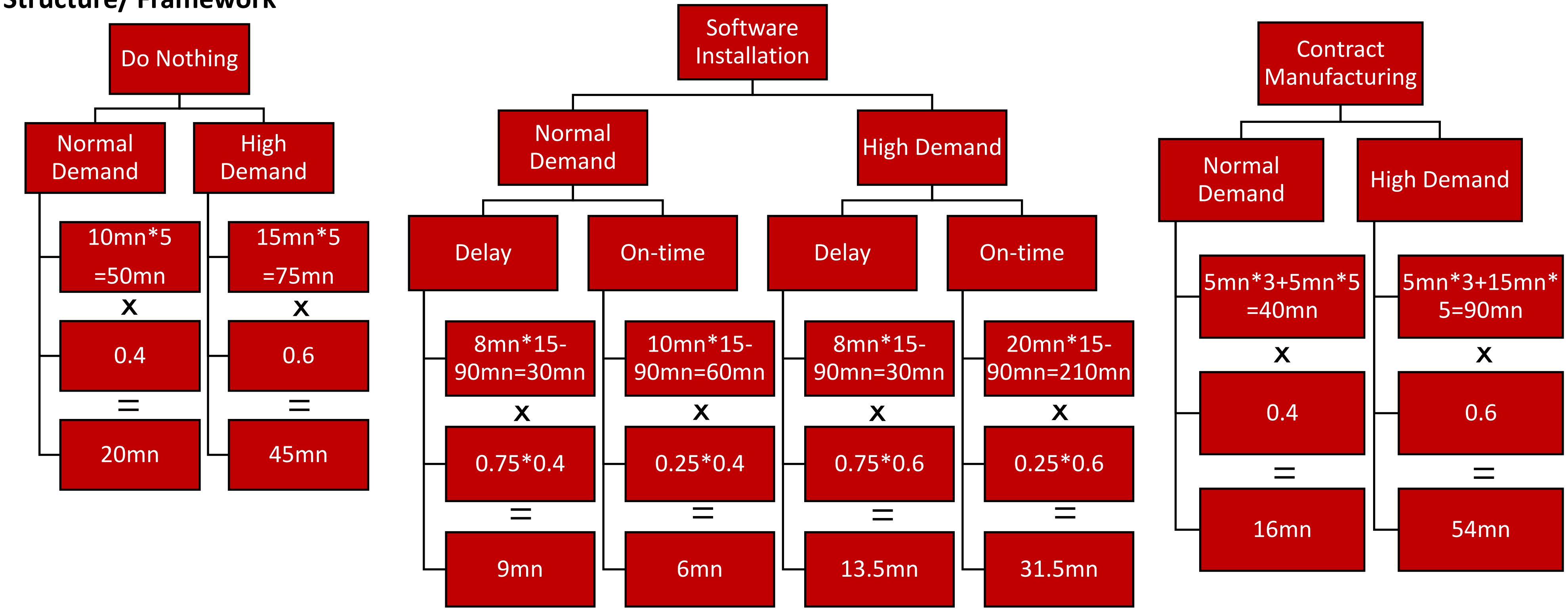
- Packaging company supplying cardboard packaging to a whiskey manufacturer
- Decision dilemma: opt for software installation (with potential delays) or opt for contract manufacturing to meet anticipated high demand
- Uncertainty in demand: High demand contingent upon IPL tie-up probability
- Capacity challenge: Software installation can address production constraints, but concerns about potential delays and associated costs
- Contract manufacturing is an alternative, albeit at a higher unit cost

Interviewee Notes

	Current	Software	Contract Manuf.
SP/unit	30	30	30
CP/unit	25	15	27
Annual Fee	0	90	0
Profit/unit	5	15	3

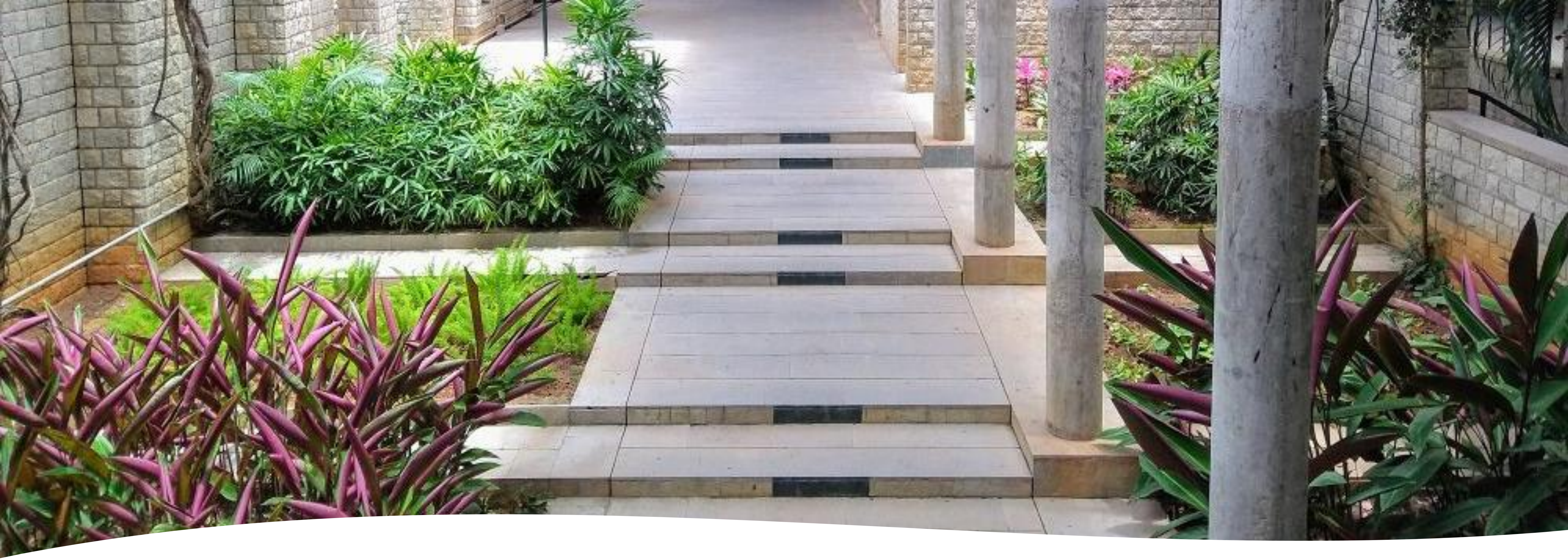
- Order needs to be placed right away
- Normal demand: 10 Mn units
- High demand: 20 Mn units
- Probability of high demand: 0.6
- Probability of delay in installation: 0.75

Structure/ Framework



Key Takeaways

- Not doing anything or not making a choice is also a choice that may be ideal for a business
- Instead of dividing the problem statement in normal vs high demand, analyse the profits based on the choices that are available – Do nothing, Software installation and Contract manufacturing.



IIMB Guesstimates
2024-25

Number of Vaccination Camps Required

Good morning! I appreciate your interest in joining our project as a consultant. Our goal is to estimate the number of vaccination camps needed for a successful vaccination drive in Chennai. The Health Minister of Tamil Nadu has reached out to us for assistance in planning this initiative. Could you share your approach to addressing this challenge?

Good morning! Thank you for having me on board for this important project. To estimate the number of vaccination camps required in Chennai, we need to consider a few key factors. First, we should identify the target market for vaccination – that is, the eligible population group that we are aiming to vaccinate. Additionally, the time frame within which we want to achieve this vaccination drive is crucial.

Absolutely. The target market and the timeframe are indeed essential considerations. Let's discuss those aspects further. Who do you think should be included in the target market for vaccination in Chennai?

The total population of Chennai is 1.2 crores (12 million), of which 90% (10.8 million) are assumed eligible for vaccination, excluding groups like infants and those with medical exemptions. It is further assumed that 80% of the eligible population will be willing to vaccinate, accounting for factors such as vaccine hesitancy and logistical barriers. This reduces the target population to 8.64 million.

That sounds like a reasonable approach. Now, regarding the timeframe, how many months do you think we should set as our goal for completing the vaccination drive?

The desired timeframe for completing the vaccination drive is crucial for our calculations. Could you please provide guidance on the expected duration for this initiative? This information will greatly influence the pace at which we need to set up vaccination camps.

Sure, let's assume the goal is to complete the vaccination drive within 6 months. Given this information, how would you go about estimating the total number of vaccination camps needed in Chennai?

To estimate the total number of vaccination camps needed in Chennai, we can use the following formula:
Total Number of Vaccination Camps = (Total Population to be Vaccinated / Camp Capacity)

For the camp capacity, let's assume each camp operates for 10 hours a day, and it takes about 6 minutes to administer vaccine to one person. This allows us to calculate the number of individuals that can be vaccinated in a single day at each camp. Can you please also provide me clarity on whether the vaccine is a single or double dose ?

Assume that it is a single dose vaccine. Go ahead, plug in the numbers and give a guesstimate for the number of vaccination camps that need to be in operation.

Certainly. Using the formula and the assumptions we discussed:
One camp can administer 10*10 = 100 vaccines/day
Assuming 120 working days in a span of 6 months, one camp can administer 120*100 = 12000 vaccines in 6 months.
However, the number of camps available in both urban and rural areas will not be the same due to infrastructural and logistical challenges in rural areas. Therefore, should I calculate the number of camps separately for urban and rural areas?

Yes, Please go ahead.

Urban Areas: Based on our above calculation, each urban vaccination camp can administer **12,000 vaccines in 6 months**.
The **urban population** of Chennai is approximately (80% of population) **6.91 million**.
No. vaccination camps required in urban areas = 6.91 million/12,000 vaccines ≈**576 camps**
Rural Areas: Similarly, we assume that rural areas can serve **80%** of the vaccines compared to urban areas, meaning each rural camp can administer **9,600 vaccines in 6 months**.
The **rural population** of Chennai is approximately (20% of population) **1.72 million**.
No of vaccination camps in rural area is: 1.72 million/9,600 vaccines≈180 camps
Total Number of Vaccination Camps:
To ensure sufficient coverage and account for potential logistical issues, we factor in a **10% buffer** for additional camps. Adding the urban and rural camps together:
576 (urban camps)+180 (rural camps)=756 camps.
After adding the 10% buffer for backup camps: 756+10% (756)≈**832 vaccination camps.**

Great. Thank you.

Number of Vaccination Camps Required

Case Statement

- Estimate the number of vaccination camps required in Chennai

Interviewee Notes

- Target market and time frame to be considered
- Capacity of each vaccination camp
- Check for single or double dose

Structure/ Framework

Total Number of Vaccination Camps = PART A: Target population to be vaccinated ÷ PART B: Capacity of one vaccination camp

PART A

Population of Chennai = 1.2 crores

↓ Assuming 90% are eligible

Eligible population: 1.2 x 0.9≈ 1.08 crore

↓ Assuming 80% will be willing

Target population to be vaccinated : 1.08 x 0.8≈ 0.86 crore

- Urban (80%) 0.691 cr
- Rural (20%) 0.17 cr

PART B

Capacity of one vaccination camp over 6 months = Number of vaccinations per hour = 10 ✖ Number of working hours in one day = 10 ✖ Number of working days in 6 months = 120

Key Takeaways

- Develop a structured framework which covers every aspect

I would like you to estimate the revenues from a duty-free shop at the Delhi International Airport. You can assume that there is only 1 shop at the airport and only international travelers can access it.

Thank you for the question. As per my understanding, duty-free shops sell various products – like alcohol, beauty and personal care items and food/confectionary items. Would you like me to estimate the average revenues for all the categories?

Let's calculate the revenues from alcohol sales.

What is the timeframe that I should consider? Are we looking at monthly/yearly/daily sales?

Why don't you calculate the sales for a year. Consider it to be a normal year after covid.

Understood. I will first share my approach for estimating the revenues and then plug in the numbers. Is that okay?

Yes, please proceed.

Annual alcohol revenues for a duty-free store will be (# of customers)* AOV.
# of customers will further be (# of international travelers in a year)*(% of travelers shopping alcohol at duty free) and AOV will be (# of units) * (Avg Price/unit). I will calculate the (# of international travelers) from the supply side - # of runways * # of flights/day/runway * 350 (assuming 350 days for ease of calculation) * capacity * occupancy. I will then make the necessary assumptions to calculate the other variables. Does this approach seem fair to you?

Yes, this looks good. Let's calculate the number of international travelers first.

I am assuming Delhi Airport has 2 runways for international flights, where there is a takeoff every 5 minutes. That gives us 2 * 60 mins / 5 mins * 24 hours = 576 flights/ day. Let's assume 600 flights/day for ease of calculation. This gives us 600*350 = 2.1 lakh flights/year. The average capacity for an international flight is around 250. To calculate the average occupancy, I will assume that there are 3 months in a year (summer + December) which are busy months due to tourism and the rest 9 months are average with mostly business travelers. Occupancy during busy months would be 100% and 60% during other months. This gives an average occupancy of 100%/4 + 60%*3/4 = 70%. Plugging all the numbers, we get 2.1 lakh flights/year * 250 seats * 70% occupancy = approx. 3.7 Cr. international travelers. Does this seem fair?

Yes, it looks okay. How will you calculate % travellers shopping for alcohol

I assume that it is mostly the tourists who shop for alcohol, business travelers would seldom buy alcohol. Assuming a 50-50 split between business travelers and tourists, and further assuming 5% of business travelers buy alcohol, and 35% of tourists buy alcohol. This gives us 20% of international travelers who buy alcohol. Now within this, we know that these people also have the option of shopping at their destination duty-free. Thus, we can assume 50% of these eligible people will buy at Delhi and we get the final % of international travelers shopping alcohol at Delhi duty free as 10%. Multiplying this with # of international travelers, we get 3.7 cr * 10% = approx. 37 lakh annual customers.

Good. Let's move on to calculate their average order value.

As far as I know, there is a limit of 2 bottles/person – therefore we can assume on average people buy 1.5 bottles. Now, for the average price – I assume most people will be buying expensive bottles at the duty-free so that they can get higher savings. A customer would probably not buy a 750 Rs bottle at a duty free. Hence, will it be fair to assume an average price of 1500 Rs.?

Okay, that sounds fair.

So we get 37 lakhs * 1.5 * 1500 Rs = approx. 850 Cr revenues.

Good. We can close it here.

Duty Free Sales

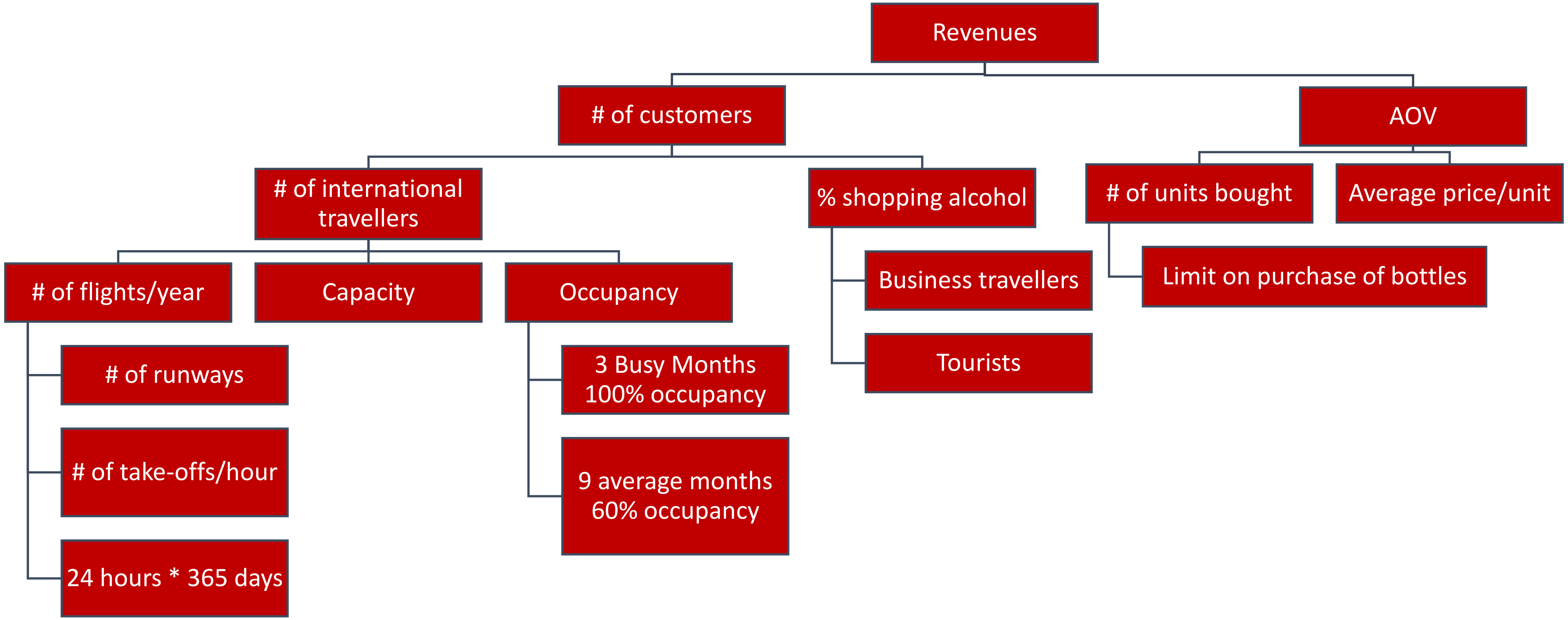
Case Statement

- Revenues at Delhi Duty Free
- 1 store, annual revenue, only alcohol sales

Interviewee Notes

- Consider only alcohol sales
- Better to go from supply side to calculate # of travellers

Structure/ Framework



Key Takeaways

- Keep getting a buy in for every assumption and step
- It's better to get a go ahead on the approach first and work on numbers next
- The interviewer is more interested in the approach than reaching at a very accurate number

Good Morning. I've already gone through your resume and am quite impressed with your profile and previous consulting experience. I also see that you're from an Electrical background. Can you tell me something about EVs and their recent growth?

Good Morning. Thank you! Given my background, I have a good understanding of EVs and their workings. The recent surge in EV sales can largely be attributed to the government's sustainability initiatives and increased public awareness of clean energy alternatives.

You're right. Now, I'd like you to do estimate of the number of Evs that will be sold in India in 2025.

Thank you for the question. When it comes to EVs, would you like me to focus on any particular category, such as 4-wheelers, 2-wheelers, or buses etc

You can focus only on 2-wheelers (2Ws) for now. Later, we can expand the analysis to other categories.

Great! Within the 2W segment, there are different types of vehicles, such as motorcycles, scooters, and others. Currently, the transition to EVs has been more prominent in the scooter segment. Shall I proceed with this focus?

Yes, you can move forward with this. Let's first assume that you have access to all the relevant data. How would you approach calculating the number of EVs that will be sold in 2028? What factors would you consider in your estimation?

Thank you. If I have access to all relevant data, I will estimate the number of EVs sold in 2025 by analyzing YOY growth rates and conducting regression analysis. The dependent variable would be the number of EVs sold, and the independent variables would include household income growth, government incentives, infrastructure development (e.g., EV charging stations), urbanization rate, fuel price trends, technological advancements (e.g., battery efficiency), and price elasticity of EVs compared to conventional vehicles. Using these factors, I would project the YOY growth and estimate the total EV sales for 2025.

However potential risks of analysis would include policy uncertainties, infrastructure delays and availability of cheaper, more efficient disruptive technology.

Do you really believe that EV charging stations are any pain points for the 2W EVs?

You're right, currently it's not much of a concern for 2W EVs. The transition from petrol to electric scooters (2W EVs) has been largely driven by the convenience of home charging, especially for short-distance travel. In many cases, users charge their scooters overnight at home, making the charging infrastructure less of a concern, as long as the daily travel distance is within the scooter's battery range. However, as you pointed out, there are several factors to consider if long-distance electric two-wheelers (2W EVs) become more popular in the future.

Understandable. Apart from this, could you explain the methodology that you could have adopted if there was no data available?

Certainly! I could have adopted a top-down approach. To begin with, I would segment the Indian population into Tier 1, Tier 2, and Tier 3 cities, as the adoption rates and purchasing power vary across these regions. Next, I'd estimate the total number of families by assuming an average household size of 4 members, since 2W EVs are usually considered a family asset rather than an individual purchase. Using this segmentation, I'd further divide them into low, medium and high income to assess affordability. Here, I'd also like to consider how the financing options such as loans or EMIs, impact the purchasing power of families in each income bracket.

In addition to affordability, I'd factor in vehicle replacement cycles by estimating the percentage of families likely to replace their existing 2Ws with an EV in 2025. This helps account for both new adopters and those transitioning from conventional 2Ws to EVs.

Combining these factors, I'd project the total number of families who could transition to a 2W EV within the defined timeframe, ensuring a more realistic and actionable estimate.

Thank you, it was a nice interesting discussion. We can close the case now.

Electric Vehicles

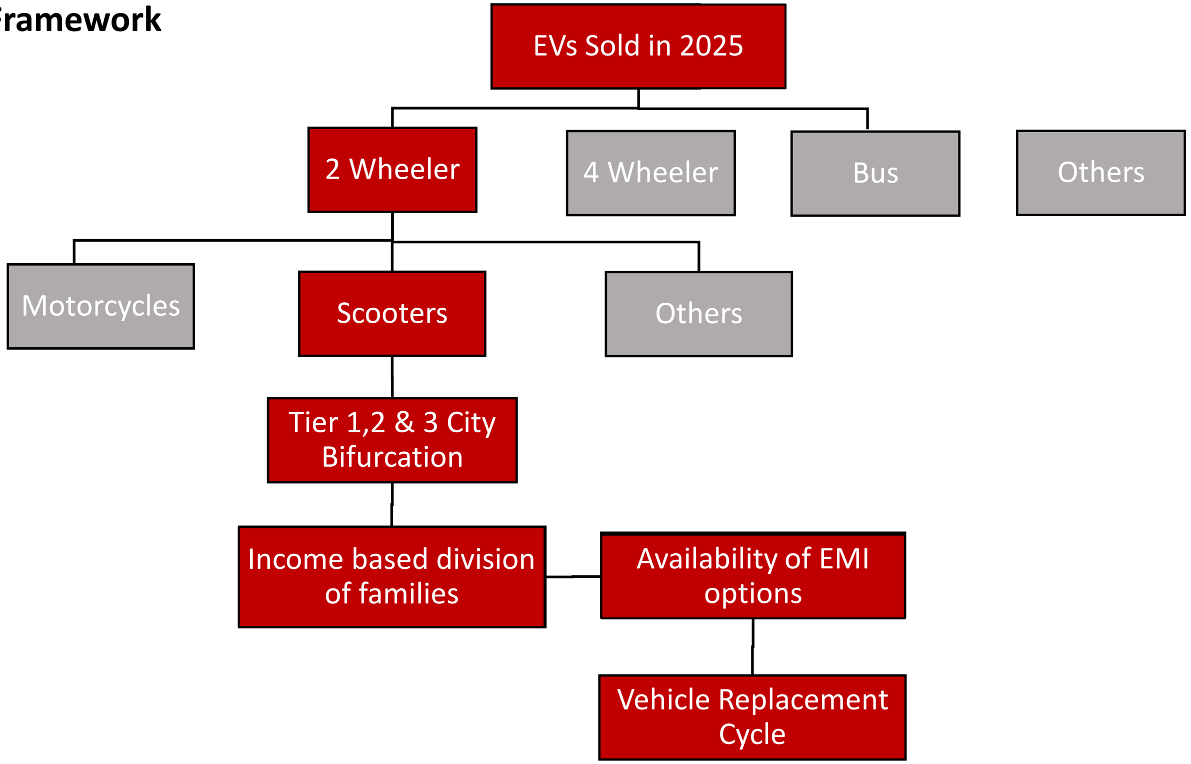
Case Statement

- Number of EVs to be sold in 2025

Interviewee Notes

- Understand the current EV landscape in India
- Exhaustively covering all the points possible
- Checking with the interview every time to get surety of direction
- Asking the interviewer for data

Structure/ Framework



Key Takeaways

- Ask clarifying questions in the beginning to know what exactly is meant by EV market and which vehicle segment is our client focused.
- Always follow a framework approach while answering any question and keep the conversation interactive. Do not engage in a monologue or take long pauses in between of any answer.

Packaged Drinking Water Bottles

Estimate the number of packaged drinking water bottles sold in Delhi in a day.

Before starting my analysis, could I ask some clarifying questions.

Yes. Please, go ahead.

Are we talking about packaged drinking water bottles of a specific company? And are we looking at any specific season like summer or winter? And is there any specific capacity of water bottles that we are considering here like 500 ml or say 1L bottles?

No specific company or season. Estimate the total number of packaged drinking water bottles of 1L capacity that are sold in New Delhi per day on an average.

Thanks a lot. I would like to start my analysis by considering the population of New Delhi which I assume would be approximately 3 crore. I think packed drinking water bottles are bought mostly by people who are on the go like for example the people dining at a restaurant or event goers and so on. Similarly, Delhi being a major tourist destination, tourists also form a significant customer segment for packed drinking water. On an average day, the number of tourists visiting Delhi might be approximately 60,000. Are these assumptions appropriate to make?

Yes. Sounds good. Go ahead.

Next, I would like to segment the population of Delhi on the basis of age into 3 segments comprising of 0-15 years (about 25% of the population), 16-64 years (about 70% of the population) and 65 and over (approx. 5% of the population). The bucket of 0-15 years comprises mostly of school going children who have other alternatives and thus form a negligible customer segment for packaged drinking water. Similarly, the elderly aged 65 and over might not be a significant customer segment of packaged drinking water. So, I believe it is the population in the age group 16-64 years that mostly buys packaged drinking water.

Interesting. Please go ahead with your estimate.

Next, I would further like to segment the age group 16-64 on basis of income into 3 categories BPL (about 20% of the population), middle income (approx. 70% of the population) and higher income (about 10% of the population). The BPL are less likely to invest packaged drinking water. The middle- and higher-income group are the likely to be the major consumers of packaged drinking water bottle. I would assume about 2% of the people belonging to BPL buy an average of 1 bottle every two days. Similarly let us assume 20% of the people belonging to the middle-income group buy an average of 1 bottle per day. Similarly, we can assume about 30% of the people belonging to the higher income group buy an average of 1 bottle every day. On the other hand, we can assume about 80% of tourists buy an average of 3 bottles every day. Is there anything else that you would like me to consider?

No. Let's plug in the numbers.

Certainly. Using all the assumptions that I have mentioned:
No of people in Delhi in the 16-64 age category = 0.7 * 3,00,00,000 = 2,10,00,000
Number of bottles to each category = Delhi population x proportion of people in that category x percentage of people in that sector x percentage of them buying packaged water x average number of bottles that they buy every day.
Out of this, no of bottles being sold per day to people in the BPL category on an average = 2,10,00,000 * 0.2 * 0.02 * 0.5 = 42,000
Similarly, no of bottles being sold per day to people in the Middle-income category on an average = 2,10,00,000 * 0.7 * 0.2 * 1 = 29,40,000
And, no of bottles being sold per day to people in the Higher income category on an average = 2,10,00,000 * 0.1 * 0.3 * 1 = 6,30,000
For the tourists, no of bottles being sold per day on an average = Tourists x proportion of them buying water bottles x average number of bottles that they buy in a day.
= 60,000 * 0.8 * 3 = 1,44,000
Adding the values, we get approximately 38,00,000 bottles sold per day in Delhi on average.

We can close the case, Thank you for your analysis.

Packaged Drinking Water Bottles

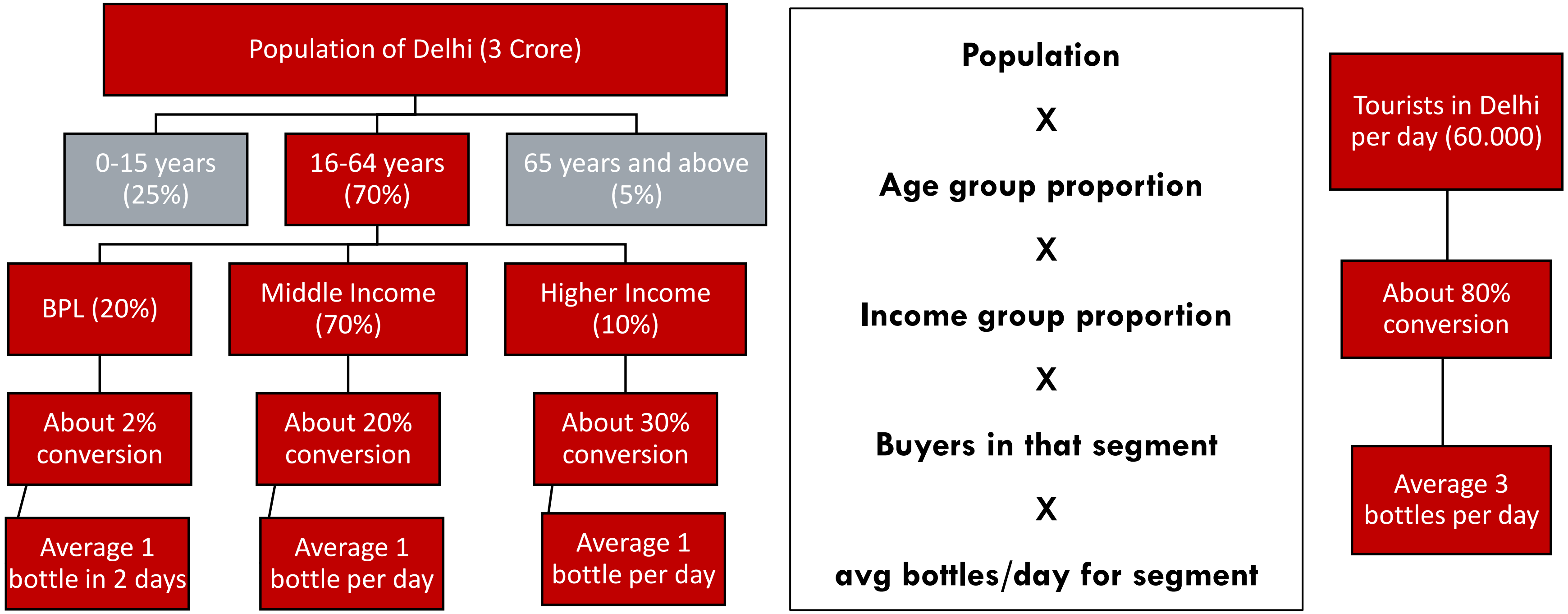
Case Statement

- Estimate the number of packaged drinking water bottles sold in Delhi in a day

Interviewee Notes

- Exhaustively covering all the points possible.
- Checking with the interview every time to get surety of direction.

Structure/ Framework



Key Takeaways

- Develop a structured framework which covers every aspect

Good afternoon. Let's do a guesstimate. Can you estimate the demand for Intel i7 Chips in a month.

Good afternoon! I have few questions to understand the problem statement better. For which region, I have to estimate the demand. Can I consider intel chips are used only in laptops for now?

Estimate the demand from Andhra Pradesh state. Yes, you can proceed with laptops for now.

Sure, The demand for laptops come from students, working professionals from private and government offices, malls, restaurants, hospitals, cafes, colleges, gaming centers, update of old laptops and personal use. Do I need to consider any other areas where we can get demand for laptops?

Great, you have considered all major areas where we can expect the demand. Now, I want you to calculate the demand of i7 laptops from students and working professionals.

Alright, The population of Andhra Pradesh state is 8 crores. I will first divide the population in 3 income groups. Lower income(40%), Middle Income(40%), High Income(20%). Since, the cost the laptop with intel i7 chip would be above 70k, I will only consider middle and higher income groups. Next, I will divide these groups into age groups of 5. 0-15yrs (15%), 16-24yrs (20%), 25-50yrs (25%), 50-65yrs (15%) and 65+yrs(20%).

Can you tell me what age groups we need to consider for our targeted area and on what factors will you decide?

Our Target age group would be 16-65 years for both students and professionals. This group consists of students pursuing graduation and higher studies. The demand of laptops for students can be from colleges. To get the number of students = no of students in the age group 18 – 26 * proportion of students belonging to middle class and upper class * number of students in STEM fields * proportion of students requiring a high end processor * proportion of students choosing i7 chips.

Working professionals doing work from home, here laptops can be purchased from personal money or given by company as well as freelancers. So, major demand comes from these 3 groups. To get the number of working professional = no of people in the age 22 – 60 years age group * proportion of people who are employed (self included)* proportion of people working in software Industry, graphics industry and scientific works and other industries * proportion of them requiring a high end processor * proportion of students choosing i7 chips.

Can you tell me how the demand can be estimated from a company in a month, Assuming every staff requires a laptop.

The demand for laptops from a company in a month can come when the growth rate is higher than attrition rate, a new department is formed and update of old laptops .

Can you estimate how i7 laptops can be purchased. And how we can get the information regarding the companies that require the use of laptops.

I7 laptops can be purchased from offline showrooms, Online, through contract of companies from vendors/ dealers. The data regarding companies and their industry information can be obtained from Ministry of Corporate Affairs (MCA).

Great. This is it from our side. Thank you

Intel i7 Chips

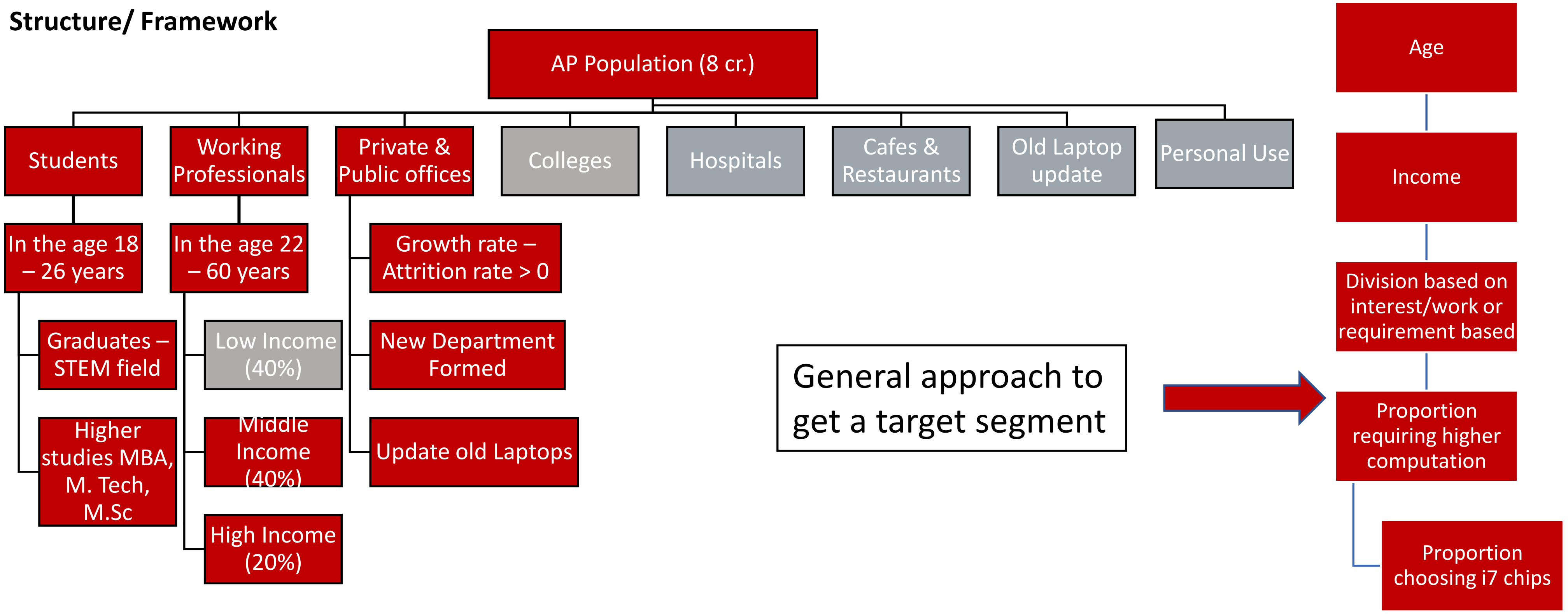
Case Statement

- Demand estimation of Intel i7 chips for a month.

Interviewee Notes

- For Andhra Pradesh state
- Consider only Laptops
- Divide the population into income and age groups

Structure/ Framework



Key Takeaways

- The interviewer was more focused on the approach taken rather than using quantitative data to arrive at the actual estimate
- Remember MECE at every step

Estimate number of people crossing Bangalore Airport in a month.

I have a few preliminary questions before I jump into the guesstimate, may I go ahead?

Sure. Go Ahead.

Thank you for the question! Before I proceed, may I clarify a few points to ensure accuracy? Should I include only passengers or also account for airport staff and airline workers? Should the calculation include both domestic and international flights, or just one of these categories?

Focus only on passengers and include both domestic and international flights.

Got it. I'll approach this systematically and start with structuring my process. Since we are looking at the number of passengers, I'll calculate it based on: Number of flights (domestic and international). Average flight capacity and the fill rate (percentage of occupied seats). Distribution of flights across weekdays, weekends, and time slots (peak, regular, and off-peak hours). Connecting passengers, as a significant portion of passengers might be transiting through Bangalore. Would this approach work for you ?

Yes

Let's start with the number of flights. Bangalore Airport operates both domestic and international flights: Domestic Flights: These are more frequent, as they make up the majority of air traffic. For simplicity, I'll assume around 600 domestic flights daily (both arrivals and departures). International Flights: These are less frequent. Let's assume around 50 international flights daily based on the airport's capacity and route schedules. So, in total, we have approximately 650 flights per day. Does that sound reasonable?

Yes, go on.

Now, let's estimate the seating capacity and occupancy rates of these flights: Domestic Flights: The average seating capacity for domestic flights is around 180 seats. The average fill rate for domestic flights is typically 85%. So, the number of passengers per domestic flight would be: $180 \times 0.85 = 153$ passengers/flight.

International Flights : These flights have a larger average seating capacity of around 300 seat. The average fill rate is slightly lower, around 75%-80%. For simplicity, I'll take it as 75%. So, the number of passengers per international flight would be: $300 \times 0.75 = 225$ passengers/flight. Does this breakdown seem okay so far?

Yes, go ahead.

Next, I'll calculate the total number of passengers crossing the airport daily: For domestic flights: 600 flights/day×153 passengers/flight=91,800 passengers/day. For international flights: 50 flights/day×225 passengers/flight=11,250 passengers/day. Adding these together gives us the total daily passengers: 91,800+11,250=103,050 passengers/day.91,800 + 11,250 = 103,050

That sounds good.

Now, let's account for connecting passengers who use Bangalore as a layover hub:
Based on industry averages, around 20%-25% of passengers on domestic flights and 30%-35% of passengers on international flights are in transit. To simplify, I'll assume 20% connecting passengers for domestic flights and 30% for international flights. Calculating the total: Domestic Connecting Passengers: 91,800×0.2=18,360 connecting passengers/day.
International Connecting Passengers: 11,250×0.3=3,375 connecting passengers/day.
Adding these to the earlier totals: 103,050+18,360+3,375=124,785 total passengers/day.
Assuming 30 days in a month: 124,785×30=3,743,550 passengers/month.

That's comprehensive.

Bangalore Airport

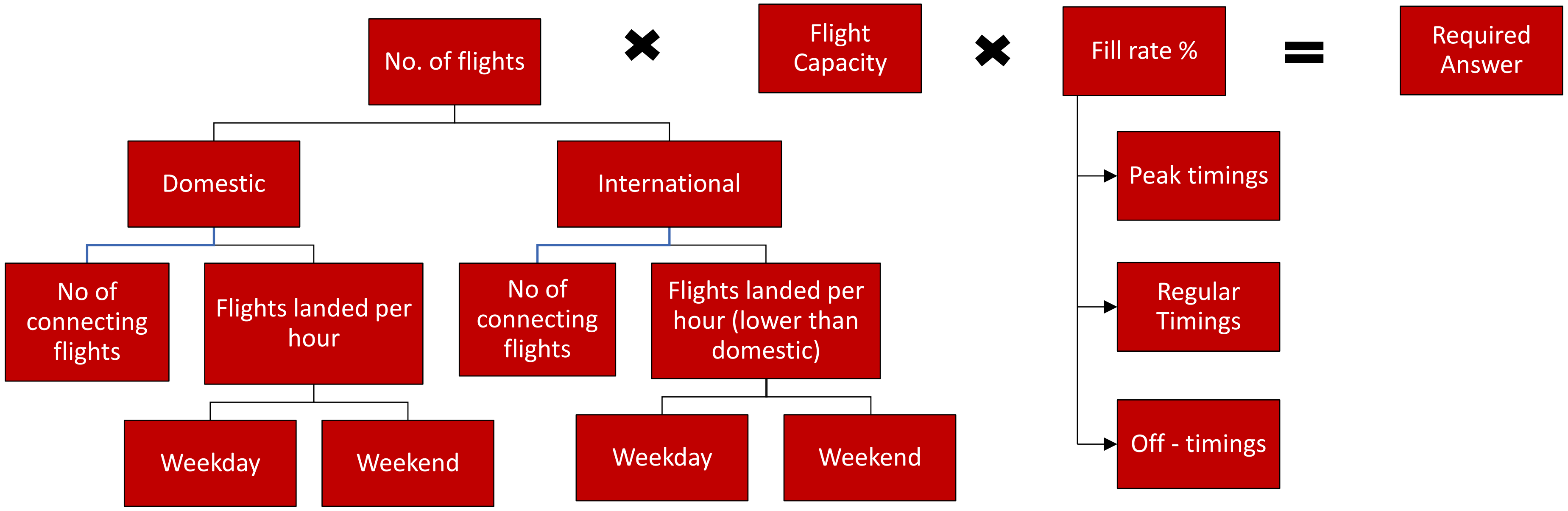
Case Statement

- Estimate number of people crossing Bangalore Airport in a month

Interviewee Notes

- Consider both Domestic & International flights
- Approach is important, numbers & calculation are not required

Structure/ Framework



Key Takeaways

- Ask for the level of detail that is expected when defining approach for the guesstimates. Exhaust all possible details you can think and discuss with the interviewer

Sugar Consumption

We want to reduce sugar consumption of our employees. Can you help us, do it?

Sure. Can you please clarify in which office you want to reduce sugar consumption?

In Gurugram office.

Is there any specific objective behind this initiative?

We have conducted a survey and found out that a lot of our employees are struggling with chronic illness such as diabetes and we want to introduce a wellness and health program to tackle this. Reducing sugar consumption is the starting point.

Understood, I would want to start by estimating the consumption of sugar in Gurgaon office. Are we concerned only about added sugar in beverages like tea, coffee and juice, or should I consider other sugar in foods items as well?

Consider only beverages.

Sugar consumption = # of employees * % of beverage drinkers * # of cups/person/day * # of sugar sachets/cup
Do we have any data on any of these?

We have 3 floor in our Gurugram office. For now, let us consider only one floor. No. of employees on this floor are 360 and 50% drink tea, 30% drink coffee and 15% drink juice.

So that means there are 108 coffee, 180 tea drinkers and 72 drink neither. Is there any overlap in this population, further do we have any data on the distribution of no. of cups of coffee and tea that these people drink per day.

For simplicity consider there is no overlap. For distribution of consumption, we have following data: For Coffee- 40% drink 1 cup/day, 30% 2 cups/day and 30% 3 cups/day and For Tea- 50% drink 1 cup/day, 20% drink 2 cup/day and 30% drink 3 cup/day.

44 people drink 1 cup /day, 32 2 cups/day and 32 3 cups/day, therefore total no. of cups of coffee/day is 205. I am taking this as 200 cups/day. Similarly for tea the number comes out to be 324 cups a day which we can take as 320 cups/day.

Now that we have the number of cups of coffee and tea consumed in a day, do we have any data on no. of sachets of sugar each person intakes?

Yes, consider this data to be same for both tea and coffee. 50% 1 sachet/cup, 40% 2 sachet/cup and 10% 0 sachet/cup.

Dividing 520 cups/day based on sugar sachet we get 676 sachets of sugar per day. Now do you want me to calculate it for the sugar consumption in fruit juices.

I don't need the number but what do you think would be the approach to measure it?

We have to check the serving size as well as the type of juice – fresh juice or bottled juice. In case of bottled juice, it comes with added sugar and thus can be measured by number of bottled juices consumed * avg amount of sugar in it (from the label). For the fresh juice, we can estimate it using the number of serving * number of table-spoons of sugar used per serving * weight of sugar per table-spoon.

This looks fine. Now since you have an idea about sugar consumption on a floor, can you recommend some solution.

In short term, company can introduce a track of sugar sachets consumed by employees and incentivize lower monthly intake. Further, healthier alternatives for sugar can be provided to employees. Introduction of alternative beverages without sugar can also help in reducing sugar intake.

In the long term, the culture can be changed by conducting regular sessions on health by experts. Creation of wellness and tracking apps to further our cause can also help the employees.

Thanks, we can conclude the case here.

Sugar Consumption

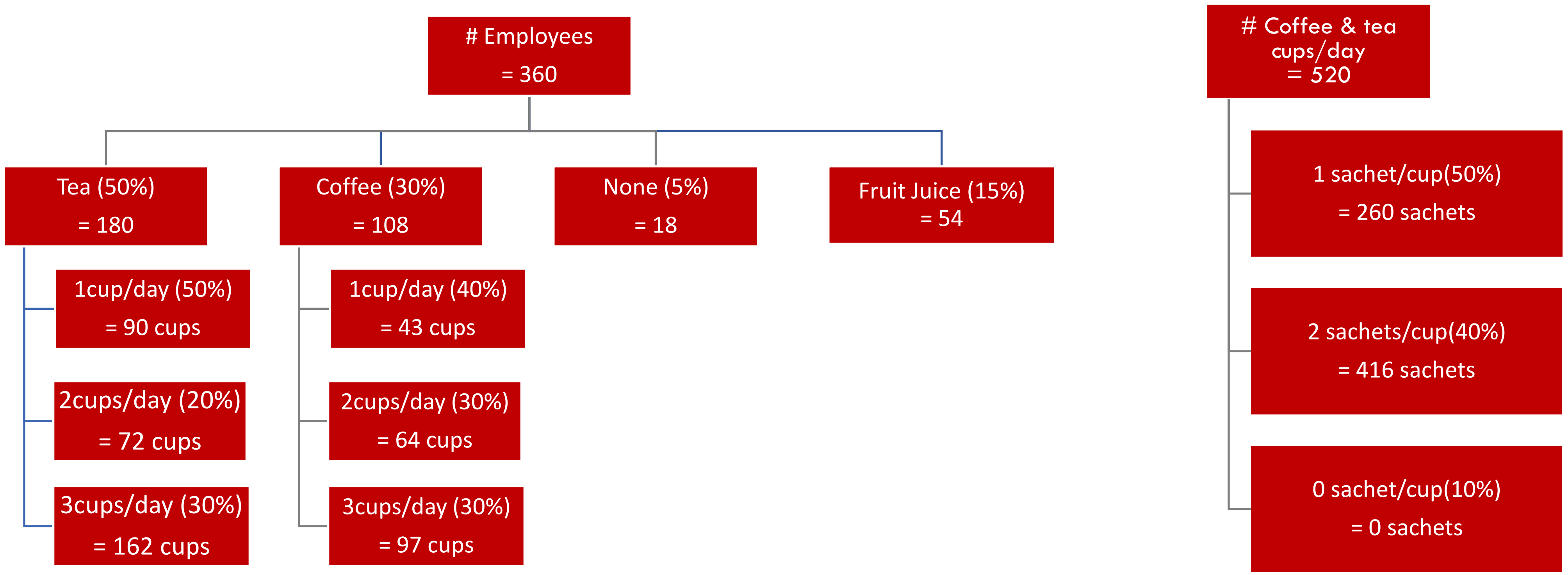
Case statement

- Client wants to reduce the sugar consumption of employees
- Identify the sources of sugar intake and suggest possible ways to reduce it

Interviewee Notes

- Sugar consumption = # of employees * % of beverage drinkers * # of cups/person/day * # of sugar sachets/cup
- Suggest both long term and short term options to reduce the sugar consumption of the employees

Structure/Framework



Key Takeaways

- Breakdown the problem into subparts at the starting of the solution to make the calculations easier
- Ask for relevant data points from the interviewer when needed

Food Delivery Customer Care

We have a food delivery platform like Swiggy in NCR. We are getting a lot of customer care requests and queries and the manpower is not enough right now due to the COVID situation to handle all the queries. What should we do to reduce the load on the current customer care executives? I want to understand your approach. Make your own assumptions for any other information you require.

Okay. Since, we are looking at resolving the queries and requests, we can divide the requests into two parts:

1. Requests for information about the order status, location of delivery person, and other similar information
2. Personalized and specific requests and complaints

The responses to requests in bucket 1 can be automated through a service or a bot, thereby reducing significant load on the customer care executives. And the customer care executives can just respond to requests in bucket 2.

How will those request in Bucket 1 be automated?

We can categorize the different type of requests that are received into separate classes depending upon their type. For example: status of order, location of delivery person, time for the order to be delivered, cancel the order, modify the order, etc. For each class, we will calculate the volume of such requests and their frequency of occurrence. Requests with high frequency and volume can be directly integrated as options for requests while a person raises a request and can be automated completely.
In case, the customer doesn't feel satisfied with the automated response, he can still request for a customer care executive to talk to.

Okay. Let's say if the system is not automated, can you provide a rough estimate how many customer care executives will we need for Delhi NCR? Please make your own assumptions.

Alright. So, I would like to begin with the assumption that Delhi's population is 12 million. And there is 80% internet penetration. Of all the people have internet, I am assuming only 1% people are using our services. That makes it 100,000. Let's say of all the registered users only 10% order every day, that is 10000. I would then divide the day into 4 parts, based on traffic: 8 AM – 2 PM, 2 PM – 8 PM, 8 PM – 2 AM, 2 AM – 8 AM.
All times of the day don't get the same traffic. We can divide daily traffic into these slots.

Sounds good. How would you do that?

I would assume high traffic in the first slot, medium traffic during the second slot, traffic again peaking in the third slot due to dinner and minimum traffic in the last slot. So, we can assume the distribution of traffic as follows;
8 AM – 2 PM : 35%, 2 PM – 8 PM : 20%, 8 PM – 2 AM : 40%, 2 AM – 8 AM : 5%
Of all the traffic, not everyone will create a query about their orders. That should be around 20% maximum. So, by slot it would be
8 AM – 2 PM : 700, 2 PM – 8 PM : 400, 8 PM – 2 AM : 800, 2 AM – 8 AM : 100
So, can we club 2 slots into one and use one of the shift to accompany the needs?

Right, so if we have two shifts of 12 hours, how many people do we need?

We have maximum of 1100 requests in shift 1 which is 8 AM to 8 PM and 900 requests in shift 2 which is 8 PM – 8 AM . We can use this formula to get the number of employees required = Time required for servicing request / Time available for employee. Assuming a request takes 5 min on average to resolve, we need 8 customer care executives simultaneously in case of the 8 AM - 8 PM slot. Similarly, in case of the 2nd slot we would require 7 employees.

Great. So, what will be your recommendations?

Automate the simple requests that can be directly answered by the bot without human help. These requests can be decided based on the frequency and volume.
Refer to the customer care executive only in cases of complex requests

Thanks, we are good to close the case now.

Food Delivery Customer Care

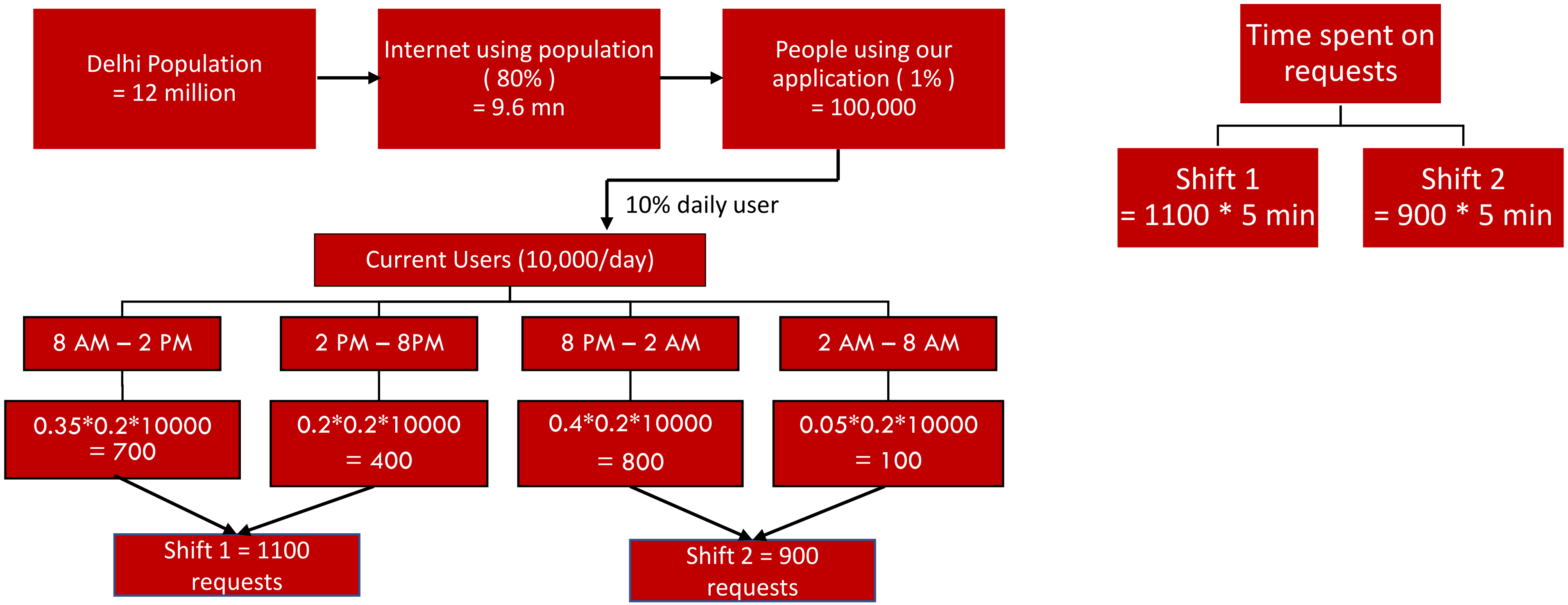
Case Statement

- Client is food delivery platform
- Lot of customer care requests; manpower is not enough due to COVID
- How to reduce the load on the current customer care executives?

Interviewee Notes

- Delhi Population:
  12 mn
- Users:
  12 mn*0.6*0.01 = 72,000
- Users/day:
  72000 * 0.1 = 7,200

Structure/ Framework



Key Takeaways

- The interviewer was looking for the approach and problem-solving skills rather than the numerical data and assumptions.

Airport Revenue

Guesstimate | Moderate

Hi! How are you doing? Do you like guesstimates?

Hello sir! Sure, I do like guesstimates.

Alright, then I will give you a guesstimate. A new airport is being built in Navi Mumbai. I want you to come up with a number that is representative of the revenue from passengers at that airport. Do not consider the revenue from tickets.

Okay. I would like to ask some preliminary questions first to understand the client better- why are they opening this airport? Is this a prime location? Do we know the expected footfall? Also, would domestic as well as international flights operate?

Assume it is similar to Chhatrapati Shivaji Airport. Also say 40% customers from previous airport are diverted to the new airport. Both international and domestic flights operate out of this airport.
You can just list out the main streams of revenue for this airport.

Okay sure, lets start with rentals from the outlets- like eateries, joints and restaurants. We will also have parking charges, lounge expenses, advertising, cargo handling, hangar fees etc.

Okay let's start with Food and beverages

So, the expected footfall at Chhatrapati Shivaji Airport is approximately 50 million in a year. We discussed that 40% of this goes to the new airport, making it 20 million. Assuming only 20% passengers consume food, giving us an estimate of 4 million passengers having food.

How do you know only 20% passengers would consumer food at the airport?

Yes, I just used my own experience as a base for reflecting and coming up with a number. Usually, the airport food is priced higher, so only people who are hungry or people who are from a higher income category, consume food at the airport.

Okay go ahead.

Meals can further be divided in a full course meal, costing say Rs 500, or basic snacks like tea, coffee, puff etc. costing about Rs 150 on average. Since most people would consume snacks, I am assuming 60% of the 4 million people would be consuming snacks and remaining 40% can consume full course meals.

Okay so what are out final numbers?

So, we reach 4million*60%*150 + 4million*40%*500 giving us a total of Rs 1160 million.

Fair, but the actual number is around Rs 3300 million. Where do you think you are making a mistake? Are you forgetting something?

Oh right, I forgot to add the beverages, this calculation was only for food.

That's correct, beverages are more expensive and typically make upto 60% of the F&B revenue. That's all, thankyou.

Airport Revenue

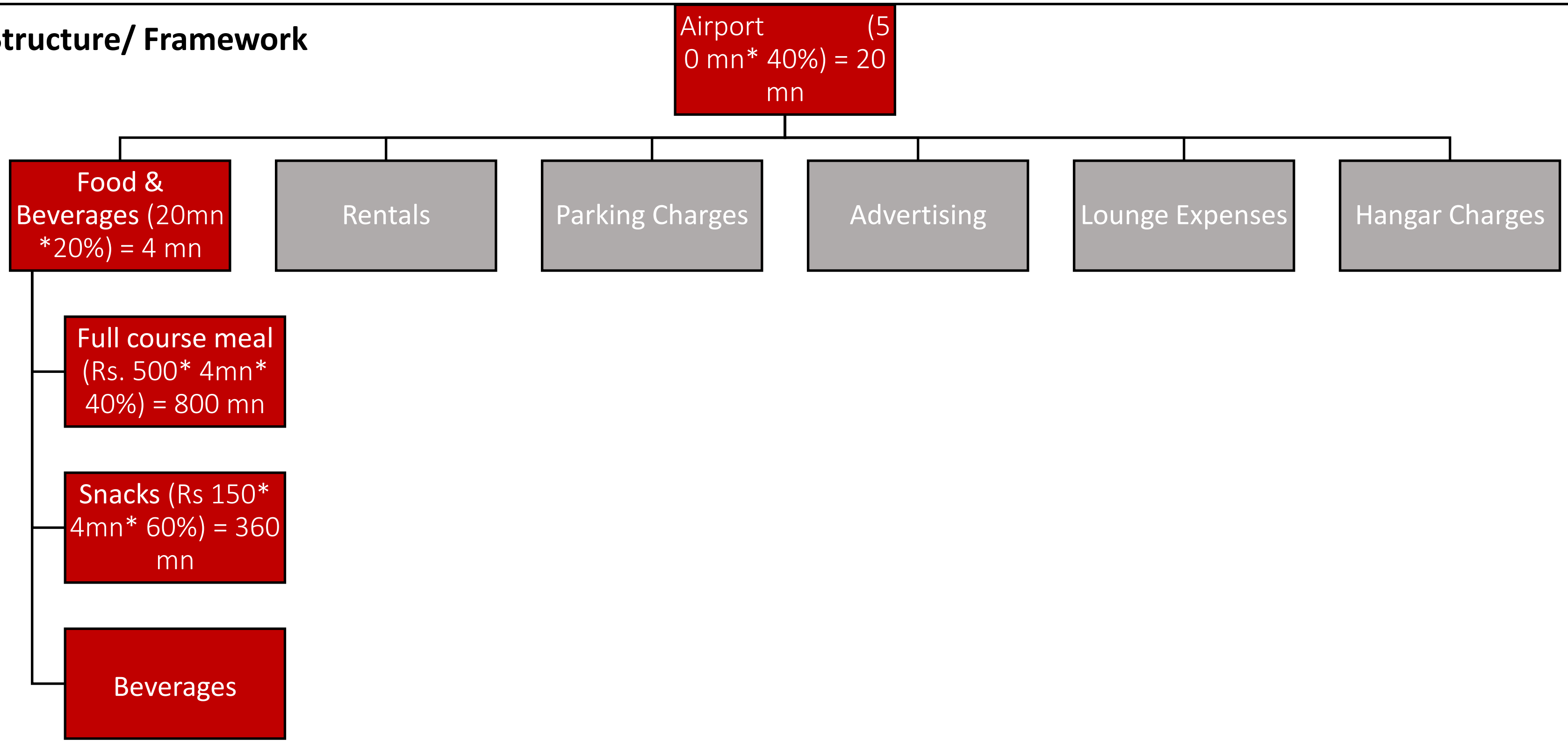
Case Statement

- Revenue from passengers at Navi Mumbai airport.

Interviewee Notes

- Exhaustively covering all sources of revenue
- Breakdown using experiential diagnosis for F&B

Structure/ Framework



Key Takeaways

- Develop a structured framework which covers every aspect

A hypermarket chain is planning to open their store in Bannerghatta. You are required to estimate the expected sales in the first month.

Sure! approach, I would like to approach it from the demand side. Considering population of Bangalore is around 4.2 million- we can split the population using area, age and then income. Should I follow this approach, or do you want me to think further?

Yes you can go ahead.

So, starting with area split first, Bangalore can first be divided into 10 major localities like Bannerghatta. Assuming equal distribution of population in these 10 areas- we get the population in Bannerghatta area to be 10% of 4.2 million i.e., 0.42 million.
Now, moving on to the age split, I would only like to consider the population that falls under the 18 to 60 years age bracket. Around 50% of the population belongs to this age category.

Why did you only consider the 18 to 60 age category?

This is because people below the age of 18 do not typically have a source of income and even if they do, they won't be spending it in a hypermarket. Also, I did not consider people above 60 as they generally make their purchases from nearby stores, and not hypermarkets.

Sure, we can work with these assumptions.

Alright! We will consider 50% of the 0.42 million population i.e., 0.21 million.
Now, we can apply income filter and further divide them into middle-high income group (40%) and low-middle income group(60%). Out of this only the 40% middle-high income category population would be relevant for us. This brings it down to 84,000 people. Assuming the average household size is 4, we get 21000 households (84k/4)
As next step, we will estimate the average spending. An average family can spend anywhere between Rs 2000-3000 per month. We should also consider that people only buy those groceries from a hypermarket that can be stored for more than a week. Like vegetables, pulses, sugar, coffee etc. they can also purchase products like electronics.

Okay go ahead.

We should also look at the footfall estimation at the store. Do we have any hypermarkets in the area?

Yes, there is a comparable hypermarket in the area.

Okay, we can divide the target group between our hypermarket and the competitor. However, we should also consider that in the first month our hypermarket will experience higher sale as a result of multiple offers and promotional activities. New customers will come to experience the store, so we can split the target group in 60% and 40% between the new and the existing hypermarket.

Great! This should be enough to get an estimation.
Thankyou.

Hypermarket Chain

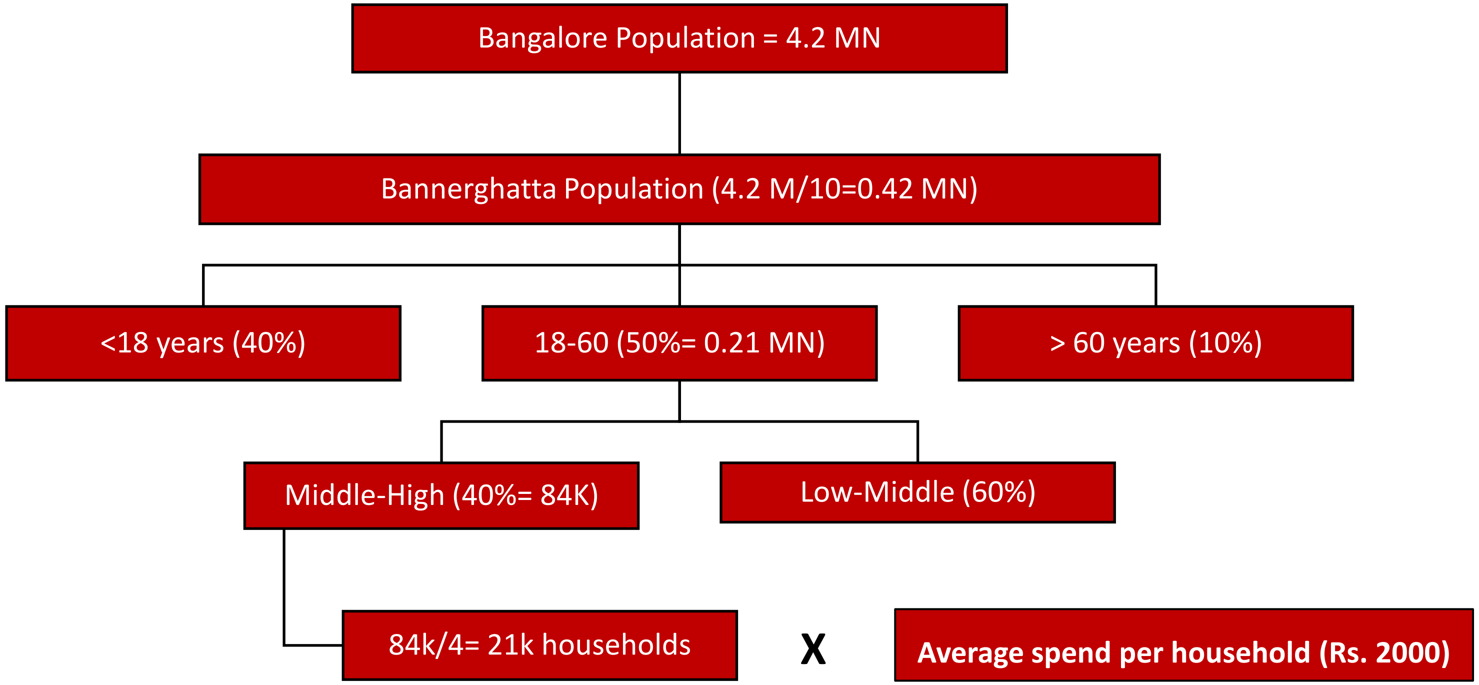
Case Statement

- Revenue from hypermarket at Bannerghatta Road in the first month

Interviewee Notes

- Breakdown into localities to simply area
- Hypermarket sales would depend on number of households rather than number of individuals
- First month would have higher sales due to promotional activities

Structure/ Framework



Key Takeaways

- Develop a structured framework which covers every aspect and provide rationale for deprioritizing/prioritizing each segment
- Check with interviewer for any benchmarks/ competitors to get a more realistic estimate

Perfume Retailer

You own a retail outlet that sells perfumes. Tell me what will be your inventory planning for this?

Before starting my analysis, I would like to as some preliminary questions- do we sell all types of perfumes or a specific type of perfume? Furthermore, do we simply resell the perfumes through the outlet, or do we also have our own production of perfumes?

Great questions. So yes we only sell luxury perfumes and we just resell the branded perfumes. Now tell me, how do you think we can reduce our inventory costs?

Our primary objective is to minimize various types of inventory costs to enhance profitability. By reducing inventory costs, I am referring to fixed material costs, ordering costs, the opportunity cost of capital tied up in inventory, and storage/holding costs.

Alright, now how will you find optimal inventory to minimize all these costs?

Since it is a luxury good, we can think of using periodic order inventory system. Use EOQ to find optimal order quantity. We can also factor in the desired level of service.

Okay. Can you tell me what are the components of inventory planning?

Inventory planning revolves around determining two critical aspects: how much inventory to order and when to order it. These decisions ensure the right balance between meeting customer demand and minimizing costs.

Great! Now let me give you some additional information regarding planning parameters. We can order perfumes only at beginning of the year and the perfumes go out of trend the next year. So, we cannot sell the inventory next year. Before we go ahead, can you tell me what can be done with the unsold inventory?

Maybe we can sell the perfume on discount or use some promotional offers.

You understand that it is a luxury brand so we cannot run a sale, would it be a good idea?

Right, it would hamper the brand image. We can return the unsold bottles to the manufacturer. Is that feasible?

Yes. Now let's work on ordering the optimal quantity.

Let us use news vendor model to arrive at optimal order quantity. Do we have data on the cost and pricing structure? Also we need to assume it is a normal distribution, so can I know the mean and standard deviation of the demand?

Perfume costs Rs. 80 and is sold at Rs. 150. as per our contract with the manufacturer unsold perfume bottles are sold back at RS. 50. the marketing department has estimated that the demand is not normal and that there is 20% chance that demand is 1000, 50% that demand is 1500 and 30% chance that demand is 2000.

Okay so we have discrete demand, meaning we have to order optimal quantity of either 1000, 1500 or 2000. we can find expected profit at each order quantity and choose the one with highest expected profit. Is this a good approach?

Yes, go ahead with the calculations.

Starting with scenario 1 where we order 1,000 units, the profit remains ₹70,000 : 1000 * (150 - 80) across all scenarios due to stockouts. Moving on to scenario 2 where we order 1,500 units, the profit is ₹55,000 : 1000*(150-80) – 500*(80-50) if demand is 1,000 (500 units returned at a loss of ₹30 each) and ₹105,000 : 1500* (150-80) if demand is 1,500 or 2,000, resulting in an expected profit of ₹95,000 : 55,000×0.2+105,000×0.5+105,000×0.3 . Lastly the scenario 3 where we order 2,000 units, the profit is ₹40,000 : (1000×70) – (1000×30) for demand of 1,000 (1,000 units returned), ₹85,000: (1,500×70)–(500×30) for demand of 1,500 (500 units returned), and ₹140,000 : 2,000×70 for demand of 2,000, also yielding an expected profit of ₹95,000 : 40,000×0.2+85,000×0.5+140,000×0.3. While both 1,500 and 2,000 units offer the highest profit, 2,000 is preferred to avoid stockouts and maintain customer satisfaction.

Thankyou candidate!

Perfume Retailer

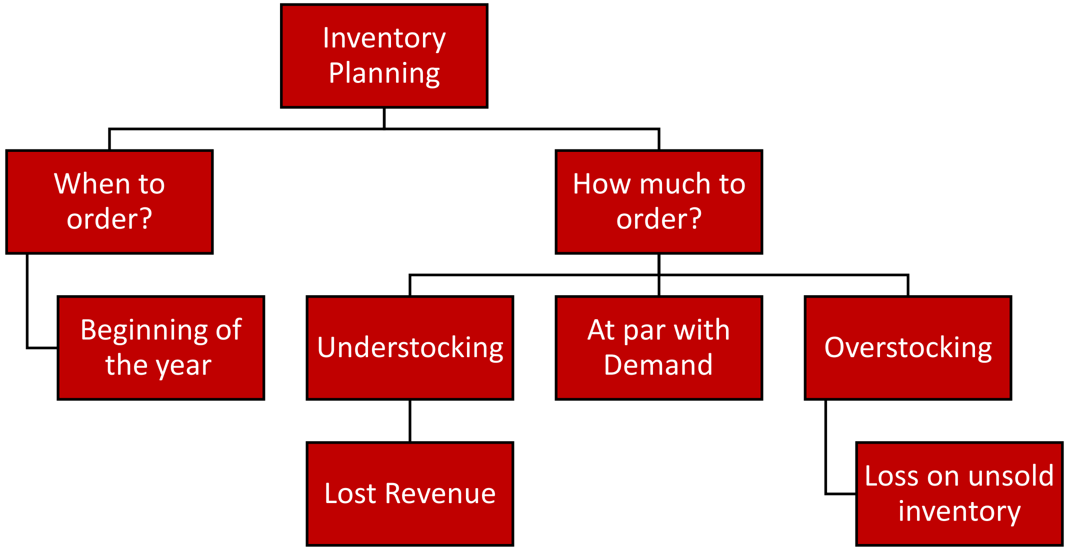
Case Statement

- Inventory planning for a retailer of luxury perfumes.

Interviewee Notes

- Plan inventory to reduce overall costs
- Order only at beginning of year
- Demand pattern is not normally distributed, rather it is discrete.

Structure/ Framework



Order Quantity	Demand	Profit Calculation	Profit (₹)	Probability	Weighted Profit (₹)
1,000	1,000	1,000×(150–80)	70,000	20%	14,000
	1,500	1,000×(150–80)	70,000	50%	35,000
	2,000	1,000×(150–80)	70,000	30%	21,000
	Total				**70,000**
1,500	1,000	(1,000×70)–(500×30)	55,000	20%	11,000
	1,500	1,500×70	1,05,000	50%	52,500
	2,000	1,500×70	1,05,000	30%	31,500
	Total				**95,000**
2,000	1,000	(1,000×70)–(1,000×30)	40,000	20%	8,000
	1,500	(1,500×70)–(500×30)	90,000	50%	45,000
	2,000	2000 X 70	1,40,000	30%	42,000
	Total				**95,000**

Key Takeaways

- More of an increasing profitability case
- Preliminary questions are important
- Structured approach to breakdown

You need to estimate the total number of tennis balls sold in Bangalore every year. We can approach this qualitatively.

We can approach it from the demand side or the supply side. Should I go ahead with demand side?

Why not the supply side approach?

Actually, from supply side, we need to assume multiple variables like brands, prices, varying qualities. And we will also have to account for the various production locations. Thus, it will make our estimation complicated and prone to errors.

Okay let's go ahead with demand-based approach

So first we need to estimate the number of matches played in Bangalore every year and divide it by the life of the tennis ball.

What do you mean by life of tennis ball?

I mean the number of matches where the same tennis ball can be used before it has to be discarded.

Alright. Don't you think we should also list down the various uses of a tennis ball first?

Yes, so apart from tennis, it can be used for playing other sports like street cricket, toy for dogs etc. we can use a similar approach for these use cases of a tennis ball.

Great! Let's focus on tennis matches first.

To find the number of matches played, let's look at the type of matches as amateurs and professional matches. Here the professional matches are the ones played by professional players, regulated by officials. The amateurs are the matches played just as a hobby.

How will you differentiate between professionals and amateurs?

We can see if they are registered with any tennis body like the Official Tennis Association of India or any state. Additionally, we can look at the frequency of their matches.

How will you proceed with the frequency of matches?

So, using experiential knowledge, professional players play atleast thrice a week, while amateurs play mostly during the weekends making it a maximum of twice per week. Using this, we calculate the number of matches played every week and extrapolate it yearly. Then we can estimate the average life of a tennis ball to arrive at number of tennis balls sold every year in Bangalore.

Okay, now let's focus on demand from cricket.

We can approach it similarly. Estimate the number of matches played, then divide it by average life of a tennis ball. Something we need to keep in mind is that tennis ball I sonly used for street cricket so professional matches are to be ignored.

Okay and how does life of a tennis ball for cricket match differ from that of a tennis ball?

For tennis matches, the life od a ball is the average time taken for the ball to lose its bounce due to usage. But for cricket, there is an additional possibility of the ball getting lost.
We can thus calculate a different expected life span for tennis calls used for cricket matches.

Alright, thankyou candidate!

Tennis Ball Consumption

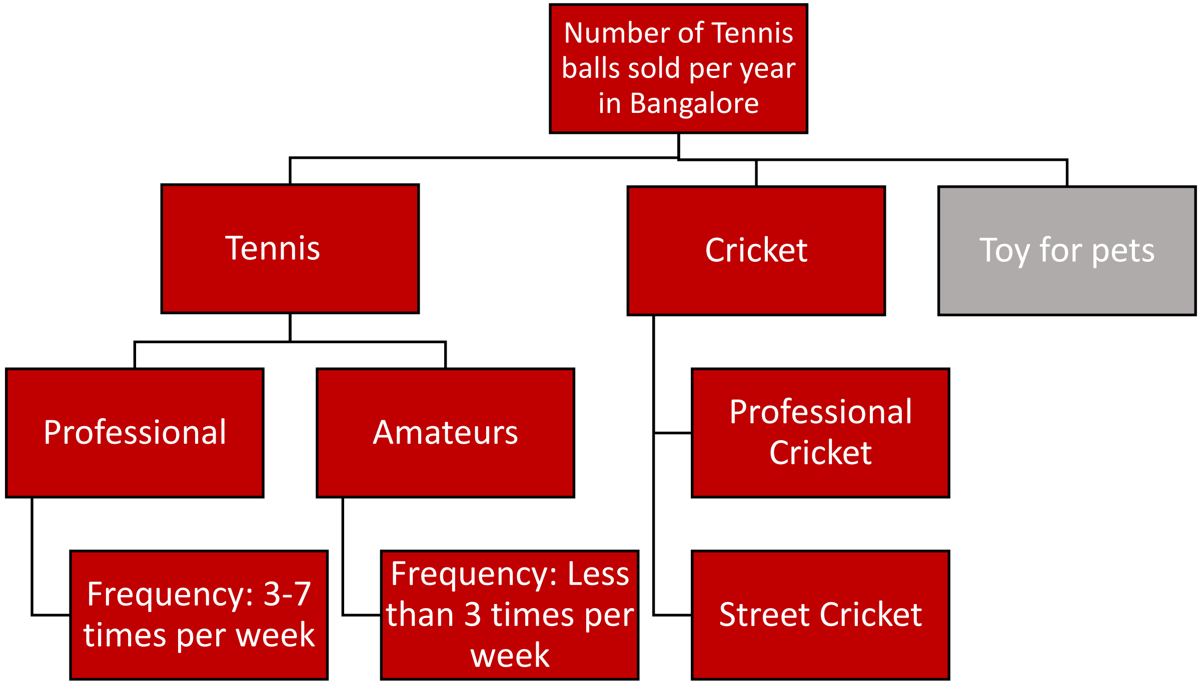
Case Statement

- Guesstimate for number of tennis balls sold in Bangalore per year

Interviewee Notes

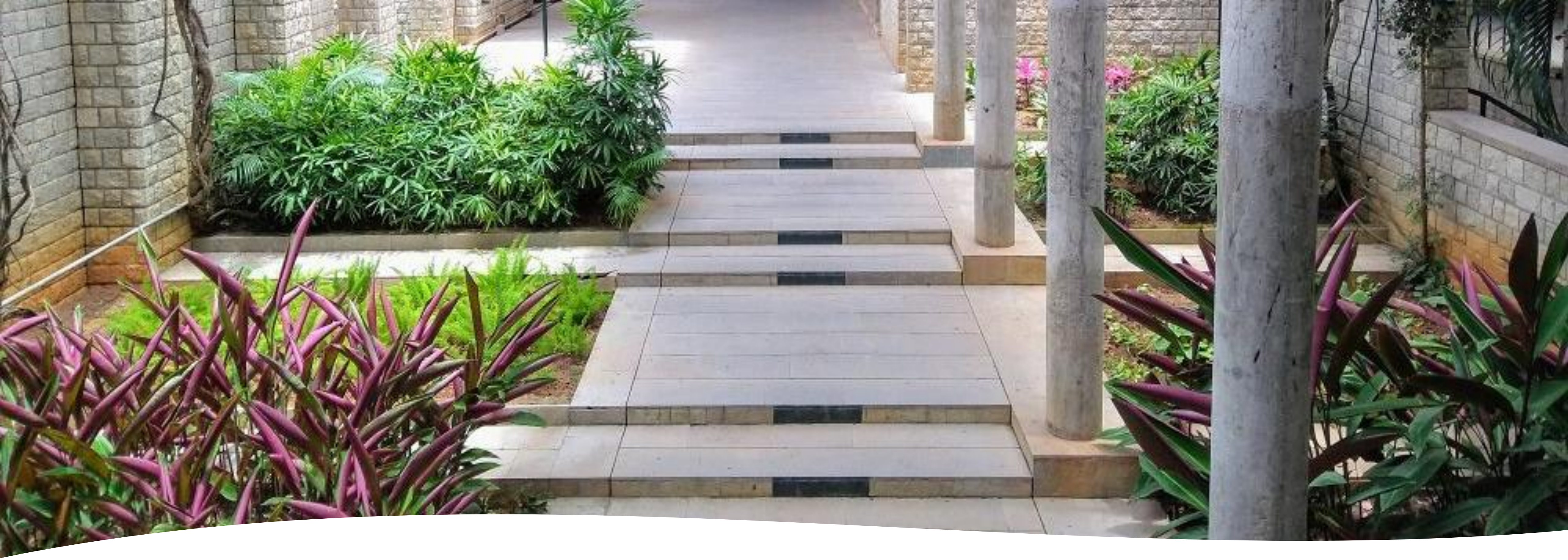
- Chose demand based approach rather than supply based
- Number of tennis balls sold = Number of tennis matches played/ Average life span of tennis balls
- Alternate uses of tennis ball are street cricket, toy for dogs etc.
- Professionals play minimum 3 times per week, amateurs play a maximum 2 times per week.

Structure/ Framework



Key Takeaways

- Interviewer focuses more on approach than the numbers
- Structured approach to breakdown



IIMB Industry Reports
2024-25

Airlines Industry

[Content Page]

Inbound Logistics	Operations	Outbound Logistics	Marketing & Sales	Service
• Route Selection • Yield Management • Fuel • Flight/Crew Scheduling • Aircraft Acquisition • Aircraft Lease	• Ticket Counter/ Kiosk • Gate & Aircraft Operations • Onboard Services • Baggage Handling • Ticket Offices	• Baggage System • Flight Connections • Rental Car & Hotel • Reservation System	• Promotion/ Advertising • Frequent Flyer • Travel Agent Programs • Group Sales • Electronic Tickets	• Lost Baggage Service • Complaint Follow-up • Support Centre

Industry Forces

- **Supplier Power:** (High). Aircraft and engine producers are concentrated oligopolies
- **Barriers to Entry:** High. High CAPEX, cost intensive and need for economies of scale
- **Threat of Substitutes:** (Medium) Fast Trains, Video conferencing reducing need for business travel etc.
- **Buyer Power:** (High) Low switching costs for most customers since relatively standardized service
- **Rivalry:** (High) Limited differentiation and opportunities for economies of scale

Key Drivers

Revenue	Cost	Growth
Passenger tickets, inflight sales	Aviation fuel (40%)	Post-COVID trade and tourism
Freight services, other VAS	Equipment rentals, hangar cost (15%)	Rising disposable incomes
Tours and packages	Maintenance and overhaul (10%)	Government policies

Market Trends (elaborate data/points)

- **Robust Demand:** Rising working group and widening middle class demography is expected to boost demand. India's domestic air passenger traffic is expected to double to 300 million by 2030, with international traffic more than doubling in the same period.
- **Opportunities in MRO:** Expenditure in Maintenance, Repair & Overhaul (MRO) accounts for 12-15% of the total revenues – it is the second-highest expense after fuel cost. By 2028, MRO industry is likely to grow over $2.4 billion from $800 million in 2018.
- **Policy Support:** In July 2024, India implemented a uniform 5% tax on all aircraft and aircraft engine parts, replacing previous rates that ranged from 5% to 28%. This move aims to simplify the tax structure and encourage growth in the local MRO sector.
- **Increasing Investments:** India plans to invest over $170 billion in its aviation sector by 2030 to support record aircraft orders and enhance airport capacities. This includes approximately $150 billion for 1,700 new aircraft and around $24 billion for new and expanded airport infrastructure.
- **UDAN:** Under this regional connectivity scheme, airfare for a one-hour journey of 500 km has been capped at INR 2500
- **Public-Private Partnerships:** The country aims to expand its number of airports from 144 in 2019 to 350 by 2030.

Industry Challenges

- **High fuel prices** – account for 40% of costs
- Government policies and interference to keep a **cap on the ticket prices**
- Growing **climate change awareness** leading to lesser demand
- **Post COVID** travel hesitation in certain sections of the society
- **Financing** - High capex, opex industry

Market Share (2024)

IndiGo: 63.6%
Air India: 24.4%
Akasa Air: 4.7%
SpiceJet: 3.1%

Useful Links/Reports

Industry Reports

- IBEF Report
- Invest India Report

Industry Dynamics

Key Customer Segment	Growth (YoY)
Passenger - Domestic	19-20%
Passenger - International	20-25%
Freight	4-5%

Automobile Industry

Content Page

Research & Development (R&D)	Raw Material Management	Component Manufacturing	Product Assembly	Logistics & Transportation	Marketing and Service
• Product design and engineering • Technology development • Process/Product Innovation	• Procurement of raw material like steel, Rubber, Plastic etc. • Supplier relationships and management • Warehousing	• Production of components (engines, transmissions, brakes, electrical systems, etc.) • Assembly of sub-components	• Body/Chassis • Casting, machining and welding • Quality control and Testing	• Warehousing • Distribution • Dealership Management	• Advertising • Finance, Insurance • Used Cars, Rentals • Service, Spares • Auto Expo

Industry Forces

- **Barriers to entry (High):** capital costs, distribution network, and availability of automobile components.
- **Bargaining power of suppliers (Low):** stiff competition
- **Bargaining power of customers (Very high):** due to availability of options.
- **Threat of Substitutes (Medium):** Increasing shared mobility options and improving public transport
- **Rivalry (High):** Competition from established international and domestic brands

Key Drivers

Revenue	Cost	Growth
Automobile Sales	Raw Material	Increasing Exports
After Sales Service	labor	Policy Support
Financing services	Advertising	Robust R&D Centres

Key Market Trends

- **India is the 3rd largest Automobile market in the world**
- **Transitioning towards electric vehicles:** expected to witness a CAGR of 36% to reach $150B mkt by 2030
- **Bharat Stage (BS) - VI norms:** India aims to reduce its carbon footprint by 33-35% by 2030
- **Positive GST impact:** Reduction in the overall cost structure of Indian Automobile industry
- **Policy Support:** Atmanirbhar Bharat Abhiyaan, Automotive Mission Plan 2026 to promote manufacturing, export-linked fiscal incentives, Voluntary Vehicle Fleet Modernization Programme, FAME II policy for EV adoption
- **Market Developments:** Organized pre-owned car market, shared mobility ecosystem
- **Covid Impact:**
  - shortage of raw material and semi conductors
  - shifting of production to other countries,
  - liquidity crunch
  - preference for private ownership of vehicles
  - shrinkage in consumer demand due to WFH

Industry Challenges

- **Increasing commodity prices** impacting production costs and utilization levels
- **Semiconductor crisis** and lack of domestic supply limiting the pace of production
- High sales dependence on domestic market and Indian Economic cycle (declining share of exports)
- Chronic trade deficit in auto parts, industry

Useful Links/Reports

Industry Report

- IBEF- Automobiles
- Invest India – Automobiles
- IBEF – EV
- Statista

Industry Dynamics

Key Segment	Share
2 Wheelers	75%
3 Wheelers	3%
Passenger Vehicles	18%
Commercial Vehicles	4%

Cement Industry

Content Page

Procurement
- Long term lease of lime quarries
- Plants located close to quarries
- Long term supplier contracts for other RM

Manufacturing
- Process: Limestone>>Clinker>>Grinding >>Additives
- High automated setups
- Imp: Economies of Scale
- High start-up costs

Distribution
- Major freight cost (higher in rainy season)
- Rail-road mix used
- Warehouse network
- Large orders directly to dealers/customers

Sales and Marketing
- Strong relationship with contractors and developers
- Distributor-dealer network of sales
- Bulk orders are cheaper

Industry Forces
- **Supplier Power:** Low. Companies opt for backward integration, weakening supplier power
- **Barriers to Entry:** High. High CAPEX, fixed costs and need for economies of scale
- **Threat of Substitutes:** Low. No product exists to date that can substitute cement effectively. Only quantity can be varied
- **Buyer Power:** Low. Low substitutability, oligopolistic market
- **Rivalry:** Moderate. Concentrated market

Key Drivers

Revenue	Cost	CAPEX
Sale of cement (98%)	Transportation costs (30%)	Plant & Machinery (40%)
Interest Income (2%)	Power & Fuel costs (20%)	Land (20%)
	Material cost (20%)	Captive power plant (10%)

Market Trends (elaborate data/points)
- India is second largest cement producer in the world
- Of the total capacity, 98% lies with the private sector and the rest with the public sector.
- **Market Size**: In 2024, the Indian cement market is projected to reach USD 22.04 billion, reflecting an annual growth rate of 3.2%Industry.
- **Growth**: Cement Manufacturers' Association (CMA) anticipates an 8% growth in 2025, with capacity expected to increase from 650 MTPA to 690 MTPA.
- **Increasing Investment:** FDI investment in cement industry reached USD 5.49B in 3 years ending Mar'23. Union Budget 2022-23 had higher allocation for infrastructure & railways boosting Cement demand
- **Innovation:** Cement companies are actively pursuing carbon neutrality, implementing carbon capture, utilization, and storage (CCUS) technologies to reduce emissions.
- **Import:** USD 288.42 million
- **Export:** India's export of various cement products stood at USD 682.32M. Countries exported to: Sri Lanka, Nepal, the US, the UAE and Bangladesh.

Industry Challenges
- Reduction in **CO_2 emissions** and use of **clean energy** in production and logistics.
- **High Lending rates** by banks hinders growth as high CAPEX required in cement industry.
- **High tariffs** like high excise duty, sales tax, royalty on limestone and coal hinders demand.
- Limitations in **rail and road transport**.

Useful Links/Reports
- IBEF

Industry Dynamics

Key Customer Segment	Share
Housing and Real Estate	68%
Infrastructure	22%
Industrial Development	10%

E-Commerce Industry

Content Page

Inbound Logistics
- Sourcing
- Vendor contracts
- Quality testing
- Mass customization
- Modular Production

Inventory Management
- Demand planning
- Warehousing
- Inventory management
- Assortment Planning
- Working capital management

Operations
- Own platform Logistics
- Platform excellence
- Platform maintenance and repair
- Order management
- Packaging and invoicing

Marketing and Sales
- Targeted marketing
- Multi-channel attribution & end-to- end ROI
- Customer retention Payment methodology
- Market research
- Discounting & promotion

Order Fulfillment
- Delivery planning
- Logistics partners Omnichannel fulfilment
- Product queries
- Return management

Key Drivers

Revenue	Cost	Growth
Sales Commission	Platform fee	Tier 2 & 3
Private Labels	Inventory and supply chain costs	Government policies
Listing fee & customer EMIs	Promotion/ Marketing	Internet penetration and online payment

Porter's Five Forces

- **Threat of New Entrants**: High (high government support, brick & mortar turning online)
- **Bargaining power of buyers**: High (low switching cost)
- **Internal Competition**: High (multinational players, low differentiation)
- **Substitutes**: High (multiple offline and online players)
- **Bargaining Power of Suppliers**: Low (Multiple e-commerce platforms and offline stores to list their products), own websites of major supplying brands

Market Trends

Key Data Points
- **Industry Size**: India's e-commerce market is expected to reach US$ 111.4 billion by 2025
- E-commerce sales are expected to increase at a **CAGR** of **18.2%** between **2021-2025**

Growth Opportunities
- **Omnichannel fulfilment:** Integrating online and offline to provide end-to-end experience
- **Policy Support:** 100% FDI is allowed in B2B e-commerce. 100% FDI under the automatic route is permitted in the marketplace model of E-commerce
- **Increasing investments:** Huge global investments:
- Facebook is investing in Reliance Jio
- Google's 1st investment of US$ 4.5B in Jio Platforms
- Purchase of Future Group by Reliance Retail
- **Growing Demand:** India's social commerce has the potential to expand to US$16–20 billion in FY25, growing at a CAGR of 55-60%

Key Performance Indicators

Fill Rate: How many items out of the ordered are delivered
OTIF (On Time In Full): A stricter measure than fill rate, includes timely delivery along with fill rate
Funnel metrics: Number of people dropping at different stages of customer journey, download, bounce rate, cart abandonment
CLV: Cust Lifetime Value, measures total spend of customer on the platform
SWOOS: Sales weighted out of stock

Industry Challenges

- Increased competition and pressure to deliver as soon as possible
- Regulatory considerations of data protection and consumer protection rules for sellers & marketplaces
- Customer loyalty as switching costs are too low and competition too high
- High browsing users, low payment customers

Reports

- IBEF

Financial Services- Asset Management

Front Office
Drive revenue generation
- Sales
- Marketing
- Customer Service
- Trading

Middle Office
- Risk Management
- IT
- Corporate Finance
- Portfolio Management
- Research

Back Office
Administration & Support
- Accounting
- Human Resources
- Payroll
- Operation

Sell-Side Firms
Offer investment products
- Investment Banks
- Brokers
- Dealers

Buy-Side Firms
Manage portfolios
- Pension Funds
- Endowment Funds
- Sovereign Wealth Funds

Key Performance Indicators

Asset management refers to the management on others' behalf. It is built on the notion that future is somewhat predictable, although it is not.

- **Portfolio:** Set of investments owned and managed as a collective whole with specific investment goals.
- **AUM:** Asset Under Management - total market value of the financial assets which a financial institution controls
- **Net Asset Value (NAV):** Value of mutual fund share (fund's total assets-fund's liabilities)/outstanding shares.
- **Asset class:** Securities with similar features e.g., stocks, bonds, cash equivalents, etc.
- **Capital gain/loss:** The difference between a security's purchase price and its selling price
- **Growth investing:** Investment strategy that focuses on stocks of companies and stock funds with rapid growth
- **Value investing:** Purchasing equity securities that you believe are selling below estimated true value

Revenue & Cost Drivers

Revenue drivers:

- **Management charges:** Charged on each Portfolio Management Services (PMS) quarterly or annually
- **Profit sharing:** Fixed percentage on any profit made by asset management company
- **Entry load:** One time fee of ~3% at the time of purchasing PMS
- **Others:** Custodian fee, commission & transaction fee, demat account charges, etc.

Cost drivers:

- Branch operation
- Maintenance of communication and IT infrastructure
- Market schemes implementation
- Partnership management
- Salary and employee benefits cost of staff

Key Market Trends

Current market trends:
- ESG (Environmental, Social and Governance) investing is making asset managers offer new products and modify their operations to deliver them.
- Global asset manager are investing heavily in data strategy, artificial intelligence and digitization.

Future market trends/growth prospects:
- Consolidation through M&A: By 2030 the industry will have a small club of giant asset managers and a bigger one of niche managers.
- Competition will revolve around products for particular needs e.g., products for retired vs. those for millennials
- LIBOR is being phased out and replaced by SOFR (Secured Overnight Financing Rate) as per Fed guidelines

Post Covid Impact:
- Increased focus on cost optimization specifically location strategy to downsize office space

Financial Services- Banking

Content Page

Marketing
Advertising, sales support is becoming increasingly relevant due to high competition from NBFCs

Sales
Customer acquisition is done through multi-channel, focus heavily on relationship management

Products & Services
Funding Products - loans, securitization of assets, mortgages
Investment services in securities through capital markets
Other advisory services like asset & portfolio management

Transactions
Processing high volume transactions at high speed for payments, trading, and clearing & settlement

Key Performance Indicators

- **Net Interest Margin (NIM):** The difference between the interest income earned and the interest paid by a bank relative to its interest-earning assets like cash
- **Current Account Savings Accounts (CASA):** Type of non-term deposit account. Has lower interest rate than term deposits & is a cheaper source of funds for banks
- **Gross Non-Performing Assets (GNPA):** The total value of non-performing assets in a particular time period.
- **CRR/SLR:** Percentage of cash reserves/liquid assets that the bank must maintain which guarantees solvency

Porter's Five Forces

- **Supplier's power (Low):** Money supply controlled by RBI
- **Buyer's power/Demand (Medium):** Increases with income, credit worthiness. Financial inclusions scheme for rural citizen
- **Barriers to Entry (High):** Due to regulations and licensing mandates, investment in physical, digital infrastructure
- **Competition (High):** High competition from NBFCs

Revenue & Cost Drivers

Cost Drivers
- Fixed Cost
  - Physical Infrastructure
  - Digital Infrastructure
- Variable Cost
  - Operational Costs
  - Interest on Deposits
  - Provisioning Cost (NPAs)
- Employee Salaries
  - Employee Efficiency

Revenue drivers
- Interest from loans
- Transactions fees
- Value Added Services
- Investment (bank's own)

Key Market Trends

- **Digitization:** Banking-As-A-Service platforms and open banking, increasing need to protect data, strengthen IT
- **Consolidation:** Huge consolidation in public sector banks to improve capital efficiency & remain profitable
- **NPAs & credit extension:** Increase in ratio of stressed assets and bad loans leading to slow down in lending.
- **Post Covid Impact:** Difficult and slow recoveries, increased adoption of digital channels, greater cyber frauds

Segments & Key Players

- **Public Sector Banks**: SBI – largest market share (23%) 3rd largest bank in India by market cap (5.73T INR)
- **Other PSBs:** PNB, Bank of Baroda
- **Privately Owned Banks (Indian):** HDFC – largest bank in India market cap (12.78T INR), ICICI – 2nd largest by market cap. (6.98T INR) Others: Axis, IndusInd
- **Foreign Banks:** Citibank, Standard Chartered, HSBC
- **Rural Cooperative Banks**: Saraswat Co-op Bank – largest

FMCG Industry

Content Page

Inbound Logistics	Operations	Outbound Logistics	Sales and Marketing	Servicing
• Sourcing raw materials • Quality testing • Warehouse storage	• Manufacturing • Production, quality, and control • Packaging • Warehouse storage	• Distribution center, channel • Order Handling • Dispatch • Delivery invoicing	• Branding • Advertising, promotion • Customer, order mgmt. • Sales analysis • Market research	• Warranty • Maintenance • Education, training, upgrade

Industry Forces

- **Supplier Power:** Low. Big companies control pricing, fragmented commodity supplier.
- **Barriers to Entry:** Moderate. Investment in distribution network, promotions, advertising.
- **Threat of Substitutes:** High. Narrow product differentiation, price war.
- **Buyer Power:** High. Low switching cost.
- **Rivalry:** High. Highly fragmented, strong brands at a discount

Key Drivers

Revenue	Cost	Growth
Pricing	Raw material and processing cost	Shift to organized market
Promotion	Distribution	Growth of e-commerce
Distribution	Promotion	Rural consumption

Market Trends (elaborate data/points)

- India's FMCG market is **Fourth largest** in world and major contributor to Indian economy.
- **Market Size:** The Indian FMCG market reached US$ 121.8 billion as of 2023. Urban market account for 65% and rural market account for 35%.
- **Industry Growth:** Total revenue of FMCG market is expected to grow at a CAGR of 27.9% through 2021 to 2027, reaching nearly US$ 615.87 billion.
- **Increasing Investment:** ▪ 100% FDI is allowed in food processing and single-brand retail and 51% in multi-brand retail
- **Policy and Regulatory Framework:** The government has introduced tax incentives, reduced excise duties, and allocated ₹1,000 crore for incubation and skill development to boost the food processing sector and startup ecosystem
- The online FMCG market is set for rapid growth, fueled by rising smartphone and internet adoption, e-commerce popularity, and competitive product offerings.

Industry Challenges

- **Regional Players:** Region specific players with well connected value chain pose a threat to big FMCG players.
- **Supply Chain:** Small disruptions in supply chain can cause huge delays.
- **Lack of Infrastructure:** Lack of transportation and storage facilities especially for items with short shelf lives.

Useful Links/Reports

- **Industry Insights**
  - McKinsey Report
- **Industry Report**
  - IBEF

Industry Dynamics

Key Product Segment	Share
Food and Beverages	20%
Healthcare	30%
Household and Personal care	50%

Food Processing Industry

Content Page

Raw Materials	Warehousing	Processing	Packaging and Transport	Distribution and Retail
• Producers – Farmers, Breeders, Fishermen • Inputs: Agri produce, fruits and vegetables, meat and poultry, marine, milk	• Cold storage • Collection agents • Cooperatives, FPOs • Direct sourcing • Logistics	• Cleaning, sorting • Mixing, grinding • Pulping, juicing • Pasteurization • Dehydration, powdering	• Grading • Quality control • Packaging • Cold storage • Food and Dairy corp.	• Carry and Forward agent • Depots and Stockists • Wholesalers • Retail stores and e-commerce • International export

Industry Forces

- **Supplier Power:** Low. Big companies control pricing, fragmented commodity supplier.
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- **Rivalry:** High. Highly fragmented, strong brands at a discount

Key Drivers

Revenue	Cost	Growth
Sale of byproducts	Production cost (53%)	High consumer base
Sale of food and beverage produced	Processing (12%)	Conducive policies – PLI schemes
	Distribution (7%)	Agri-commodity hub

Market Trends (elaborate data/points)

- India ranks **1st** in milk production and contributed **~25%** to global milk production, in 02-23. The market size of food processing sector in India is estimated to reach US$ 1,274 billion in 2027 from US$ 866 billion in 2022
- **Industry Growth:** Growth in India is projected to remain strong at 6.3% in 2024
- **Increasing Investment:** The food processing industries have attracted US$ 12.58 billion between April 2000-March 2024
- **Growth Strategies Adopted:** India's population growth, urbanization, rising incomes, and changing lifestyles are fueling industry growth
- **Key players:** Britannia, NESTLE India, LT Foods, Kohinoor Foods
- **Imports:** Major imports include edible oils, spices and seasonings, cocoa preparations, cheese, beverages etc.
- **Export:** Major food products exported are processed fruits, juices, pulses, groundnuts, cereals preparation, oil meals

Industry Challenges

- **Supply chain gaps:** Inadequate primary processing, storage and distribution facilities.
- **Seasonality:** High seasonality in operations leading to low-capacity utilizations.
- **Institutional gaps:** High dependency on APMC markets increases cost.
- Lack of focus on quality and safety standard

Useful Links/Reports

Annual reports

- Food Processing Industry - Annual Report

Industry Report

- IBEF

Industry Dynamics

Key Product Segment	Share
Meat, Fish, Fruits	40%
Grain Mill	11%
Beverages	25%
Dairy Products	5%

Healthcare Services Industry

Content Page

Appointment Booking	Hospital Visit	Diagnosis	Treatment	Post-Treatment
• Walk-in • Traditional Scheduling • Scheduling via appointment booking apps like Practo	• Primary / Secondary / Tertiary Hospital • IPD (In-patient care) • OPD (Out-patient care) • Emergency Section	• Medical History • Screening based on patient symptoms • Diagnostic Testing	• Medical procedure • Clinical & ops support • Doctor (GP, CP, Specialist) • Equipment & Supplies	• Monitoring and discharge • Bill Payment • Post discharge care • Follow-up visit

KPIs and Important Terminologies

- **ARPOB** – Average Revenue Per Occupied Bed
- **ALOS** – Average Length of Stay
- **Occupancy Ratio** - % Bed utilization
- **Staff available per patient**
- **GP** – General Physician
- **CP** – Consulting Physician
- **OOP** – Out of pocket expenditure
- **IP** – In-patient
- **OP** – Out-patient

Key Drivers

Revenue	Cost	CAPEX
Healthcare consultation & services	Salaries & HR costs	Infrastructure & Operational set-up
Diagnostic services	Infra & Equipment	Equipment Costs
Drug Sales	Consumables & utilities	Others

Market Trends (elaborate data/points)

Current market trends

- The Indian Healthcare industry continued its healthy growth in 2023 and reached a value of **US$ 372 billion** driven by both the private sector and the government
- India's public expenditure on healthcare touched **1.9 %** of GDP in FY24, against **1.6%** in FY23, as per the Economic Survey 2023-24
- The healthcare sector, as of 2024, is one of India's largest employers employing a total of **7.5 million** people
- The Government aims to develop India as a global healthcare hub

Future market trends/ growth prospects

- Over **US$ 500 billion** is expected to be spent on medical infrastructure by 2030
- A growing middle-class, coupled with rising burden of new diseases, are boosting the demand for health insurance coverage

Covid Impact

- Change in attitude towards personal health and hygiene, health insurance and medical check-ups
- Adoption of digital technologies including **telemedicine**

Industry Challenges

- **Lack of Infrastructure** like well-equipped medical institutes & hospitals
- **Skilled manpower shortage:** Includes doctors, nurses, paramedics, and primary healthcare workers
- **High Out of Pocket expenditure-** More than 2/3rd expenses paid by the patient

Useful Links/Reports

Industry Report

- IBEF
- Invest India

Industry Dynamics

Key Segment	Top Players
Primary Care	Apollo
Secondary Care	Fortis
Tertiary Care	Narayana

Hospitality Industry

[Content Page]

Procurement	Operations	Guest Services	Sales & Marketing	Distribution
• Food & Beverages (F&B) • Cleaning supplies • Room supplies • Contractual services like internet, cable, security, etc.	• Front-desk operations • Housekeeping operations • Kitchen operations • Laundry operations • Revenue management • Staff training	• Check-In/Check-Out • F&B services • Laundry services • Transportation services • Other on-demand services	• Advertisements • Promotions & discounts • Loyalty programs • Tour packages	• Online Travel Aggregators (OTAs) • Direct (Website/ app/ telephone) • Walk-ins • Tour-&-Travel Agents

Industry Forces

- **Supplier Power:** Low. Continued decentralization of suppliers due to the availability of alternatives.
- **Barriers to Entry:** High. High CAPEX, fixed costs and need for economies of scale.
- **Threat of Substitutes:** High. Low switching costs and large number of alternatives from new age startups like Oyo, Airbnb etc.
- **Buyer Power:** High. Low switching costs, consumer wants the cheapest alternatives
- **Rivalry:** High**.** Lots of competitors across all segments

Key Drivers

Revenue	Cost	CAPEX
Room Tariffs (60%)	Salaries (40%)	Construction Costs (40%)
F&B (30%)	Consumables (30%)	Land (25%)
Events (5%)	Maintenance (10%)	Furnishings (20%)
Ancillary Services (5%)		

Market Trends (elaborate data/points)

Current market trends

- India is the world's 10th largest tourism economy in terms of contribution to GDP
- Industry's direct contribution to the GDP is expected to grow annually at 7-9% between 2019 and 2030
- Cyclicality and seasonality: This sector is highly influenced by positive cycles and peak seasons which observe higher revenue and occupancy rate

Emerging Themes/Trends

- Health safety concerns lead to adoption of contactless hospitality like mobile check-in services, etc.
- Focus on sustainability led by high customer awareness from smart bulbs to sustainable materials
- Leisure & luxury tourism picking up pace
- Increased interest in wellness retreats, Ayurveda centers, and medical tourism, positioning India as a global hub for health and wellness services.
- Adoption of technologies such as Artificial Intelligence (AI) and Internet of Things (IoT) to enhance guest experiences and operational efficiency.

Industry Challenges

- WFH leading to reduced business travel
- Shortage of skilled employees
- High turnover of quality workforce
- Escalating costs of utilities, labor, maintain rising guests' expectations and sustainable practices are straining profitability.
- Revenue cycles remain vulnerable to off-peak seasons and macroeconomic disruptions.

Useful Links/Reports

- **Industry Report**
  - IBEF - Tourism & Hospitality

Industry Dynamics

Segmentation by type	Share
Independent/Unbranded	70%
Branded/Chains	10%
Start-ups (Oyo etc.)	10%

Insurance Industry

Content Page

Product Development	Distribution & Sales	Marketing	Underwriting	Policy administration & Claims management
Using customer and market insights to design, develop and deploy products and services	Understanding and strategically penetrating the addressable market to deliver products and services and to generate revenue	Driving, monitoring and enabling sales and customer retention through brand management, advertising and customer engagement	Analyzing risk profiles and premium pricing models to bind and issue policies	Evaluating and settling claims, including payment, reinsurance recovery and litigation; managing administrative activities

Porter's Five Forces

- **Supplier Power:** High. Supplier being the distributor have customer database
- **Barriers to entry:** High. Overall threat is high given that entry is subject to license and regulations
- **Threat of substitute:** High. Similarity in services makes
- switchover a potent threat
- **Buyer Power:** High. They have multiple options available
- **Rivalry:** High. Multiple players are there with customized offerings

Key Drivers

Revenue	Cost	Growth
Premiums collected	Claims paid	Insurtech partnerships
	Product Development, marketing and sales support	New Models, personalized products
Investment income (interest income)	Operating and IT support	AI & Automation for faster claims

Market Trends (elaborate data/points)

- Insurance market in India is expected reach **US$ 222 billion by 2026.**
- India's life insurance sector showed strong growth in the first quarter of FY25, with first-year premiums surging by **22.91% YoY to Rs. 89,726.7 crore** (US$ 10.75 billion)
- Over the past nine years, the insurance sector has attracted significant **foreign direct investment** (FDI) amounting to nearly **Rs. 54,000 crore (US$ 6.5 billion),** driven by the government's progressive relaxation of overseas capital flow regulations.
- **Industry leaders:** LIC, SBI Life, HDFC Life, ICICI Prudential Life
- The insurance industry of India has 57 insurance companies - 24 are in the life insurance business, while 34 are non-life insurers
- Insurance penetration has been poor in India **(~4.2%)** *Penetration=premiums/GDP*
- **Robotic Process Automation (RPA)** and **AI** will occupy center stage, driven by newer data channels, better data processing capabilities and advancements in AI algorithms

Industry Challenges

- **Lack of organized data** makes underwriting difficult which could lead to improper pricing
- **Low insurance penetration** to tier 2+ cities
- **Distribution:** Insurance is a push product which requires a lot of selling; digital mode of educating customers doesn't work in tier 2+ cities

Useful Links/Reports

- Value Chain
- IBEF
- Invest India

Industry Dynamics

Segment	Share
Life insurance	75%
Motor insurance	8.5%
Health	8%

Iron and Steel Industry

Content Page

Raw Material	Iron Production	Steel Production	SCM/ Logistics	Sales
• Extraction of iron ore from rocks • Creating coke from coal to fuel furnaces • Alternative: Buying	• Blast Furnace: Pellets of iron ore, carbon fuel & limestone with superheated air form iron in molten state	• Oxygen Furnace (LD Shops) : Molten • Iron, Steel scrap & high purity oxygen are used in formation of steel	• Demand Planning • Service & Delivery • Performance • Outbound Logistics	• Pricing of all products • Sales team efficacy • Key A/C management • Customer Service • Support Tools

Industry Forces

- **Supplier Power:** High. Due to limited iron ore reserves. Companies opt for backward integration, weakening supplier power.
- **Barriers to entry:** High. High capex, fixed costs and need for economies of scale.
- **Threat of substitute:** High. Growing demand and use of aluminum in automotive.
- **Buyer Power:** Low. Low substitutability, only few major player.
- **Rivalry:** High. Entry of exporters can further escalate it.

Key Drivers

Revenue	Cost	Growth
Sale of steel for construction & automotive parts	Raw Material Cost (45%)	Growing demand
Sale of steel for Railway Parts	Power & Fuel costs (10%)	Govt policy support
Sale of Semis & By-products	Salaries & Wages (5%)	Increasing investment

Market Trends (elaborate data/points)

- India is **Second Largest** producer of crude and finished steel preceding to China. Steel Industry contributes 2% to nation's GDP
- India's steel production is estimated to grow **4-7%** to **123-127 MT** in FY24 and India's domestic steel demand is estimated to grow by 9-10% in FY25
- **Per Capita Steel Consumption**: 77.2 kg in India – gone up by 50% in last 8 years but still 1/3rd of global average (233kg). National Steel Policy (NSP) 2017 aims to increase India's per capita consumption to 158 kg by 2030-31.
- **Increasing Investment:** 100% FDI allowed through automatic route in steel industry. Industry is witnessing consolidation of players, attracting investments from players in other sectors as well as abroad
- **Govt. Support:** Government of India is implementing a **Production-linked Incentive (PLI) Scheme** for Specialty Steel. It is expected that the specialty steel production will reach **42 MT** by the end of 2026-27.
- **Import/Export:** India turned a net importer of finished steel during 2023-24 and Apr-Oct 2024, with net imports of 0.83 MT in FY23 and **3.01 MT** during Apr-Oct 2024.

Industry Challenges

- **Raw Material Costs:** High cost and fluctuating iron ore prices.
- **Sustainability:** Need for climate-friendly innovations like H2-based steelmaking.
- **Logistics:** Challenges in transporting bulky materials like iron ore and coal.
- **Technology:** Bridging the gap between traditional and green steel production.

Useful Links/Reports

- **Industry overview**
  - Ministry of Steel - Report
- **Industry Report**
  - IBEF

Industry Dynamics

Key Customer Segment	Share
Construction	62%
Capital goods	15%
Automotives and railways	12%
Intermediate Products	11%

IT and ITeS Industry

Content Page

India continues to lead as an outsourcing hub, combining IT, KPO, and BPM services tailored to industry-specific value chain. The industry is increasingly focusing on **Digital Transformation**, **Cloud Services**, and **AI-driven solutions** to drive future growth.

IT
- Software R&D
- IT Consulting
- Development Services
- Infrastructure Mgmt.

Knowledge Processing
- Business Consulting
- Legal Services
- Data Analytics
- Market Intelligence

BPO/BPM
- ERP
- HRP
- CRM

Porter's Five Forces

Potential Entrants: Low. Projects for commoditized services remain large and complex, but AI startups are emerging as niche competitors.

Buyers: High. Services are now increasingly modular, and buyers can assemble a suite of services from different vendors and can switch out too

Substitutes: High. Philippines emerging as viable alternative to India for outsourcing. Automation is also rendering support services redundant

Suppliers: High. Specific suppliers of licenses and other public cloud providers hold very high bargaining power. Infrastructure is also commoditized

Rivalry: High. This industry is categorized by rivalry between large firms, and the differentiation is very minimal, pushing them to compete on costs

Revenue & Cost Drivers

Revenue Drivers
- Volume or the total number of person hours worked. This is the unit economics in the IT services industry
- Pricing determines the rate at which each hour is charged to the client
- Utilization is the ratio of the total billed hours divided by the total billable hours available across the company
- Since most revenue is from exports, a favorable exchange rate also results in better financial performance

Cost Drivers
- Cost of Revenue: These are expenses incurred by the company in delivering core revenue. An example of this are the salaries and travel cost.
- Investments in upskilling employees and adopting emerging technologies.
- Selling, General & Administrative: These are costs over and above the CoR. An example could be company marketing costs and costs of facilities.

Key Market Trends

Global Delivery Model
Indian IT companies such as TCS are now opening service hubs closer to larger onshore customers in UK and USA to expand their global footprint.

SMAC
Companies are increasingly looking to derive more value from their IT investments and are now seeing their next big opportunities in digital transformation in the Social, Mobility, Analytics and Cloud verticals

Cyber Security
Governmental policy to combat cyber threats from foreign entities is being structured, with IT companies playing a large role in collaborations for their expertise

PE-VC, FDI Investments
This sector continues to be very attractive for investors, attracting $70B in FDI over the last 10 years, $12.4B in PE investments in addition to offshore hub development by Google, Microsoft et. al.

Logistics Industry

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Inbound Logistics	Operations	Outbound Logistics	Sales & Marketing	Servicing
Shipment received at customer service centres / picked up from customer location	• Damage-proof packaging • Material handling & movement • Product labelling	• Multiple Transport modes: Road, Rail, Water, Air, Pipelines	• Clustering of packages • Allocation for delivery • Salesforce management	• Delivery time intimation • Last-mile delivery • Feedback

Sector Composition

Segments	Market Share	KPIs
Road transport	59%	• Delivery time • Cost to order • Warehouse capacity • Avg. inventory
Railways	35%	
Waterways	6%	
Air transport	1%	

Top Players

Player	Segment	Market Cap. (INR B)
CONCOR	Multi-modal	458.04
Blue-Dart	Courier delivery	151.15
Transport Corp. of India	Multi-modal	80.42
VRL Logistics	Parcel & priority delivery	43.12

Revenue & Cost Drivers

Revenue drivers

- Domestic transportation
- Import and Export
- Value Added Services (same-day delivery)

Cost drivers

- Transportation costs such as fuel
- Warehousing and packaging
- Shrinkage
- Labor, order processing and administrative
- Inventory

Growth drivers

- Simplified freight policy
- Improving road connectivity network
- Improving railway and air connectivity network
- Cold supply chain and other technology interventions

Key Market Trends

- **Industry size**: Indian logistics sector is valued at 215 Bn USD; forecasted to grow at CAGR 10.5% (2019-25)
- **Rank**: India's rank has gone up from 44 in 2018 to 38 in 2023 in the World Bank's LP Index (overall logistics performance), target to be in top 25 by 2030
- **Improved connectivity**: Sagarmala, Bharatmala, & UDAN projects aimed at improving connectivity and reach, greater opportunities
- **Warehouse Automation**: Market valued at Rs 20,200 crores; evolution of technologies like AI, IoT, AGV and Blockchain
- **Emphasis on cold supply chain**: As per the report by IMARC, the Indian cold chain market size grew to INR 1,81,490 Cr in 2022, and it is expected to reach INR 3,79,870 Cr by 2028, at a CAGR of 12.3%
- **Growth in 3PL & 4PL providers as manufacturing grows**: to provide agility, speed and mobility
- **Green logistics**: Implementation of sustainable practices due to technological evolution

Oil and Gas Industry

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Upstream		Midstream		Downstream	
Exploration	**Production**	**Transportation**	**Storage**	**Refining and Marketing**	**Distribution and Retail**
• Identification of onshore/off-shore site • Seismic surveys to assess potential • Field Development Planning	• Project sanctioning • Create infrastructure • Strike 'First Oil' • Platform at sea to split oil, gas & water	• Crude is transported by tankers, pipelines, trucks, and railroads. • Natural Gas is shifted by pipelines and LPG tankers	• Ground tanks are used for crude and finished oil products. • Underground spaces (reservoirs) are used for natural gas	Refines crude into Petrol, Diesel & LPG Distilled by BP: separation, conversion & treatment Products marketed via B2B & B2C channels	Refined petroleum products distributed to retail outlets - Petrol Stations, LPG Distributors Consumed by individuals, businesses, industries

Key Drivers

Revenue	Cost	Growth
Crude Oil	Raw Materials Consumed	Overall economic growth
Natural Gas	Transportation	Rapid Technological advancements
Others(LPG, Naphtha, etc.)	Employee Benefit Expenses	Increased usage of petrochemical products

Porter's Five Forces

- Bargaining power of suppliers (⟷) – Despite few players, there are certain delays by govt in the payments
- Bargaining power of buyers (↓) – Customers are price takers. Accept the prevalent prices.
- Competitive rivalry (↓) – One/two players operate in each of the upstream, and downstream segments.
- Threat of new entrants (↓) – Capital intensive and presence of economies of scale.
- Threat of substitutes (↓) – Renewable energy sources are yet to gain more traction.

Market Trends

High Refining capacity: India is the 4rth largest refiner in the world with a capacity of 256.8 MMT in 2023. Plan to increase refining capacity to 450 MMTPA by 2030.
Rapid Expansion: Indian refiners would add 56 million tonnes per annum (MTPA) by 2028 to increase domestic capacity to 310 MTPA
Policy Support: In the Union Budget 2022-23, the customs duty on certain critical chemicals such as methanol, acetic acid and heavy feed stocks for petroleum refining were reduced.
Supportive FDI guidelines: 100% Foreign Direct Investment is allowed in upstream and private sector refining projects. FDI limit for public sector refining projects has been raised to 49% without any dilution/ disinvestment of equity in the existing PSUs.
Increasing energy demand: India is the 3rd largest energy consumer with increasing fuel demand (~2x diesel demand, ~3x increase in natural gas demand by 2030)

Key Performance Indicators

- **Exploration and production output**:
- **Lease operating expenditure**: Rent and lease expense on a per unit basis. Computed by dividing rent and lease expense with total production
- **Capital Project efficiency**: Project Production Management (PPM), digitizing processes

Industry Challenges

- Significant proportion of Oil Demand is at risk as threat of Electric Vehicles remains high in transportation segment (47% contribution to demand currently)
- Globally, crude oil demand set to plateau over the next five years with rising fuel efficiencies. Highly volatile prices and stringent standards globally
- Crude Oil supply issues due to geopolitical reasons

Useful Links/Reports
- IBEF
- Statista

Pharmaceutical Industry

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Research and Development, Approval	Sourcing/API/Bulk Drug	Manufacturing/ Formulation	Distribution & Logistics	Storage	Sales/Marketing
Issues: Long wait before the drug reaches the commercialization stage, rising costs of developing new drugs, clinical trials, securing patents	Issues: Erratic supply chain, disruption due to Covid-19, high dependence on supplies from China for raw materials	Issues: Shift in demand for formulations, companies keep shifting mfg. activities, unpredictability, & sudden rises in demand for drugs	Issue: Lane routing affects the freight costs and domestic input costs, restrictions on commute and movement of goods	Issues: Declining raw material supply impacts production and export of essential drugs, fears of internal supply shortage	Includes promotion, branding, pharmacovigilance Issues: Regulatory restrictions, real time reporting, drug recall

Key Drivers

Revenue	Cost	Growth
Drug Sales	R&D	Increasing fatal diseases
Licensing of patents	Distribution	Health insurance permeation
Insurance Premiums	Promotion/ Marketing	Growing stress-related diseases

Key Performance Indicators

Return on Research Capital Ratio: R&D is the major cost for all pharma companies and not all drug trials result in success
Profitability Ratio: Operating & net margin determine investment into future research projects and account for high marketing expenditures in the competitive pharma industry
Liquidity and Debt Coverage Ratio: R&D expenditures are mostly financed by debt
Time to Market: Time taken to bring a drug from discovery to market
Sales per Representative: Measures the average sales generated by each pharmaceutical sales representative.

Porter's Five Forces

- **Threat of New Entrants**: Low (high barriers to entry, high R&D costs, govt regulations, and distribution network needs)
- **Bargaining power of buyers**: Low-Moderate
- **Internal Competition**: High (large no of small fragmented players and large no of drugs going off-patent
- **Substitutes**: Low **Bargaining Power of Suppliers**: Moderate (difficulty in procuring raw materials like APIs)

Industry Challenges

- Focused on generic segment which is plateauing in the US with increase in competition
- Despite being among the top formulation drug exporters in the world, India relies heavily on imports of bulk drugs, which accounts for ~25% of the Indian pharma market
- Pharma Industry needs consolidation to raise funds and scale-up research capabilities

Useful Links/Reports

- IBEF
- Statista

Market Trends

- **Industry Size**: Expected to reach $65B by 2025 and $120-130B by 2030. Growth of 22.4% CAGR is expected in the future.
- **Production**: Ranked 3rd for pharma production by volume and 14th by value. Strong network of 3,000 drug mfg. companies and ~10,500 manufacturing units
- **Exports**: Stood at $28 Bn in FY24, increasing 9.6% YoY
- Healthcare sector in India is expected to reach a size of US$ 50 billion by 2025
- **R&D Spend**: Average R&D spend of Indian companies is ~8% of turnover. As per Union Budget for FY22, Rs 2,663 Crores has been allocated for research
- **Manufacturing**: ~33% lower manufacturing cost than the USA enables India to produce high-quality medicines at competitive prices. India supplies 40% of generic demand in US and 25% of all medicines in UK
- **Medical Tourism:** Over 2 Mn patients visit India each year from 78 countries for medical, wellness and IVF treatments, generating $6 billion for the industry. It is expected to reach $13 billion by 2026 backed by the government's Heal in India initiative.

Retail Industry

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Procurement & Sourcing

- Acquiring Raw Materials or finished goods for retailing

Key Players:
Brands: Amazon
Suppliers: ITC, HUL

Inbound Logistics

- Vendor contracts
- Quality testing
- Mass customization
- Modular Production

Key Players:
BlueDart, Delhivery

Inventory Management

- Demand planning Warehousing
- Assortment Planning
- Working capital planning

Key Players:
Indospace

Operations

- Own platform Logistics
- Platform excellence
- Platform maintenance and repair
- Order management
- Packaging and invoicing

Marketing and Sales

- Targeted marketing
- Multi-channel attribution & end-to- end ROI
- Market Research
- Customer retention Payment methodology
- Discounting & promotion

Order Fulfillment

- Delivery planning
- Logistics partners Omnichannel fulfilment
- Product queries
- Return management

Key Drivers

Revenue	Cost	Growth
Sales Commission	Platform fee, Technology Investments	E-commerce penetration in Tier 2 & 3 cities
Private Labels	Inventory and supply chain costs	Government policies
Listing fee & customer EMIs	Promotion/ Marketing	Internet penetration and online payment

Porter's Five Forces

- **Threat of New Entrants**: High (high government support, brick & mortar turning online)
- **Bargaining power of buyers**: High (low switching cost)
- **Internal Competition**: High (multinational players, low differentiation)
- **Substitutes**: High (multiple offline and online players)
- **Bargaining Power of Suppliers**: Low (Multiple e-commerce platforms and offline stores to list their products), own websites of major supplying brands

Key Performance Indicators

Fill Rate: How many items out of the ordered are delivered
OTIF (On Time In Full): A stricter measure than fill rate, includes timely delivery along with fill rate
Funnel metrics: Number of people dropping at different stages of customer journey, download, bounce rate, cart abandonment
CLV: Customer Lifetime Value, measures total spend of customer on the platform
SWOOS: Sales weighted out of stock

Industry Challenges

- Increased competition and pressure to deliver as soon as possible
- Regulatory considerations of data protection and consumer protection rules for sellers & marketplaces
- Customer loyalty as switching costs are too low and competition too high
- High browsing users, low payment customers

Market Trends

Key Data Points

- **Industry Size**: India's e-commerce market is expected to reach US$ 137 bn in 2025 and US$ 325 bn by 2030
- Consumer electronics and apparels makes up 80% of e-commerce value in India

Retail Formats in India

Mono/Exclusive Branded Retail Shops, Multi-Branded Retail Shops, Convergence Retail Outlets, E-retailers

Growth Opportunities

- **Omnichannel fulfilment:** Integrating online and offline to provide end-to-end experience
- **Policy Support:** 100% FDI is allowed in B2B e-commerce. 100% FDI under automatic route is permitted in marketplace model e-commerce.
- **Increasing investments:** India's ecommerce sector received US$ 39 billion of PE/VC investments in 2023
- **Growing Demand:** India's social commerce has the potential to expand to US$ 26 billion by FY29, growing at a CAGR of 29% from 2024-2029
- **'Direct to Customer' Retail Strategy:** Currently, India is home to more than 800 D2C brands with estimated market size of over USD 80 bn in 2024, with expectations to surpass USD 100 bn in 2025

Useful Links/Reports

- IBEF
- Statista

Telecom Industry

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Tower Infrastructure
- Forms framework of telecom operations
- GIL Infrastructure, Indus Towers

Network Equipment
- Manufactures hardware, routers, modem, fiber optical
- Ericsson, Nokia, Siemens

Technology Provider
- Software Technology (4G, 5G)
- Sterlite Technology, Mahindra, Qualcomm

Network Operators
- LTE Services to end customers
- Other services such as voice, messaging and internet

Consumers
- Recharge Plans
- Customer Care Centre

Consumer journey: Product/service Offering Design → Pre-sales Support → Purchase Support → Delivery and Activation → Account Management

Key Trends in Indian Telecom

- As per GSMA, **India is on its way to becoming the second-largest smartphone market globally by 2025** with ~1.2 Bn installed devices and ~920 Mn unique mobile subscribers. There are currently ~180 Mn 5G subscribers in India. 5G subscriptions expected to reach 350 Mn by 2026. It is estimated that 5G technology will contribute approximately $450 Bn to the Indian Economy in the period of 2023-40
- **Growth in Rural Demand:** Tele-density of rural subscribers reached 59.59% in May 2024, from 58.96% in September 2020
- **Bharat Net Project:** 2,14,289 Gram Panchayats have been made service ready till December 2024. Scope of Bharat Net Project has been extended to all inhabited villages in India
- **State Investment:** In 2024-25, the Department of Telecommunications has been allocated $ 15.5Bn, which includes a significant portion allocated to PSU, representing a 14% increase over 2023-24
- **Government Initiatives:** 100% FDI, satellite based Narrow band IoT, and the Phased Manufacturing Programme
- **Policy Support:** Production Linked Incentive (PLI) Scheme worth INR 12,195 Cr for manufacturing of telecom and networking products

Revenue & Cost Drivers

Revenue Drivers:
- Internet and voice services
- Cross provider calls
- Affiliations (data monetization, device tech.)

Cost Drivers:
- Spectrum costs
- Network infrastructure and equipment
- Operating costs

Growth Drivers

- Growing mobile penetration
- Increasing rural penetration and internet access
- Relaxed FDI norms
- Reduced license fee

Major Indian Service Providers (Market Share of Broadband Services)

- Reliance Jio – 50%
- Bharti Airtel – 30.16%
- Vodafone Idea – 14.5%

KPIs

- Call Completion Ratio
- Average Revenue per User
- Average Call Duration
- Idle Time on Network
- Tele-density
- Churn Rate
- Network Operating Cost
- Subscriber Acquisition Cost

Key Industry Segments

- Mobile (Wireless)
- Fixed-line (Wireline)
- Internet Services

Useful Links/Reports

- IBEF
- Invest India

TEAM ICON 2024-25

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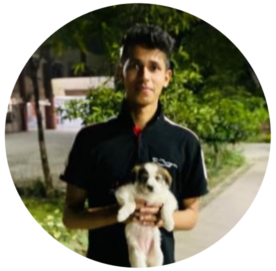
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